OFFICIAL STATEMENT DATED DECEMBER 4, 2014

New Issue – Book Entry Only

Ratings: Moody's:"Aa2"
S&P: "AA"
(See "RATINGS" herein.)

In the opinion of Peck, Shaffer & Williams, a division of Dinsmore & Shohl LLP, Bond Counsel, under existing law (i) interest on the Series 2014B Bonds will be excludible from gross income of the holders thereof for purposes of federal income taxation and interest on the Series 2014B Bonds will not be a specific item of tax preference for purposes of the federal alternative minimum tax imposed on individuals and corporations, (ii) interest on the Series 2014C Bonds is not excludible from the gross income of the holders thereof for purposes of federal income taxation, and (iii) interest on the Series 2014 Bonds is exempt from income taxation by the Commonwealth of Kentucky and the Series 2014 Bonds are exempt from ad valorem taxation by the Commonwealth of Kentucky and any of its political subdivisions, all subject to the qualifications described herein under the heading "TAX TREATMENT."

$27,145,000
LEXINGTON-FAYETTE URBAN COUNTY GOVERNMENT (KENTUCKY)
GENERAL OBLIGATION BONDS

$24,245,000
Various Purpose
General Obligation Bonds, Series 2014B

$2,900,000
Energy Conservation
General Obligation Bonds, Series 2014C
(Federally Taxable -
Qualified Energy Conservation Bond –
Direct Payment to the Issuer)

Dated Date: Date of Delivery

Due: As shown on the inside front cover

The above-captioned Series 2014B Bonds and Series 2014C Bonds (collectively, the "Series 2014 Bonds") of the Lexington-Fayette Urban County Government have been sold pursuant to a competitive sale as provided in the Official Terms and Conditions of Bond Sale. The Series 2014 Bonds are dated, mature and bear interest as set forth under "MATURITY SCHEDULE" on the inside cover page hereof. The Series 2014B Bonds pay interest semiannually on each January 1 and July 1 to maturity, commencing July 1, 2015. The Series 2014C Bonds pay interest semiannually on each December 1 and June 1 to maturity, commencing June 1, 2015. The Series 2014 Bonds are subject to redemption prior to maturity as described herein.

The Series 2014 Bonds will be initially issued as fully registered bonds in book entry form in the name of The Depository Trust Company ("DTC") or its nominee. There will be no distribution of Series 2014 Bonds to owners of book entry interests. So long as DTC or its nominee is the sole registered owner, DTC will receive all payments of principal and interest with respect to the Series 2014 Bonds from U.S. Bank, National Association, Louisville, Kentucky, as paying agent and registrar (the "Series 2014 Paying Agent and Registrar"). DTC is required by its rules and procedures to remit such payments to participants in DTC for subsequent disbursement to the owners of book entry interests. So long as DTC or its nominee is the registered owner of the Series 2014 Bonds, references herein to the Bondholders or registered owners (other than under the captions "LEGAL MATTERS," "TAX TREATMENT" and "CONTINUING DISCLOSURE") shall mean DTC or its nominee, and not the owners of book entry interests in the Series 2014 Bonds. The Series 2014 Bonds will be issued in denominations of $5,000 each or integral multiples thereof.

The Series 2014 Bonds are offered when, as and if issued, subject to the approval of legality and tax treatment by Peck, Shaffer & Williams, a division of Dinsmore & Shohl LLP, Bond Counsel, Lexington, Kentucky. The Series 2014 Bonds are expected to be available for delivery on or about December 16, 2014.

THIS COVER PAGE CONTAINS CERTAIN INFORMATION FOR QUICK REFERENCE ONLY. IT IS NOT A SUMMARY OF THIS ISSUE. INVESTORS MUST READ THE ENTIRE OFFICIAL STATEMENT TO OBTAIN INFORMATION ESSENTIAL TO THE MAKING OF AN INFORMED INVESTMENT DECISION.

PIPER JAFFRAY
SERIES 2014B BONDS

BAIRD
SERIES 2014C BONDS

MATURITY SCHEDULE

$24,245,000
Various Purpose General Obligation Bonds
Series 2014B

Year (January 1)	Amount	Interest Rate	Yield	Price	CUSIP†
2016	$ 690,000	5.000%	0.300%	104.884%	52908E XZ1
2017	775,000	5.000%	0.580%	108.957%	52908E YA5
2018	810,000	5.000%	0.890%	112.306%	52908E YB3
2019	850,000	5.000%	1.180%	115.032%	52908E YC1
2020	895,000	5.000%	1.470%	117.092%	52908E YD9
2021	940,000	5.000%	1.760%	118.492%	52908E YE7
2022	985,000	5.000%	1.950%	119.976%	52908E YF4
2023	1,035,000	5.000%	2.120%	121.189%	52908E YG2
2024	1,085,000	5.000%	2.250%	122.384%	52908E YH0
2025	1,140,000	5.000%	2.450%	122.576%	52908E YJ6
2026	1,200,000	5.000%	2.580%	121.286%*	52908E YK3
2027	1,260,000	5.000%	2.610%	120.991%*	52908E YL1
2028	1,320,000	5.000%	2.670%	120.403%*	52908E YM9
2029	1,385,000	5.000%	2.730%	119.818%*	52908E YN7
2030	1,455,000	5.000%	2.780%	119.333%*	52908E YP2
2031	1,530,000	5.000%	2.830%	118.851%*	52908E YQ0
2032	1,605,000	5.000%	2.880%	118.371%*	52908E YR8
2033	1,685,000	5.000%	2.930%	117.893%*	52908E YS6
2034	1,770,000	3.250%	3.430%	97.497%	52908E YT4
2035	1,830,000	3.375%	3.480%	98.492%	52908E YU1
TOTAL	$24,245,000				

*Priced to the January 1, 2025 call date.

****

$2,900,000
Energy Conservation General Obligation Bonds, Series 2014C (Federally Taxable - Qualified Energy Conservation Bond – Direct Payment to the Issuer)

Year (June 1)	Amount	Interest Rate	Yield	Price	CUSIP†
2027	$2,900,000	3.250%	3.250%	100%	52908E XY4
TOTAL	$2,900,000				

†Copyright 2014, CUSIP Global Services. CUSIP is a registered trademark of the American Bankers Association. CUSIP Global Services is managed on behalf of the American Bankers Association by S&P Capital IQ. CUSIP data herein are provided by CUSIP Global Services. The CUSIP numbers listed are being provided solely for the convenience of the holders only at the time of issuance of the Series 2014 Bonds, and the Lexington-Fayette Urban County Government does not make any representations with respect to such numbers or undertake any responsibility for their accuracy now or at any time in the future. The CUSIP number for a specific maturity is subject to being changed after the issuance of the Series 2014 Bonds as a result of various subsequent actions, including, but not limited to, a refunding in whole or in part of such maturity or as a result of the procurement of secondary market portfolio insurance or other similar enhancement by investors that is applicable to all or a portion of certain maturities of the Series 2014 Bonds.

REGARDING THIS OFFICIAL STATEMENT

This Official Statement does not constitute an offering of any security other than the original offering of the Series 2014 Bonds of the Lexington-Fayette Urban County Government. No dealer, broker, salesman or other person has been authorized by the Lexington-Fayette Urban County Government to give any information or to make any representation, other than those contained in this Official Statement, and, if given or made, such other information or representations must not be relied upon as having been authorized by the Lexington-Fayette Urban County Government. This Official Statement does not constitute an offer to sell or the solicitation of an offer to buy, nor shall there be any sale of the Series 2014 Bonds by any person in any jurisdiction in which it is unlawful for such person to make such offer, solicitation or sale.

The information and expressions of opinion herein are subject to change without notice. Neither the delivery of this Official Statement nor any sale made hereunder shall, under any circumstances, create any implication that there has been no change in the affairs of the Lexington-Fayette Urban County Government since the date hereof.

Upon issuance, the Series 2014 Bonds will not be registered by the Lexington-Fayette Urban County Government under any federal or state securities law, and will not be listed on any stock or other securities exchange. Neither the Securities and Exchange Commission nor any other federal, state, municipal or other governmental entity or agency except the Lexington-Fayette Urban County Government will have, at the request of the Lexington-Fayette Urban County Government, passed upon the accuracy or adequacy of this Official Statement or approved the Series 2014 Bonds for sale.

All financial and other information presented in this Official Statement has been provided by the Lexington-Fayette Urban County Government from its records, except for information expressly attributed to other sources. The presentation of information, including tables of receipts from taxes and other sources, is intended to show recent historic information, and is not intended to indicate future or continuing trends in the financial position or other affairs of the Lexington-Fayette Urban County Government. No representation is made that past experience, as is shown by that financial and other information, will necessarily continue or be repeated in the future.

Insofar as the statements contained in this Official Statement involve matters of opinion or estimates, even if not expressly stated as such, such statements are made as such and not as representations of fact or certainty, no representation is made that any of such statements have been or will be realized, and such statements should be regarded as suggesting independent investigation or consultation of other sources prior to the making of investment decisions. Certain information may not be current; however, attempts were made to date and document sources of information. Neither this Official Statement nor any oral or written representations by or on behalf of the Lexington-Fayette Urban County Government preliminary to sale of the Series 2014 Bonds should be regarded as part of the Lexington-Fayette Urban County Government's contract with the successful bidder or the holders from time to time of the Series 2014 Bonds.

References herein to provisions of Kentucky law, whether codified in the Kentucky Revised Statutes ("KRS") or uncodified, or to the provisions of the Kentucky Constitution or the Lexington-Fayette Urban County Government's ordinances or resolutions, are references to such provisions as they presently exist. Any of these provisions may from time to time be amended, repealed or supplemented.

As used in this Official Statement, "debt service" means principal of, interest and any premium on, the obligations referred to; and "State" or "Kentucky" means the Commonwealth of Kentucky.

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LEXINGTON-FAYETTE URBAN COUNTY GOVERNMENT

Mayor
Jim Gray

Council Members at Large
Linda Gorton (Vice Mayor)
Chuck Ellinger II
Steve Kay

Council Members by District

1st District Chris Ford	5th District Bill Farmer, Jr.	9th District Jennifer Mossotti
2nd District Shevawn Akers	6th District Kevin O. Stinnett	10th District Harry Clarke
3rd District Diane Lawless	7th District Jennifer Scutchfield	11th District Peggy Henson
4th District Julian Beard	8th District George Myers	12th District Ed Lane

Commissioner of Finance
William O'Mara

Clerk of the Lexington-Fayette Urban County Council
Meredith Nelson

PAYING AGENT AND REGISTRAR
U.S. Bank, National Association, Louisville, Kentucky

FINANCIAL ADVISOR
Civic Finance Advisors, LLC
Lexington, Kentucky

BOND COUNSEL
Peck, Shaffer & Williams, a division of Dinsmore & Shohl LLP
Lexington, Kentucky

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INTRODUCTION

The purpose of this Official Statement, which includes the cover page and appendices hereto, is to provide certain information with respect to the issuance of $27,145,000 aggregate principal amount of General Obligation Bonds by the Lexington-Fayette Urban County Government, consisting of the following:

(a) $24,245,000 Various Purpose General Obligation Bonds, Series 2014B (the "Series 2014B Bonds"); and

(b) $2,900,000 Energy Conservation General Obligation Bonds, Series 2014C (Federally Taxable - Qualified Energy Conservation Bond – Direct Payment to the Issuer) (the "Series 2014C Bonds" and together with the Series 2014B Bonds, the "Series 2014 Bonds").

This introduction is not a summary of this Official Statement. It is only a brief description of and guide to, and is qualified by, more complete and detailed information contained in the entire Official Statement, including the cover page and appendices hereto, and the documents summarized or described herein. A full review should be made of the entire Official Statement. The offering of the Series 2014 Bonds to potential investors is made only by means of the entire Official Statement.

The Issuer

The Series 2014 Bonds are being issued by the Lexington-Fayette Urban County Government, a political subdivision of the Commonwealth of Kentucky created on January 1, 1974 by the merger of the City of Lexington with the County of Fayette. It exists as the single unit of general local government exercising jurisdiction throughout the geographical boundaries of Fayette County, Kentucky.

Security and Sources of Payment for the Series 2014 Bonds

The Series 2014 Bonds constitute a general obligation debt of the Lexington-Fayette Urban County Government. The basic security for the Series 2014 Bonds is the Lexington-Fayette Urban County Government's ability to levy an annual tax to pay the interest on and principal of the Series 2014 Bonds as and when the same become due and payable. (See "DESCRIPTION OF THE SERIES 2014 BONDS - Security and Source of Payment for the Series 2014 Bonds" herein.)

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Purpose of the Series 2014 Bonds

The Series 2014 Bonds are being issued for the following purposes:

(a) ***The Series 2014B Bonds***. The Series 2014B Bonds are being issued for the purpose of (i) financing managed email solution/exchange, storage area network, new tax revenue system, procurement website upgrade, Accela software, network infrastructure remediation, police patrol transport wagon, general repairs, life safety, autos vehicle replacement, pothole patcher, public safety ops/Lexcall center, sidewalk and catch basin repair, sidewalks, jail management system, public safety radio system, roof repair and replacement, HVAC repair and replacement, infrastructure improvements, Shillito multipurpose sports fields, Carver Center improvements, dugout replacement, aquatics improvements, Kentucky Theatre concession renovation, fire training tower, land acquisition and fire station design #24 and relocation of fire station #2, (ii) providing funding for a program to preserve and manage agricultural, rural and natural lands, including the purchase of conservation easements or development rights, (iii) construction of a new senior center (collectively, the "Series 2014B Project"); and (iv) paying certain costs related to the issuance of the Series 2014B Bonds. (See "PURPOSE OF THE SERIES 2014B BONDS" herein.)

(b) ***The Series 2014C Bonds***. The Series 2014C Bonds are being issued as Qualified Energy Conservation Bonds (as described herein under "DESCRIPTION OF THE SERIES 2014 BONDS – Series 2014C Bonds as Qualified Energy Conservation Bonds") for the purpose of (i) financing energy conservation measures and other qualifying projects at the Fayette County Detention Center including, but not limited to, LED lighting retrofits, chiller plant optimization, intake HVAC retrofit, inner ring HVAC retrofits, constant-volume reheat fan reset, controls upgrade, demand controlled ventilation, Variable-Air-Volume (VAV) box occupancy controls, energy efficient motors, demand controlled ventilation, kitchen hoods and install new walk-in refrigeration (collectively, the "Series 2014C Project"), and (ii) paying the costs of issuance of the Series 2014C Bonds. (See "PURPOSE OF THE SERIES 2014C BONDS" herein.)

Description of the Series 2014 Bonds

The Series 2014 Bonds mature as indicated under "MATURITY SCHEDULE" on the inside cover page hereof. The Series 2014 Bonds are being offered in the denominations of $5,000 or any integral multiple thereof. The Series 2014 Bonds, when issued, will be registered in the name of Cede & Co., as nominee of The Depository Trust Company, New York, New York, which will act as depository for the Series 2014 Bonds. Purchasers will not receive certificates representing their ownership interest in the Series 2014 Bonds purchased. So long as DTC or its nominee is the registered owner of the Series 2014 Bonds, payments of the principal of and interest due on the Series 2014 Bonds will be made directly to DTC.

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Redemption

Ordinary Optional Redemption. The Series 2014B Bonds maturing January 1, 2026 and thereafter are subject to ordinary optional redemption prior to maturity, commencing January 1, 2025, at par. The Series 2014C Bonds maturing June 1, 2027 are subject to ordinary optional redemption prior to maturity, commencing June 1, 2025, at par. (See "DESCRIPTION OF THE SERIES 2014 BONDS - Redemption Provisions – Ordinary Optional Redemption" herein.)

Extraordinary Optional Redemption for the Series 2014C Bonds. The Series 2014C Bonds are subject to extraordinary optional redemption by the Lexington-Fayette Urban County Government prior to maturity, in whole or in part on any date, at a redemption price of 100% of the principal amount to be redeemed, plus accrued interest to the redemption date, in the event that the Qualified Energy Conservation Payments (as defined herein) from the federal government shall cease. (See "DESCRIPTION OF THE SERIES 2014 BONDS - Redemption Provisions – Extraordinary Optional Redemption" herein.)

Extraordinary Mandatory Redemption for the Series 2014C Bonds. The Series 2014C Bonds are subject to extraordinary mandatory redemption, in whole or in part at a redemption price of 100% of the principal amount to be redeemed, plus accrued interest to the redemption date, if the Lexington-Fayette Urban County Government fails to expend all of the available project proceeds (as defined in Section 54A of the Code) of the Series 2014C Bonds within the three-year period beginning on the issue date of the Series 2014C Bonds (or, if an extension of the expenditure period has been received by the Lexington-Fayette Urban County Government from the Secretary of the U.S. Treasury, at the close of the extended period) within ninety (90) days of the end of the applicable expenditure period to the extent necessary, in the opinion of nationally recognized bond counsel rendered at the request of the Lexington-Fayette Urban County Government or pursuant to a final determination by the Internal Revenue Service or court of competent jurisdiction in the United States, to preserve the federal tax status of the Series 2014C Bonds as Qualified Energy Conservation Bonds.

Notice of Redemption. In the event any Series 2014 Bonds are called for redemption, notice shall be given by mailing a copy of the redemption notice at least thirty (30) days prior to the date fixed for redemption to the registered owner of each Series 2014 Bond to be redeemed. (See "DESCRIPTION OF THE SERIES 2014 BONDS - Redemption Provisions – Notice of Redemption to Registered Owners" herein.)

Parties to the Issuance of the Series 2014 Bonds

U.S. Bank, National Association, Louisville, Kentucky, will serve as paying agent and registrar with respect to the Series 2014 Bonds (the "Series 2014 Paying Agent and Registrar"). Legal matters incident to the issuance of the Series 2014 Bonds and with regard to the tax treatment of the interest thereon are subject to the approving legal opinion of Peck, Shaffer & Williams, a division of Dinsmore & Shohl LLP, Lexington, Kentucky, Bond Counsel. The Financial Advisor to the Lexington-Fayette Urban County Government is Civic Finance Advisors, LLC, Lexington, Kentucky.

Payment of Series 2014 Bonds

The Series 2014 Bonds will be fully registered and may be transferred at the designated office of the Paying Agent and Registrar, without cost except for any taxes or other governmental charges.

As a precondition to the exchange or transfer of any Series 2014 Bond, the Lexington-Fayette Urban County Government or the Paying Agent and Registrar may charge the Bondholder for any tax or excise required to be paid with respect to the exchange or transfer. Neither the Lexington-Fayette Urban County Government nor the Paying Agent and Registrar shall be required to make any transfer during the 15 days immediately preceding the mailing of a notice of redemption nor to transfer any Series 2014 Bond selected for redemption in whole or in part.

Principal and any redemption premium is payable to the registered owner at the designated office of the Paying Agent and Registrar. Interest will be payable by electronic transfer or check or draft mailed by the Paying Agent and Registrar to the person who is the registered owner as of the 15th day of the calendar month preceding the month of the applicable interest payment date.

Interest

The Series 2014 Bonds shall be dated their date of delivery and bear interest at the rates set forth on the inside cover hereof. Interest on the Series 2014B Bonds shall be payable semi-annually on January 1 and July 1, commencing July 1, 2015. The record dates for January 1 and July 1 interest payment dates shall be the preceding December 15 and June 15, respectively. Interest on the Series 2014C Bonds shall be payable semi-annually on December 1 and June 1, commencing June 1, 2015. The record dates for December 1 and June 1 interest payment dates shall be the preceding November 15 and May 15, respectively.

Book Entry

The Series 2014 Bonds are issuable only as fully registered bonds, without coupons. The Series 2014 Bonds, when issued, will be registered in the name of Cede & Co., as nominee of The Depository Trust Company, New York, New York, which will act as securities depository for the Series 2014 Bonds. Purchasers will not receive certificates representing their ownership interest in the Series 2014 Bonds purchased. So long as DTC or its nominee is the registered owner of the Series 2014 Bonds, payments of the principal of and interest due on the Series 2014 Bonds will be made directly to DTC. Principal of, redemption premium, if any, and interest on the Series 2014 Bonds will be paid directly to DTC by the Paying Agent and Registrar. See "DESCRIPTION OF THE SERIES 2014 BONDS – Book-Entry Only System" herein.

Tax Treatment

Series 2014B Bonds. In the opinion of Peck, Shaffer & Williams, a division of Dinsmore & Shohl LLP, Bond Counsel, under existing law, interest on the Series 2014B Bonds is excludible from gross income of the holders thereof for purposes of federal income taxation, pursuant to the Internal Revenue Code of 1986, as amended (the "Code"). Furthermore, interest

on the Series 2014B Bonds will not be treated as a specific item of tax preference, under Section 57(a)(5) of the Code, in computing the alternative minimum tax for individuals and corporations. In rendering the opinions in this paragraph, Bond Counsel has assumed continuing compliance with certain covenants designed to meet the requirements of Section 103 of the Code. The Lexington-Fayette Urban County Government has not designated the Series 2014 Bonds as "qualified tax-exempt obligations" with respect to certain financial institutions under Section 265 of the Code. See ***Appendix D-1*** hereto for the form of the opinion that Bond Counsel proposes to deliver in connection with the Series 2014B Bonds.

Series 2014C Bonds. In the opinion of Bond Counsel, under existing law, interest on the Series 2014C Bonds is not excludible from gross income of the holders thereof for purposes of federal income taxation. See ***Appendix D-2*** hereto for the form of the opinion that Bond Counsel proposes to deliver in connection with the Series 2014C Bonds.

Kentucky Taxation. Interest on the Series 2014 Bonds is exempt from income taxation income taxation by the Commonwealth of Kentucky and the Series 2014 Bonds are exempt from ad valorem taxation by the Commonwealth of Kentucky and any of its political subdivisions.

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Bond Counsel expresses no other opinion as to the federal tax consequences of purchasing, holding, or disposing of the Series 2014 Bonds.

Authority for Issuance

Authority for the issuance of the Series 2014 Bonds is provided by Sections 66.011 through 66.191 of the Kentucky Revised Statutes and Ordinance No. 140-2014, adopted by the Lexington-Fayette Urban County Council on November 20, 2014 (the "Authorizing Ordinance").

Offering and Delivery of the Series 2014 Bonds

The Series 2014 Bonds are offered when, as and if issued by the Lexington-Fayette Urban County Government. The Series 2014 Bonds will be delivered on or about December 16, 2014 in New York, New York through the Depository Trust Company.

Disclosure Information

This Official Statement speaks only as of its date, and the information contained herein is subject to change. This Official Statement and continuing disclosure documents of the Lexington-Fayette Urban County Government are intended to be made available through one or more repositories. Copies of the basic documentation relating to the Series 2014 Bonds, including the Authorizing Ordinance are available from the Lexington-Fayette Urban County Government.

The Lexington-Fayette Urban County Government deems this Official Statement to be final for the purposes of Securities and Exchange Commission Rule 15c2-12(b)(3) (the "Rule").

Additional Information

Additional information concerning this Official Statement, as well as copies of the basic documentation relating to the Series 2014 Bonds, is available from Civic Finance Advisors, LLC, 333 W. Vine Street, Suite 1610, Lexington, Kentucky 40507, telephone (855) 211-1525 or (859) 351-8464, Attn: Chris Bowling.

DESCRIPTION OF THE SERIES 2014 BONDS

General

The Series 2014 Bonds are dated their date of delivery and bear interest from such date at the rates set forth under "MATURITY SCHEDULE" on the inside cover page hereof, calculated on the basis of a 360 day year with twelve 30 day months. The Series 2014 Bonds are being issued as fully registered bonds in the denomination of $5,000 or any integral multiple thereof.

Interest on the Series 2014B Bonds is payable semi-annually on January 1 and July 1, commencing July 1, 2015. Interest on the Series 2014C Bonds is payable semi-annually on December 1 and June 1, commencing June 1, 2015. Interest on all Series 2014 Bonds is payable by electronic transfer or check or draft mailed to the registered holder by the Paying Agent and Registrar. Principal is payable when due to the registered holder of the Series 2014 Bonds at the designated office of the Paying Agent and Registrar.

Book-Entry Only System

The following information concerning DTC and DTC's book-entry system has been obtained from DTC and contains statements that are believed to describe accurately DTC, the method of effecting book-entry transfers of securities distributed through DTC and certain related matters, but neither the Lexington-Fayette Urban County Government nor either Paying Agent and Registrar takes any responsibility for the accuracy of such statements.

The Depository Trust Company ("DTC"), New York, NY, will act as securities depository for the Series 2014 Bonds (the "Securities"). The Securities will be issued as fully-registered securities registered in the name of Cede & Co. (DTC's partnership nominee) or such other name as may be requested by an authorized representative of DTC. One fully-registered Security certificate will be issued for each issue of the Securities, each in the aggregate principal amount of such issue, and will be deposited with DTC.

DTC, the world's largest securities depository, is a limited-purpose trust company organized under the New York Banking Law, a "banking organization" within the meaning of the New York Banking Law, a member of the Federal Reserve System, a "clearing corporation" within the meaning of the New York Uniform Commercial Code, and a "clearing agency" registered pursuant to the provisions of Section 17A of the Securities Exchange Act of 1934. DTC holds and provides asset servicing for over 3.5 million issues of U.S. and non-U.S. equity issues, corporate and municipal debt issues, and money market instruments (from over 100 countries) that DTC's participants ("Direct Participants") deposit with DTC. DTC also facilitates the post-trade settlement among Direct Participants of sales and other securities transactions in deposited securities, through electronic computerized book-entry transfers and

pledges between Direct Participants' accounts. This eliminates the need for physical movement of securities certificates. Direct Participants include both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, clearing corporations, and certain other organizations. DTC is a wholly-owned subsidiary of The Depository Trust & Clearing Corporation ("DTCC"). DTCC is the holding company for DTC, National Securities Clearing Corporation and Fixed Income Clearing Corporation, all of which are registered clearing agencies. DTCC is owned by the users of its regulated subsidiaries. Access to the DTC system is also available to others such as both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, and clearing corporations that clear through or maintain a custodial relationship with a Direct Participant, either directly or indirectly ("Indirect Participants"). DTC has a Standard & Poor's rating of AA+. The DTC Rules applicable to its Participants are on file with the Securities and Exchange Commission. More information about DTC can be found at www.dtcc.com.

Purchases of Securities under the DTC system must be made by or through Direct Participants, which will receive a credit for the Securities on DTC's records. The ownership interest of each actual purchaser of each Security ("Beneficial Owner") is in turn to be recorded on the Direct and Indirect Participants' records. Beneficial Owners will not receive written confirmation from DTC of their purchase. Beneficial Owners are, however, expected to receive written confirmations providing details of the transaction, as well as periodic statements of their holdings, from the Direct or Indirect Participant through which the Beneficial Owner entered into the transaction. Transfers of ownership interests in the Securities are to be accomplished by entries made on the books of Direct and Indirect Participants acting on behalf of Beneficial Owners. Beneficial Owners will not receive certificates representing their ownership interests in Securities, except in the event that use of the book-entry system for the Securities is discontinued.

To facilitate subsequent transfers, all Securities deposited by Direct Participants with DTC are registered in the name of DTC's partnership nominee, Cede & Co., or such other name as may be requested by an authorized representative of DTC. The deposit of Securities with DTC and their registration in the name of Cede & Co. or such other DTC nominee do not effect any change in beneficial ownership. DTC has no knowledge of the actual Beneficial Owners of the Securities; DTC's records reflect only the identity of the Direct Participants to whose accounts such Securities are credited, which may or may not be the Beneficial Owners. The Direct and Indirect Participants will remain responsible for keeping account of their holdings on behalf of their customers.

Conveyance of notices and other communications by DTC to Direct Participants, by Direct Participants to Indirect Participants, and by Direct Participants and Indirect Participants to Beneficial Owners will be governed by arrangements among them, subject to any statutory or regulatory requirements as may be in effect from time to time. Beneficial Owners of Securities may wish to take certain steps to augment the transmission to them of notices of significant events with respect to the Securities, such as redemptions, tenders, defaults, and proposed amendments to the Security documents. For example, Beneficial Owners of Securities may wish to ascertain that the nominee holding the Securities for their benefit has agreed to obtain and transmit notices to Beneficial Owners. In the alternative, Beneficial Owners may wish to provide their names and addresses to the Paying Agent and Registrar and request that copies of notices be provided directly to them.

Redemption notices shall be sent to DTC. If less than all of the Securities within an issue are being redeemed, DTC's practice is to determine by lot the amount of the interest of each Direct Participant in such issue to be redeemed.

Neither DTC nor Cede & Co. (nor any other DTC nominee) will consent or vote with respect to Securities unless authorized by a Direct Participant in accordance with DTC's MMI Procedures. Under its usual procedures, DTC mails an Omnibus Proxy to the issuer as soon as possible after the record date. The Omnibus Proxy assigns Cede & Co.'s consenting or voting rights to those Direct Participants to whose accounts Securities are credited on the record date (identified in a listing attached to the Omnibus Proxy).

Redemption proceeds, distributions, and dividend payments on the Securities will be made to Cede &. Co., or such other nominee as may be requested by an authorized representative of DTC. DTC's practice is to credit Direct Participants' accounts upon DTC's receipt of funds and corresponding detail information from the Lexington-Fayette Urban County Government, on payable date in accordance with their respective holdings shown on DTC's records. Payments by Participants to Beneficial Owners will be governed by standing instructions and customary practices, as is the case with securities held for the accounts of customers in bearer form or registered in "street name," and will be the responsibility of such Participant and not of DTC or the Lexington-Fayette Urban County Government, subject to any statutory or regulatory requirements as may be in effect from time to time. Payment of redemption proceeds, distributions, and dividend payments to Cede & Co. (or such other nominee as may be requested by an authorized representative of DTC) is the responsibility of the Lexington-Fayette Urban County Government, disbursement of such payments to Direct Participants will be the responsibility of DTC, and disbursement of such payments to the Beneficial Owners will be the responsibility of Direct and Indirect Participants.

DTC may discontinue providing its services as depository with respect to the Securities at any time by giving reasonable notice to the Lexington-Fayette Urban County Government. Under such circumstances, in the event that a successor depository is not obtained, Security certificates are required to be printed and delivered.

The Lexington-Fayette Urban County Government may decide to discontinue use of the system of book-entry-only transfers through DTC (or a successor securities depository). In that event, Security certificates will be printed and delivered to DTC.

The information in this section concerning DTC and DTC's book-entry system has been obtained from sources that the Lexington-Fayette Urban County Government believes to be reliable, but the Lexington-Fayette Urban County Government takes no responsibility for the accuracy thereof. The Lexington-Fayette Urban County Government will not have any responsibility or obligations to any Direct Participants or Indirect Participants or the persons for whom they act with respect to (i) the accuracy of any records maintained by DTC or any such Direct Participant or Indirect Participant; (ii) the payment by any Participant of any amount due to the Beneficial Owner in respect of the principal of, premium, if any, or interest on the Series 2014 Bonds; (iii) the delivery by any such Direct Participant or Indirect Participant of any notice to any Beneficial Owner that is required or permitted to be given to owners of the Series 2014 Bonds; (iv) the selection of the Beneficial Owners to receive payments in the event of any

partial redemption of the Series 2014 Bonds; or (v) any consent given or other action taken by DTC as Registered Owner.

Security and Source of Payment for Series 2014 Bonds

The Series 2014 Bonds are general obligations of the Lexington-Fayette Urban County Government and the full faith, credit and taxing power of the Lexington-Fayette Urban County Government is irrevocably pledged to the payment of principal of and interest on the Series 2014 Bonds when due.

The basic security for the general obligation debt of the Lexington-Fayette Urban County Government, including the Series 2014 Bonds, is the Lexington-Fayette Urban County Government's ability to levy, and its pledge to levy, an annual tax to pay the interest on and principal of the Series 2014 Bonds as and when the same become due and payable. The tax must be levied in sufficient amount to pay, as the same become due, the principal of and interest on the Series 2014 Bonds as well as the principal of and interest on all outstanding general obligation bonds and Series 2014 Bonds of the Lexington-Fayette Urban County Government. The Constitution of the State mandates the collection of a tax sufficient to pay the interest on an authorized indebtedness and the creation of a sinking fund for the payment of the principal thereof. The Authorizing Ordinance levies such annual tax which shall be collected to the extent other lawfully available monies of the Lexington-Fayette Urban County Government are not provided. The Authorizing Ordinance also creates a sinking fund into which the proceeds of such tax or other lawfully available monies of the Lexington-Fayette Urban County Government are to be deposited for payment of the interest on and principal of the Series 2014 Bonds and shall not be used for any other purpose.

Chapter 9 of the Federal Bankruptcy Code contains provisions relating to the adjustment of debts of a State's political subdivisions, public agencies and instrumentalities ("eligible entity"), such as the Lexington-Fayette Urban County Government. Under the Bankruptcy Code and in certain circumstances described therein, an eligible entity may be authorized to initiate Chapter 9 proceedings without prior notice to or consent of its creditors, which proceedings may result in material and adverse modification or alteration of the rights of its secured and unsecured creditors, including holders of its bonds and notes.

Section 66.400 of the Kentucky Revised Statutes permits a political subdivision, such as the Lexington-Fayette Urban County Government, for the purpose of enabling such subdivision to take advantage of the provisions of the Bankruptcy Code, and for that purpose only, to file a petition stating that the subdivision is insolvent or unable to meet its debts as they mature, and that it desires to effect a plan for the composition or readjustment of its debts, and to take such further proceedings as are set forth in the Bankruptcy Code as they relate to such subdivision. No taxing subdivision is permitted, in availing itself of the provisions of the Bankruptcy Code, to scale down, cut down or reduce the principal sum of its securities except that interest thereon may be reduced in whole or in part.

Series 2014C Bonds as Qualified Energy Conservation Bonds

The American Recovery and Reinvestment Act of 2009 (the "Recovery Act") and the Hiring Incentives to Restore Employment Act enacted March 18, 2010 (the "HIRE Act") permit state and local governments, such as the Lexington-Fayette Urban County Government, to obtain certain tax advantages when issuing certain taxable bonds, referred to as "Qualified Energy Conservation Bonds." Qualified Energy Conservation Bonds mean obligations permitted by the Recovery Act and the HIRE Act, (a) 100% of the "available project proceeds" of which shall be used for one or more qualified conservation purposes, (b) which are issued by a state or local government, (c) which are irrevocably designated as Qualified Energy Conservation Bonds by the state or local government pursuant to Section 54D(a)(3) of the Code, (d) which meet all other requirements set forth in Sections 54A and 54D of the Code and, if an election is made, Section 6431(f) of the Code (and federal regulations applicable thereto) and IRS Notice 2010-35, and (e) the issue price of the obligation does not have more than a de minimis amount of premium over the stated principal amount, as determined under rules similar to the rules of Section 1273(a)(3) of the Code governing original issue discount. Adjustments to the arbitrage rules of Section 148 of the Code and to the federal guarantee provisions of Section 149 of the Code generally applicable to tax-exempt bonds are made for Qualified Energy Conservation Bonds. "Available project proceeds" is defined under Section 54A of the Code as the sum of the (1) excess of the proceeds from the sale of an issue minus the issuance costs financed by the issue, with such issuance costs not allowed to exceed two percent (2%) of the sale proceeds of the issue and (2) investment earnings on the excess computed in (1).

Under the HIRE Act, an issuer of Qualified Energy Conservation Bonds may elect to receive "Qualified Energy Conservation Payments." "Qualified Energy Conservation Payments" mean credit payments permitted pursuant to Section 54A of the Code in conjunction with the irrevocable election of the issuer to receive credit payments directly from the U.S. Treasury, as provided in Section 6431 of the Code in lieu of the federal income tax credit that would otherwise be available to the holders of the related Qualified Energy Conservation Bonds. The amount of a Qualified Energy Conservation Payment related to a Qualified Energy Conservation Bond is the lesser of (a) the amount of interest payable on the bond or (b) 70% of the amount of interest that would have been payable under the bond on its interest payment date if the interest was determined at the applicable credit rate determined under Section 54A(b)(3) of the Code with respect to the bond (see statement below regarding recent reductions due to federal spending cuts). The current applicable credit rate under Section 54A(b)(3) of the Code as of the date of this Official Statement is 4.400%. To receive Qualified Energy Conservation Payments, under the current procedures, an issuer such as the Lexington-Fayette Urban County Government will be required to file a tax form between 45 and 90 days before the applicable interest payment date for the related Qualified Energy Conservation Bond. An issuer such as the Lexington-Fayette Urban County Government should expect to receive the Qualified Energy Conservation Payment contemporaneously with the applicable interest payment date. Depending on the timing of the filing, the Qualified Energy Conservation Payment may be received before or after the corresponding interest payment date.

Pursuant to the Budget Control Act of 2011 and the Sequestration Transparency Act of 2012, cuts in certain categories of federal spending were made for the fiscal year ending September 30, 2015, and may be made with respect to future fiscal years. In connection

therewith, the Internal Revenue Service has confirmed that refund payments related to refundable credits under Section 6431 of the Code, which includes Qualified Energy Conservation Payments, will be reduced by the fiscal year 2015 sequestration rate of 7.3 percent for payments processed on or after October 1, 2014 and on or before September 30, 2015. The sequestration reduction rate will be applied unless and until a law is enacted that cancels or otherwise impacts the sequester, at which time the sequestration reduction rate is subject to change.

Pursuant to the Authorizing Ordinance, the Lexington-Fayette Urban County Government has irrevocably designated the Series 2014C Bonds as Qualified Energy Conservation Bonds and has irrevocably elected to receive Qualified Energy Conservation Payments under Section 6431(f) of the Code, in lieu of providing the holders of Series 2014C Bonds with a tax credit with respect to the Series 2014C Bonds. Any Qualified Energy Conservation Payments related to the Series 2014C Bonds will be payable to the Lexington-Fayette Urban County Government. The holders of the Series 2014C Bonds will not be entitled to a tax credit. The Qualified Energy Conservation Payments will be paid to the Lexington-Fayette Urban County Government only to the extent that the Series 2014C Bonds remain Qualified Energy Conservation Bonds, which requires the Lexington-Fayette Urban County Government to comply with certain covenants and to establish certain facts and expectations with respect to the Series 2014C Bonds, the use and investment of proceeds thereof and the use of property financed thereby. Also, Qualified Energy Conservation Payments may be subject to offset against certain amounts that may, for unrelated reasons, be owed by the Lexington-Fayette Urban County Government to an agency of the United States of America. See also "TAX TREATMENT" herein. The Qualified Energy Conservation Payments that the Lexington-Fayette Urban County Government expects to receive with respect to the Series 2014C Bonds are not pledged for the payment of principal of, interest on or any premium on any of the Series 2014C Bonds.

Redemption Provisions

Optional Redemption. The Series 2014B Bonds maturing January 1, 2026 and thereafter are subject to ordinary optional redemption prior to maturity, commencing January 1, 2025. The Series 2014C Bonds maturing June 1, 2027 are subject to ordinary optional redemption prior to maturity, commencing June 1, 2025. The Series 2014B Bonds and the Series 2014C Bonds, respectively, are subject to such optional redemption prior to maturity, in whole or in part, in any order of maturity and by lot within any maturity at the election of the Lexington-Fayette Urban County Government upon 45 days' written notice to the respective Paying Agent and Registrar, at a redemption price equal to 100% of the principal amount redeemed, plus accrued interest to the date of redemption.

Extraordinary Optional Redemption for the Series 2014C Bonds. The Series 2014C Bonds are subject to extraordinary optional redemption by the Lexington-Fayette Urban County Government prior to maturity, in whole or in part on any date, at a redemption price of 100% of the principal amount to be redeemed, plus accrued interest to the redemption date, in the event that the Qualified Energy Conservation Payments (as defined herein) from the federal government shall cease.

Extraordinary Mandatory Redemption for the Series 2014C Bonds. The Series 2014C Bonds are subject to extraordinary mandatory redemption, in whole or in part at a redemption price of 100% of the principal amount to be redeemed, plus accrued interest to the redemption date, if the Lexington-Fayette Urban County Government fails to expend all of the available project proceeds (as defined in Section 54A of the Code) of the Series 2014C Bonds within the three-year period beginning on the issue date of the Series 2014C Bonds (or, if an extension of the expenditure period has been received by the Lexington-Fayette Urban County Government from the Secretary of the U.S. Treasury, at the close of the extended period) within ninety 90 days of the end of such period to the extent necessary, in the opinion of nationally recognized bond counsel rendered at the request of the Lexington-Fayette Urban County Government or pursuant to a final determination by the Internal Revenue Service or court of competent jurisdiction in the United States, to preserve the federal tax status of the Series 2014C Bonds as Qualified Energy Conservation Bonds.

Selection of Series 2014 Bonds to be Redeemed. If less than all Series 2014 Bonds which are payable by their terms on the same date are to be called, the particular Series 2014 Bonds or portions of Series 2014 Bonds payable on such same date and to be redeemed from such series shall be selected by lot by the respective Paying Agent and Registrar, in such manner as the respective Paying Agent and Registrar in its discretion may determine; provided, however, that the portion of any Series 2014 Bond to be redeemed shall be in the principal amount of $5,000 or some multiple thereof, and that, in selecting Series 2014 Bonds for redemption, the respective Paying Agent and Registrar shall treat each bond as representing that number of Series 2014 Bonds which is obtained by dividing the principal amount of such Series 2014 Bond by $5,000.

In case part but not all of an outstanding Series 2014 Bond shall be selected for redemption, the registered owner thereof or his attorney or legal representative shall present and surrender such Series 2014 Bond to the respective Paying Agent and Registrar for payment of the principal amount hereof so called for redemption, and the Lexington-Fayette Urban County Government shall execute and the respective Paying Agent and Registrar shall authenticate and deliver to or upon the order of such registered owner or his legal representative, without charge therefor, for the unredeemed portion of the principal amount of the Series 2014 Bond so surrendered a Series 2014 Bond of the same series and maturity and bearing interest at the same rate.

Notice of Redemption to Registered Owners. At least thirty (30) days before the optional redemption date of any Series 2014 Bonds the respective Paying Agent and Registrar shall cause a notice of such redemption signed by the respective Paying Agent and Registrar, to be mailed, first class, postage prepaid, to all registered owners of the Series 2014 Bonds to be redeemed at their addresses as they appear on the registration books kept by the respective Paying Agent and Registrar, but failure to mail any such notice shall not affect the validity of the proceedings for such redemption of Series 2014 Bonds for which such notice has been sent. Each such notice shall set forth the date fixed for redemption, the redemption price to be paid and, if less than all of the Series 2014 Bonds being payable by their terms on a single date then outstanding shall be called for redemption, the distinctive number or letters, if any, of such Series 2014 Bonds to be redeemed.

On the date so designated for redemption, notice having been published in the manner under the conditions hereinabove provided and moneys for payment of the redemption price being held in the Series 2014 Bond Payment Fund by the respective Paying Agent and Registrar for the registered owners of the Series 2014 Bonds to be redeemed, the Series 2014 Bonds so called for redemption shall become and be due and payable at the redemption price provided for redemption of such Series 2014 Bonds on such date, interest on the Series 2014 Bonds so called for redemption shall cease to accrue, and the registered owners of such Series 2014 Bonds shall have no right in respect thereof except to receive payment of the redemption price thereof.

Sinking Fund for the Series 2014C Bonds. The Lexington-Fayette Urban County Government has established a sinking fund in connection with the Series 2014C Bonds (the "Series 2014C QECB Sinking Fund"), to be held by the Paying Agent and Registrar. Pursuant to Section 54A(d)(4)(C) of the Code, a sinking fund may be established, provided that the following requirements are satisfied: (a) such fund is funded at a rate not more rapid than equal annual installments; (b) such fund is funded in a manner reasonably expected to result in an amount not greater than an amount necessary to repay the Series 2014C Bonds; and (c) the yield on such fund is not greater than the discount rate determined by the Secretary of the U.S. Treasury under Section 54A(d)(5)(B) of the Code on the sale date of the Series 2014C Bonds, which was 2.93% (the "Permitted Sinking Fund Yield").

The Lexington-Fayette Urban County Government has covenanted to set aside $196,441.70 each June 1, commencing June 1, 2015 and annually thereafter until the maturity of the Series 2014C Bonds, which when combined with amounts earned pursuant to that certain Sinking Fund Forward Delivery Agreement, dated on or about December 16, 2014, by and among U.S. Bank National Association, as paying agent and registrar, the Lexington-Fayette Urban County Government and Citibank, N.A, will be applied to the payment of the principal amount of the Series 2014C Bonds at maturity. Pursuant to such Forward Delivery Agreement, the amounts in the Series 2014C QECB Sinking Fund shall be invested with a rate of return equal to 2.08%, which is less than the Permitted Sinking Fund Yield. The balance in the Series 2014C QECB Sinking Fund shall equal, but not exceed, the respective mandatory sinking fund balance on the dates listed below:

Date	Mandatory Sinking Fund Balance
June 1, 2015	$ 196,441.70
June 1, 2016	396,990.63
June 1, 2017	601,732.68
June 1, 2018	810,755.50
June 1, 2019	1,024,148.61
June 1, 2020	1,242,003.37
June 1, 2021	1,464,413.08
June 1, 2022	1,691,472.96
June 1, 2023	1,923,280.25
June 1, 2024	2,159,934.20
June 1, 2025	2,401,536.15
June 1, 2026	2,648,189.55
June 1, 2027*	2,900,000.02

* Maturity

PURPOSE OF THE SERIES 2014 BONDS

Series 2014B Bonds

The Series 2014B Bonds are being issued for the purpose of (i) financing managed email solution/exchange, storage area network, new tax revenue system, procurement website upgrade, Accela software, network infrastructure remediation, police patrol transport wagon, general repairs, life safety, autos vehicle replacement, pothole patcher, public safety ops/Lexcall center, sidewalk and catch basin repair, sidewalks, jail management system, public safety radio system, roof repair and replacement, HVAC repair and replacement, infrastructure improvements, Shillito multipurpose sports fields, Carver Center improvements, dugout replacement, aquatics improvements, Kentucky Theatre concession renovation, fire training tower, land acquisition and fire station design #24 and relocation of fire station #2, (ii) providing funding for a program to preserve and manage agricultural, rural and natural lands, including the purchase of conservation easements or development rights, (iii) financing the construction of a new senior center (collectively, the "Series 2014B Project"); and (iv) paying the costs of issuance of the Series 2014B Bonds.

Series 2014C Bonds

The Series 2014C Bonds are being issued for the purpose of (i) financing energy conservation measures and other qualifying projects at the Fayette County Detention Center including but not limited to LED lighting retrofits, chiller plant optimization, intake HVAC retrofit, inner ring HVAC retrofits, constant-volume reheat fan reset, controls upgrade, demand controlled ventilation, Variable-Air-Volume (VAV) box occupancy controls, energy efficient motors, demand controlled ventilation, kitchen hoods and install new walk-in refrigeration (collectively, the "Series 2014C Project" "), and (ii) paying the costs of issuance of the Series 2014C Bonds.

SOURCES AND USES OF FUNDS

Series 2014B Bonds

The following table sets forth the sources and uses of funds by the Lexington-Fayette Urban County Government in connection with the issuance of the Series 2014B Bonds:

Sources	
Par Amount of Series 2014B Bonds	$24,245,000.00
Net Premium	3,731,552.75
TOTAL SOURCES	$27,976,552.75
Uses	
Deposit to Acquisition Fund for the Series 2014B Project	$27,688,100.00
Bond Issuance Expenses[1]	288,452.75
TOTAL USES	$27,976,552.75

[1] Includes underwriter's discount, printing costs, rating agency fees, legal fees, paying agent fees and other issuance costs.

Series 2014C Bonds

The following table sets forth the sources and uses of funds by the Lexington-Fayette Urban County Government in connection with the issuance of the Series 2014C Bonds:

Sources	
Par Amount of Series 2014C Bonds	$2,900,000.00
TOTAL SOURCES	$2,900,000.00
Uses	
Deposit to Acquisition Fund for the Series 2014C Project	$2,857,984.00
Bond Issuance Expenses[(1)]	42,016.00
TOTAL USES	$2,900,000.00

[(1)] Includes underwriter's discount, printing costs, rating agency fees, legal fees, paying agent fees and other issuance costs.

INVESTMENT CONSIDERATIONS

The Series 2014 Bonds, like all obligations of state and local government, are subject to changes in value due to changes in the condition of the tax-exempt bond market, the taxable bond market or the qualified energy conservation bond market and/or changes in the financial condition of the Lexington-Fayette Urban County Government.

Prospective purchasers of the Series 2014 Bonds may need to consult their own tax advisors prior to any purchase of the Series 2014 Bonds as to the impact of the Code upon their acquisition, holding or disposition of the Series 2014 Bonds.

It is possible under certain market conditions, or if the financial condition of the Lexington-Fayette Urban County Government should change, that the market price of the Series 2014 Bonds could be adversely affected.

With regard to the risk involved in a lowering of the Lexington-Fayette Urban County Government's bond rating, see "RATINGS" herein. With regard to creditors' rights, see "DESCRIPTION OF THE SERIES 2014 BONDS - Security and Source of Payment for the Series 2014 Bonds" herein.

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LEXINGTON-FAYETTE URBAN COUNTY GOVERNMENT

Organization

The Lexington-Fayette Urban County Government is an urban county government created from the merger of the City of Lexington and the County of Fayette in 1974 and operates pursuant to Chapter 67A of the Kentucky Revised Statues. The Lexington-Fayette Urban County Government operates under a Mayor-Council form of government where executive and administrative functions are vested with the Mayor and legislative authority is vested with the Lexington-Fayette Urban County Council.

The Mayor is the chief executive officer and is elected to serve a four-year term. The Lexington-Fayette Urban County Council has fifteen members, including twelve members elected from single-member districts in Fayette County who serve two-year terms and three members elected at-large who serve four-year terms. The Vice-Mayor is the at-large member who receives the most votes in the general election. (See page v hereof for a listing of the incumbent Mayor and members of the Lexington-Fayette Urban County Council.)

The Mayor is assisted in the administration of the government by department commissioners who are appointed by the Mayor with approval of the Lexington-Fayette Urban County Council. The Lexington-Fayette Urban County Government has seven departments, headed by department commissioners, which are responsible for administering programs and implementing policies. Each department is divided into divisions that are managed by division directors.

The Lexington-Fayette Urban County Government has 2,800 authorized full-time equivalent positions. Of these positions, 48% are police, fire and community correction personnel, and the remaining 52% are civil service, non-civil service, appointed or elected positions.

The Department of Finance and Administration is responsible for the custody, investment and disbursement of all funds; debt management; retirement fund administration; coordination of the annual financial audit and publication of the Comprehensive Annual Financial Report. This department includes the divisions of Accounting, Community Development, Human Resources, Purchasing, Revenue and Risk Management.

The Department of Public Safety includes the divisions of Police, Fire and Emergency Services, Community Corrections, Emergency Management/E-911 and Code Enforcement.

The Department of Public Works and Development is responsible for providing a broad range of public services including solid waste collection and recycling, sanitary sewer conveyance and treatment, stormwater control, street maintenance, and construction design and maintenance. This department is also responsible for developing long-range capital plans for sanitary sewer and stormwater facilities. The divisions in this department include Engineering, Streets, Roads and Forestry, Traffic Engineering, Historic Preservation, Planning, Purchase of Development Rights and Building Inspection.

The Department of Social Services provides human resources services to Fayette County residents including providing assistance to families and children, coordinating a community-wide effort to implement the new welfare reform programs and organizing programs for senior citizens. The divisions in this department include Adult and Tenant Services, Family Services and Youth Services.

The Department of General Services includes the divisions of Facilities and Fleet Management and Parks and Recreation. In addition, the Commissioner's office oversees the management of the Lexington-Fayette Urban County Government telephone system, utilities, parking facilities and coordinates special events.

The Department of Environmental Quality includes the divisions of Environmental Policy, Water Quality and Waste Management.

The Department of Law provides legal services for the Lexington-Fayette Urban County Government. The Corporate Counsel function prepares all legal instruments for the government and provides advice to its employees and agencies. These activities include managing the preparation of legal opinions, ordinances, resolutions, contracts and other legal documents. The Litigation function represents the Lexington-Fayette Urban County Government in civil cases and lawsuits and coordinates representation of cases handled by outside attorneys.

Financial Management

The Mayor of the Lexington-Fayette Urban County Government submits a proposed annual operating and a five-year capital improvement budget to the Lexington-Fayette Urban County Council at least sixty days prior to the beginning of the next fiscal year. The Lexington-Fayette Urban County Council, upon receipt of the proposed budget, conducts a series of public hearings on the proposed budget. The Charter of the Lexington-Fayette Urban County Government provides that the Lexington-Fayette Urban County Council may amend the budget; however, the adopted budget shall provide for all expenditures required by law or by other provisions of the Charter and for all debt service requirements. Other budgetary polices include that the budget must be balanced for each fund; total available funds must equal or exceed total anticipated expenditures.

The Lexington-Fayette Urban County Council adopts a line-item budget ordinance and must approve all budget amendments. Budgetary control is maintained at the division level and is facilitated by the use of encumbrance accounting. As purchase orders are issued, corresponding amounts of a division's appropriations are reserved for later payment. Requests for disbursements which will result in an overrun of budgeted expenditures must be accompanied by a request for a budget amendment. At year-end, open encumbrances are recorded as reservations of fund balance.

The diverse nature of governmental operations requires that the accounting system be organized on a fund or account group basis where each fund is considered a separate accounting entity with a separate set of self-balancing accounts. Resources are allocated to the individual funds based upon the type of activity to be funded. There are four basic fund types used by the

Lexington-Fayette Urban County Government: governmental fund types, proprietary fund types, fiduciary fund types, and account groups.

The majority of general governmental operations are financed by the General Fund in the governmental fund type category. In December 1996, the Lexington-Fayette Urban County Council adopted an ordinance which established an Economic Contingency Designation within the General Services District subfund to provide sufficient working capital to address emergency budgetary needs. As stated in the ordinance, the ultimate goal of the Lexington-Fayette Urban County Government is to have an economic contingency balance of at least five percent of General Fund revenues. At the end of fiscal year 2014, there was an estimated balance of $25.22 million in the Economic Contingency Fund.

The Lexington-Fayette Urban County Government's financial statements are prepared in accordance with Generally Accepted Accounting Principles (GAAP). The accounts of general governmental operations are maintained on a modified accrual basis where revenues are recognized in the period in which they become available and measurable, and expenditures are recognized at the time the liability is incurred. Proprietary and Pension Trust Funds are maintained on an accrual basis with all revenues and expenses recognized when transactions occur, regardless of when cash is received or disbursed.

The Charter of the Lexington-Fayette Urban County Government requires an independent financial audit be conducted annually. Each year an audit is conducted in accordance with generally accepted auditing standards and the standards applicable to financial audits contained in the Government Auditing Standards, issued by the Comptroller General of the United States. In addition, the audit is also designed to meet the requirements of the federal Single Audit Act of 1984, the Single Audit Act Amendment of 1996, and related OMB circular A-133.

Cash Management and Investment Policy

The Department of Finance is responsible for the custody, investment and disbursement of all funds of the Lexington-Fayette Urban County Government in accordance with state law (Kentucky Revised Statute 66.480) and the procedures and standards adopted by the Lexington-Fayette Urban County Council. It is the policy of the Lexington-Fayette Urban County Government to invest funds in a manner which will provide the highest investment return with the maximum security of principal while meeting the daily cash flow demands of the Lexington-Fayette Urban County Government. In order to ensure liquidity and reduce market and maturity risk, weekly, monthly, and annual cash flow forecasts are developed.

The funds of the Lexington-Fayette Urban County Government may be invested in the following types of investment instruments:

A. Obligations of the United States and of its agencies and instrumentalities, including obligations subject to repurchase agreements, provided that delivery of these obligations subject to repurchase agreements is taken either directly or through an authorized custodian;

B. Obligations and contracts for future delivery or purchase of obligations backed by the full faith and credit of the United States or a United States government agency, including but not limited to:

(i) United States Treasury;
(ii) Export-Import Bank of the United States;
(iii) Farmers Home Administration;
(iv) Government National Mortgage Corporation; and
(v) Merchant Marine bonds;

C. Obligations of any corporation of the United States government, including but limited to:

(i) Federal Home Loan Mortgage Corporation;
(ii) Federal Farm Credit Banks;
(iii) Banks for Cooperatives;
(iv) Federal Intermediate Credit Banks;
(v) Federal Land Banks;
(vi) Federal Home Loan Banks;
(vii) Federal National Mortgage Association; and
(viii) Tennessee Valley Authority;

D. Certificates of deposit issued by or other interest-bearing accounts of any bank or savings and loan institution which are insured by the Federal Deposit Insurance Corporation or similar entity or which are collateralized, to the extent uninsured, by any obligations, including surety bonds, permitted by section KRS 41.240(4);

E. Bankers' acceptances for banks rated in one (1) of the three (3) highest categories by a nationally recognized rating agency;

F. Commercial paper rated in the highest category by a nationally recognized rating agency;

G. Notes or certificates of indebtedness of the Commonwealth of Kentucky and of its agencies and instrumentalities;

H. Securities issued by a state or local government, or any instrumentality or agency thereof, in the United States, and rated in one (1) of the three (3) highest categories by a nationally recognized rating agency; and

I. Shares of mutual funds, each of which shall have the following characteristics:

(i) The mutual fund shall be an open-end diversified investment company registered under the Federal Investment Company Act of 1940, as amended;

(ii) The management company of the investment company shall have been in operation for at least five (5) years; and

(iii) All of the securities in the mutual fund shall be eligible investments under this section.

Investments in the above instruments are subject to the following conditions and limitations:

A. The combined investments at any one time in the categories of the investments authorized in subsections (E), (F) and (H) (as identified in this subsection) shall not exceed 20 percent of the total invested funds;

B. No investment shall be purchased on a margin or through the use of any similar leveraging technique;

C. Repurchase agreements are to be entered into only with primary dealers. Primary dealers include banks which are members of the Federal Reserve, SEC-registered broker-dealers and those government security dealers included in the "List of Government Securities Dealers Reporting to the Market Reports Division of the Federal Reserve Bank of New York (NY Fed)". The securities held as collateral for repurchase agreements shall be held in safekeeping by an independent third-party custodian in the name of the Lexington-Fayette Urban County Government. The securities serving as collateral will be marked to market periodically to ensure they have not fallen below the required collateralization level.

Debt Limitation

Kentucky Constitution Section 158 provides that cities shall not incur indebtedness to an amount exceeding the following maximum percentages on the value of the taxable property therein, to be estimated by the last assessment previous to the incurring of the indebtedness:

(a) Cities having a population of fifteen thousand (15,000) or more, ten percent (10%);

(b) Cities having a population of less than fifteen thousand (15,000) but not less than three thousand, five percent (5%); and

(c) Cities having a population of less than three thousand (3,000), three percent (3%).

Nothing shall prevent the issue of renewal notes, or notes to fund the floating indebtedness of any urban county government, county, or taxing district. Subject to the limits and conditions set forth in that section and elsewhere in the Constitution, the General Assembly has the power to establish additional limits on indebtedness and conditions under which debt may be incurred by cities.

KRS 66.041 provides the same limitations as are set forth in the Constitution except that the limitations apply to "net indebtedness". In calculating "net indebtedness," KRS 66.031 provides that certain obligations of a municipality are not to be considered in the calculation, including self-supporting obligations, revenue bonds, and special assessment debt. (For a complete list of exempt debt see the Lexington-Fayette Urban County Government Statement of Indebtedness attached as ***Appendix C***.)

Other infrequently-issued types of obligations are also excluded from the calculation of net indebtedness. The Lexington-Fayette Urban County Government has no such obligations outstanding. Notes issued in anticipation of bonds excluded from the calculation of net indebtedness are also excluded from such calculation.

Appendix C of this Official Statement is a Statement of Indebtedness for the Lexington-Fayette Urban County Government, certified by the Commissioner of Finance, calculating the amount of the outstanding obligations of the Lexington-Fayette Urban County Government (including the Series 2014 Bonds), which are subject to the total direct debt limit (10% limit). The total principal amount of general obligation debt that could be issued by the Lexington-Fayette Urban County Government, subject to the 10% total direct debt limitation is $2,835,357,000 and the Lexington-Fayette Urban County Government's net debt subject to such limitation presently outstanding (including the Series 2014 Bonds) is $382,499,379 leaving a balance of approximately $2,452,857,621 of borrowing capacity issuable within such limitation.

However, as described below, the Lexington-Fayette Urban County Government's ability to incur debt in these amounts is restricted by tax limitations. In the case of general obligation debt, both the debt limitations and tax limitations must be met.

Tax Limitation

The Kentucky Constitution Section 157 also indirectly imposes a debt limitation on general obligation indebtedness of Cities by limiting the tax rates cities may impose upon the value of taxable property, as follows:

(a) cities having a population of fifteen thousand or more, one dollar and fifty cents on each hundred dollars of assessed value;

(b) cities having a population of less than fifteen thousand and not less than ten thousand, one dollar on each hundred dollars of assessed value; and

(c) cities having a population of less than ten thousand, seventy-five cents on the hundred dollars.

Section 159 of the Kentucky Constitution requires the collection of an annual tax sufficient to pay the interest on contracted indebtedness and to retire indebtedness over a period not exceeding forty years. The two constitutional provisions operate as a limit on general obligation debt. Because the indirect debt limit results from tax limitations and the requirement to levy taxes to pay debt charges, it has application only to debts which are payable from taxes either initially or in the event other pledged non-tax revenues prove to be insufficient. It does not have any application where the type of debt being issued does not pledge the credit of the

municipality or when the debt is payable solely out of the revenues of non-tax sources, such as utility income.

Appendix C of this Official Statement contains a Statement of Indebtedness, certified by the Lexington-Fayette Urban County Government, setting forth the property tax rate currently levied by the Lexington-Fayette Urban County Government (0.2535 per $100 of assessed valuation, which includes 0.1735 which is dedicated for specific purposes) and certifying that the issuance of the Series 2014 Bonds will not cause such rate to increase to an amount which would exceed the maximum permissible rate.

Bond Anticipation Notes

Under Kentucky law, notes, including renewal notes, issued in anticipation of general obligation bonds may be issued from time to time upon the same terms and conditions as bonds except that notes may be sold by private negotiated sale in a manner determined or authorized by the legislative authority. The Lexington-Fayette Urban County Government does not have any outstanding bond anticipation notes at the present time.

Future Borrowings of the Lexington-Fayette Urban County Government

In the next twelve months, the Lexington-Fayette Urban County Government currently anticipates issuing $30,000,000 of general obligation bonds to support capital improvements.

LEGAL MATTERS

General Information

Legal matters incident to the issuance of the Series 2014 Bonds and with regard to the tax treatment thereof are subject to the approving legal opinion of Peck, Shaffer & Williams, a division of Dinsmore & Shohl LLP, Bond Counsel. Upon delivery of the Series 2014 Bonds of the Lexington-Fayette Urban County Government to the successful bidder therefor, the Series 2014 Bonds will be accompanied by approving opinions dated the date of such delivery, rendered by Peck, Shaffer & Williams a division of Dinsmore & Shohl LLP. Forms of such legal opinions for the Series 2014 Bonds are attached hereto as ***Appendices D-1 and D-2.***

Bond Counsel has performed certain functions to assist the Lexington-Fayette Urban County Government in the preparation by the Lexington-Fayette Urban County Government of its Official Statement. However, said firm assumes no responsibility for, and will express no opinion regarding the accuracy or completeness of this Official Statement or any other information relating to the Lexington-Fayette Urban County Government or the Series 2014 Bonds that may be made available by the Lexington-Fayette Urban County Government or others to the bidders or holders of the Series 2014 Bonds or others.

The engagement of said firm as Bond Counsel is limited to the preparation of certain of the documents contained in the transcript of proceedings with regard to the Series 2014 Bonds, and an examination of such transcript proceedings incident to rendering its legal opinion. In its capacity as Bond Counsel, said firm has reviewed the information in this Official Statement under Sections entitled “INTRODUCTION—Security and Sources of Payment for Series 2014

Bonds and "—Authority for Issuance"; "LEXINGTON-FAYETTE URBAN COUNTY GOVERNMENT—Debt Limitation" and "—Tax Limitation"; and "TAX TREATMENT" which review did not include any independent verification of financial statements and statistical data included therein, if any.

Transcript and Closing Certificates

A complete transcript of proceedings, a no-litigation certificate and other appropriate closing documents will be delivered by the Lexington-Fayette Urban County Government when the Series 2014 Bonds are delivered to the original purchaser. The Lexington-Fayette Urban County Government will also provide to the original purchaser, at the time of such delivery, a certificate from the Lexington-Fayette Urban County Government's Mayor and/or Commissioner of Finance addressed to such purchaser relating to the accuracy and completeness of this Official Statement.

Litigation

To the knowledge of the Lexington-Fayette Urban County Government, no litigation or administrative action or proceeding is pending or threatened directly affecting the Series 2014 Bonds, the security for the Series 2014 Bonds or the improvements being financed from the proceeds of the Series 2014 Bonds. A No-Litigation Certificate to that effect will be delivered to the purchaser at the time of the delivery of the Series 2014 Bonds.

TAX TREATMENT

Series 2014B Bonds

General. In the opinion of Bond Counsel for the Series 2014B Bonds, based upon an analysis of existing laws, regulations, rulings and court decisions, interest on the Series 2014B Bonds is excludible from gross income for Federal income tax purposes. Bond Counsel for the Series 2014B Bonds is also of the opinion that interest on the Series 2014B Bonds is not a specific item of tax preference under Section 57 of the Code for purposes of the Federal individual or corporate alternative minimum taxes. Furthermore, Bond Counsel for the Series 2014B Bonds is of the opinion that interest on the Series 2014B Bonds is exempt from income taxation by the Commonwealth of Kentucky and the Series 2014B Bonds are exempt from ad valorem taxation by the Commonwealth of Kentucky and any of its political subdivisions.

The form of the opinion of Bond Counsel regarding the Series 2014B Bonds is attached hereto as ***Appendix D-1***.

The Code imposes various restrictions, conditions, and requirements relating to the exclusion from gross income for Federal income tax purposes of interest on obligations such as the Series 2014B Bonds. The Issuer has covenanted to comply with certain restrictions designed to ensure that interest on Series 2014B Bonds will not be includible in gross income for Federal income tax purposes. Failure to comply with these covenants could result in interest on the Series 2014B Bonds being includible in income for Federal income tax purposes and such inclusion could be required retroactively to the date of issuance of the Series 2014B Bonds. The opinion of Bond Counsel assumes compliance with these covenants. However, Bond Counsel

has not undertaken to determine (or to inform any person) whether any actions taken (or not taken) or events occurring (or not occurring) after the date of issuance of the Series 2014B Bonds may adversely affect the tax status of the interest on the Series 2014B Bonds.

Certain requirements and procedures contained or referred to in the Series 2014B Bond documents and other relevant documents may be changed and certain actions (including, without limitation, defeasance of the Series 2014B Bonds) may be taken or omitted under the circumstances and subject to the terms and conditions set forth in such documents. Bond Counsel expresses no opinion as to any Series 2014B Bonds or the interest thereon if any such change occurs or action is taken or omitted upon the advice or approval of bond counsel other than Peck, Shaffer & Williams, a division of Dinsmore & Shohl LLP.

Although Bond Counsel for the Series 2014B Bonds is of the opinion that interest on the Series 2014B Bonds will be excludible from gross income for Federal income tax purposes and that interest on the Series 2014B Bonds is excludible from gross income for Kentucky income tax purposes, and the Series 2014B Bonds are exempt from ad valorem taxation by the Commonwealth of Kentucky and any of its political subdivisions, the ownership or disposition of, or the accrual or receipt of interest on, the Series 2014B Bonds may otherwise affect a Holder's Federal, state or local tax liabilities. The nature and extent of these other tax consequences may depend upon the particular tax status of the Holder or the Holder's other items of income or deduction. Bond Counsel expresses no opinions regarding any tax consequences other than what is set forth in its opinion and each Holder or potential Holder is urged to consult with tax counsel with respect to the effects of purchasing, holding or disposing the Series 2014B Bonds on the tax liabilities of the individual or entity.

Receipt of tax-exempt interest, ownership or disposition of the Series 2014B Bonds may result in other collateral federal, state or local tax consequence for certain taxpayers. Such effects include, without limitation, increasing the federal tax liability of certain foreign corporations subject to the branch profits tax imposed by Section 884 of the Code, increasing the federal tax liability of certain insurance companies, under Section 832 of the Code, increasing the federal tax liability and affecting the status of certain S Corporations subject to Sections 1362 and 1375 of the Code, increasing the federal tax liability of certain individual recipients of Social Security or Railroad Retirement benefits, under Section 86 of the Code and limiting the amount of the Earned Income Credit under Section 32 of the Code that might otherwise be available. Ownership of any Series 2014B Bonds may also result in the limitation of interest and certain other deductions for financial institutions and certain other taxpayers, pursuant to Section 265 of the Code. Finally, residence of the holder of Series 2014B Bonds in a state other than Kentucky or being subject to tax in a state other than Kentucky, may result in income or other tax liabilities being imposed by such states or their political subdivisions based on the interest or other income from the Series 2014B Bonds.

The Issuer has <u>not</u> designated the Series 2014B Bonds as "qualified tax-exempt obligations" under Section 265(b)(3) of the Code.

Prospective purchasers of the Series 2014B Bonds are advised to consult their own tax advisors prior to any purchase of the Series 2014B Bonds as to the impact of the Code upon their

acquisition, holding or disposition of the Series 2014B Bonds, as well as pending or proposed federal and state legislation and court proceedings.

Original Issue Premium. "Acquisition Premium" is the excess of the cost of a bond over the stated redemption price of such bond at maturity or, for bonds that have one or more earlier call dates, the amount payable at the next earliest call date. The Series 2014B Bonds that mature on January 1, 2016 through January 1, 2033, inclusive (the "Premium Bonds") are being initially offered and sold to the public with Acquisition Premium. For federal income tax purposes, the amount of Acquisition Premium on the Premium Bonds must be amortized and will reduce the bondholder's adjusted basis in that bond. The amount of any Acquisition Premium paid on the Premium Bonds that must be amortized during any period will be based on the "constant yield" method, using the original bondholder's basis in such Premium Bonds and compounding semiannually. This amount is amortized ratably over that semiannual period on a daily basis. However, no amount of amortized Acquisition Premium on the Premium Bonds may be deducted in determining bondholder's taxable income for federal income tax purposes.

Please note that because the Premium Bonds that mature on January 1, 2026 through January 1, 2033 are callable prior to their stated maturity both the amount of, and the required amortization period for, the Acquisition Premium will depend both upon when the Premium Bonds can be redeemed and if in fact they are redeemed. The Premium Bonds that mature on January 1, 2016 through January 1, 2025 are not callable prior to their stated maturity date, which will determine the amortization period. Holders of any Premium Bonds, both original purchasers and any subsequent purchasers, should consult their own tax advisors as to the actual effect of such Acquisition Premium with respect to their own tax situation and as to the treatment of the Acquisition Premium for state tax purposes.

Original Issue Discount. The Series 2014B Bonds that mature on January 1, 2034 and January 1, 2035 (the "Discount Bonds") are being initially offered and sold to the public at a discount ("OID") from the amounts payable at maturity thereon. OID is the excess of the stated redemption price of a bond at maturity (the face amount) over the "issue price" of such bond. The issue price is the initial offering price to the public (other than to bond houses, brokers or similar persons acting in the capacity of underwriters or wholesalers) at which a substantial amount of bonds of the same maturity are sold pursuant to that initial offering. For federal income tax purposes, OID on each bond will accrue over the term of the bond. The amount accrued will be based on a single rate of interest, compounded semiannually (the "yield to maturity") and, during each semi-annual period, the amount will accrue ratably on a daily basis. The OID accrued during the period that an initial purchaser of a Discount Bond at its issue price owns it is added to the purchaser's tax basis for purposes of determining gain or loss at the maturity, redemption, sale or other disposition of that Discount Bond. In practical effect, accrued OID is treated as stated interest, is treated, that is, as excludible from gross income for federal income tax purposes.

In addition, original issue discount that accrues in each year to an owner of a Discount Bond is included in the calculation of the distribution requirements of certain regulated investment companies and may result in some of the collateral federal income tax consequences discussed above. Consequently, owners of any Discount Bond should be aware that the accrual of original issue discount in each year may result in an alternative minimum tax liability,

additional distribution requirements, or other collateral federal income tax consequences although the owner of such Discount Bond has not received cash attributable to such original issue discount in such year.

Holders of Discount Bonds should consult their own tax advisors as to the treatment of OID and the tax consequences of the purchaser of such Discount Bonds other than at issue price during the initial public offering and as to the treatment of OID for state tax purposes.

Series 2014C Bonds

In the opinion of Bond Counsel for the Series 2014C Bonds, based upon an analysis of existing laws, regulations, rulings and court decisions, interest on the Series 2014C Bonds is not excludible from gross income for Federal income tax purposes. Furthermore, Bond Counsel for the Series 2014C Bonds is of the opinion that interest on the Series 2014C Bonds is exempt from income taxation by the Commonwealth of Kentucky and the Series 2014C Bonds are exempt from ad valorem taxation by the Commonwealth of Kentucky and any of its political subdivisions.

The form of the opinion of Bond Counsel regarding the Series 2014C Bonds is attached hereto as ***Appendix D-2***.

Prospective purchasers of the Series 2014C Bonds are advised to consult their own tax advisors prior to any purchase of the Series 2014C Bonds as to the impact of the Code upon their acquisition, holding or disposition of the Series 2014C Bonds, as well as pending or proposed federal and state legislation and court proceedings.

For additional information on Qualified Energy Conservation Bonds, see "DESCRIPTION OF THE SERIES 2014 BONDS – Series 2014C Bonds as Qualified Energy Conservation Bonds."

RATINGS

As noted on the cover page of this Official Statement, Moody's Investors Service ("Moody's") has assigned its municipal bond rating of "Aa2" (stable outlook) to the Series 2014 Bonds and Standard & Poor's Ratings Services, a division of The McGraw-Hill Companies, Inc. ("S&P"), has assigned its municipal bond rating of "AA" (stable outlook) to the Series 2014 Bonds. The ratings when assigned and in effect from time to time reflect only the views of the rating organizations. The explanation of its views and the meaning and significance of the rating may be obtained from the respective rating agency.

There can be no assurance that a rating when assigned will continue for any given period of time or that it will not be lowered or withdrawn entirely by the rating agency if in its judgment circumstances so warrant. Any such downward change in or withdrawal of a rating may have an adverse effect on the marketability and/or market price of the Series 2014 Bonds.

The Lexington-Fayette Urban County Government presently expects to furnish each rating agency with information and material that it may request on future general obligation bond issues. However, the Lexington-Fayette Urban County Government assumes no obligation to

furnish requested information and materials, and may issue debt for which a rating is not requested. Failure to furnish requested information and materials, or the issuance of debt for which a rating is not requested, may result in the suspension or withdrawal of the rating agencies' ratings on outstanding Series 2014 Bonds.

CONTINUING DISCLOSURE

In the Authorizing Ordinance with respect to the Series 2014 Bonds, the Lexington-Fayette Urban County Government covenants to annually provide certain financial information and operating data (the "Annual Financial Information and Operating Data") and other information necessary to comply with the requirements of Rule 15c-12 of the Securities and Exchange Commission (the "Rule"), and to transmit the same to the Municipal Securities Rulemaking Board ("MSRB") through its Electronic Municipal Market Access system ("EMMA"). Each covenant is for the benefit of and is enforceable by the owners of the Series 2014 Bonds. The specific nature of the Annual Financial Information and Operating Data and a listing of events for which notices shall be provided are set forth in ***Appendix E*** – "FORM OF CONTINUING DISCLOSURE CERTIFICATE." These covenants have been made in order to assist the original purchaser of the Series 2014 Bonds in complying with the Rule.

Corrective Action Related to Certain Disclosure Requirements

While the Lexington-Fayette Urban County Government is currently in compliance with respect to its undertakings to file annual financial information relating to certain continuing disclosure agreements (the "Existing Agreements") with respect to its outstanding general obligation bonds, the Lexington-Fayette Urban County Government did not distribute certain annual disclosure reports (as described in the Existing Agreements, the "Annual Financial Information") in a timely manner as required by Section (b)(5) of the Rule. The Annual Financial Information of the Lexington-Fayette Urban County Government for the years ending June 30, 2008, June 30, 2009 and June 30, 2010 was not filed by the respective dates as required in the related Existing Agreements. In addition, notices of certain events (as defined in the Rule, an "Event") were not filed in a timely manner as required in the related Existing Agreements.

Annual Disclosure Reports. On May 25, 2011, the Lexington-Fayette Urban County Government made supplemental filings related to its Annual Financial Information for the fiscal years ending June 30, 2008, June 30, 2009 and June 30, 2010. Such filing was more than nine months after the end of the fiscal year, as required by the Existing Agreements.

The Lexington-Fayette Urban County Government filed its Annual Financial Information for the (i) fiscal year ending June 30, 2011 on February 10, 2012; (ii) fiscal year ending June 30, 2012 on December 7, 2012; (iii) fiscal year ending June 30, 2013 on December 30, 2013; and (iv) fiscal year ending June 30, 2014 on November 24, 2014. Such filings were within nine months after the end of the fiscal year, as required by the Existing Agreements. All supplemental filings can be found on the EMMA website listed under each of its outstanding general obligation bond issues (CUSIP prefix number 52908E).

Event Notice Filing. On December 8, 2014, the Lexington-Fayette Urban County Government filed notices of the following Events, which filing was not in a timely manner as required by the Existing Agreements: (i) an "Event Notice: Ratings Changes/Downgrades (2010)" with respect to a downgrade by Moody's on December 13, 2010 of its rating from "Aa1" to "Aa2" on the general obligation bonds of the Lexington-Fayette Urban County Government; (ii) an "Event Notice: Ratings Downgrades (2008)" with respect to a downgrade by Moody's and S&P of their respective ratings of the bond insurance provider related to the Lexington-Fayette Urban County Government $56,850,000 General Obligation Public Projects Refunding Bonds, Series 2006D; and (iii) an "Event Notice: Ratings Downgrades (2008)" with respect to a downgrade by Moody's and S&P of their respective ratings of the bond insurance provider related to the $10,310,000 Lexington-Fayette Urban County Government General Obligation Bonds (Stormwater Improvements, Neighborhood Redevelopment, Bluegrass Aspendale Parkway, Veterans Park Fire station and Police Car Projects), Series 2006B. Such Event notice filings can be found on the EMMA website listed under the applicable general obligation bond issues.

Current and Future Disclosure. The Lexington-Fayette Urban County Government has procedures in place to assure compliance with the Rule and the Existing Agreements in the future and, except for the late filings mentioned above, is in compliance with the continuing disclosure undertaking requirements of the Rule in connection with its outstanding general obligation bonds which are subject to such requirements. The Lexington-Fayette Urban County Government intends to make timely disclosure in the future.

UNDERWRITING

The Series 2014B Bonds are being purchased for reoffering by Piper Jaffray & Co. (the "Series 2014B Underwriter"). The Series 2014B Underwriter has agreed to purchase the Series 2014B Bonds at an aggregate purchase price of $27,862,601.25, which is equal to the par amount of the Series 2014B Bonds of $24,245,000.00, plus net premium in the amount of $3,731,552.75, less underwriter's discount in the amount of $113,951.50. The initial public offering prices which produce the yields set forth on as shown under "MATURITY SCHEDULE" on the inside cover page hereof may be changed by the Series 2014B Underwriter and the Series 2014B Underwriter may offer and sell the Series 2014B Bonds to certain dealers (including dealers depositing Series 2014B Bonds into investment trusts) and others at prices lower than the offering prices which produce the yields set forth herein under "MATURITY SCHEDULE."

The Series 2014C Bonds are being purchased for reoffering by Robert W. Baird & Co., Inc. (the "Series 2014C Underwriter"). The Series 2014C Underwriter has agreed to purchase the Series 2014C Bonds at an aggregate purchase price of $2,879,555.00, which is equal to the par amount of the Series 2014C Bonds of $2,900,000.00, less underwriter's discount in the amount of $20,445.00. The initial public offering prices which produce the yields set forth as shown under "MATURITY SCHEDULE" on the inside cover page hereof may be changed by the Series 2014C Underwriter and the Series 2014C Underwriter may offer and sell the Series 2014C Bonds to certain dealers (including dealers depositing Series 2014C Bonds into investment trusts) and others at prices lower than the offering prices which produce the yields set forth herein under "MATURITY SCHEDULE."

FINANCIAL ADVISOR

Civic Finance Advisors, LLC (the "Financial Advisor") has been employed as Financial Advisor in connection with the issuance of the Series 2014 Bonds. The fee for services of the Financial Advisor with respect to the sale of the Series 2014 Bonds is contingent upon the issuance and delivery thereof.

This Official Statement has been prepared under the direction of the Lexington-Fayette Urban County Government by the Director of Finance and Administration with the assistance of the Financial Advisor employed by the Lexington-Fayette Urban County Government to perform professional services in the capacity of financial advisor. In their role as Financial Advisor to the Lexington-Fayette Urban County Government, the Financial Advisor has provided advice on the plan of financing and structure of the issue, reviewed and commented on certain legal documents and drafted certain portions of the Official Statement (based upon information provided by the Lexington-Fayette Urban County Government). The information set forth herein has been obtained from the Lexington-Fayette Urban County Government and other sources which are believed to be reliable. The Financial Advisor has not verified the factual information contained in this Official Statement but relied on the information supplied by the Lexington-Fayette Urban County Government and the Lexington-Fayette Urban County Government's certificate as to the Official Statement

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MISCELLANEOUS

To the extent any statements made in this Official Statement involve matters of opinion or estimates, whether or not expressly stated to be such, such statements are made as such and not as representations of fact or certainty, and no representation is made that any of such statements will be realized. Information herein has been derived by the Lexington-Fayette Urban County Government from official and other sources and is believed by the Lexington-Fayette Urban County Government to be reliable, but such information other than that obtained from official records of the Lexington-Fayette Urban County Government has not been independently confirmed or verified by the Lexington-Fayette Urban County Government and its accuracy is not guaranteed. Neither this Official Statement nor any statement which may have been made orally or in writing is to be construed as a contract with the holders of the Series 2014 Bonds.

This Official Statement has been duly executed and delivered for and on behalf of the Lexington-Urban County Government, by its Mayor.

LEXINGTON-FAYETTE URBAN COUNTY GOVERNMENT

By: /s/ Jim Gray
Mayor

Dated: December 4, 2014

APPENDIX A-1
DEBT SERVICE REQUIREMENTS FOR THE SERIES 2014B BONDS

[SEE ATTACHED]

Series 2014B
Debt Service

Date	Principal	Coupon	Interest	Total Principal and Interest
07/01/2015	-	-	$623,749	$623,749.48
01/01/2016	$690,000	5.000%	575,768.75	1,265,768.75
07/01/2016	-	-	558,518.75	558,518.75
01/01/2017	775,000	5.000%	558,518.75	1,333,518.75
07/01/2017	-	-	539,143.75	539,143.75
01/01/2018	810,000	5.000%	539,143.75	1,349,143.75
07/01/2018	-	-	518,893.75	518,893.75
01/01/2019	850,000	5.000%	518,893.75	1,368,893.75
07/01/2019	-	-	497,643.75	497,643.75
01/01/2020	895,000	5.000%	497,643.75	1,392,643.75
07/01/2020	-	-	475,268.75	475,268.75
01/01/2021	940,000	5.000%	475,268.75	1,415,268.75
07/01/2021	-	-	451,768.75	451,768.75
01/01/2022	985,000	5.000%	451,768.75	1,436,768.75
07/01/2022	-	-	427,143.75	427,143.75
01/01/2023	1,035,000	5.000%	427,143.75	1,462,143.75
07/01/2023	-	-	401,268.75	401,268.75
01/01/2024	1,085,000	5.000%	401,268.75	1,486,268.75
07/01/2024	-	-	374,143.75	374,143.75
01/01/2025	1,140,000	5.000%	374,143.75	1,514,143.75
07/01/2025	-	-	345,643.75	345,643.75
01/01/2026	1,200,000	5.000%	345,643.75	1,545,643.75
07/01/2026	-	-	315,643.75	315,643.75
01/01/2027	1,260,000	5.000%	315,643.75	1,575,643.75
07/01/2027	-	-	284,143.75	284,143.75
01/01/2028	1,320,000	5.000%	284,143.75	1,604,143.75
07/01/2028	-		251,143.75	251,143.75
01/01/2029	1,385,000	5.000%	251,143.75	1,636,143.75
07/01/2029	-	-	216,518.75	216,518.75
01/01/2030	1,455,000	5.000%	216,518.75	1,671,518.75
07/01/2030	-	-	180,143.75	180,143.75
01/01/2031	1,530,000	5.000%	180,143.75	1,710,143.75
07/01/2031	-	-	141,893.75	141,893.75
01/01/2032	1,605,000	5.000%	141,893.75	1,746,893.75
07/01/2032	-	-	101,768.75	101,768.75
01/01/2033	1,685,000	5.000%	101,768.75	1,786,768.75
07/01/2033	-	-	59,643.75	59,643.75
01/01/2034	1,770,000	3.250%	59,643.75	1,829,643.75
07/01/2034	-	-	30,881.25	30,881.25
01/01/2035	1,830,000	3.375%	30,881.25	1,860,881.25
Total	**$24,245,000**		**$13,541,955.73**	**$37,786,955.73**

APPENDIX A-2
DEBT SERVICE REQUIREMENTS FOR THE SERIES 2014C BONDS

[SEE ATTACHED]

Note: The Qualified Energy Conservation Payments that the Lexington-Fayette Urban County Government expects to receive with respect to the Series 2014C Bonds (listed in the "Interest Subsidy" column of the attached schedule) are not pledged for the payment of principal of, interest on or any premium on any of the Series 2014C Bonds.

Series 2014C
Debt Service

Date	Principal	Coupon	Interest	Interest Subsidy	Total Principal and Interest	Invested Sinking Fund	Net Debt Service
12/16/2014	-	-	-	-	-	-	-
06/01/2015	-	-	$43,197.92	($25,586.45)	$17,611.47	$196,441.70	$214,053.17
12/01/2015	-	-	47,125.00	(27,912.50)	19,212.50	-	19,212.50
06/01/2016	-	-	47,125.00	(27,912.50)	19,212.50	196,441.70	215,654.20
12/01/2016	-	-	47,125.00	(27,912.50)	19,212.50	-	19,212.50
06/01/2017	-	-	47,125.00	(27,912.50)	19,212.50	196,441.70	215,654.20
12/01/2017	-	-	47,125.00	(27,912.50)	19,212.50	-	19,212.50
06/01/2018	-	-	47,125.00	(27,912.50)	19,212.50	196,441.70	215,654.20
12/01/2018	-	-	47,125.00	(27,912.50)	19,212.50	-	19,212.50
06/01/2019	-	-	47,125.00	(27,912.50)	19,212.50	196,441.70	215,654.20
12/01/2019	-	-	47,125.00	(27,912.50)	19,212.50	-	19,212.50
06/01/2020	-	-	47,125.00	(27,912.50)	19,212.50	196,441.70	215,654.20
12/01/2020	-	-	47,125.00	(27,912.50)	19,212.50	-	19,212.50
06/01/2021	-	-	47,125.00	(27,912.50)	19,212.50	196,441.70	215,654.20
12/01/2021	-	-	47,125.00	(27,912.50)	19,212.50	-	19,212.50
06/01/2022	-	-	47,125.00	(27,912.50)	19,212.50	196,441.70	215,654.20
12/01/2022	-	-	47,125.00	(27,912.50)	19,212.50	-	19,212.50
06/01/2023	-	-	47,125.00	(27,912.50)	19,212.50	196,441.70	215,654.20
12/01/2023	-	-	47,125.00	(27,912.50)	19,212.50	-	19,212.50
06/01/2024	-	-	47,125.00	(27,912.50)	19,212.50	196,441.70	215,654.20
12/01/2024	-	-	47,125.00	(27,912.50)	19,212.50	-	19,212.50
06/01/2025	-	-	47,125.00	(27,912.50)	19,212.50	196,441.70	215,654.20
12/01/2025	-	-	47,125.00	(27,912.50)	19,212.50	-	19,212.50
06/01/2026	-	-	47,125.00	(27,912.50)	19,212.50	196,441.70	215,654.20
12/01/2026	-	-	47,125.00	(27,912.50)	19,212.50	-	19,212.50
06/01/2027	$2,900,000	3.250%	47,125.00	(27,912.50)	2,919,212.50	(2,703,558.30) [1]	215,654.20
Total	$2,900,000		$1,174,197.92	($695,486.45)	$3,378,711.47	($346,257.90)	$3,032,453.57

[1] *Net of invested sinking fund payment totaling $196,441.70.*

APPENDIX B
COMPREHENSIVE ANNUAL FINANCIAL REPORT
FOR THE FISCAL YEAR ENDED JUNE 30, 2014

(See "Statistical Section" which begins on page 130 of the Comprehensive Annual Financial Report for Financial, Economic, Tax Base and Debt Information of the Lexington Fayette Urban County Government)

[SEE ATTACHED]

LEXINGTON-FAYETTE URBAN COUNTY GOVERNMENT

COMPREHENSIVE ANNUAL FINANCIAL REPORT

FISCAL YEAR ENDED JUNE 30, 2014

Cover by: Malcolm Stallons

COMPREHENSIVE ANNUAL FINANCIAL REPORT
FOR THE YEAR ENDED JUNE 30, 2014

LEXINGTON-FAYETTE URBAN COUNTY GOVERNMENT
LEXINGTON, KENTUCKY

PREPARED BY THE DEPARTMENT OF FINANCE AND ADMINISTRATION

Paid for with Lexington-Fayette Urban County Government Funds

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INTRODUCTORY SECTION

Lexington-Fayette Urban County Government
OFFICE OF THE MAYOR

Jim Gray
Mayor

November 17, 2014

Dear Citizen,

The Comprehensive Annual Financial Report for the fiscal year ended June 30, 2014, reflects our city's return to financial health, the result of sound financial management policies, and living within our means.

Savings realized by moving our employee health insurance toward a cost-of-service model compound, year over year, as do the cost-cutting changes to our pension system. Both are major factors in this budget.

These and other cost controls have made it possible to improve services to citizens and to make much needed infrastructure and public safety investments, for example new equipment and personnel in police and fire, and ongoing work to clean up our environment, citywide. At the same time we are making significant contributions to the city's Rainy Day Fund.

We continue our focus on growing jobs and attracting new businesses. Today, approximately 9,000 more citizens are working in Lexington than were working here four years ago. With a workforce of approximately 150,000, more people are employed in Lexington than ever before.

Lexington is competing and winning. We are firmly on the path to a bright future.

Sincerely,

Jim Gray
Mayor

FOLLOW MAYOR GRAY:
www.facebook.com/JimGrayLexKY www.twitter.com/JimGrayLexKY

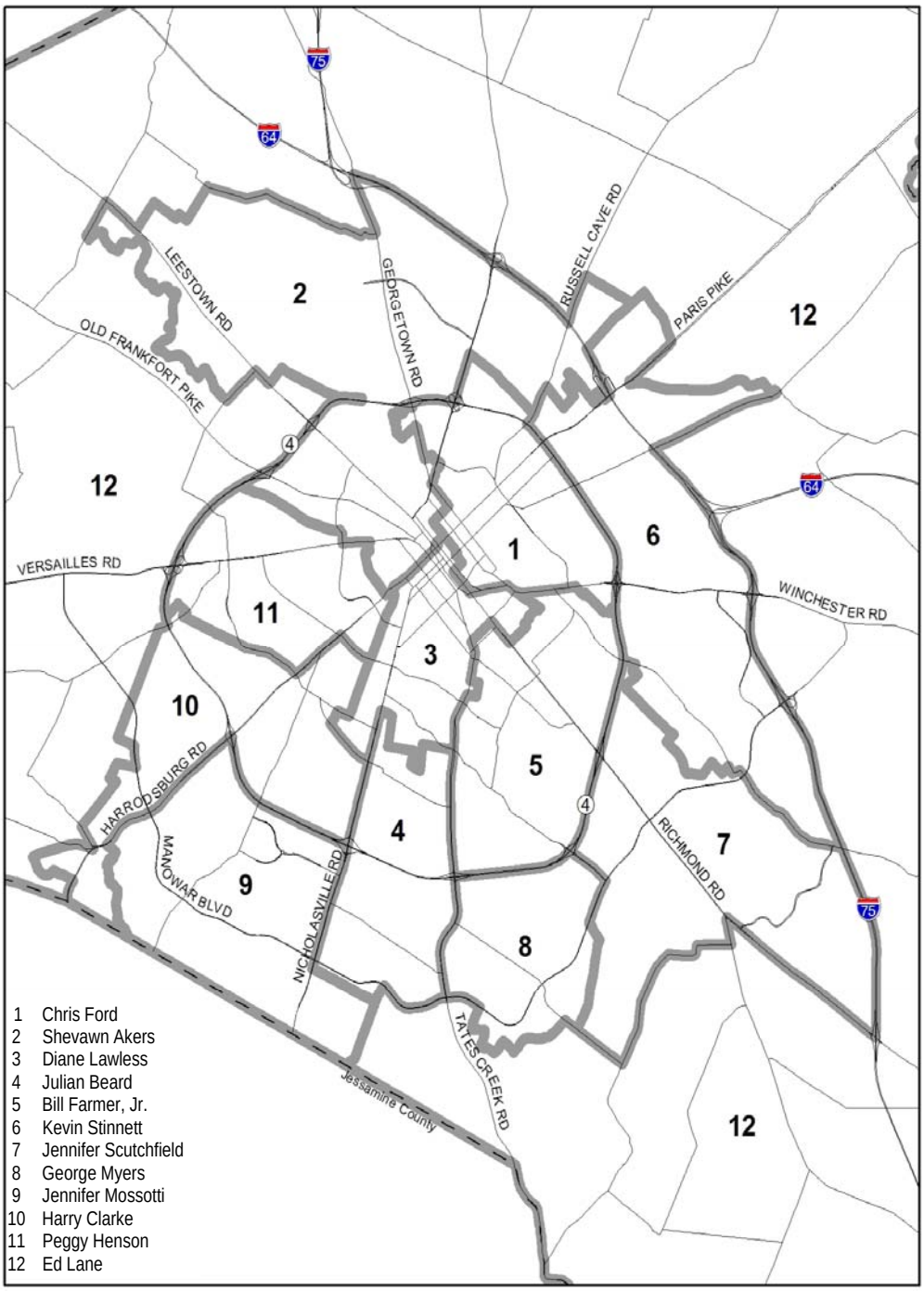
200 East Main Street • Lexington, KY 40507 • (859) 425-2255 • www.lexingtonky.gov
HORSE CAPITAL OF THE WORLD

ELECTED OFFICIALS

MAYOR
Jim Gray

COUNCILMEMBERS-AT-LARGE
Linda S. Gorton – Vice Mayor
Charles W. Ellinger, II
Steve Kay

DISTRICT COUNCILMEMBERS



Lexington-Fayette Government
DEPARTMENT OF FINANCE

Jim Gray
Mayor

William O'Mara
Commissioner

November 17, 2014

Citizens of Lexington-Fayette Urban County
Honorable Mayor Jim Gray
Members of the Urban County Council
Lexington-Fayette Government

Dear Citizens, Mayor and Members of the Urban County Council:

As Commissioner of Finance, I present the Comprehensive Annual Financial Report (CAFR) of the Lexington-Fayette Government (the Government) for the fiscal year ended June 30, 2014. The CAFR has been prepared in accordance with Generally Accepted Accounting Principles (GAAP) and the reporting standards of the Governmental Accounting Standards Board (GASB). The CAFR includes all funds of the Government and its component units.

The report is organized into three sections: an introductory section, a financial section and a statistical section. This introductory section provides general information on the Government's structure, as well as information useful in assessing the Government's financial condition. The financial section contains the independent auditor's report on the financial statement audit, management discussion and analysis, basic financial statements, required supplementary information and information on individual funds not separately provided in the basic financial statements. The statistical section provides a broad range of trend data covering financial, demographic and economic activity useful in assessing the Government's financial condition.

This CAFR was prepared by the Division of Accounting with assistance from staff in the Divisions of Finance, Revenue and Budgeting. These entities are responsible for both the accuracy of the data presented and the completeness and fairness of the presentation. To provide a reasonable basis for making these representations, management has established a comprehensive internal control framework that is designed to protect the Government's assets from loss, theft or misuse and to compile sufficient reliable information for preparation of the financial statements in conformance with GAAP. The internal control structure is designed to provide reasonable, but not absolute, assurance that these objectives are met. The concept of reasonable assurance recognizes that the cost of internal controls should not exceed the benefits likely to be derived from their use and that such cost-benefit evaluation requires estimates and judgment by management.

State statute and the Charter of the Government both require that an independent financial audit be conducted annually. The accounting firm of Dean Dorton Allen Ford, PLLC performed the audit for the fiscal year ended June 30, 2014. The goal of the independent audit was to provide reasonable assurance that the financial statements of the Government for the fiscal year ended June 30, 2014 are free of material misstatements. The independent audit involved examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements; assessing the accounting principles used and significant estimates made by management; and evaluating the overall financial statement presentation. The independent auditor concluded that there was a reasonable basis for rendering an unmodified opinion that the Government's financial statements for the fiscal year ended June 30, 2014, are fairly presented in conformity with GAAP. The independent auditors' report is presented as the first component in the financial section of this report.

Additionally, the audit engagement also included an audit of federal grants meeting the requirements of federal grantor agencies as outlined by the Federal Single Audit Act of 1984, the Single Audit Act Amendment of 1996 and the related OMB Circular A-133. These standards require the auditor to report not only on the fairness of the representation of the financial statement, but also on the internal controls and compliance with legal requirements of the federal awards. These reports will be available in the Government's separately issued Single Audit Report.

Profile of the Government (As of June 30, 2014)

The Government is an urban county with the powers of both a city of the second class and a county created from the merger of the City of Lexington and the County of Fayette in 1974. The Government operates pursuant to Chapter 67A of the Kentucky Revised Statutes. The Government operates under a Mayor-Council form of government, where executive and administrative functions are vested with the Mayor, and legislative authority is vested with the Urban County Council.

The Mayor is the chief executive officer and is elected to a four-year term. The Urban County Council has 15 members, including 12 members elected from districts, who serve two-year terms, and three at-large members who serve four-year terms. The Vice-Mayor is the at-large member who receives the most votes in the general election.

The Mayor is assisted in the administration of the government by two senior advisors, a Chief Administration Officer (CAO), the Chief Information Officer (CIO) and seven Department Commissioners. The senior advisors, CAO, CIO and Commissioners are appointed by the Mayor with the approval of the Urban County Council. This senior leadership team is responsible for administering programs and implementing policies. Each department is divided into divisions which are managed by division directors who are civil service employees.

The CAO is charged with the responsibility of providing supervision, direction and management to the Department of the CIO and the seven Departments of the Government. The seven Departments of the Government are: Environmental Quality and Public Works; Finance; General Services; Law; Planning, Preservation, and Development; Public Safety, and Social Services. The CAO ensures that policies established by the Mayor, Urban County Council and Charter are followed and develops programs to meet current and future organizational and community needs. Additionally, the Offices of Risk Management, Government Communications, and Grants and Special Programs report to the Chief Administration Officer.

The CIO is charged with providing leadership to all of government in matters of technology. The Department includes the Division of Computer Services and the Division of Enterprise Solutions. Computer Services provides mainframe and microcomputer support, database development and information services to the Government and some outside agencies. The Division of Enterprise Solutions supports enterprise level software applications and develops policy related to information technology.

The Department of Environmental Quality and Public Works was first established as part of the July 1, 2007 reorganization. It includes the Divisions of Environmental Policy, Water Quality, Waste Management, Streets and Roads and Traffic Engineering. The Department consolidates environmental functions together under one umbrella, allowing the Government to take a more streamlined, focused and effective approach to protecting the environment.

The Department of Finance includes the Divisions of Accounting, Central Purchasing, Revenue and Budgeting. This Department is responsible for the custody, investment and disbursement of all funds; debt management; retirement fund administration; coordination of the annual financial audit; and publication of the CAFR. The Division of Budgeting works with the Mayor and other executive leadership to prepare the annual operating budget and the Capital Improvement Plan that the Mayor recommends to the Urban County Council each year. Additionally, the Division coordinates with the Urban County Council as they review the Mayor's recommendations and ultimately authorize government revenue and expenditure levels for the fiscal year. The Division also monitors the spending of the various Departments throughout the fiscal year and ensures that all units stay within the expenditure levels adopted by the Urban County Council.

The Department of General Services includes the Divisions of Fleet and Facilities Management and Parks and Recreation. The Division of Fleet and Facilities Management handles the acquisition, maintenance and repair of more than 1500 vehicles and pieces of equipment owned by the Government. Additionally it maintains the city's primary buildings and performs minor renovations. The Government's real estate holdings comprise approximately four million square feet of space under roof. The Division of Parks and Recreation operates 103 parks consisting of more than 4,500 acres with green space areas, 5 golf courses, 6 community centers and 7 aquatic facilities. In addition, the Commissioner's Office oversees the management of the Government telephone system and utilities.

The Department of Law provides legal services for the Government. The Corporate Counsel Division prepares all legal instruments of the Government and provides advice to its elected officials, employees and agencies. The Litigation Division represents the Government in civil cases and administrative hearings and coordinates representation of cases handled by outside attorneys. Claims management, insurance procurement and administration of the self insurance fund reside in the Department of Law. The Commissioner also oversees the Division of Human Resources, which manages all hiring of employees, and benefits administration.

The Department of Planning, Preservation and Development centralizes the different functions involved in the urban planning and development process and consists of these organizations: Division of Planning, Division of Historic Preservation, Purchase of Development Rights, Division of Engineering, Division of Building Inspection and Division of Code Enforcement.

The Department of Public Safety is the largest in the Government. It includes the Divisions of Community Corrections, Police, Fire and Emergency Services, Emergency Management and Enhanced 911.

The Department of Social Services provides services to Fayette County residents by helping families become self sufficient, offering specialized programs to help Lexington youth and providing financial and social services to eligible senior citizens in the community. The Divisions in this Department include Adult Services, Family Services and Youth Services.

Significant Events (as of November 17, 2014)

Infrastructure Highlights

- Lexington made a strong commitment to public safety in 2014 through the purchase of 25 marked and 11 unmarked police vehicles, 2 fire engines and 2 EMS buggies. The total cost for the new additions to public safety will be approximately $3.25 million. All vehicles have been purchased and are being outfitted for use.
- Lexington's parks received significant attention as approximately $1.38 million went to 14 different parks projects. This will add new game fields, bathrooms, trails and necessary maintenance.
- Lexington's government owned facilities were approved by the Urban County Council to receive needed maintenance in 2014. Several buildings will receive new boilers and HVAC systems while four others will receive roof improvements. The old courthouse is undergoing an architectural review to develop a long term stabilization plan. The approximate cost of these projects is $1 million.
- In August 2013 Urban County Council unanimously approved the construction of a new senior citizens' center in Idle Hour Park on land already owned by the Government. As part of the fiscal year 2015 budget Urban County Council approved the Mayor's proposal of $8 million to build the senior citizens' center. The total cost for the building and all furnishings is expected to be approximately $13 million. Construction bids were opened in September 2014 and a groundbreaking ceremony was held on October 13, 2014.

Accela Implementation Phase 2

In 2011 the Government agreed to a Consent Decree requiring various projects to repair sanitary and storm sewer systems and to improve wastewater treatment plants in order to be in compliance with the Federal Clean Water Act. The Environmental Protection Agency (EPA) has strict requirements for compliance with regards to the monitoring, managing and reporting of these projects and repairs. The Government has successfully implemented Accela Asset Management, Mobile Office and GIS for purposes of tracking capital construction projects, establishing and monitoring

work orders, mapping overflows, conducting field assessments of existing infrastructure and generating reports to the EPA.

Accela has proven to be a valuable tool. Based on the success achieved thus far the Government is expanding the use of Accela and expects it to become an enterprise-wide application. Phase 2 of the project launched in August 2014 with the formation of the project team and training of key users.

Consent Decree

The Government is required to reduce sanitary sewer overflows (SSOs) as part of its court ordered settlement with the United States Department of Justice, the EPA and the Commonwealth of Kentucky's Energy and Environmental Protection Cabinet (the Consent Decree). The Consent Decree requires the Government to address structural, operational, and procedural issues within its storm and sanitary sewer systems in accordance with the schedule developed jointly with the EPA. To date the Government has met every Consent Decree deadline and has not been assessed any stipulated penalties.

In fiscal year 2014 construction began on the Blue Sky pump station to replace the privately owned Blue Sky package treatment plant—a non-compliant wastewater plant that had been a serious environmental problem. The closure of the old Blue Sky package treatment plant and the construction of a new pump station was one of four (4) Supplemental Environmental Projects (SEPs) specifically required in the Consent Decree. This project will be completed in early fiscal year 2015.

In fiscal year 2015, construction should commence on Phase I of the Town Branch Wet Weather Storage Tank—the most recent engineering cost estimate for Phase I is $32 million. This project is one of 80 capital improvement projects identified in the Remedial Measures Plans (RMP) intended to rehabilitate the sanitary sewer system to prevent recurring SSOs/unpermitted bypasses. The cost estimate for the RMP capital projects is $591 million, and the Government must complete the projects over the next 12 years.

While RMP outlines structural changes required for Consent Decree compliance, the Capacity, Management, Operations and Maintenance (CMOM) Plan is also a requirement of the Consent Decree. CMOM outlines the operational changes that must be implemented. In fiscal year 2014 the Division of Water Quality completed 24 required CMOM program elements—to date the Government has completed 91 CMOM program elements required by the EPA with 60 remaining.

LEXserv Utility Billing

LEXserv continues to work with Greater Cincinnati Water Works to furnish billing services and collection of sewer fees, landfill fees, and water quality fees. The Government began calculating and assessing penalty and interest charges beginning October 1, 2013. The Government began water shut offs for nonpayment of LEXserv fees on June 10, 2014. Currently 19% of the LEXserv customers are paying their fees through the automated debit program that was launched in 2013. On March 26, 2014, the Government launched a campaign to convert customers to paperless billing.

Compensation Study

The Government engaged Management Advisory Group International, Inc. to complete a comprehensive job classification and compensation study. The study included an in-depth analysis of all classified and unclassified Civil Service positions. Recommendations were made to the Urban County Council regarding the adoption of findings and were approved for implementation this fiscal year.

Strengthening Fiscal Management

Introduction

The Government continues to manage its way through the uncertainties of the current financial climate. Nationally, local governments have worked to position themselves on a safe course in the near term while maintaining the flexibility to respond to the effects of the Federal Reserve's gradual ending of quantitative easing policies.

Local Economy
The unemployment rate in Fayette County was 6.3% in June 2014, down from 7.1% in June 2013. The June 2014 rate was below the state rate of 7.4%. Total employment is well above pre-2008 levels. Employment, as measured by a household survey, which is by place of residence, was 189,321 for the quarter ended December 31, 2013. By comparison, total employment was 179,300 for the quarter ended December 31, 2007.

Budget Control and Financial Management
The Mayor of the Government submits a proposed annual operating budget and a five-year capital improvement budget to the Urban County Council at least sixty days prior to the beginning of each succeeding fiscal year. The Urban County Council, upon receipt of the proposed budget, conducts a series of public hearings on the proposed budget. The Charter of the Government provides that the Urban County Council may amend the budget; however, the adopted budget shall provide for all expenditures required by law and for all debt service requirements. Other budgeting polices include that the budget must be balanced for each fund, and total available funds must equal or exceed total anticipated expenditures.

The Urban County Council adopts a line-item budget ordinance and must approve all budget amendments moving money within the personnel category or from one category to another (personnel, operating, capital). Budgetary control is maintained at the division level and is facilitated by the use of encumbrance accounting. As purchase orders are issued, corresponding amounts of divisional appropriations are reserved for later payment. Requests for disbursements which will result in an overrun of budgeted expenditures must be accompanied by a request for a budget amendment.

The Administration conducts monthly departmental budget reviews. Supplemental information on budget amendments, upcoming issues and long-term plans are discussed. These meetings, along with the standing Urban County Council Committee of Budget and Finance, give the Government a platform to discuss critical questions related to programs, policies and priorities in addition to the more routine aspects of governmental budget management.

Police and Fire Pension Fund
Lexington's financial position benefits from the large-scale reform to the police and fire pension fund in fiscal year 2013 which restructured the benefits to retired policemen and firefighters while increasing the Government's yearly contribution to the fund. The 30 year financial plan to stabilize the funding needed to resolve the Government's unfunded liability is in place.

Long-Term Financial Policies
Annually, the Government adopts a Capital Improvement Plan prior to the completion of the annual operating budget. The development of the capital improvement plan budget is coordinated with the development of the operating budgets. Requests for capital projects are accompanied by estimates of project impact on annual operating costs and revenues. Additionally, multi-year forecasts of revenues and expenditures, including operating and capital expenditures, are prepared throughout the year to monitor the adequacy of funding resources and debt capacity.

Cash Management and Investment Policy
The Department of Finance is responsible for the custody, investment and disbursement of all funds of the Government in accordance with the procedures and standards adopted by the Urban County Council. It is the policy of the Government to invest funds in a manner that will provide the highest investment return with the maximum security of principal while meeting the daily cash flow demands of the Government. The Government's investments are governed by state statutes (KRS 66.480) and an investment policy approved by the Urban County Council. In fiscal year 2014 all funds were invested in either obligations of the United States and its agencies of instrumentalities, mutual funds comprised of those securities, repurchase agreements, collateralized Certificates of Deposit or commercial paper.

Awards and Acknowledgements
For the 22nd consecutive year, the Government Finance Officers Association of the United States and Canada (GFOA) awarded a Certificate of Achievement for Excellence in Financial Reporting to the Lexington-Fayette Government for its comprehensive annual financial report for the fiscal year ended June 30, 2013. The Certificate of

Achievement is a prestigious national award recognizing conformance with the highest standards for preparation of state and local government financial reports.

In order to be awarded a Certificate of Achievement, the Government must publish an easily readable and efficiently organized comprehensive annual financial report whose contents conform to the program standards. This report must also satisfy generally accepted accounting principles and applicable legal requirements.

A Certificate of Achievement is valid for the period of one year only. We believe that our current comprehensive annual financial report continues to meet the Certificate of Achievement Program requirement, and we are submitting it to the GFOA to determine our eligibility for another certificate.

Preparation of this report could not have been accomplished without the professional, efficient and dedicated services of the staff of the Divisions of Accounting, Finance, Revenue and Budgeting. Further appreciation is extended to the Mayor, the members of the Urban County Council, Commissioners and Division Directors for their cooperation and support.

Respectfully submitted,

William O'Mara, Commissioner
Department Of Finance

Government Finance Officers Association

Certificate of Achievement for Excellence in Financial Reporting

Presented to

Lexington-Fayette Urban County Government, Kentucky

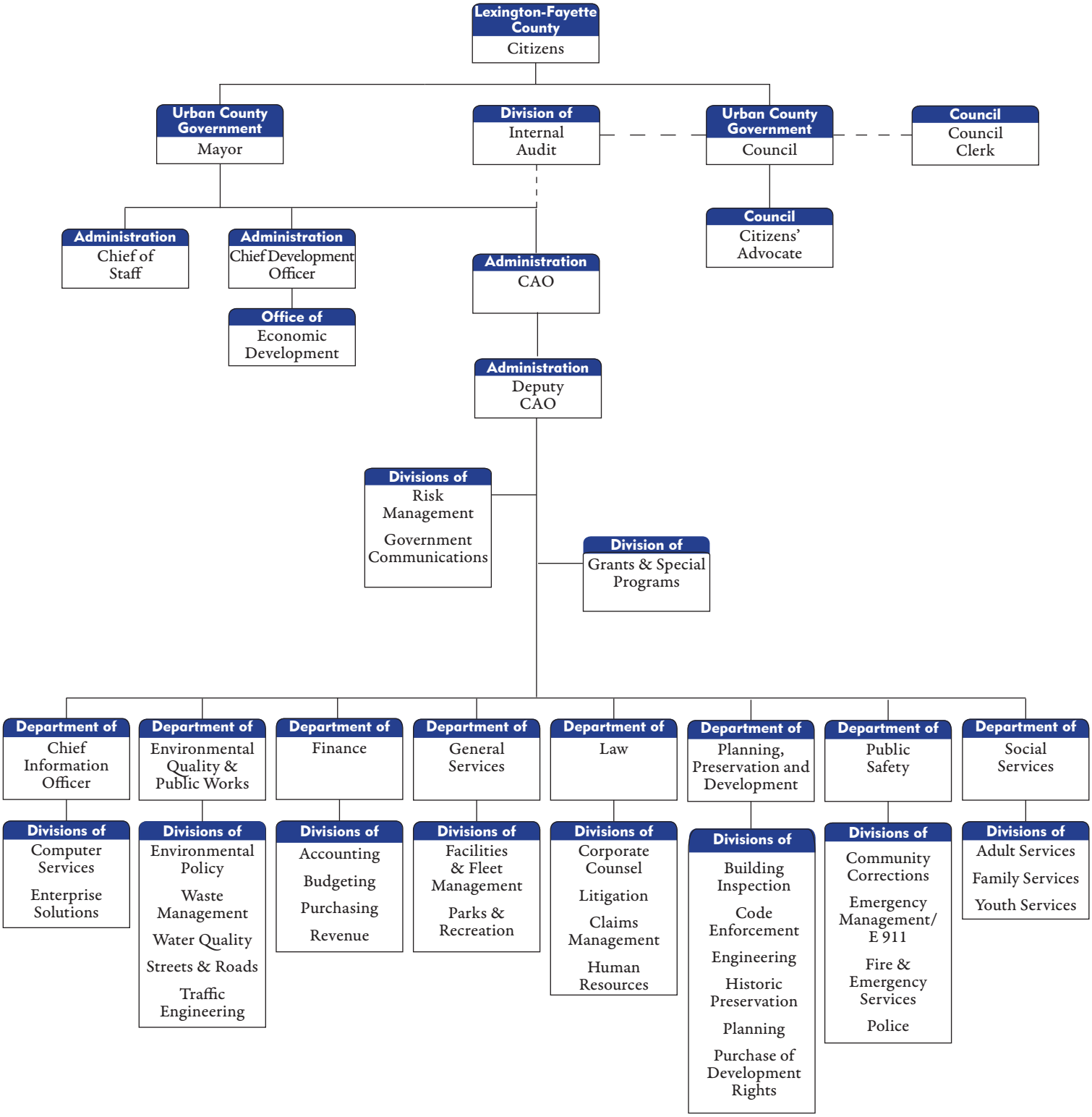
For its Comprehensive Annual
Financial Report
for the Fiscal Year Ended

June 30, 2013

Executive Director/CEO

Lexington-Fayette Urban County Government

Organizational Chart



Revised November 2013

DIRECTORY OF GOVERNMENTAL OFFICIALS

Council Office	***Stacey Maynard, Council Administrator***
Citizens' Advocate Office	Penny McFadden, Citizens' Advocate
Council Clerk's Office	***Meredith Nelson, Council Clerk***
Office of the Mayor	***Jim Gray, Mayor***
Chief Development Officer	***Kevin Atkins***
Internal Audit	***Bruce Sahli, Director***
Office of the Chief Administrative Officer	***Sally Hamilton, Chief Administrative Officer***
Grants and Special Programs	Irene Gooding, Director
Risk Management	Patrick R. Johnston, Director
Government Communications	Vacant
Chief Information Officer	***Aldona Valicenti, Chief Information Officer***
Computer Services	Mike Nugent, Director
Enterprise Solutions	Chad Cottle, Director
Planning, Preservation, and Development	***Derek Paulsen, Commissioner***
Planning	Chris King, Director
Purchase of Development Rights	Elizabeth Overman, Program Manager
Historic Preservation	Bettie L. Kerr, Director
Engineering	Brad Frazier, Director
Building Inspection	Dewey Crowe, Director
Code Enforcement	David Jarvis, Director
Finance	***William O'Mara, Commissioner***
Accounting and Payroll	Phyllis Cooper, Director
Purchasing	Todd Slatin, Director
Revenue	Rusty Cook, Director
Budgeting	Melissa Lueker, Director
Environmental Quality and Public Works	***David Holmes, Commissioner***
Environmental Policy	Susan Plueger, Director
Water Quality	Charles H. Martin, Director
Waste Management	Tracey Thurman, Director
Streets and Roads	Albert Miller, Director
Traffic Engineering	Mary (Dowell) Hoskins-Squier, Director
Law	***Janet Graham, Commissioner***
Corporate Counsel	Keith Horn
Litigation	Vacant
Human Resources	John Maxwell, Director
Claims Management	Tom Sweeney
Public Safety	***Clay Mason, Commissioner***
Community Corrections	Rodney Ballard, Director
Division of Emergency Management/E911	Patricia Dugger, Director of Emergency Management
Division of Emergency Management/E911	Robert Stack, Director of Enhanced 911
Fire and Emergency Services	Keith Jackson, Chief
Police	Ronnie Bastin, Chief
Social Services	***Beth Mills, Commissioner***
Adult Services	Connie Godfrey, Director
Family Services	Joanna Rodes, Director
Youth Services	Stephanie Hong, Director
General Services	***Geoff Reed, Commissioner***
Facilities and Fleet Management	Jamshid Baradaran, Director
Parks and Recreation	Brad Chambers, Director

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FINANCIAL SECTION

DEANDORTON
DEAN DORTON ALLEN FORD, PLLC

Report of Independent Auditors

The Honorable Mayor, Members of the
Urban County Council and Citizens
Lexington-Fayette Urban County Government
Lexington, Kentucky

Report on the Financial Statements

We have audited the accompanying financial statements of the governmental activities, the business-type activities, the aggregate discretely presented component units, each major fund, and the aggregate remaining fund information of the Lexington-Fayette Urban County Government (the Government), as of and for the year ended June 30, 2014, and the related notes to the financial statements, which collectively comprise the Government's basic financial statements as listed in the table of contents.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express opinions on these financial statements based on our audit. We did not audit the financial statements of the Transit Authority of the Lexington-Fayette Urban County Government, the Lexington Convention and Visitors Bureau, the Lexington Public Library, the Lexington-Fayette Urban County Airport Board, the Lexington-Fayette Urban County Department of Health, and the Lexington Center Corporation, which represent 93%, 93% and 96%, respectively, of the assets, net position, and revenues of the discretely presented component units. Those financial statements were audited by other auditors whose reports thereon have been furnished to us, and our opinion, insofar as it relates to the amounts included for the Transit Authority of the Lexington-Fayette Urban County Government, the Lexington Convention and Visitors Bureau, the Lexington Public Library, the Lexington-Fayette Urban County Airport Board, the Lexington-Fayette Urban County Department of Health, and the Lexington Center Corporation, is based on the report of the other auditors. We conducted our audit in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Opinions

In our opinion, based on our audit and the report of other auditors, the financial statements referred to above present fairly, in all material respects, the respective financial position of the governmental activities, the business-type activities, the aggregate discretely presented component units, each major fund, and the aggregate remaining fund information of the Government as of June 30, 2014, and the respective changes in financial position and, where applicable, cash flows thereof and the respective budgetary comparison for the General Fund and Full Urban Services District Fund for the year then ended in accordance with accounting principles generally accepted in the United States of America.

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Other Matters

Required Supplementary Information

Accounting principles generally accepted in the United States of America require that the Management's Discussion and Analysis on pages 15 through 28 be presented to supplement the basic financial statements. Such information, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context. We have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Supplementary and Other Information

Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise the Government's basic financial statements. The accompanying Introductory Section on pages 1 through 11, Combining and Individual Nonmajor Fund Statements on pages 104 through 107 and 113 through 129, the Schedule of Expenditures of Federal Awards on page 108 through 110, as required by U.S Office of Management and Budget Circular A-133, *Audits of States, Local Governments and Non-Profit Organizations*, the Schedule of Expenditures of State Awards on page 111 and the Statistical Section on pages 131 through 156 are presented for purposes of additional analysis and are not a required part of the basic financial statements.

The Combining and Individual Nonmajor Fund Statements, the Schedule of Expenditures of Federal Awards and the Schedule of Expenditures of State Awards is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the basic financial statements. Such information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America by us and other auditors. In our opinion, based on our audit, the procedures performed as described previously, and the reports of other auditors, the Combining and Individual Fund Statements, the Schedule of Expenditures of Federal Awards and the Schedule of Expenditures of State Awards is fairly stated, in all material respects, in relation to the basic financial statements as a whole.

The Introductory Section and the Statistical Section has not been subjected to the auditing procedures applied in the audit of the basic financial statements, and accordingly, we do not express an opinion or provide any assurance on it.

Other Reporting Required by *Government Auditing Standards*

In accordance with *Government Auditing Standards*, we have also issued our report dated November 17, 2014 on our consideration of the Government's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements and other matters. The purpose of that report is to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the Government's internal control over financial reporting and compliance.

Dean Dorton Allen Ford, PLLC

Lexington, Kentucky
November 17, 2014

MANAGEMENT'S DISCUSSION AND ANALYSIS

The Management's Discussion and Analysis of Lexington-Fayette Urban County Government's Comprehensive Annual Financial Report (CAFR) presents a discussion and analysis of the Government's financial performance for the fiscal year ended June 30, 2014. It is supplementary information required by the Governmental Accounting Standards Board (GASB) and is intended to provide a readable explanation of the information within the basic financial statements. It should be read in conjunction with the Letter of Transmittal (which can be found preceding this narrative on page 3) and the financial statements immediately following the analysis.

FINANCIAL HIGHLIGHTS – PRIMARY GOVERNMENT

Government–Wide Highlights

The assets of the Primary Government exceeded its liabilities at the close of the fiscal year by $1.12 billion (net position).

- Total assets of the Primary Government exceeded total liabilities by approximately $1,123.37 million at the close of fiscal year 2014. This amount includes a deficit of approximately $51.04 million in unrestricted net assets.

- Governmental Activities' net position was $799.01 million at the end of fiscal year 2014. Of this amount, $860.08 million was invested in capital assets, net of related debt. The investments in capital assets, net of related debt comprises 107.6% of total net position.

- Business-Type Activities held a balance of $324.36 million in net position. The unrestricted fund balance at June 30, 2014 is $33.24 million, or 44.3% of Business-Type Activity expenses.

Fund Highlights

- As of June 30, 2014, the Government's governmental funds reported combined ending fund balances of $129.93 million, an increase of $9.24 million compared to the previous fiscal year. Of this total amount, $65.00 million is restricted for various projects: public works, public safety, capital projects, grants, urban services, and energy improvements.

- The General Fund, the primary operating fund of the Government, held an unassigned fund balance of $4.18 million or 1.4% of General Fund expenditures. There are two categories of committed fund balance; general government and economic stabilization. Committed funds represent amounts restricted for use by the highest level of governing authority, an ordinance passed by the Urban County Council. The total committed fund balance is $36.47 million. The committed fund balance designation for economic stabilization held a balance of $25.22 million, available for spending in the event of an economic downturn or unforeseen event. There are two categories of assigned fund balance; general government and capital projects. Assignments for general government and capital projects represent planning for various projects. These assignments total $20.84 million for fiscal year 2014.

OVERVIEW OF THE FINANCIAL STATEMENTS

Three key elements comprise the basic financial statements, including:

A) Government-Wide Financial Statements;
B) Fund Financial Statements, and;
C) Notes to the Financial Statements

A. Government-Wide Financial Statements

The *Government-Wide Financial Statements* are designed to provide readers with a broad overview of the Government's finances in a manner similar to a private-sector business. These statements report financial information about the entire Government, except for fiduciary activities, and provide both short-term and long-term information about the Government's financial position, and assist in the assessment of the Government's economic condition at the end of the fiscal year. The statements are prepared using the flow of economic resources measurement focus and the accrual basis of accounting. They take into account all revenues and expenses of the fiscal year regardless of when cash is received or paid. The *Government-Wide Financial Statements* include two statements: The *Statement of Net Position* and the *Statement of Activities.*

The *Statement of Net Position* reflects the financial position of the Government at fiscal year ended June 30, 2014. Accordingly, the Government's net position, the difference between assets (what the citizens own) and liabilities (what the citizens owe) are one way to determine the financial condition of the Government. Over time, increases or decreases in net position are one indicator of whether the financial health of the Government is improving or deteriorating. However, additional factors such as changes in the Government's revenue structure, its tax base, and its level of assets held, should be considered in order to assess thoroughly the overall financial condition of the Government.

The *Statement of Activities* reflects the Government's revenues and expenses, as well as other transactions that increase or decrease net position. Program revenues are offset by program expenses in order to provide better information regarding program costs financed by general government revenues.

The *Government-Wide Financial Statements* divide the Government's activities into three types:

1. Governmental Activities – The activities in this section are mostly supported by taxes and intergovernmental revenues (federal grants), namely occupational license fees, property taxes, and service charges. Most services normally associated with local government fall into this category, including police, fire, solid waste, parks and general administration. Internal Service Fund balances are reported as part of Governmental Activities.

2. Business-Type Activities – These activities normally are intended to recover all or a significant portion of costs through user fees and charges to external users of goods and services provided by the Government. The Business-Type Activities of the Government include the operations of various Enterprise Funds, including sanitary sewer services, landfill and disposal costs, water quality, and leases and operating costs for public facilities related to debt issues.

3. Discretely Presented Component Units – The Government includes eight separate legal entities in its reports. Although legally separate and possessing independent qualities, the Government maintains financial accountability for these entities.

B. Fund Financial Statements

A fund is a grouping of related accounts used to maintain control over resources that have been segregated for specific activities or objectives. The *Fund Financial Statements* report the operations of the Government in greater detail than the *Government-Wide Financial Statements* by providing information about the Government's most significant funds. Local ordinance or bond covenants may require the creation of some funds; others may be created at the discretion of the Administration for management and fiscal control of financial resources. All funds of the Government can be divided into three types of funds: Governmental Funds, Proprietary Funds, and Fiduciary Funds.

1. Governmental funds – Governmental funds are used to account for essentially the same functions reported as Governmental Activities in the *Government-Wide Financial Statements*. However, unlike the *Government-Wide Financial Statements*, governmental fund financial statements focus on near-term inflows and outflows of expendable resources, as well as on balances of expendable resources available at the end of the fiscal year.

   Most of the basic services performed by the Government are reported in the governmental funds category. These funds are reported using the modified accrual basis of accounting, which measures cash and all other financial assets that can be readily converted to cash. Because the focus of governmental funds is narrower than that of the *Government-Wide Financial Statements*, it is useful to compare the information presented for governmental funds with similar information presented for Governmental Activities in the *Government-Wide Financial Statements*. By doing so, readers may better understand the long-term impact of the Government's near term funding decisions. The governmental fund balance sheet and the governmental fund statement of revenues, expenditures, and changes in fund balances provide a reconciliation to facilitate this comparison between governmental funds and Governmental Activities.

2. Proprietary funds – When the Government charges a fee for services which is intended to cover the cost of providing those services – whether to outside customers or to other units of the Government – those services are generally reported in the proprietary funds category. The subcategories of the proprietary funds include enterprise funds and internal service funds.

   Enterprise funds are used to report the same functions presented as Business-Type Activities in the *Government-Wide Financial Statements*.

   Internal service funds are used to accumulate and allocate costs internally among the various functions of the Government. The Government uses internal service funds to account for its health, general liability, auto, property and worker's compensation self-insurance. These services predominantly benefit Governmental Activities rather than Business-Type Activities; hence, they have been included with Governmental Activities in the *Government-Wide Financial Statements.*

   The proprietary funds are reported in the same way that all activities are reported in the *Government-Wide Financial Statements* but the fund statements provide more detail. The Government considers the Sanitary Sewer System Fund, the Public Facilities Corporation Fund, the Landfill Fund, and the Water Quality Fund as its major proprietary funds.

3. Fiduciary funds – Fiduciary funds are used to account for resources held for the benefit of parties outside the Government. Fiduciary funds are not reflected in the *Government-Wide Financial Statements* because the resources of those funds are not available to support the programs of the Government. The accounting used for the fiduciary funds is similar to that used for proprietary funds. The Government is trustee, or fiduciary, for two employees' pension funds, the City Employees' Pension Fund and the Policemen's and Firefighters' Retirement Fund.

C. Notes to the Financial Statements

The notes to the financial statements provide information that is essential to a full understanding of the data provided in the Government-Wide and Fund Financial Statements. They are an integral part of the financial statements and focus on the primary government and its activities.

GOVERNMENT-WIDE FINANCIAL ANALYSIS

Analysis of Net Position

Net position may serve as a useful indicator of a government's financial position. In Table 1 below, the Government's combined net position (Governmental and Business-Type Activities) totaled $1.12 billion as of June 30, 2014, an increase of $3.02 million from the previous year. Total depreciation expense government wide was $64.56 million.

The largest proportion of the Government's net position, $1.08 billion, is invested in capital assets (e.g. land, infrastructures, buildings and improvements, and machinery and equipment), minus any related debt, which is still outstanding and used to acquire those assets. The Government uses these capital assets to provide services to its citizens. As such, these assets are not available for future spending.

Table 1
Lexington-Fayette Urban County Government
Summary of Net Position
For Years As Stated
(in thousands)

	Total Net Position		
	FY 2014	**Restated FY 2013**	**Change**
ASSETS			
Current and other assets	$364,367	$351,316	$13,051
Capital assets	1,377,119	1,371,136	5,983
Total assets	1,741,486	1,722,452	19,034
LIABILITIES			
Current and other liabilities	70,233	70,142	91
Long-term liabilities	547,886	531,965	15,921
Total liabilities	618,119	602,107	16,012
NET POSITION			
Invested in capital assets net of related debt	1,082,988	1,095,005	(12,017)
Restricted for:			
Capital Projects	64,368	69,034	(4,666)
Energy Improvement Projects	746	419	327
Debt Service	9,833	8,772	1,061
Capital Replacement	2,192	2,338	(146)
Water Quality Incentive Program	4,548	4,031	517
Grants	1,262	1,262	0
Maintenance and Operations	7,306	7,235	71
Unrestricted	(49,876)	(67,751)	17,875
Total net position	$1,123,367	$1,120,345	$3,022

Approximately $90.26 million, or 8.03% of total net position, is subject to external restrictions regarding its use. Restricted amounts within Governmental Activities include fund balances of the general fund, the urban services

fund and various special revenue funds. Please refer to the fund analysis beginning on page 24 for more information.

Table 2 indicates that the net position of Governmental Activities totaled $799.01 million, or 62.9% of total assets, a decrease of $10.40 million from the previous year. Of this total, $860.08 million is invested in capital assets (e.g. land, infrastructures, buildings and improvements, and machinery and equipment), minus any related debt, which is still outstanding and used to acquire those assets.

Table 2
Lexington-Fayette Urban County Government
Summary of Net Position
For Years as Stated
(in thousands)

	Governmental Activities		
		Restated	
	FY 2014	FY 2013	Change
ASSETS			
Current and other assets	$238,466	$229,763	$8,703
Capital assets	1,030,957	1,042,817	(11,860)
Total assets	1,269,423	1,272,580	(3,157)
LIABILITIES			
Current and other liabilities	57,174	57,898	(724)
Long-term liabilities	413,242	405,274	7,968
Total liabilities	470,416	463,172	7,244
NET POSITION			
Invested in capital assets net of related debt	860,075	877,691	(17,616)
Restricted for:			
Capital Projects	20,133	25,215	(5,082)
Energy Improvement Projects	650	419	231
Grants	1,262	1,262	0
Unrestricted	(83,113)	(95,179)	12,066
Total net position	$799,007	$809,408	($10,401)

Table 3 shows the net position of Business-Type Activities totaled $324.36 million at the end of fiscal year 2014, an increase of $13.42 million from the previous fiscal year. Of total net position, $222.91 million, or 68.7%, is invested in capital assets, minus related debt which is still outstanding and used to acquire those assets. The Government uses these capital assets in the same way as the capital assets held by Governmental Activities.

Table 3
Lexington-Fayette Urban County Government
Summary of Net Position
For Years as Stated
(in thousands)

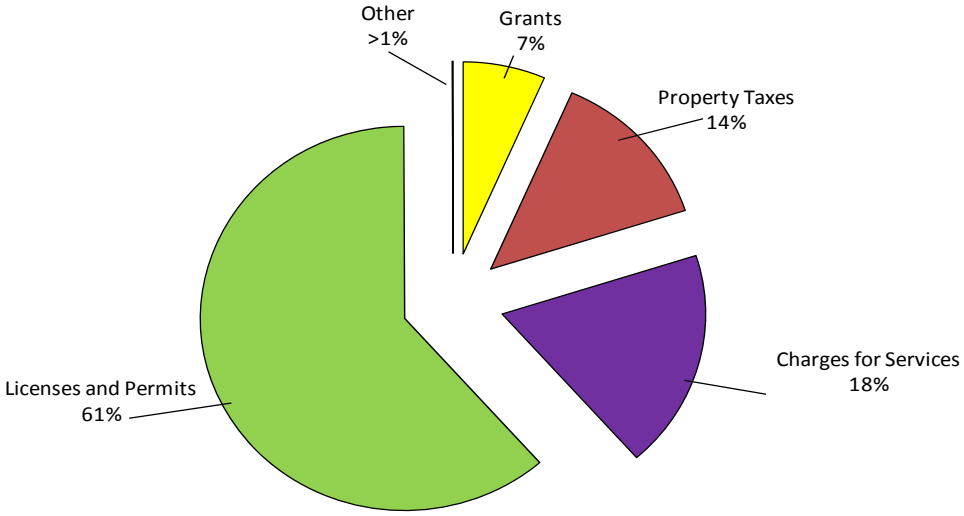
	Business-Type Activities		
	FY 2014	**FY 2013**	**Change**
ASSETS			
Current and other assets	$125,901	$121,552	$4,349
Capital assets	346,162	328,321	17,841
Total assets	472,063	449,873	22,190
LIABILITIES			
Current and other liabilities	13,059	12,245	814
Long-term liabilities	134,644	126,691	7,953
Total liabilities	147,703	138,936	8,767
NET POSITION			
Invested in capital assets net of related debt	222,913	217,313	5,600
Restricted for:			
Capital Projects	44,235	43,819	416
Energy Improvement Projects	95	0	95
Debt Service	9,833	8,772	1,061
Capital Replacement	2,192	2,338	(146)
Water Quality Incentive Program	4,548	4,031	517
Maintenance and Operations	7,306	7,235	71
Unrestricted	33,237	27,429	5,808
Total net position	$324,359	$310,937	$13,422

Governmental Activities

As indicated in Chart 1, the Government funds its Governmental Activities from revenue received from four significant categories. A clear majority, 61%, of the Government's revenue is provided through licenses and permits. This category included fees placed on employee withholdings, business returns, insurance premiums, and franchise fees. Charges for Services were 18%, which was the second largest contributing category to governmental activity revenues. Revenues collected in this category included charges collected from the Detention Center, EMS charges, golf course collections, fees for building permits, and fees associated with parks and recreation programs. Property Taxes comprised 14% of governmental revenues just ahead of Federal and State grant funding which represents 7%. The remaining Other category represented miscellaneous revenues collected by the Government.

Chart 1

Distribution of Governmental Activity Revenues



As indicated by Table 4, revenues from Governmental Activities totaled $404.14 million, which was an increase of $11.10 million, or 2.8%, from the previous fiscal year. Licenses and permits totaled $248.27 million, representing 61.4 % of total revenues. As stated earlier, this category includes employee withholdings in the form of an occupational license fee (OLF). This fee is comprised of an assessment of 2.25% on the total wages received by individuals employed in Lexington-Fayette County and an assessment of 2.25% on the net profits of businesses operating in the Lexington-Fayette County area. Licenses and permits increased by $9.35 million, or 3.91% from the previous fiscal year. This is primarily due to increases in occupational license and franchise fees collected during the fiscal year of $4.91 million and $4.73 million, respectively. Property taxes increased by $1.16 million, due to an increase in property valuations. Charges for services decreased by $4.70 million from the previous fiscal year, or 5.94% which was primarily due to a decrease in exaction credits used, related to development of the Expansion Area in Fayette County.

As noted on Table 4, total expenses of Governmental Activities were $413.68 million; an increase of $11.77 million from the previous fiscal year. This is primarily due to increases in personnel and capital expenses of $8.95 million and $19.66 million, respectively, offset by a decrease in operating expenses of $16.84 million.

Business-Type Activities

Also indicated on Table 4, revenues from Business-Type Activities increased $1.92 million from the previous fiscal year. Revenues collected for services provided by the Government increased $0.68 million. In addition, income from investments increased by $1.24 million. Total expenses of Business-Type Activities increased when compared to fiscal year 2013, by $7.24 million. This is primarily due to increases in expenses related to the Sanitary Sewer System, Landfill, and Water Quality of $4.65 million, $1.96 million, and $0.83 million, respectively. The Government has several infrastructure improvement projects completed and underway relating to the EPA Consent Decree. For more information on the EPA Consent Decree, please see Note 5.B. to the financial statements. The largest program among these activities is the Sanitary Sewer system, with expenses of $43.66 million during the fiscal year, representing 58.23% of all Business-Type Activities expenses.

Table 4
Lexington-Fayette Urban County Government
Summary of Statement of Activities
For Years as Stated
(in thousands)

	Governmental Activities		Business-Type Activities		Total Primary Government	
	2014	Restated 2013	2014	2013	2014	Restated 2013
Revenues						
Program Revenues:						
Charges for Services	$74,532	$79,235	$86,520	$85,840	$161,052	$165,075
Operating Grants and Contributions	15,108	13,066			15,108	13,066
Capital Grants and Contributions	9,201	6,273			9,201	6,273
General Revenues:						
Property Taxes	54,759	53,597			54,759	53,597
Licenses and Permits	248,272	238,924			248,272	238,924
Grants and Unrestricted Contributions	2,009	2,176			2,009	2,176
Other General Revenues	263	(226)	1,022	(215)	1,285	(441)
Total Revenues	404,144	393,045	87,542	85,625	491,686	478,670
Program Expenses						
General Government	26,974	23,693			26,974	23,693
Administrative Services*	5,343	12,302			5,343	12,302
Health, Dental, Vision, Workers Comp, General Insurance	24,894	25,007			24,894	25,007
Chief Development Officer	193	621			193	621
Chief Information Officer*	6,983				6,983	0
Finance	16,726	14,744			16,726	14,744
Environmental Quality & Public Works*	45,340	83,879			45,340	83,879
Planning, Preservation, & Development*	47,344	3,767			47,344	3,767
Public Safety*	10,776	14,666			10,776	14,666
Police	69,822	69,945			69,822	69,945
Fire and Emergency Services	67,690	62,781			67,690	62,781
Community Corrections	34,001	32,632			34,001	32,632
Social Services	10,479	10,195			10,479	10,195
General Services	10,551	10,899			10,551	10,899
Parks and Recreation	19,693	19,654			19,693	19,654
Law and Risk Management	3,812	4,006			3,812	4,006
Interest on Long-Term Debt	13,054	13,116			13,054	13,116
Sanitary Sewer System			43,664	39,014	43,664	39,014
Public Facilities			8,895	9,420	8,895	9,420
Public Parking			265	85	265	85
Landfill			6,060	4,100	6,060	4,100
Right of Way			309	284	309	284
Extended School Program			1,977	2,199	1,977	2,199
Prisoners' Account System			1,844	1,394	1,844	1,394
Enhanced 911			2,385	2,930	2,385	2,930
LexVan Program			451	11	451	11
Water Quality			9,139	8,309	9,139	8,309
Total Expenses	413,675	401,907	74,989	67,746	488,664	469,653
Increase (Decrease) in Net Position before Transfers	(9,531)	(8,862)	12,553	17,879	3,022	9,017
Transfers	(871)	(1,106)	871	(11,903)	0	(13,009)
Increase (Decrease) in Net Position	(10,402)	(9,968)	13,424	5,976	3,022	(3,992)
Net Position, July 1	809,408	819,376	310,937	304,961	1,120,345	1,124,337
Net Position, June 30	$799,006	$809,408	$324,361	$310,937	$1,123,367	$1,120,345

*The following divisional organizational changes took place in fiscal year 2014:
Building Inspection and Code Enforcement moved from Public Safety to Planning, Preservation & Development; Engineering moved from Environmental Quality & Public Works to Planning, Preservation & Development; Computer Services and Enterprise Solutions moved from Administrative Services to Chief Information Officer; Office of the CIO was created under Chief Information Officer

PERSONNEL COSTS

During the year, personnel related expenses for Police, Fire & Emergency Services, and Community Corrections, which are covered by collective bargaining agreements, increased approximately $7.91 million. Fire & Emergency Services, Police, and Community Corrections increased by $4.72 million, $1.78 million, and $1.41 million, respectively. Salary and wage costs, including benefits, for non-collective bargaining employees decreased 5.3%. See Chart 2 for more information on personnel costs for Governmental Activities during fiscal year 2014.

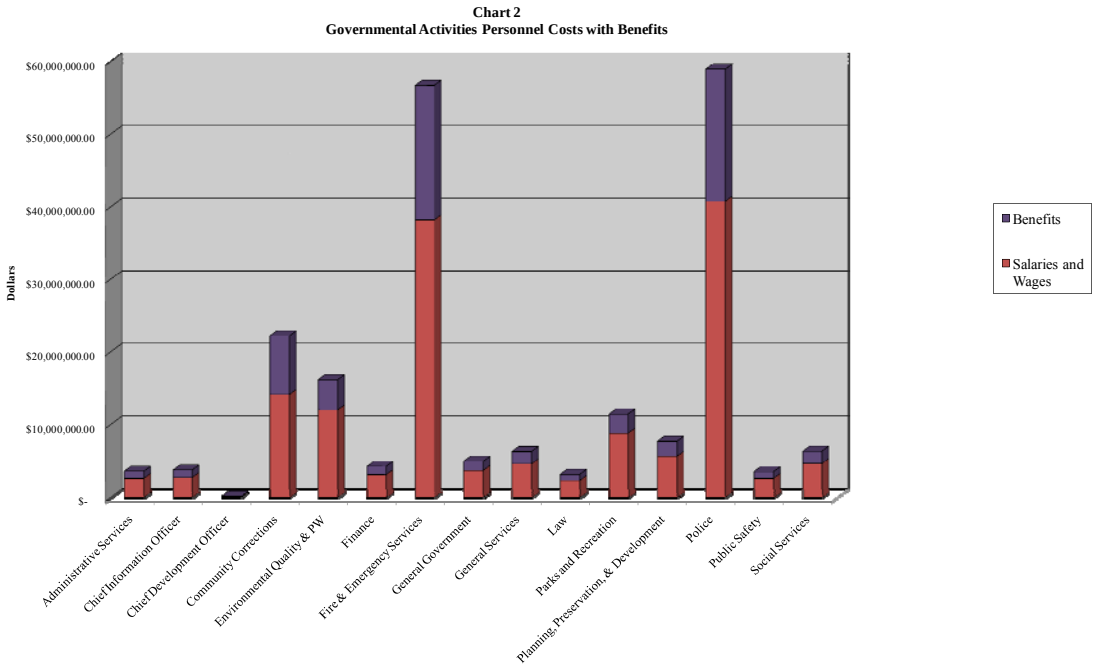
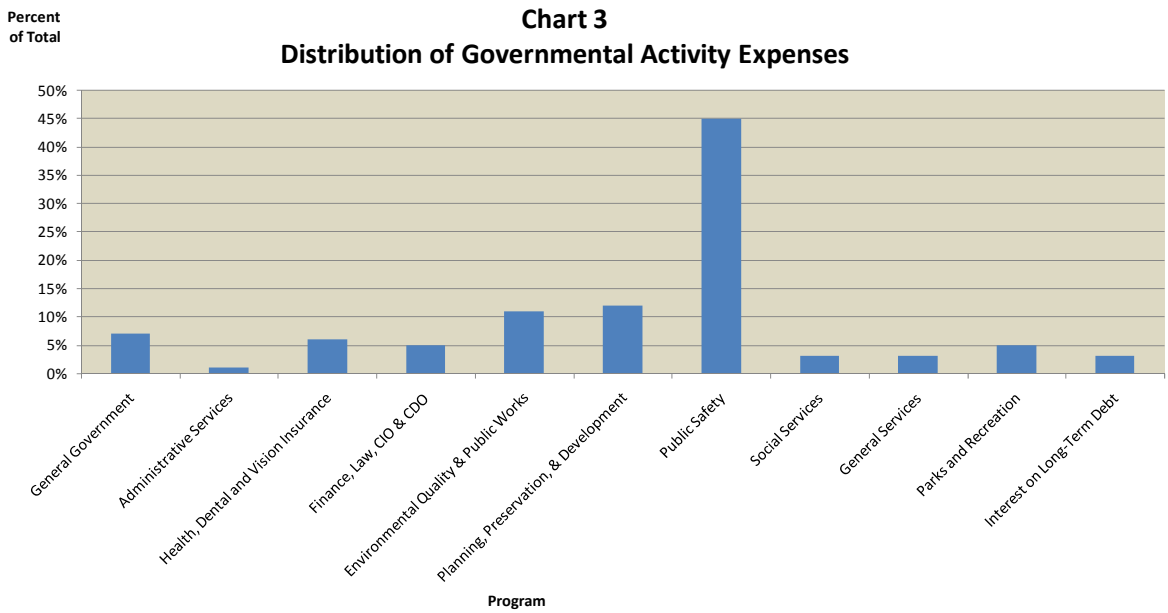


Chart 3 displays the distribution of total costs by governmental activity.



FUNDS OF THE LEXINGTON-FAYETTE URBAN COUNTY GOVERNMENT

As discussed earlier, the Government uses fund accounting to ensure and demonstrate compliance with Generally Accepted Accounting Principles (GAAP) and other finance-related legal requirements.

Governmental Funds

The Government's total governmental funds for the year ended June 30, 2014 reflect a combined ending fund balance of $129.93 million, an increase of $9.24 million from the previous fiscal year. The Government reports fund balance as nonspendable, restricted, committed, assigned, or unassigned (refer to Note 1 to the financial statements for detailed information on the fund balance classifications). The increase is primarily due to General Fund revenues in excess of expenditures of $9.34 million, offset by $0.10 million combined decrease in net position of the Urban Services and Other Governmental Funds.

The Government had $4.18 million of unassigned fund balance available in the General Fund at June 30, 2014. Unassigned fund balance of the General Fund (the Government's main operating fund) represents approximately 1.4% of total general fund expenditures for fiscal year 2014. At the end of fiscal year 2014, the fund balance held by the General Fund totaled $63.75 million, an increase of $9.34 million, or 17.2%, from the previous fiscal year. This was primarily due to revenues in excess of expenditures of $11.88 million, offset by other financing uses of $2.54 million.

The Urban Services Fund is used to finance solid waste collection, streetlights, and street cleaning services for properties within designated property tax districts. At the end of the fiscal year, the Urban Services Fund held a total fund balance of $29.88 million, an increase of $1.24 million over the prior fiscal year. This increase is primarily due to expenditures in excess of revenues of $1.26 million, offset by net transfers of $2.50 million. Revenues of the Urban Services Fund remained stable compared to the prior fiscal year. Expenditures increased $5.04 million over the prior fiscal year. This was primarily due to an increase in capital and operating expenditures of $4.88 million and $0.55 million respectively. Personnel expenditures decreased by $0.39 million.

The Federal and State Grants Fund held a balance of $1.26 million for fiscal year ended June 30, 2014, stable when compared to the prior fiscal year. This fund balance represents grant revenues received, but not spent, that are restricted for specific activities. During fiscal year 2012, an outstanding loan receivable balance was paid in full. The funding will be used in the future for urban development projects.

The Other Governmental Funds primarily relate to costs associated with various capital bond projects. During fiscal year 2014, $26.49 million was expended on these projects. Bonds in the amount of $17.04 million were issued to reimburse these expenditures and cover any additional costs associated with the projects. An additional issuance of $55.93 million fully refunded prior year bonds. For more details on long term debt, please see Note 3.D. to the financial statements.

Proprietary Funds

The Government's proprietary fund statements provide the same type of information found in the *Government-Wide Financial Statements*, but in more detail. Total net position for the Government's proprietary funds totaled $324.36 million as of June 30, 2014, an increase of $13.42 million from the prior fiscal year.

The Sanitary Sewer System Fund held total net position of $239.85 million, an increase of $7.89 million over the prior year. Revenues in excess of expenses primarily contributed to this increase. Of the total net position held by the Sanitary Sewer System Fund, $61.37 million is restricted by bond covenants for maintenance, capital replacement and projects, and debt service.

The Public Facilities Corporation was created by the Government to act as an agency and instrumentality of the Government to finance and operate public projects. The net position of the Public Facilities Corporation was $25.99 million, a decrease of $1.47 million from the prior fiscal year. Operating income during fiscal year 2014 was $6.38 million. The decrease in net position is primarily due to non-operating expenses of $2.51 million, offset by transfers in of $1.05 million.

The Water Quality Fund was established to account for the revenues and expenses of developing and operating storm water related activities. The net position of the Water Quality Fund totaled $18.02 million, an increase of $4.00 million from the prior fiscal year. Revenues in excess of expenses primarily contributed to this increase.

As of June 30, 2014, the total net position of the Landfill Fund held a balance of $28.86 million, an increase of $0.81 million from the prior fiscal year, a 2.88% increase. Revenues in excess of expenses of $1.00 million offset by transfers of $0.20 million, primarily contributed to this increase.

The other enterprise funds were established to account for the acquisition, operation and maintenance of the Government's facilities and services which are entirely or predominantly self-supported by user charges or where the Government has decided that periodic determination of revenues earned, expenses incurred, and net income is appropriate for capital maintenance, public policy, management control, accountability and other purposes. As of June 30, 2014 the other enterprise funds held total net position of $11.38 million, an increase of $2.25 million over the previous fiscal year. Revenues in excess of expenses primarily contributed to this increase.

GENERAL FUND BUDGETARY HIGHLIGHTS

The General Fund is the primary operating fund of the Government. Over the course of the year, the Urban County Council revises the budget numerous times; thus, exercising one of the primary duties of the Urban County Council as guardian of the Government's funds. Supplemental appropriations are approved to reflect actual beginning fund balances and to re-appropriate funds for capital projects. As the year progresses and actual revenue collections and budgetary experience is known, amendments are processed in order to reflect the actual results and revised expectations of future revenue and expenditures.

For fiscal year 2014, General Fund revenues totaled $303.72 million, an increase of 4.0% from the previous fiscal year. Total revenues were $0.97 million above the final budgeted amount. This increase in actual revenue is the result of a continued rebound in the U.S. economy, which positively affected both employee withholdings and business returns. Revenues received for services provided were $0.74 million above the final budgeted amount. This is primarily due to detention center fees of $1.39 million. This was offset by various collections under budget by $0.65 million.

General Fund expenditures of the Government totaled $291.84 million, an increase of $12.18 million, or 4.4% over the previous fiscal year. Expenditures were $9.35 million below the final budgeted amount. Operating expenditures were $5.92 million below the final budgeted amount. Personnel expenditures, accounting for 63.2% of General Fund expenditures, were $2.48 million below the final budgeted amount. Divisions with collective bargaining agreements had personnel expenditures $3.61 million over the final budgeted amount. Personnel expenditures from these divisions account for 44.1% of the General Fund expenditures. Please see Table 5 below for more details regarding the distribution of General Fund personnel costs and the changes from prior year.

Table 5
Lexington-Fayette Urban County Government
Summary of General Fund Personnel Costs with Benefits
For Years as Stated
(in Thousands)

Departments	2014	2013	Change	% Change	% General Fund Expeditures
Non-Collective Bargaining Divisions					
Administrative Services	$2,464	$5,678	($3,214)	-56.6%	0.8%
Chief Development Officer	169	164	5	3.0%	0.1%
Chief Information Officer	3,613		3,613		1.2%
Department of Finance	4,256	4,333	(77)	-1.8%	1.5%
Department of General Services	6,280	6,168	112	1.8%	2.2%
Department of Law	3,149	2,967	182	6.1%	1.1%
Department of Public Safety	3,341	6,437	(3,096)	-48.1%	1.1%
Department of Social Services	5,157	4,901	256	5.2%	1.8%
Department of Environmental Quality & PW	3,895	5,315	(1,420)	-26.7%	1.3%
Department of Planning, Preservation & Dev	7,049	2,497	4,552		2.4%
General Government	5,016	4,705	311	6.6%	1.7%
Parks and Recreation	11,490	11,357	133	1.2%	3.9%
Total Non-Collective Bargaining Divisions	55,879	54,522	1,357	2.5%	19.1%
Divisions with Collective Bargaining					
Police	55,146	54,426	720	1.3%	18.9%
Community Corrections	22,038	20,909	1,129	5.4%	7.6%
Fire and Emergency Services	51,497	50,317	1,180	2.3%	17.6%
Total Collective Bargaining Divisions	128,681	125,652	3,029	2.4%	44.1%
Total Personnel Costs with Benefits	$184,560	$180,174	$4,386	2.4%	63.2%

CAPITAL ASSETS

The Government's capital assets totaled $1.38 billion as of June 30, 2014, details of which are in Note 3.B. to the financial statements. This investment includes land, buildings, equipment, park facilities, roads, bridges, and sewer systems. For Governmental Activities, the recorded capital investments, net of related debt totaled $860.07 million. Governmental Activities capital assets, net of related debt decreased by $17.62 million from the prior fiscal year. The capital assets, net of related debt of Business-Type Activities totaled $222.91 million, an increase of $5.60 million over the previous fiscal year.

This year's major changes in capital assets included:

- Governmental Activities total capital assets decreased by $11.86 million compared to the previous fiscal year. The decrease was primarily due to depreciation of $47.08 million and asset retirements of $0.54 million, respectively, offset by capital additions of $35.76 million. Infrastructure assets decreased by $32.28 million, primarily due to depreciation. Infrastructure includes roads, bridges, storm water, fiber optics, traffic signals and similar items. In addition, construction in progress increased $15.72 from the previous fiscal year. Purchases of Development Rights (PDR) increased by $3.27 million.

- Capital assets for Business-Type Activities increased by $17.84 million. The overall increase was primarily due to construction in progress increasing by $25.65 million. The increase represents several projects underway related to the Government's Remedial Measures Plan, filed with the Environmental Protection Agency. Additional information can be found in Note 5.B. to the financial statements. This was

offset primarily by decreases in buildings and infrastructure, sewer lines/plants of $4.20 million and $5.64 million, respectively.

- Infrastructure assets totaled $697.74 million in the Governmental Activities and $192.25 million in Business-Type Activities. The overall decrease from the previous year in infrastructure assets totaled $37.92 million. The decrease was primarily due to depreciation of $39.54 million, offset by net additions and reclassifications of $1.62 million.

Table 6
Lexington-Fayette Urban County Government
Summary of Capital Assets
For Years as Stated
(in thousands)

	Governmental Activities		Business-Type Activities		Total Primary Government	
	2014	2013	2014	2013	2014	2013
Land	$58,813 *	$58,813	$41,543	$41,525	$100,356 *	$100,338
Purchase of Development Rights	75,460	72,187			75,460	72,187
Intangibles	4,527	4,975	1,228	883	5,755	5,858
Buildings	92,958	96,485	44,373	48,568	137,331	145,053
Vehicles, Equipment and Furniture	29,853	27,785	8,102	5,632	37,955	33,417
Land and Leasehold Improvements	12,812	10,748	10,417	11,560	23,229	22,308
Infrastructure and Sewer Lines/Plants	697,738	730,013	192,249	197,891	889,987	927,904
Construction in Progress	37,029	21,308	40,208	14,562	77,237	35,870
Developments in Progress	21,767	20,502	8,042	7,700	29,809	28,202
Total	$1,030,957	$1,042,816	$346,162	$328,321	$1,377,119	$1,371,137

* Restated beginning balance due to prior period adjustment, see Note 2.D. to the financial statements

Additional information on the Government's capital assets activity can be found in Note 3.B. to the financial statements.

DEBT ADMINISTRATION

The Government began issuing General Obligation (GO) bonds in fiscal year 1999 because of changes in state law that had previously precluded this type of financing. Since GO bonds are backed by the full faith and credit of the Government, they carry a higher credit rating than other forms of debt and have lower interest rates. As a result, future debt issues on behalf of the Government will be GO debt unless such debt is secured by Enterprise Fund activities.

Prior to the issuance of GO bonds, mortgage revenue bonds were issued through various public corporations in order to finance public projects. For mortgage revenue bonds, the Government enters into annual renewable lease agreements automatically with the corporations whereby lease payments from the Government, combined with revenues generated by the operation of the facilities, are sufficient to meet debt service obligations. The underlying security for the bond is the annual lease agreements and the underlying mortgages on the property. Revenue bonds, where only the revenues from the operation of the facilities are pledged as security for the bonds, are issued to finance improvements to the sanitary sewer system.

At the end of fiscal year 2014, the Government had $433.29 million in bonds and notes outstanding; Governmental Activities' debt decreased by $4.50 million and total debt increased by $4.11 million. The decrease in debt for Governmental Activities resulted primarily from the issuance of GO bonds totaling $17.04 million, offset by principal payments, bond refunding and amortized bond costs in the current fiscal year on outstanding debt of

$21.23 million. The Business-Type Activities debt increased $8.61 million primarily from note payable proceeds of $14.04 million, offset by principal payments and amortized bond costs of $5.43 million.

Despite recent legal changes that provide for the issuance of GO debt, legal limits remain on the total amount of GO indebtedness that may be incurred. The Kentucky Constitution provides that the total principal amount of GO debt cannot exceed 10% of the value of taxable property in the county, or $2.83 billion. State law provides the same limitation as set forth in the constitution except that the limitation applies to "net indebtedness", which excludes self-supporting obligations, revenue bonds, special assessment debt and non-tax supported debt issued prior to July 15, 1996 (the effective date of the previously discussed statutory change). The total amount of debt subject to the legal limitation is $200.82 million.

Table 7
Lexington-Fayette Urban County Government
Summary of Outstanding Debt
For Years as Stated
(in thousands)

	Governmental		Business-Type Activities		Total Primary Government	
	2014	2013	2014	2013	2014	2013
General Obligation Bonds, Notes, Leases	$310,041	$314,541	$27,785	$14,404	$337,826	$328,945
Mortgage Revenue Bonds			52,873	54,831	52,873	$54,831
Revenue Bonds			42,591	45,400	42,591	$45,400
Total	$310,041	$314,541	$123,249	$114,635	$433,290	$429,176

The Government maintains a general obligation bond rating of "Aa2" from Moody's and "AA" from Standard & Poor's. The revenue bonds of the sanitary sewer system have a bond rating of "Aa3" from Moody's and "AA" from Standard & Poor's. The rating of the Government's lease revenue debt is "AA3" from Moody's and "AA-" from Standard & Poor's. The Government has not issued lease revenue debt since 1998 due to changes in state law that provided for the issuance of general obligation debt.

Additional information regarding the Government's long-term debt can be found in Note 3.D. to the financial statements.

NEXT YEAR'S BUDGET

The Lexington-Fayette Urban County Government Fiscal Year 2015 Budget, for all funds combined, net of interfund transfers, is $540,053 million. Significant initiatives in the budget include:

- A commitment of $87.68 million for storm sewer projects and programs as required by the Environmental Protection Agency Consent Decree.
- GO bonds were approved as part of the fiscal year 2015 budget for $26.19 million. The bonds will fund projects for Information Technology infrastructure improvements, the E911 Radio System, Facilities and Fleet maintenance and replacement, relocation of Fire Station #2, Kentucky Theatre renovations, and local parks.

REQUESTS FOR INFORMATION

This financial report is designed to provide a general overview of the Government's finances. Questions concerning any of the information provided in this report or requests for additional information should be addressed to the Commissioner of Finance, 200 East Main Street, Lexington-Fayette Urban County Government, Lexington, Kentucky, 40507.

BASIC FINANCIAL STATEMENTS

LEXINGTON-FAYETTE URBAN COUNTY GOVERNMENT
STATEMENT OF NET POSITION
June 30, 2014

	Primary Government			
	Governmental Activities	**Business-Type Activities**	**Total**	**Component Units**
ASSETS				
Cash	$24,989,945	$53,113,425	$78,103,370	$29,122,848
Investments	100,620,595	46,296,001	146,916,596	10,949,491
Receivables (Net)	24,378,448	6,778,206	31,156,654	3,377,869
Due from Other Governments	7,018,064		7,018,064	4,353,094
Due from Fidicuciary Funds	2,757,127		2,757,127	
Due from Component Units	959,355		959,355	
Due from Primary Government				1,378,530
Other Current Assets				720,456
Inventories and Prepaid Expenses	2,050,868	399,924	2,450,792	501,202
Net Pension Asset	54,120,506		54,120,506	
Restricted Assets:				
Cash				9,912,356
Receivables (Net)				431,456
Grants Receivable				
Investments	21,016,233	19,313,125	40,329,358	22,139,102
Other				54,956
Pension Asset				826,307
Capital Assets:				
Non-depreciable	196,172,937	90,020,027	286,192,964	43,913,868
Depreciable (Net)	834,783,629	256,142,057	1,090,925,686	213,738,398
Other Assets	555,000		555,000	2,769,485
Total Assets	$1,269,422,707	$472,062,765	$1,741,485,472	$344,189,418
DEFERRED OUTFLOWS OF RESOURCES				
Deferred Amount on Bond Refunding	$0	$0	$0	$143,715
Total Deferred Outflows of Resources	$0	$0	$0	$143,715
LIABILITIES				
Accounts, Contracts Payable and Accrued Liabilities	$18,187,353	$6,705,343	$24,892,696	$7,611,115
Interest Payable	3,409,584	579,763	3,989,347	20,997
Internal Balances	325,907	(325,907)		
Due to Component Units	1,378,530		1,378,530	
Due to Primary Government				959,355
Unearned Revenue and Other	4,851,990	76,834	4,928,824	272,052
Claims Liabilities	29,020,705		29,020,705	
Liabilities Payable from Restricted Assets:				
Accounts, Contracts and Retainage Payable		1,611,912	1,611,912	208,573
Bonds and Notes Payable		3,582,184	3,582,184	
Interest Payable		829,272	829,272	1,214,119
Non-Current Liabilities:				
Due Within One Year:				
Bonds and Notes Payable	20,850,000	2,275,398	23,125,398	3,979,035
Compensated Absences	3,392,876	433,472	3,826,348	505,568
Landfill Closure and Postclosure Care Costs		436,159	436,159	
Due in More Than One Year:				
Unearned Revenue and Other	4,592,171	455,246	5,047,417	722,478
Bonds and Notes Payable	289,190,731	117,391,225	406,581,956	87,575,327
Compensated Absences	19,653,850	934,132	20,587,982	863,492
Landfill Closure and Postclosure Care Costs		12,717,802	12,717,802	
Unfunded Other Post Retirement Benefit Liability	74,166,338		74,166,338	
Unfunded Pension Liability	1,395,888		1,395,888	
Total Liabilities	$470,415,923	$147,702,835	$618,118,758	$103,932,111

LEXINGTON-FAYETTE URBAN COUNTY GOVERNMENT
STATEMENT OF NET POSITION
June 30, 2014

	Primary Government			
	Governmental Activities	**Business-Type Activities**	**Total**	**Component Units**
NET POSITION				
Investment in Capital Assets, Net of Related Debt	$860,074,409	$222,913,279	$1,082,987,688	$166,227,897
Restricted for:				
Governmental and Program Funds				214,328
Capital Projects	20,133,026	44,234,664	64,367,690	100,195
Energy Improvement Projects	650,188	95,474	745,662	
Debt Service		9,833,181	9,833,181	24,372,253
Capital Replacement		2,192,230	2,192,230	
Pension				826,307
Water Quality Incentive Program		4,547,806	4,547,806	
Grants	1,262,100		1,262,100	
Maintenance and Operations		7,305,945	7,305,945	
Unrestricted (Deficit)	(83,112,939)	33,237,351	(49,875,588)	48,660,042
Total Net Position	$799,006,784	$324,359,930	$1,123,366,714	$240,401,022

The accompanying notes are an integral part of the financial statements.

LEXINGTON-FAYETTE URBAN COUNTY GOVERNMENT
STATEMENT OF ACTIVITIES
For the Year Ended June 30, 2014

		Program Revenues			Net (Expenses) Revenue and Changes in Net Assets — Primary Government			
Function/Program Activities	**Expenses**	**Charges for Services**	**Operating Grants and Contributions**	**Capital Grants and Contributions**	**Governmental Activities**	**Business-Type Activities**	**Total**	**Component Units**
Primary Government:								
Governmental Activities:								
General Government	$26,973,537	$17,046,255	$98,125	$0	($9,829,157)	$0	($9,829,157)	$0
Administrative Services	5,342,699	367,363	1,773,420	14,560	(3,187,356)		(3,187,356)	
Health, Dental, and Vision	24,893,545	24,893,545						
Chief Development Officer	192,555	6,281			(186,274)		(186,274)	
Chief Information Officer	6,983,029	4,271			(6,978,758)		(6,978,758)	
Finance	16,726,346	3,358,781			(13,367,565)		(13,367,565)	
Environmental Quality & Public Works	45,339,718	2,681,977	2,078,102	474,864	(40,104,775)		(40,104,775)	
Planning, Preservation, & Development	47,343,980	2,245,228	211,457	8,351,388	(36,535,907)		(36,535,907)	
Public Safety	10,776,283	64,898	933,487		(9,777,898)		(9,777,898)	
Police	69,822,219	2,039,209	3,207,264	270,696	(64,305,050)		(64,305,050)	
Fire and Emergency Services	67,689,682	7,036,029	3,810,559		(56,843,094)		(56,843,094)	
Community Corrections	34,000,937	9,161,315	35,914		(24,803,708)		(24,803,708)	
Social Services	10,478,516	1,703,695	2,909,769	72,567	(5,792,485)		(5,792,485)	
General Services	10,551,162	4,155			(10,547,007)		(10,547,007)	
Parks and Recreation	19,693,483	3,869,990	50,328	16,497	(15,756,668)		(15,756,668)	
Law and Risk Management	3,811,867	49,006			(3,762,861)		(3,762,861)	
Interest on Long-Term Debt	13,053,635				(13,053,635)		(13,053,635)	
Total Governmental Activities	413,673,193	74,531,998	15,108,425	9,200,572	(314,832,198)	0	(314,832,198)	
Business-Type Activities:								
Sanitary Sewer System	43,664,387	50,480,049				6,815,662	6,815,662	
Public Facilities	8,895,507	6,375,794				(2,519,713)	(2,519,713)	
Public Parking	265,226					(265,226)	(265,226)	
Landfill	6,060,197	7,064,989				1,004,792	1,004,792	
Right of Way	308,683	520,812				212,129	212,129	
Extended School Program	1,977,394	2,202,171				224,777	224,777	
Prisoners' Account System	1,844,393	2,372,285				527,892	527,892	
Enhanced 911	2,384,796	4,273,106				1,888,310	1,888,310	
CKY Network	450,919	111,576				(339,343)	(339,343)	
Water Quality	9,139,302	13,119,524				3,980,222	3,980,222	
Total Business-Type Activities	74,990,804	86,520,306	0	0	0	11,529,502	11,529,502	
Total Primary Government	$488,663,997	$161,052,304	$15,108,425	$9,200,572	($314,832,198)	$11,529,502	($303,302,696)	

The accompanying notes are an integral part of the financial statements.

LEXINGTON-FAYETTE URBAN COUNTY GOVERNMENT
STATEMENT OF ACTIVITIES
For the Year Ended June 30, 2014

		Program Revenues			Net (Expenses) Revenue and Changes in Net Assets			
					Primary Government			
Function/Program Activities	**Expenses**	**Charges for Services**	**Operating Grants and Contributions**	**Capital Grants and Contributions**	**Governmental Activities**	**Business-Type Activities**	**Total**	**Component Units**
Component Units:								
Lexington Center Corporation	$20,495,093	$14,603,070	$748,000	$3,767,750				($1,376,273)
Lexington Airport Board	22,147,776	17,365,645		2,467,049				(2,315,082)
Fayette County Department of Health	14,833,005	3,274,625	5,538,101					(6,020,279)
Parking Authority of Lexington	2,921,479	3,559,984		267,500				906,005
Nonmajor Component Units	46,372,569	3,636,774	5,814,106	1,127,317				(35,794,372)
Total Component Units	$106,769,922	$42,440,098	$12,100,207	$7,629,616	$0	$0	$0	($44,600,001)
	General Revenues:							
	Property Taxes				$54,759,199	$0	$54,759,199	$46,100,953
	Licenses Fees - Wages and Net Profits Taxes				248,271,270		248,271,270	
	Grants and Contributions Not Restricted to Specific Programs:							
	Community Development Block Grant				2,009,120		2,009,120	
	Income on Investments				263,242	1,021,558	1,284,800	466,806
	Net Change in Fair Value of Investments							190,369
	Gain (Loss) on Sale of Capital Assets							(2,350,349)
	Miscellaneous							35,556
	Debt Issuance Costs							(86,360)
	Payment to Lexington-Fayette Urban County Government							348,000
	Transfers				(871,447)	871,447		
	Total General Revenues and Transfers				304,431,384	1,893,005	306,324,389	44,704,975
	Change in Net Position				(10,400,814)	13,422,507	3,021,693	104,974
	Net Position, Beginning				809,948,755	310,937,423	1,120,886,178	240,151,674
	Adjustment to Opening Net Position (Note 2.D.)				(541,157)		(541,157)	144,374
	Net Position, Beginning - Restated				809,407,598	310,937,423	1,120,345,021	240,296,048
	Net Position, Ending				$799,006,784	$324,359,930	$1,123,366,714	$240,401,022

The accompanying notes are an integral part of the financial statements.

LEXINGTON-FAYETTE URBAN COUNTY GOVERNMENT
BALANCE SHEET
GOVERNMENTAL FUNDS
June 30, 2014

	General	Urban Services	Federal and State Grants	Other Governmental Funds	Total Governmental Funds
ASSETS					
Cash	$4,017,753	$7,912,995	$149,180	$8,565,921	$20,645,849
Investments	71,304,895	20,777,582		8,538,118	100,620,595
Receivables:					
Loans			3,292,976		3,292,976
License Fees	15,355,521				15,355,521
Other	11,628,022	399,295	518,342	1,390,378	13,936,037
Less Allowance for Uncollectible Amounts	(5,033,549)		(3,292,976)		(8,326,525)
Due from Other Governments			7,018,064		7,018,064
Due from Component Units	959,355				959,355
Due from Fiduciary Funds	2,757,127				2,757,127
Due from Other Funds		2,180,879		4,324,761	6,505,640
Inventories and Prepaid Items	1,627,367	11,112		77,859	1,716,338
Restricted Investments	901		28,298	20,987,034	21,016,233
Total Assets	$102,617,392	$31,281,863	$7,713,884	$43,884,071	$185,497,210
LIABILITIES AND FUND BALANCES					
Liabilities:					
Accounts and Contracts Payable	$5,440,938	$1,084,277	$1,626,115	$2,923,569	$11,074,899
Accrued Payroll & Related Liabilities	6,319,125	317,292	126,991	2,189	6,765,597
Due to Other Funds	24,803,327		2,238,870	4,454,553	31,496,750
Due to Component Units	1,378,530				1,378,530
Unearned Revenue and Other	923,967		2,459,808	1,468,215	4,851,990
Total Liabilities	38,865,887	1,401,569	6,451,784	8,848,526	55,567,766
Fund Balances:					
Nonspendable	1,627,367	11,112		77,859	1,716,338
Restricted for:					
Public Works				11,534,007	11,534,007
Public Safety				1,569,569	1,569,569
Capital Projects				20,133,026	20,133,026
Grants Projects			1,262,100		1,262,100
Urban Services		29,855,868			29,855,868
Energy Improvement Projects	636,874	13,314			650,188
Committed for:					
General Government	11,249,146				11,249,146
Economic Stabilization	25,224,221				25,224,221
Assigned to:					
General Government	12,700,000			1,721,084	14,421,084
Capital Projects	8,137,251				8,137,251
Unassigned	4,176,646				4,176,646
Total Fund Balances	63,751,505	29,880,294	1,262,100	35,035,545	129,929,444
Total Liabilities and Fund Balances	$102,617,392	$31,281,863	$7,713,884	$43,884,071	$185,497,210

The accompanying notes are an integral part of the financial statements.

LEXINGTON-FAYETTE URBAN COUNTY GOVERNMENT
RECONCILIATION OF THE BALANCE SHEET OF GOVERNMENTAL FUNDS
TO THE STATEMENT OF NET POSITION
June 30, 2014

Total Fund balances - Governmental Funds		$129,929,444
Amounts reported for Governmental Activities in the Statement of Net Position is different because:		
Capital assets used in Governmental Activities are not financial resources and, therefore, are not reported in the funds.		
Governmental capital assets	1,504,701,112	
Less accumulated depreciation	(473,744,546)	1,030,956,566
The net pension asset is not an available resource and, therefore, is not reported in the funds.		54,120,506
Other long-term assets are not available to pay for expenditures in the current period and, therefore, are not reported in the funds.		
Other assets		555,000
Long-term liabilities, including bonds and notes payable, are not due and payable in the current period and, therefore, are not reported in the funds.		
Bonds and notes payable	(310,040,731)	
Unearned revenue and other	(4,592,171)	
Interest payable	(3,409,584)	
Compensated absences	(23,046,726)	
Unfunded pension liability and other post retirement benefits	(75,562,226)	(416,651,438)
Internal service funds are used by management to charge the costs of insurance to individual funds. The assets and liabilities of the internal service funds are included in Governmental Activities in the Statement of Net Assets.		360,487
Internal balances due to non-governmental activities related to items listed above		(263,781)
Net Position of Governmental Activities		$799,006,784

The accompanying notes are an integral part of the financial statements.

LEXINGTON-FAYETTE URBAN COUNTY GOVERNMENT
STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES
GOVERNMENTAL FUNDS
For the Year Ended June 30, 2014

	General	Urban Services	Federal and State Grants	Other Governmental Funds	Total Governmental Funds
REVENUES					
License Fees and Permits	$252,196,981	$1,384,978	$0	$0	$253,581,959
Taxes	21,899,738	32,859,461			54,759,199
Charges for Services	24,643,221	2,153,866			26,797,087
Fines and Forfeitures	257,039	1,073			258,112
Intergovernmental	1,720,761	122,489	26,318,118	10,038,373	38,199,741
Exactions				486,643	486,643
Property Sales	56,688	114,414		9,950	181,052
Income on Investments	432,454	(220,093)	22,372	28,565	263,298
Other	2,509,949	85,657	409,294	1,062,319	4,067,219
Total Revenues	303,716,831	36,501,845	26,749,784	11,625,850	378,594,310
EXPENDITURES					
Current:					
General Government	3,461,232	2,158,207	59,100		5,678,539
Administrative Services	2,656,142	750,072	1,608,158		5,014,372
Chief Development Officer	182,074		8,265		190,339
Chief Information Officer	6,018,607				6,018,607
Finance	4,998,095	21,760		370	5,020,225
Environmental Quality & Public Works	7,264,436	28,394,020	748,590		36,407,046
Planning, Preservation, & Development	7,706,768		945,870	17,379	8,670,017
Public Safety	9,056,369		610,362	433,942	10,100,673
Police	63,522,382		3,312,593	524,046	67,359,021
Fire and Emergency Services	60,306,674		3,767,608		64,074,282
Community Corrections	31,950,424		22,993		31,973,417
Social Services	6,622,125		1,573,916		8,196,041
General Services	6,168,119	77,565			6,245,684
Parks and Recreation	18,089,109		13,688		18,102,797
Law	3,974,171	31,508		29,714	4,035,393
Outside Agencies	18,935,337		5,804,169		24,739,506
Debt Service:					
Principal	20,952,280	746,520		226,200	21,925,000
Interest	13,208,488	192,620		35,840	13,436,948
Other Debt Service				230,697	230,697
Capital:					
Equipment	5,814,118	5,180,361	847,274	8,887,177	20,728,930
Acquisitions and Construction	948,516	212,425	10,826,004	16,100,066	28,087,011
Total Expenditures	291,835,466	37,765,058	30,148,590	26,485,431	386,234,545
Excess (Deficiency) of Revenues Over (Under) Expenditures	11,881,365	(1,263,213)	(3,398,806)	(14,859,581)	(7,640,235)
OTHER FINANCING SOURCES (USES)					
Issuance of Debt				17,035,000	17,035,000
Premium on Bonds				615,210	615,210
Discount on Bonds				(86,367)	(86,367)
Issuance of Refunding Debt, par				55,925,000	55,925,000
Issuance of Refunding Debt, premium				5,390,131	5,390,131
Payment to Refunded Debt Escrow Agent				(61,146,118)	(61,146,118)
Transfers In	21,033,341	2,542,532	3,733,022	1,000,000	28,308,895
Transfers Out	(23,575,013)	(41,437)	(334,216)	(5,212,824)	(29,163,490)
Total Other Financing Sources (Uses)	(2,541,672)	2,501,095	3,398,806	13,520,032	16,878,261
Net Change in Fund Balances	9,339,693	1,237,882	0	(1,339,549)	9,238,026
Fund Balances, Beginning	54,411,812	28,642,412	1,262,100	36,375,094	120,691,418
Fund Balances, Ending	$63,751,505	$29,880,294	$1,262,100	$35,035,545	$129,929,444

The accompanying notes are an integral part of the financial statements.

LEXINGTON-FAYETTE URBAN COUNTY GOVERNMENT
RECONCILIATION OF THE STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES OF GOVERNMENTAL FUNDS TO THE STATEMENT OF ACTIVITIES
For the Year Ended June 30, 2014

Net change in fund balances - Governmental Funds		$9,238,026
Amounts reported for Governmental Activities in the Statement of Activities are different because:		
Governmental Funds report capital outlays as expenditures. However, in the Statement of Activities, the cost of those assets is depreciated over their estimated useful lives.		
Expenditure for capital assets	34,491,974	
Less current year depreciation	(47,075,058)	(12,583,084)
The net effect of various miscellaneous transactions involving capital assets (i.e. sales, trade-ins, and donations) is to decrease net position.		(557,715)
The change in other assets is reported in the Statement of Activities and does not require the use of current resources, therefore the change is not reported as an expenditure in the funds:		
Other assets		555,000
Revenues in the Statement of Activities that do not provide current financial resources are not reported as revenues in the funds:		
Exaction fees		1,281,310
Bond proceeds provide current financial resources to Governmental Funds, but issuing debt increases long-term liabilities in the Statement of Net Assets. Repayment of bond principal is an expenditure in the Governmental Funds, but the repayment reduces long-term liabilities in the Statement of Net Position.		
Issuance of debt	(17,035,000)	
Issuance of refunding debt	(55,925,000)	
Premium on bonds	(615,210)	
Premium on refunding bonds	(5,390,131)	
Discount on bonds	86,367	
Loss on refunding	676,118	
Principal payment to refunded bond escrow agent	60,470,000	
Principal payments	21,925,000	4,192,144
Some expenses in the Statement of Activities do not require the use of current financial resources and, therefore, are not reported as expenditures in the Governmental Funds.		
Change in net pension asset	(204,476)	
Amortization of current year bond (discounts) premiums	308,466	
Change in unfunded pension liability	57,851	
Change in unfunded other post retirement benefit liability	(9,185,932)	
Unearned revenue and other	(450,240)	
Change in accrued interest payable	383,313	
Change in claims liability		
Change in compensated absences	(2,890,185)	(11,981,203)
Internal Service Funds are used by management to charge self-insurance to individual funds. The net expense of the Internal Service Funds is reported within Governmental Activities.		(545,292)
Change in net assets of Governmental Activities		($10,400,814)

The accompanying notes are an integral part of the financial statements.

LEXINGTON-FAYETTE URBAN COUNTY GOVERNMENT
STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCE
BUDGETARY COMPARISON
GENERAL FUND
For the Year Ended June 30, 2014

	Budgeted Amounts			Variance with Final Budget-Positive
	Original	Final	Actual	(Negative)
REVENUES				
Licenses and Permits:				
Employee Withholdings	$166,250,000	$168,000,000	$166,397,404	($1,602,596)
Business Returns	33,375,000	33,500,000	32,938,397	(561,603)
Individual Returns			1,658	1,658
Insurance Premiums	26,500,000	26,500,000	25,354,944	(1,145,056)
Bond Deposits	2,000	2,000	100	(1,900)
Regulated License Fee	853,300	853,300	973,917	120,617
Franchise Fee	20,225,000	21,000,000	22,604,850	1,604,850
Bank Franchise Fee	1,337,160	1,337,160	1,384,978	47,818
Vehicle License	220,000	220,000	197,273	(22,727)
Deed Tax Fee	1,100,000	1,400,000	1,767,479	367,479
Registration Fee	310,000	310,000	381,312	71,312
Filing Fee - Planning & Zoning	126,700	126,700	113,699	(13,001)
Animal License	40,000	40,000	43,231	3,231
Certificates of Occupancy	10,000	10,000	8,500	(1,500)
Hotel - Motel License Fee	24,000	24,000	29,239	5,239
Total Licenses and Permits	250,373,160	253,323,160	252,196,981	(1,126,179)
Taxes:				
Realty Taxes	18,305,000	18,274,000	18,218,631	(55,369)
Personal Taxes	1,634,000	1,619,000	1,690,104	71,104
PSC Taxes	782,000	737,000	810,981	73,981
Property Tax Discount	(339,000)	(338,000)	(352,647)	(14,647)
Property Tax Commission	(848,000)	(846,000)	(868,483)	(22,483)
Delinquent - Realty & Personal	53,000	53,000	293,655	240,655
Motor Vehicle Ad Valorem Tax	1,645,000	1,659,000	1,990,784	331,784
County Clerk Com - Motor Vehicle	(66,000)	(66,000)	(63,927)	2,073
Supplementary Tax Bills	8,000	8,000	3,693	(4,307)
Omitted Tax	77,000	77,000	176,947	99,947
Total Taxes	21,251,000	21,177,000	21,899,738	722,738
Charges for Services:				
Accident Report Sales	90,000	90,000	103,438	13,438
Administrative Collection Fees	16,000	16,000	11,802	(4,198)
Adult Probation Fees	65,000	65,000	141,966	76,966
Animal Shelter Collections	16,000	16,000	18,650	2,650
Building Permits	1,008,130	1,108,130	1,227,651	119,521
Computer Services Fees			4,266	4,266
Detention Center	5,884,000	7,285,500	8,676,114	1,390,614
Developer Landscape Fees	5,500	5,500	5,650	150
District Court Jail Fees	200,000	400,000	343,235	(56,765)
Domestic Relations Collection	3,800	3,800	1,667	(2,133)
EMS	7,000,000	7,000,000	6,921,155	(78,845)
Excess Fees and Collections	2,400,000	2,700,000	2,742,475	42,475
Golf Course Collections	3,262,220	3,262,220	2,483,379	(778,841)
Park Land Acquisition	170,000	170,000	258,154	88,154
Parks & Recreation Programs	1,074,550	1,074,550	955,118	(119,432)
Rent or Lease Income	711,120	711,120	748,501	37,381
Total Charges for Services	21,906,320	23,907,820	24,643,221	735,401
Fines and Forfeitures	167,000	227,000	257,039	30,039
Intergovernmental	1,756,950	1,813,550	1,720,761	(92,789)
Property Sales	20,000	20,000	56,688	36,688
Investments	120,000	120,000	432,454	312,454
Other Income:				
Contributions		90,113	125,281	35,168
Other Income			19,328	19,328
Penalties and Interest	1,385,000	1,595,000	1,640,132	45,132
School Board Tax Fee	15,000	15,000	14,500	(500)
Tourist Commission Fee			316	316
Payment in Lieu of Taxes			30,269	30,269
Miscellaneous	346,750	460,597	680,123	219,526
Total Other Income	1,746,750	2,160,710	2,509,949	349,239
Total Revenues	297,341,180	302,749,240	303,716,831	967,591

continued

The accompanying notes are an integral part of the financial statements.

LEXINGTON-FAYETTE URBAN COUNTY GOVERNMENT
STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCE
BUDGETARY COMPARISON
GENERAL FUND
For the Year Ended June 30, 2014

	Budgeted Amounts			Variance with Final Budget-Positive
	Original	Final	Actual	(Negative)
EXPENDITURES				
General Government:				
Council Office	2,743,840	2,733,724	2,386,792	(346,932)
Office of the Mayor	1,486,740	1,481,740	1,418,354	(63,386)
Special Programs	753,150	764,811	733,099	(31,712)
Board of Elections	602,450	757,385	774,303	16,918
Clerk of the Urban County Council	526,640	518,210	494,319	(23,891)
County Attorney	851,310	851,310	851,310	
Coroner	894,560	884,560	863,156	(21,404)
Property Valuation Administrator	342,500	342,500	342,500	
Contingency	3,821,200	3,821,200		(3,821,200)
Circuit Judges	336,650	336,650	327,863	(8,787)
County Court Clerk	125,600	123,283	80,353	(42,930)
Citizens' Advocate	37,280	37,280	29,034	(8,246)
Commonwealth Attorney	156,510	156,510	153,622	(2,888)
County Judge Executive	20,950	20,450	13,162	(7,288)
Indirect Cost Allocation	(5,694,000)	(5,694,000)	(4,803,313)	890,687
Total General Government	7,005,380	7,135,613	3,664,554	(3,471,059)
Administrative Services:				
Office of the Chief Administrative Officer	952,360	941,360	869,219	(72,141)
Government Communications	816,540	815,540	782,253	(33,287)
Grants & Special Projects	442,770	435,989	420,770	(15,219)
Internal Audit Office	594,470	576,470	583,899	7,429
Total Administrative Services	2,806,140	2,769,359	2,656,141	(113,218)
Chief Development Officer				
Chief Development Officer	200,330	150,330	182,074	31,744
Total Chief Development Officer	200,330	150,330	182,074	31,744
Chief Information Officer				
Office of the CIO	239,130	189,130	114,303	(74,827)
Computer Services	5,492,400	5,154,147	4,766,808	(387,339)
Enterprise Solutions	1,179,150	1,188,405	1,137,494	(50,911)
Total Chief Information Officer	6,910,680	6,531,682	6,018,605	(513,077)
Department of Finance:				
Accounting	1,382,140	1,345,140	1,339,688	(5,452)
Office of Policy and Budget	472,550	472,550	437,339	(35,211)
Central Purchasing	565,430	545,430	527,808	(17,622)
Revenue	2,428,880	2,278,025	2,020,722	(257,303)
Finance Administration	791,200	803,700	696,531	(107,169)
Total Finance	5,640,200	5,444,845	5,022,088	(422,757)
Division of Environmental Quality & Public Works:				
Environmental Quality & PW Admin	254,520	269,004	244,415	(24,589)
Division of Environmental Policy	527,490	9,103	162,973	153,870
Streets & Roads	3,351,240	3,672,137	3,734,533	62,396
Traffic Engineering	3,596,250	3,412,383	3,224,294	(188,089)
Total Environmental Quality & Public Works	7,729,500	7,362,627	7,366,215	3,588
Department of Planning, Preservation, & Development:				
Building Inspection	2,269,270	2,159,770	2,002,936	(156,834)
Code Enforcement	2,010,420	1,939,020	1,683,409	(255,611)
Engineering	1,451,730	1,336,690	1,398,377	61,687
Planning, Preservation, & Dev	483,890	274,192	248,422	(25,770)
Historic Preservation	401,870	388,941	365,468	(23,473)
Planning	2,228,690	2,020,048	1,925,392	(94,656)
Purchase of Development Rights	143,370	124,570	118,325	(6,245)
Total Planning, Preservation & Development	8,989,240	8,243,231	7,742,329	(500,902)
Department of Public Safety:				
Police	62,918,500	63,147,478	63,546,723	399,245
Fire & Emergency Services	59,711,090	58,252,401	61,038,024	2,785,623
Community Corrections	32,610,800	32,646,516	31,990,325	(656,191)
Public Safety Administration	1,499,540	5,857,319	5,830,975	(26,344)
DEEM/Enhanced 911	3,631,620	3,275,889	3,225,394	(50,495)
Total Public Safety	160,371,550	163,179,603	165,631,441	2,451,838
Department of Social Services:				
Youth Services	2,157,130	2,021,252	1,868,950	(152,302)
Family Services	2,677,880	2,704,833	2,373,930	(330,903)
Adult Services	1,209,370	1,155,661	1,112,303	(43,358)
Social Services Administration	1,373,900	1,419,988	1,278,700	(141,288)
Total Social Services	7,418,280	7,301,734	6,633,883	(667,851)

continued

The accompanying notes are an integral part of the financial statements.

LEXINGTON-FAYETTE URBAN COUNTY GOVERNMENT
STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCE
BUDGETARY COMPARISON
GENERAL FUND
For the Year Ended June 30, 2014

	Budgeted Amounts			Variance with Final Budget-Positive
	Original	Final	Actual	(Negative)
EXPENDITURES, continued				
Department of General Services:				
Parks and Recreation	20,262,130	19,933,359	18,933,766	(999,593)
Fleet and Facilities Management	8,976,370	13,090,038	9,192,041	(3,897,997)
General Services Administration	1,898,720	1,868,913	1,722,053	(146,860)
Total General Services	31,137,220	34,892,310	29,847,860	(5,044,450)
Department of Law:				
Human Resources	2,206,730	2,038,633	1,883,052	(155,581)
Law	2,095,800	2,094,666	2,091,119	(3,547)
Total Law	4,302,530	4,133,299	3,974,171	(159,128)
Outside Agencies:				
Commerce Lexington	457,000	457,000	457,000	
Downtown Arts Center	109,250	109,250	109,250	
Downtown Lexington Corporation	42,710	42,710	42,710	
Environmental Commission	5,910	5,910	6,838	928
World Trade Center	100,000	100,000	100,000	
Grants & Special Projects Agencies	690,670	636,050	637,435	1,385
Social Service Agencies	1,907,495	1,866,636	1,905,090	38,454
Lexington Public Library	13,744,250	13,868,108	13,868,108	
Explorium of Lexington	246,950	246,950	246,600	(350)
Carnegie Literacy Center	48,260	48,260	47,818	(442)
Downtown Development Authority	348,000	1,356,000	1,354,488	(1,512)
Lyric Theatre	160,000	160,000	160,000	
Total Outside Agencies	17,860,495	18,896,874	18,935,337	38,463
Debt Service:				
Principal	21,523,500	21,241,690	20,952,280	(289,410)
Interest	13,132,370	13,414,180	13,208,488	(205,692)
Other Debt Service	488,440	488,440		(488,440)
Total Debt Service	35,144,310	35,144,310	34,160,768	(983,542)
Total Expenditures	295,515,855	301,185,817	291,835,466	(9,350,351)
Excess (Deficiency) of Revenues Over (Under) Expenditures	1,825,325	1,563,423	11,881,365	10,317,942
OTHER FINANCING SOURCES (USES)				
Transfers In	250,000	27,532,837	21,033,341	(6,499,496)
Transfers Out	(2,886,010)	(23,115,468)	(23,575,013)	(459,545)
Total Other Financing Sources	(2,636,010)	4,417,369	(2,541,672)	(6,959,041)
Net Change in Fund Balances	(810,685)	5,980,792	9,339,693	3,358,901
Fund Balance, Beginning	1,500,000	1,500,000	54,411,812	52,911,812
Fund Balance, Ending	$689,315	$7,480,792	$63,751,505	$56,270,713

The accompanying notes are an integral part of the financial statements.

LEXINGTON-FAYETTE URBAN COUNTY GOVERNMENT
STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCE
BUDGETARY COMPARISON
FULL URBAN SERVICES DISTRICT FUND
For the Year Ended June 30, 2014

	Budgeted Amounts			Variance with Final Budget-Positive
	Original	Final	Actual	(Negative)
REVENUES				
Licenses and Permits:				
Bank Franchise Fee	$1,337,160	$1,337,160	$1,384,978	$47,818
Total Licenses and Permits	1,337,160	1,337,160	1,384,978	47,818
Taxes:				
Realty Taxes	33,138,000	33,210,000	33,038,513	(171,487)
PSC Taxes	216,000	227,000	313,843	86,843
Property Tax Discount	(563,000)	(565,000)	(583,474)	(18,474)
Property Tax Commission	(350,000)	(350,000)	(350,000)	
Delinquent - Realty & Personal	6,000	6,000	432,867	426,867
Supplementary Tax Bills	10,000	10,000	7,712	(2,288)
Total Taxes	32,457,000	32,538,000	32,859,461	321,461
Charges for Services:				
Rent or Lease Income	2,500	2,500	4,500	2,000
Commodities	2,016,210	2,016,210	2,139,296	123,086
Dumpster Permit Fees	6,250	6,250	10,070	3,820
Total Charges for Services	2,024,960	2,024,960	2,153,866	128,906
Property Sales	105,000	105,000	114,414	9,414
Fines and Forfeitures	3,000	3,000	1,073	(1,927)
Intergovernmental	73,800	73,800	122,489	48,689
Investments			(220,093)	(220,093)
Other Income:				
Penalties and Interest	101,800	101,800	77,837	(23,963)
Miscellaneous		3,096	7,820	4,724
Total Other Income	101,800	104,896	85,657	(19,239)
Total Revenues	36,102,720	36,186,816	36,501,845	315,029
EXPENDITURES				
General Government:				
Contingency	236,100	236,100		(236,100)
Indirect Cost Allocation	2,570,000	2,570,000	2,158,207	(411,793)
Total General Government	2,806,100	2,806,100	2,158,207	(647,893)
Administrative Services:				
Office of the Chief Administrative Officer	33,870	33,870	33,178	(692)
Government Communications	1,318,820	1,318,820	593,897	(724,923)
Total Administrative Services	1,352,690	1,352,690	627,075	(725,615)
Department of CIO:				
Computer Services	143,680	143,680	122,996	(20,684)
Total CIO	143,680	143,680	122,996	(20,684)
Department of Finance:				
Finance	21,760	21,760	21,760	
Total Finance	21,760	21,760	21,760	
Division of Environmental Quality & Public Works				
Waste Management	26,067,730	26,229,955	21,842,049	(4,387,906)
Office of Compliance	883,320	814,128	656,006	(158,122)
Environmental Quality	277,630	277,630	119,507	(158,123)
Streets & Roads	2,165,710	2,165,710	2,056,344	(109,366)
Traffic Engineering	5,968,920	6,082,587	5,566,770	(515,817)
Environmental Quality & Public Works Administration	171,250	171,250	99,233	(72,017)
Total Environmental Quality & Public Works	35,534,560	35,741,260	30,339,909	(5,401,351)
Department of General Services:				
Fleet and Facilities Management	1,992,530	3,516,905	3,524,463	7,558
Total General Services	1,992,530	3,516,905	3,524,463	7,558

continued

The accompanying notes are an integral part of the financial statements.

LEXINGTON-FAYETTE URBAN COUNTY GOVERNMENT
STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCE
BUDGETARY COMPARISON
FULL URBAN SERVICES DISTRICT FUND
For the Year Ended June 30, 2014

	Budgeted Amounts			Variance with Final Budget-Positive (Negative)
	Original	Final	Actual	
EXPENDITURES, continued				
Department of Law:				
Human Resources	13,780	13,780	3,484	(10,296)
Law	27,050	27,050	28,024	974
Total Law	40,830	40,830	31,508	(9,322)
Debt Service:				
Principal	746,520	746,520	746,520	
Interest	192,620	192,620	192,620	
Total Debt Service	939,140	939,140	939,140	0
Total Expenditures	42,831,290	44,562,365	37,765,058	(6,797,307)
Excess (Deficiency) of Revenues Over (Under) Expenditures	(6,728,570)	(8,375,549)	(1,263,213)	7,112,336
OTHER FINANCING SOURCES (USES)				
Transfers In	2,529,220	2,542,532	2,542,532	
Transfers Out	(7,590)	(56,957)	(41,437)	15,520
Total Other Financing Sources (Uses)	2,521,630	2,485,575	2,501,095	15,520
Net Change in Fund Balances	(4,206,940)	(5,889,974)	1,237,882	7,127,856
Fund Balance, Beginning	22,250,000	22,250,000	28,642,412	6,392,412
Fund Balance, Ending	$18,043,060	$16,360,026	$29,880,294	$13,520,268

The accompanying notes are an integral part of the financial statements.

LEXINGTON-FAYETTE URBAN COUNTY GOVERNMENT
STATEMENT OF NET POSITION
PROPRIETARY FUNDS
June 30, 2014

	Business-Type Activities Enterprise Funds						
	Sanitary Sewer System	**Public Facilities Corporation**	**Landfill**	**Water Quality**	**Other Enterprise Funds**	**Total**	**Governmental Activities Internal Service Funds**
ASSETS							
Current Assets:							
Cash	$31,330,755	$1,598,941	$5,100,947	$11,703,646	$3,379,136	$53,113,425	$4,344,096
Investments	19,638,369	290,730	23,998,495	931,700	1,436,707	46,296,001	
Receivables:							
User Fees Receivable	8,004,377		1,367,773	1,699,880		11,072,030	
Other Receivables	310,722	73,849	30,468		456,971	872,010	120,439
Less Allowance for Uncollectible Accounts	(3,723,629)		(702,186)	(704,152)	(35,867)	(5,165,834)	
Inventories and Prepaid Expenses	356,547		433	6,041	36,903	399,924	334,530
Due from Other Funds		1,104,153	8,819	576,985	3,235,653	4,925,610	24,928,984
Restricted Investments:							
Reserved for Maintenance and Operation	7,305,945					7,305,945	
Reserved for Sinking Fund	4,916,590					4,916,590	
Total Current Assets	68,139,676	3,067,673	29,804,749	14,214,100	8,509,503	123,735,701	29,728,049
Non-Current Assets:							
Restricted Investments:							
Reserved for Capital Replacement	2,174,000					2,174,000	
Reserved for Debt Service	4,916,590					4,916,590	
Capital Assets:							
Land	1,825,534	32,578,646	5,194,637	1,543,824	400,000	41,542,641	
Land Improvements	254,476	25,500,678	16,575,425	157,788	3,207,206	45,695,573	
Buildings	3,034,578	117,534,398	219,445		55,351	120,843,772	
Sewer Plants	163,269,363					163,269,363	
Sewer Lines	179,645,170		366,314	2,921,112		182,932,596	
Leasehold Improvements		2,137,090				2,137,090	
Vehicles, Equipment, and Furniture	15,008,608	3,105,627	125,330	35,432	2,079,308	20,354,305	
Intangibles	1,985,902	69,281		228,455	1,534,909	3,818,547	
Less Accumulated Depreciation	(163,275,746)	(104,348,117)	(9,802,895)	(297,173)	(4,957,887)	(282,681,818)	
Construction in Progress	37,126,722			2,081,123	1,000,000	40,207,845	
Developments in Progress	8,042,170					8,042,170	
Total Non-Current Assets	254,007,367	76,577,603	12,678,256	6,670,561	3,318,887	353,252,674	0
Total Assets	$322,147,043	$79,645,276	$42,483,005	$20,884,661	$11,828,390	$476,988,375	$29,728,049

LEXINGTON-FAYETTE URBAN COUNTY GOVERNMENT
STATEMENT OF NET POSITION
PROPRIETARY FUNDS
June 30, 2014

	Business-Type Activities Enterprise Funds						
	Sanitary Sewer System	**Public Facilities Corporation**	**Landfill**	**Water Quality**	**Other Enterprise Funds**	**Total**	**Governmental Activities Internal Service Funds**
LIABILITIES							
Current Liabilities:							
Accounts, Contracts and Retainage Payable	$4,811,801	$210,406	$236,306	$697,344	$209,275	$6,165,132	$346,857
Accrued Payroll	273,316		16,689	114,694	135,512	540,211	
Due to Other Funds	4,863,484					4,863,484	
Claims Payable							29,020,705
Bonds Payable		2,215,000		60,398		2,275,398	
Interest Payable		575,256		4,507		579,763	
Unearned Revenue and Other	76,834					76,834	
Compensated Absences	344,235		1,341	56,425	31,471	433,472	
Landfill Closure and Postclosure Care Costs			436,159			436,159	
Payable from Restricted Investments:							
Accounts, Contracts and Retainage Payable	1,611,912					1,611,912	
Bonds and Notes Payable	3,582,184					3,582,184	
Interest Payable	829,272					829,272	
Total Current Liabilities	16,393,038	3,000,662	690,495	933,368	376,258	21,393,821	29,367,562
Non-Current Liabilities:							
Unearned Revenue and Other	255,214		200,000		32	455,246	
Bonds and Notes Payable	64,859,386	50,657,841		1,873,998		117,391,225	
Compensated Absences	794,109		12,068	56,425	71,530	934,132	
Landfill Closure and Postclosure Care Costs			12,717,802			12,717,802	
Total Non-Current Liabilities	65,908,709	50,657,841	12,929,870	1,930,423	71,562	131,498,405	0
Total Liabilities	$82,301,747	$53,658,503	$13,620,365	$2,863,791	$447,820	$152,892,226	$29,367,562
NET POSITION							
Invested in Capital Assets, Net of Related Debt	$178,475,207	$23,704,764	$12,678,256	$4,736,165	$3,318,887	$222,913,279	$0
Restricted for:							
Capital Projects	41,970,885					41,970,885	
Capital Projects - Park Acquisition		2,263,779				2,263,779	
Debt Service	9,833,181					9,833,181	
Capital Replacement	2,174,000	18,230				2,192,230	
Energy Improvement Projects	86,078		9,396			95,474	
Water Quality Incentive Program				4,547,806		4,547,806	
Maintenance and Operations	7,305,945					7,305,945	
Unrestricted			16,174,988	8,736,899	8,061,683	32,973,570	360,487
Total Net Position	$239,845,296	$25,986,773	$28,862,640	$18,020,870	$11,380,570	324,096,149	$360,487

Adjustment to reflect the consolidation of internal service fund activities related to enterprise funds	263,781
Net Assets of Business-Type Activities	$324,359,930

The accompanying notes are an integral part of the financial statements.

LEXINGTON-FAYETTE URBAN COUNTY GOVERNMENT
STATEMENT OF REVENUES, EXPENSES, AND CHANGES IN NET POSITION
PROPRIETARY FUNDS
For the Year Ended June 30, 2014

	Business-Type Activities Enterprise Funds						Governmental Activities Internal Service Funds
	Sanitary Sewer System	Public Facilities Corporation	Landfill	Water Quality	Other Enterprise Funds	Total	
OPERATING REVENUES							
User Charges	$46,577,092	$0	$6,616,607	$12,984,673	$0	$66,178,372	$38,938,662
Fees	2,013,656		175,915	959	6,431,871	8,622,401	
Exactions	801,569					801,569	
License Fees and Permits					520,812	520,812	
Rental Income		5,706,491				5,706,491	
Theater Revenues		669,303				669,303	
Gross Profit - Commissary					1,375,813	1,375,813	
Other	1,155,128		272,467	133,892	1,151,454	2,712,941	
Total Operating Revenues	50,547,445	6,375,794	7,064,989	13,119,524	9,479,950	86,587,702	38,938,662
OPERATING EXPENSES							
Treatment Plant	7,935,854					7,935,854	
Collection System	4,461,052					4,461,052	
Property Management		1,503,466				1,503,466	
Theater Management		607,387				607,387	
Landfill			3,685,709			3,685,709	
Right of Way					301,325	301,325	
Extended School Program					1,809,867	1,809,867	
Prisoners' Account					573,409	573,409	
Inmate Trust Account					1,269,784	1,269,784	
Enhanced 911					2,361,860	2,361,860	
CKY Network					450,919	450,919	
Administration	20,773,379		1,525,660	9,011,332	161,615	31,471,986	2,584,778
Depreciation	8,047,827	4,278,149	848,828	101,290	104,400	13,380,494	
Claims and Benefit Payments							36,966,572
Total Operating Expenses	41,218,112	6,389,002	6,060,197	9,112,622	7,033,179	69,813,112	39,551,350
Operating Income (Loss)	9,329,333	(13,208)	1,004,792	4,006,902	2,446,771	16,774,590	(612,688)

LEXINGTON-FAYETTE URBAN COUNTY GOVERNMENT
STATEMENT OF REVENUES, EXPENSES, AND CHANGES IN NET POSITION
PROPRIETARY FUNDS
For the Year Ended June 30, 2014

	Business-Type Activities Enterprise Funds						
	Sanitary Sewer System	**Public Facilities Corporation**	**Landfill**	**Water Quality**	**Other Enterprise Funds**	**Total**	**Governmental Activities Internal Service Funds**
NON-OPERATING REVENUES (EXPENSES)							
Income on Investments	994,308	29	2,791	23,720	710	1,021,558	
Interest Expense and Fiscal Agent Fees	(2,345,864)	(2,334,416)		(26,680)		(4,706,960)	
Amortization of Bond Costs	(100,411)	(172,089)				(272,500)	
Gain (Loss) on Sale of Capital Assets					(198,233)	(198,233)	
Total Non-Operating Revenues (Expenses)	(1,451,967)	(2,506,476)	2,791	(2,960)	(197,523)	(4,156,135)	0
Income (Loss) Before Contributions and Transfers	7,877,366	(2,519,684)	1,007,583	4,003,942	2,249,248	12,618,455	(612,688)
Transfers In	88,369,088	1,054,641	9,396	2,698,058	511,000	92,642,183	
Transfers Out	(88,351,969)		(209,396)	(2,698,104)	(511,267)	(91,770,736)	
Change in Net Position	7,894,485	(1,465,043)	807,583	4,003,896	2,248,981	13,489,902	(612,688)
Net Position, Beginning	231,950,811	27,451,816	28,055,057	14,016,974	9,131,589		973,175
Net Position, Ending	$239,845,296	$25,986,773	$28,862,640	$18,020,870	$11,380,570		$360,487

Adjustment to reflect the consolidation of internal service fund activities related to enterprise funds	(67,395)
Change in net assets of Business-Type Activities	$13,422,507

The accompanying notes are an integral part of the financial statements.

LEXINGTON-FAYETTE URBAN COUNTY GOVERNMENT
STATEMENT OF CASH FLOWS
PROPRIETARY FUNDS
For the Year Ended June 30, 2014

	Business-Type Activities Enterprise Funds						
	Sanitary Sewer System	Public Facilities Corporation	Landfill	Water Quality	Other Enterprise Funds	Total	Governmental Activities Internal Service Funds
Increase (Decrease) in Cash and Cash Equivalents:							
Cash Flows from Operating Activities:							
Receipts from Customers	$47,593,542	$3,529,246	$6,656,747	$12,823,185	$8,735,376	$79,338,096	$0
Receipts from Employees and Other Sources							27,970,275
Receipts from Interfund Services Provided		2,839,659				2,839,659	(8,344,207)
Payments to Suppliers	(15,104,610)	(2,911,991)	(5,294,024)	(4,684,139)	(5,077,494)	(33,072,258)	(2,440,095)
Payments to Employees	(9,237,412)		(658,114)	(3,760,327)	(3,403,226)	(17,059,079)	
Payments for Interfund Services Used	(2,111,930)		(112,994)	(648,089)	(164,969)	(3,037,982)	
Payments for Claims							(37,710,064)
Net Cash Provided by (Used in) Operating Activities	21,139,590	3,456,914	591,615	3,730,630	89,687	29,008,436	(20,524,091)
Cash Flows from Noncapital Financing Activities:							
Transfers In	88,369,088	1,054,641	9,396	2,698,058	511,000	92,642,183	
Transfers Out	(88,351,969)		(209,396)	(2,698,104)	(511,000)	(91,770,469)	
Net Cash Provided by (Used in) Noncapital Financing Activities	17,119	1,054,641	(200,000)	(46)	0	871,714	0
Cash Flows from Capital and Related Financing Activities:							
Purchase of Capital Assets	(28,407,848)	(47,135)	(16,629)	(1,670,644)	(737,567)	(30,879,823)	
Proceeds from Note Payable	13,265,955			769,904		14,035,859	
Principal Paid on Bonds	(3,505,220)	(2,130,000)		(59,208)		(5,694,428)	
Interest and Fiscal Agent Fees Paid on Bonds	(2,348,241)	(2,334,416)		(26,680)		(4,709,337)	
Net Cash Used in Capital and Related Financing Activities	(20,995,354)	(4,511,551)	(16,629)	(986,628)	(737,567)	(27,247,729)	0
Cash Flows from Investing Activities:							
Purchase of Investments		(30)	(2,791)		(410)	(3,231)	
Proceeds from Sales and Maturities of Investments	22,603,774					22,603,774	
Income on Investments	613,915	29	2,791	20,000	710	637,445	
Net Cash Flows Provided by Investing Activities	23,217,689	(1)	0	20,000	300	23,237,988	0
Net Increase (Decrease)	23,379,044	3	374,986	2,763,956	(647,580)	25,870,409	(20,524,091)
Cash at Beginning of Year	7,951,711	1,598,938	4,725,961	8,939,690	4,026,716	27,243,016	24,868,187
Cash at End of Year	$31,330,755	$1,598,941	$5,100,947	$11,703,646	$3,379,136	$53,113,425	$4,344,096

LEXINGTON-FAYETTE URBAN COUNTY GOVERNMENT
STATEMENT OF CASH FLOWS
PROPRIETARY FUNDS
For the Year Ended June 30, 2014

	Business-Type Activities Enterprise Funds						
	Sanitary Sewer System	Public Facilities Corporation	Landfill	Water Quality	Other Enterprise Funds	Total	Governmental Activities Internal Service Funds
Reconciliation of Operating Income (Loss) to Net Cash Provided by (Used in) Operating Activities:							
Operating Income (Loss)	$9,329,333	($13,208)	$1,004,792	$4,006,902	$2,446,771	$16,774,590	($612,688)
Adjustments to Reconcile Operating Income (Loss) to Net Cash Provided by (Used in) Operating Activities:							
Depreciation	8,047,827	4,278,149	848,828	101,290	104,400	13,380,494	
Allowance for Bad Debts	2,475,289		268,649	394,179		3,138,117	
(Increase) Decrease in Assets:							
Accounts Receivable	(2,531,482)		(231,548)	(296,339)		(3,059,369)	
Other Receivables	(77,764)	(6,889)	23,306		(744,574)	(805,921)	218,097
Inventories and Prepaid Expenses	(265,733)		9	2,059	(27,375)	(291,040)	34,283
Due from Other Funds		(820,914)	98,520	(576,985)	(1,558,302)	(2,857,681)	(19,530,691)
Developments in Progress	(342,213)					(342,213)	
Increase (Decrease) in Liabilities:							
Accounts Payable	1,109,869	40,298	(785,625)	89,899	(137,319)	317,122	110,400
Accrued Payroll	36,875		(1,780)	19,420	7,671	62,186	
Claims Payable							(743,492)
Due to Other Funds	3,270,862			(8,132)	(990)	3,261,740	
Unearned Revenue	(2,444)		(200,000)		(691)	(203,135)	
Other Liabilities	33,170	(20,522)	(435,251)	2,501		(420,102)	
Compensated Absences	56,001		1,715	(4,164)	96	53,648	
Total Adjustments	11,810,257	3,470,122	(413,177)	(276,272)	(2,357,084)	12,233,846	(19,911,403)
Net Cash Provided by (Used In) Operating Activities	$21,139,590	$3,456,914	$591,615	$3,730,630	$89,687	$29,008,436	($20,524,091)

The accompanying notes are an integral part of the financial statements.

LEXINGTON-FAYETTE URBAN COUNTY GOVERNMENT
STATEMENT OF NET POSITION
FIDUCIARY FUNDS
June 30, 2014

	Pension Trust Funds	Agency Funds
ASSETS		
Cash and Cash Equivalents	$12,090,958	$672,970
Inventories and Prepaid Expenses	36	
Receivables:		
Interest Receivable	1,559,435	
Investments, at Fair Value:		
Debt Securities:		
US Agencies	38,601,548	
US Government Obligations	17,737,430	
Municipal Obligations	4,311,306	
International Bonds	14,511,546	
Corporate Debt	73,121,450	
Repurchase Agreements	39,838,438	
Other Investments:		
Equity Mutual Funds	274,718,357	
Equity Real Estate	59,591,263	
Equity Securities - Domestic	104,668,875	
Equity Securities - International	68,911,611	
Total Investments	696,011,824	0
Total Assets	$709,662,253	$672,970
LIABILITIES		
Accounts Payable and Accrued Expenses	$2,360	$0
Securities Lending Transactions	39,838,438	
Due to Other Funds	2,757,127	
Payable to Others		672,970
Total Liabilities	$42,597,925	$672,970
NET POSITION		
Amounts Held in Trust for Pension Benefits	$667,064,328	$0

The accompanying notes are an integral part of the financial statements.

LEXINGTON-FAYETTE URBAN COUNTY GOVERNMENT
STATEMENT OF CHANGES IN NET POSITION
FIDUCIARY FUNDS
For the Year Ended June 30, 2014

	Pension Trust Funds
ADDITIONS	
Contributions:	
Employer	$23,217,413
Employer - Administration	4,348,978
Plan Members	9,730,115
Other	124,281
Total Contributions	37,420,787
Investment Income:	
Net Change in Fair Value of Investments	93,993,717
Interest	6,656,709
Dividends	3,384,626
Total Investment Income	104,035,052
Less Investment Expense	3,358,171
Net Investment Income	100,676,881
Income from Securities Lending Activities:	
Securities Lending Income	47,229
Securities Lending Expenses:	
Borrower Rebates	(62,599)
Management Fees	43,903
Total Securities Lending Expenses (Income)	(18,696)
Net Income on Securities Lending Activities	65,925
Total Additions	138,163,593
DEDUCTIONS	
Benefit Payments	55,226,145
Administrative Expense	626,172
Total Deductions	55,852,317
Net Increase	82,311,276
Net Position, Beginning	584,753,052
Net Position, Ending	$667,064,328

The accompanying notes are an integral part of the financial statements.

LEXINGTON-FAYETTE URBAN COUNTY GOVERNMENT
STATEMENT OF NET POSITION
COMPONENT UNITS
June 30, 2014

	Lexington Center Corporation*	Lexington Airport Board	Fayette County Department of Health	Parking Authority of Lexington	Nonmajor Component Units	Total
ASSETS						
Cash	$660,042	$4,679,952	$4,492,998	$3,086,524	$16,203,332	$29,122,848
Investments		4,635,922			6,313,569	10,949,491
Receivables:						
Accounts Receivable	846,223	1,673,238	265,598		323,990	3,109,049
Other		13,352		10,276	268,833	292,461
Less Allowance for Uncollectible Accounts	(23,641)					(23,641)
Due from Primary Government	285,628				1,092,902	1,378,530
Due from Other Governments					4,353,094	4,353,094
Other Current Assets	291,634	428,822				720,456
Inventories and Prepaid Expenses			23,713	529	476,960	501,202
Restricted Current Assets:						
Cash		8,796,279			1,116,077	9,912,356
Accounts Receivable		431,456				431,456
Investments	4,952,651	10,480,491		724,214	510,616	16,667,972
Other		54,956				54,956
Pension Assets					826,307	826,307
Restricted Non-Current Investments	5,471,130					5,471,130
Capital Assets:						
Non-depreciable	15,261,613	10,260,494	450,000	7,829,434	10,112,327	43,913,868
Depreciable (Net)	40,784,857	126,511,644	2,543,309	11,205,052	32,693,536	213,738,398
Other Assets	125,407		2,494,078		150,000	2,769,485
Total Assets	$68,655,544	$167,966,606	$10,269,696	$22,856,029	$74,441,543	$344,189,418
DEFERRED OUTFLOWS OF RESOURCES						
Deferred amount on bond refunding	$143,715	$0	$0	$0	$0	$143,715
Total Deferred Outflows of Resources	$143,715	$0	$0	$0	$0	$143,715
LIABILITIES						
Accounts, Contracts Payable and Accrued Liabilities	$824,862	$1,798,757	$1,666,257	$940,107	$2,381,132	$7,611,115
Interest Payable					20,997	20,997
Due to Primary Government				571,363	387,992	959,355
Unearned Revenue and Other	204,563		59,514	5,781	2,194	272,052
Liabilities Payable from Restricted Assets:						
Accounts Payable		208,573				208,573
Interest Payable		1,214,119				1,214,119
Non-Current Liabilities:						
Due Within One Year						
Compensated Absences				7,407	498,161	505,568
Bonds and Notes Payable	2,005,000	1,100,000	125,000	364,123	384,912	3,979,035
Due in More Than One Year						
Compensated Absences			564,569	7,407	291,516	863,492
Bonds and Notes Payable	16,451,851	58,081,293	275,000	5,247,208	7,519,975	87,575,327
Other		722,478				722,478
Total Liabilities	$19,486,276	$63,125,220	$2,690,340	$7,143,396	$11,486,879	$103,932,111
NET POSITION						
Investment in Capital Assets, Net of Related Debt	37,733,334	77,427,123	2,593,309	13,423,155	35,050,976	166,227,897
Restricted for:						
Governmental and Program Funds			16,894		197,434	214,328
Capital Projects	51,608			48,587		100,195
Debt Service	5,419,522	18,504,212		448,519		24,372,253
Pension					826,307	826,307
Unrestricted	6,108,519	8,910,051	4,969,153	1,792,372	26,879,947	48,660,042
Total Net Position	$49,312,983	$104,841,386	$7,579,356	$15,712,633	$62,954,664	$240,401,022

* Restated to conform to the Government's implementation of GASB 65

The accompanying notes are an integral part of the financial statements.

LEXINGTON-FAYETTE URBAN COUNTY GOVERNMENT
STATEMENT OF ACTIVITIES
COMPONENT UNITS
For the Year Ended June 30, 2014

		Program Revenues			Net (Expenses) Revenue and Changes in Net Assets					
	Expenses	Charges for Services	Operating Grants and Contributions	Capital Grants and Contributions	Lexington Center Corporation*	Lexington Airport Board	Fayette County Department of Health	Parking Authority of Lexington	Nonmajor Component Units	Total
Lexington Center Corporation										
Lexington Center Operations	$15,079,198	$14,603,070	$748,000	$3,767,750	$4,039,622					$4,039,622
Depreciation	4,636,095				(4,636,095)					(4,636,095)
Interest on Long-Term Debt	779,800				(779,800)					(779,800)
Total Lexington Center Corporation	20,495,093	14,603,070	748,000	3,767,750						(1,376,273)
Lexington Airport Board										
Airport Operations	10,339,137	17,365,645		2,467,049		$9,493,557				9,493,557
Depreciation	9,607,242					(9,607,242)				(9,607,242)
Interest on Long-Term Debt	2,201,397					(2,201,397)				(2,201,397)
Total Lexington Airport Board	22,147,776	17,365,645	0	2,467,049						(2,315,082)
Fayette County Department of Health										
Department of Health Operations	14,441,865	3,274,625	5,538,101				($5,629,139)			(5,629,139)
Depreciation	343,956						(343,956)			(343,956)
Interest on Long-Term Debt	47,184						(47,184)			(47,184)
Total Fayette County Department of Health	14,833,005	3,274,625	5,538,101	0						(6,020,279)
Parking Authority of Lexington										
Parking Operations	2,403,869	3,559,984		267,500				$1,423,615		1,423,615
Depreciation	517,610							(517,610)		(517,610)
Total Parking Authority of Lexington	2,921,479	3,559,984	0	267,500						906,005
Nonmajor Component Units	46,372,569	3,636,774	5,814,106	1,127,317					($35,794,372)	(35,794,372)
Total Component Units	$106,769,922	$42,440,098	$12,100,207	$7,629,616	($1,376,273)	($2,315,082)	($6,020,279)	$906,005	($35,794,372)	($44,600,001)
General Revenues:										
Taxes					$2,923,907	$0	$7,463,357	$0	$35,713,689	$46,100,953
Payment from Lexington-Fayette Urban County Government									348,000	348,000
Income on Investments					28,317	353,487	2,287	951	81,764	466,806
Net Change in Fair Value of Investments						190,369				190,369
Gain (Loss) on Sale of Capital Assets					(8,285)	(1,655,528)	(719,227)	40,015	(7,324)	(2,350,349)
Issuance of Debt						(86,360)				(86,360)
Miscellaneous								12,301	23,255	35,556
Total General Revenues					2,943,939	(1,198,032)	6,746,417	53,267	36,159,384	44,704,975
Change in Net Position					1,567,666	(3,513,114)	726,138	959,272	365,012	104,974
Net Position, Beginning					47,602,411	108,354,500	6,851,750	14,753,361	62,589,652	240,151,674
Adjustment to Opening Net Position (Note 2.D.)					142,906		1,468			144,374
Net Position, Beginning-Restated					47,745,317	108,354,500	6,853,218	14,753,361	62,589,652	240,296,048
Net Position, Ending					$49,312,983	$104,841,386	$7,579,356	$15,712,633	$62,954,664	$240,401,022

* Restated to conform to the Government's implementation of GASB 65

The accompanying notes are an integral part of the financial statements.

LEXINGTON-FAYETTE URBAN COUNTY GOVERNMENT
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NOTE 1. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

The financial statements of the Lexington-Fayette Urban County Government (the Government) have been prepared in accordance with accounting principles generally accepted in the United States (GAAP) as applied to governmental units. The Governmental Accounting Standards Board (GASB) is the standard-setting body for government accounting and financial reporting. The GASB periodically updates its codification of the existing Governmental Accounting and Financial Reporting Standards, which, along with subsequent GASB pronouncements (Statements and Interpretations), constitutes GAAP for governmental units. The more significant of these accounting policies are described below and, where appropriate, subsequent pronouncements will be referenced.

A. Reporting Entity – The Government is a merged city-county government governed by an elected mayor and a fifteen-member council. The accompanying financial statements present the Government and its component units (traditionally separate reporting entities), for which the Government is considered to be financially accountable. The Government (the primary government) is financially accountable if it appoints a voting majority of the organization's governing board and (1) is able to impose its will on the organization or (2) there is a potential for the organization to provide specific financial benefit to or impose specific financial burden on the Government. Additionally, the Government is required to consider other organizations for which the nature and significance of their relationship with the Government are such that exclusion would cause the Government's financial statements to be misleading or incomplete. The financial statements are formatted to allow the user to clearly distinguish between the primary government and its component units.

1. Blended Component Units – The agencies and organizations listed below are, in substance, the same as the Government, despite being legally separate from the Government. Therefore, they are reported as part of the primary government. They have a governing body that is substantially the same as the governing body of the Government; provide services entirely, or almost entirely, to the Government; or otherwise exclusively, or almost exclusively, benefit the Government even though they do not provide services directly to the Government; and whose total debt outstanding is expected to be repaid entirely, or almost entirely, with resources of the Government.

The Public Library Corporation (PLC) is an instrumentality of the Government created solely for acquiring, constructing, equipping, and financing public projects to be used for public library purposes. The board consists of the Mayor, Vice Mayor, two members appointed by the Lexington Public Library, and one member appointed by the other four board members.

The Policemen's and Firefighters' Retirement Fund and the City Employees' Pension Fund are single employer, defined benefit pension plans that cover eligible Government personnel. Members of both boards are comprised of officials, employees and retirees of the Government.

The Public Facilities Corporation (PFC) was created to act as an agency and instrumentality of the Government in acquiring, developing and financing public improvements and public projects. The Mayor, Vice Mayor and Commissioner of Finance serve ex officio on the board.

The Public Parking Corporation (PPC) was created to act as an agency and instrumentality of the Government in the acquisition and financing of public parking projects. The Mayor, Vice Mayor and Commissioner of Finance serve ex officio on the board.

2. Discretely Presented Component Units – The agencies described below are included in the Government's reporting entity because the Government appoints the governing body or a financial benefit or burden relationship exits. Additionally, the agencies are fiscally dependent on the Government. All of these agencies are reported as discretely presented component units since the governing body is not substantively the same as the governing body of the Government, and they provide services to the citizens of Fayette County and the surrounding area as opposed to only the primary government. To emphasize that they are legally separate from the Government, they are reported in a separate column in the financial statements. Fund information for the component units, if applicable, may be found in their separately issued financial statements. Requests for separately issued financial statements should be directed to the attention of those respective entities.

The Lexington Public Library's (Library) primary mission is to maintain a free public library in Lexington-Fayette County. The Mayor appoints all seven members of the board with approval by the Urban County Council and they may be removed by the vote of the Urban County Council. The Government provides financial support in the form of annual appropriations based upon property tax collections.

The Lexington-Fayette Urban County Department of Health (Board of Health) has the general statutory responsibility of promoting and protecting the health of Fayette County residents. This entity provides critical services to the citizens of Fayette County on behalf of the Government. The Government appoints the nine members of the Board of Health. In addition, the Lexington-Fayette Urban County Council approves their Ad Valorem tax rate annually.

The Lexington Downtown Development Authority, Inc. (DDA) is a non-profit government corporation created in fiscal year 2002 to act as an agency of the Government in various economic development, redevelopment and physical improvement activities associated with downtown. The DDA is governed by a nine-member board that is appointed by the Mayor and approved by the Urban County Council. The Government provides in-kind and financial support to the DDA by providing accounting and payroll services and annual appropriations to help meet operating expenses.

The Lexington Transit Authority (LexTran) was organized to provide unification and coordination of a mass transportation system for Fayette County. This entity provides critical services to the citizens of Fayette County on behalf of the Government. The business activities and affairs of LexTran are directed by an eight-member board appointed by the Government. In addition, the Lexington-Fayette Urban County Council approves the annual budget for LexTran.

The Lexington Convention and Visitors Bureau (Visitors Bureau) was established by the Government for the purpose of promoting recreational, convention and tourist activity in Fayette County. The Government may abolish the Visitors Bureau by repealing the ordinance that created it. All nine members of the Visitors Bureau board are appointed by the Mayor and may be removed by a majority vote of the Urban County Council. The Government has a statutory authority to provide funds for the operation of the Visitors Bureau by imposing a transient room tax not exceeding four percent of qualified occupancy rental.

The Lexington Center Corporation (LCC) is a non-profit, non-stock corporate agency and instrumentality of the Government. The purpose of the LCC is to plan, finance, develop and operate a convention, trade show, performing arts and sports facility. The thirteen-member board is appointed by the Mayor and approved by the Urban County Council. The Government has statutory authority to impose a transient room tax, not exceeding two percent of qualified occupancy rental, to provide funds for payment of debt service. As discussed in Note 5.D., the Government entered into a Lease Agreement that provides for an annual rental to be paid by the Government if net revenues are not sufficient to pay all debt service costs.

The Lexington-Fayette Urban County Airport Board (Airport Board) is responsible for the operation, maintenance, and planning of airport facilities designed to serve the general public of the Central Kentucky area. The ten board members are appointed by the Mayor and approved by the Urban County Council. The

Government has entered into a Contract Lease and Option Agreement, discussed in Note 5.E., which requires an annual rental to be paid by the Government if net revenues are not sufficient to pay all debt service costs.

Parking Authority of Lexington (Parking Authority) was established to centralize all public parking functions into one entity, to improve parking operations and ultimately to improve the availability of parking in downtown Lexington. The Parking Authority has a five-member board of commissioners appointed by the Mayor. The Parking Authority is financially dependent on the Government for both accounting and administrative services.

The Parking Authority and the DDA are included in the comprehensive audit of the Government and do not issue separate financial statements. The Parking Authority and the DDA each have one fund for financial reporting. Complete audited financial statements for the other component units may be obtained from the Commissioner of Finance of the Government or from the respective agencies.

B. Related Organization – A related organization is an entity for which the Government is not financially accountable. It does not impose will or have a financial benefit or burden relationship, even if the Government appoints a voting majority of the related organization's governing board.

The Lexington-Fayette Urban County Housing Authority (Housing Authority) was created in order to develop and operate decent, safe and sanitary housing for low income, elderly and disabled residents. The appointment of the governing board by the Mayor and the scope of public service are not considered an adequate demonstration of oversight and control. The Government has no responsibility for their budget, debt, financing deficits, or fiscal management. Additionally, the Government does not influence their operations in any respect. Therefore, the Housing Authority is not considered to be a component unit of the Government.

Explorium of Lexington was established to provide a unique educational opportunity for Fayette County and Central Kentucky children. The Government has no responsibility for their budget, debt, financing deficits, or fiscal management. Additionally, the Government does not influence their operations in any respect. Therefore, the Explorium is not considered to be a component unit of the Government.

C. Jointly Governed Organizations – The Government has some level of representation in the following organizations. Since the Government does not retain an ongoing financial interest or an ongoing financial responsibility for these organizations, these are not joint ventures and are not presented in the financial statements.

The Bluegrass Regional Recycling Center (BRRC) is a non-profit Kentucky corporation whose purpose is to reduce the volume of solid waste being placed in landfills and engage in activities that promote recycling. Pursuant to an Interlocal Agreement, the BRRC is operated by the Government and fourteen counties. The Government has no legal interest in or access to the resources of the BRRC. Neither does it have any legal responsibility for the deficits or debts of, or financial support to, the BRRC.

The Valley View Ferry Authority is a legally separate entity that operates and maintains the Ferry on the Kentucky River at Valley View. The board consists of seven members, two appointed by the Government, three appointed by the Madison County Fiscal Court and two appointed by the Jessamine County Fiscal Court. The Government is not legally responsible for the Valley View Ferry Authority's finances. The Government contributed $39,000 to support the Ferry's operations in fiscal year 2014.

D. Basic Financial Statements

Government-Wide and Fund Financial Statements

The basic financial statements include both the government-wide and the fund financial statements. The reporting model focus is either on the Government as a whole or on major individual funds. The government-wide financial statements report information on all of the non-fiduciary activities of the Government and its component units. Both the government-wide and fund financial statements categorize primary activities as either governmental or business-type. Governmental Activities normally are supported by taxes and intergovernmental revenues. Business-Type Activities rely to a significant extent on fees and charges for support. In the Government-Wide Statement of Net Position, both the Governmental and Business-Type Activities are presented on a consolidated basis by column.

The Government-Wide Statement of Activities demonstrates the degree to which the direct expenses of a function (Public Works, Police, Fire and Emergency Services, Parks and Recreation, etc.) are offset by program revenues. Direct expenses (including depreciation) are those that are clearly identifiable with a specific function. Program revenues are directly associated with the function and include charges for services and grants and contributions that are restricted to meeting the operational or capital requirements of a particular function. Operating grants include operating-specific and discretionary (either operating or capital) grants while capital grants are capital-specific. Occupational license fees applied to gross wages and net profits, other license fees and permits, taxes, interest income and other revenues not included in program revenues are reported as general revenues.

Separate financial statements are provided for governmental funds, proprietary funds and fiduciary funds, even though fiduciary funds are excluded from the government-wide financial statements. Major individual governmental and enterprise funds are reported as separate columns in the fund financial statements. Non-major funds (by category) are summarized into a single column.

Measurement Focus, Basis of Accounting and Financial Statement Presentation

The government-wide, proprietary, and fiduciary fund (with the exception of the agency fund, which has no measurement focus) financial statements are reported using the economic resources measurement focus and the accrual basis of accounting. With this measurement focus, all assets and all liabilities, including long-term assets as well as long-term debt and obligations, are included in the Statement of Net Position. Revenues are recorded when earned and expenses are recorded when a liability is incurred, regardless of the timing of related cash flows. Grants and similar items are recognized as revenue as soon as all eligibility requirements imposed by the provider have been met.

Governmental fund financial statements are reported using the current financial resources measurement focus and the modified accrual basis of accounting. Revenues are recognized when they are both measurable and available. Revenues are considered to be available when they are collectible within the current period or soon enough thereafter to be used to pay liabilities of the current period. For this purpose, the Government considers revenues to be available if they are collected within 60 days of the end of the period. Revenues susceptible to accrual are intergovernmental revenues, investment earnings, emergency medical services fees (EMS), insurance revenues and license fees. Major revenue sources not susceptible to accrual include charges for services (other than EMS), fines and forfeitures and miscellaneous revenues. Such revenues are recorded as revenues when received because they are generally not measurable or available until actually received. Intergovernmental revenues received for specific purposes or projects are recognized when the applicable eligibility requirements are met. Revenues received before the eligibility requirements are met are reported as unearned revenue. Expenditures are recorded when the liability is incurred except: (1) principal and interest on long-term debt, pension liabilities, and claims and judgements are recorded when due and (2) compensated absences are accounted for as expenditures in the period used.

Agency fund financial statements report only assets and liabilities and accordingly have no measurement focus. Agency funds use the accrual basis of accounting to recognize receivables and payables.

Since the governmental fund statements are presented on a different measurement focus and basis of accounting than the government-wide statements' governmental column, a reconciliation is presented on the page following each statement which briefly explains the adjustments necessary to transform the fund based financial statements into the governmental column of the government-wide presentation.

Internal service funds provide services primarily to other funds of the Government and are presented in summary form as part of the proprietary fund statements. Since the principal users of the internal services are the Government's governmental activities, the internal service funds' financial statements are consolidated into the governmental activities column in the government-wide financial statements. To the extent possible, the costs of these services are reflected in the appropriate functional activity. The internal service funds also provide services to the proprietary funds. Therefore, a portion of the net position of the internal service funds is allocated to Business-Type Activities and is reported as an adjustment on the Statement of Net Position of the proprietary funds.

The Government's fiduciary funds are presented in the fund financial statements by type (pension and agency). Since these assets are being held for the benefit of a third party (private parties, pension participants, etc.) and cannot be used for activities or obligations of the Government, these funds are not incorporated into the government-wide financial statements.

The Government reports the following major governmental funds:

The *General Fund* is the primary operating unit of the Government and accounts for the revenues and expenditures not specifically provided for in other funds. Most of the essential governmental services such as police and fire protection, community services, and general administration are reported in this fund.

The *Urban Services Fund* accounts for the taxes that are assessed on property within designated areas, or taxing districts, based on the type of services available to property owners. These services include solid waste collection, streetlights and street cleaning. Property taxes raised from the urban services taxing districts can only be used to finance these services.

The *Federal and State Grants Fund* accounts for the receipts of intergovernmental funds that are restricted for operational and capital use of a particular function.

The Government reports the following major proprietary funds:

The *Sanitary Sewer System Fund* accounts for the construction activities, operation and maintenance, and the payment of principal and interest for bond issues of the Government's sanitary sewer system.

The *Public Facilities Corporation Fund* accounts for the acquisition, construction and operation of government-owned facilities.

The *Landfill Fund* accounts for the operations, closure, and postclosure care costs of the Government's landfill.

The *Water Quality Fund* accounts for the revenues and expenses of developing and operating storm water related activities.

Additionally, the Government reports the following fund types:

Internal Service Funds account for the Government's insurance programs for employee health, dental and vision care insurance benefits. Workers' compensation, vehicle liability and physical damage, general liability, and property damage insurance coverage are also accounted for in Internal Service Funds.

Fiduciary Funds are used to account for assets held on behalf of outside parties, including other governments, or on behalf of other funds within the Government. Trust funds account for assets held by the Government under the terms of a formal trust agreement. Agency funds generally are used to account for assets that the Government holds on behalf of others as their agent, are custodial in nature (assets equal liabilities) and do not involve measurement of results of operations. Fiduciary funds are as follows:

Pension Trust Funds account for the revenues received, expenses incurred and the net position available for retirement benefits of the Policemen's and Firefighters' Retirement Fund and the City Employees' Pension Fund.

Agency Funds account for assets held by the Government for others in an agency capacity. These are funds collected from juvenile and adult offenders and disbursed to victims in accordance with court decrees, funds collected from and disbursed for inmates who are on work release, funds collected from special assessments for payment of debt service for neighborhood capital projects, and funds collected from noncustodial parents for child support and disbursed to the custodial parents.

As a general rule, the effect of interfund activity has been eliminated from the government-wide financial statements. Exceptions to this general rule are charges between the Government's sewer, landfill and public facilities and parking functions and various other functions of the Government. Elimination of these charges would distort the direct costs and program revenues reported for the various functions concerned.

Amounts reported as program revenues include (1) charges to customers or applicants for goods, services or privileges provided, (2) operating grants and contributions and (3) capital grants and contributions. Internally dedicated resources are reported as general revenues rather than as program revenues. Likewise, general revenues include occupational license fees on wages and net profits, taxes and interest income.

Proprietary funds distinguish operating revenues and expenses from non-operating items. Operating revenues and expenses generally result from providing services and delivering goods in connection with a proprietary fund's principal ongoing operations. The principal operating revenues of the Government's enterprise and internal service funds are charges to customers for services. Operating expenses for enterprise and internal service funds include the cost of services, administrative expenses and depreciation on capital assets. All revenues and expenses not meeting this definition are reported as non-operating revenues and expenses.

The Government administers the *Expansion Area Master Plan* as follows:

> The Government established a program in 1996, called the Expansion Area Master Plan (EAMP), to ensure uniform development of the Urban Services Area in Fayette County. The EAMP allows for the collection of exaction fees on new construction. The Government requires that those who develop property bear the cost of improvements in rough proportion to the need generated by the development. Ordinance 196-96 acknowledges that it is in the best interest of the Government to encourage developers to build the system improvements identified in the Infrastructure Element of the EAMP and to provide developers who "front end" public improvements with credits against fair share fees and repayment for costs incurred in excess of their fair share.
>
> Generally credits are granted to developers via a resolution passed by the Urban County Council. The Chief Administrative Officer has the authority to grant credits outside the resolution process and has occasionally done so. Exaction fees are assessed according to the guidelines established in the EAMP. They are due and payable when a developer applies for a building permit. Fees may be satisfied either with a cash payment or the surrender of exaction credits.

E. Budgetary Control

Budget Policy – The Urban County Council annually approves the budget ordinance for all operating funds of the Government, which includes governmental, proprietary, fiduciary, and agency funds. Federal and State Grant funds and capital projects funds adopt project-length budgets. Additional special revenue funds which are not budgeted include the Industrial Revenue Bond Fund, Police Confiscated Funds and the Public Safety Fund. Budgets are adopted on a basis consistent with GAAP except that budgetary basis expenditures include purchase orders and contracts (encumbrances). Budgetary control is maintained at the division level, e.g. Division of Police, Division of Parks and Recreation, etc. The Mayor may authorize transfers within a division; however, the Urban County Council must approve by ordinance any other amendments to the budget. All budgeted amounts presented in the financial statements reflect the original budget and the amended budget (which have been adjusted for legally authorized revisions of the annual budgets during the year). Appropriations lapse at year-end; however, uncompleted capital projects may be re-appropriated at the beginning of each fiscal year. The Council made several supplemental budgetary appropriations throughout fiscal year 2014. The net effect of these supplemental appropriations was an increase of $5,669,962 in the General Fund and an increase of $1,731,075 in the Urban Services Fund, which included re-appropriations of encumbrances from prior fiscal years and various waste management and street light re-appropriations to the following fiscal year 2015, respectively.

F. Assets, Liabilities and Fund Equity

Cash and Investments – Management has adopted written policies and procedures for cash and investment management. Cash and cash equivalents include cash on hand, demand deposits and cash with fiscal agents. Cash balances of most Government funds are pooled and invested. Interest earned from investments purchased with pooled cash is allocated to each of the funds based on the fund's average monthly cash balance, except as required by ordinance for various restricted reserves. Funds that incur a negative balance in pooled cash and investments during the year are not allocated interest. The Government has adopted GASB Statement No. 31, *Accounting and Financial Reporting for Certain Investments and for External Investment Pools*. This statement requires that investments in interest-earning investment contracts, external investment pools, open-end mutual funds and debt and equity securities be reported at fair value. Investments in the Pension Trust Funds and investments with a maturity of more than one year at the time of purchase are stated at fair value. Fair value for securities traded on a national exchange is determined by the last reported sales price. All other investments are stated at cost.

Receivables – Receivables are amounts due representing revenues earned or accrued in the current period. Allowances for uncollectible loans in the Federal and State Grants Fund fully reserve loan balances due to the nature of the individual projects and terms of the loans. Accounts receivable from other governments include amounts due from grantors for grants for specific programs and capital projects. The majority of other receivables in the General Fund are for taxpayer-assessed revenues that are collected 30 days after year end. Franchise fee revenues are recognized if collected within 60 days after year end.

Property taxes for fiscal year 2014 were levied on August 29, 2013 on the assessed valuation of property located in Fayette County as of the preceding January 1, the lien date.

The due date and collection periods for all taxes exclusive of vehicle taxes are as follows:

Description	Per KRS 134.020
Due date for payment of taxes	Upon receipt
2% discount period	By November 1
Face value amount payment dates	November 2 to December 31
Delinquent date, 5% penalty	January 1 to January 31
10% penalty plus 10% add on fee date	April 15

Per Kentucky statute, the county sheriffs are responsible for collection of property taxes. Vehicle taxes, collected by the County Clerk of Fayette County, are due and collected in the birth month of the vehicle's licensee. During the year, property tax revenues are recognized when cash is received. At year-end, a receivable is recorded for delinquent property taxes but revenues are only recognized for taxes collected within 60 days of the close of the fiscal year.

Allowance for Uncollectable Amounts – An allowance for uncollectable amounts relates to the estimated uncollectable balance of the revenues earned or accrued that have been included in accounts receivable at year end. An allowance is recorded on receivable balances based on historical bad debt experience related to the nature of each receivable balance.

Interfund Transactions – During the course of its operations, the Government has numerous transactions between funds to finance operations, provide services, construct assets and service debt. To the extent that certain transactions between funds have not been paid or received as of June 30, 2014, balances of interfund amounts receivable or payable have been recorded as "due to/from other funds". These accounts are eliminated on the government-wide Statement of Net Position. Any residual balances outstanding between the Governmental Activities and Business-Type Activities are reported in the government-wide financial statements as "internal balances."

Interfund transactions that would be treated as revenues or expenditures/expenses if they involved organizations external to the Government are similarly treated when involving funds of the Government. Transactions that constitute reimbursements to a fund for expenditures/expenses initially made from it that are properly applicable to another fund are recorded as expenditures/expenses in the reimbursing fund and as reductions of expenditures/expenses in the reimbursed fund. Transfers from funds receiving revenues to funds through which the resources are to be expended and operating subsidies are classified as transfers. Transfers between governmental and proprietary funds are netted as part of the reconciliation to the government-wide columnar presentation.

Inventories and Prepaid Items – Fuel and vehicle parts inventories are stated at average cost. Other inventories are valued using the first-in, first-out method. The costs of inventory items are recognized as expenditures or expenses when used.

Payments made to vendors for goods and services that will benefit periods beyond June 30, 2014 are recorded in assets as prepaid items under the consumption method.

In the governmental fund financial statements, reported inventories and prepaid items are equally offset in the fund balance as nonspendable, which indicates that they do not constitute "available spendable resources" even though they are a component of total assets.

Restricted Assets – Restricted assets are liquid assets that have third-party (statutory, bond covenant, or granting agency) limitations on their use. Certain proceeds of revenue bonds, as well as certain resources set aside for their payment, are classified as restricted assets on the balance sheet and statement of net position since their use is limited by applicable bond indentures. The other restricted assets are required to be maintained until the related bonds mature. The Construction and Capital Acquisitions account is used to report proceeds of general obligation and revenue bonds and notes that are restricted for use in construction and capital acquisitions. The Government uses the Construction and Capital Acquisitions assets for their intended purpose before using unrestricted assets. The Maintenance and Operations account represents the resources set aside to operate, maintain and insure the Sanitary Sewer System for three full months. The Capital Replacement account represents the resources set aside to provide reasonable reserves for renewals, replacements, improvements, extensions, extraordinary major repairs and contingencies in the operation of the Sanitary Sewer System. The Debt Service account is used to report resources set aside to prevent a default in payment of principal or interest on the bonds. The Sinking Fund account represents the resources accumulated for debt service payments over the next twelve months.

The balances of the restricted asset's accounts in the governmental funds are as follows:

Various purpose general obligation notes account	$20,984,846
Equipment general obligation notes account	2,188
Federal Grants and Contracts	28,298
Pension bonds	901
Total restricted assets	$21,016,233

The balances of the restricted asset's accounts in the enterprise funds are as follows:

Sanitary sewer system maintenance and operations account	$7,305,945
Sanitary sewer revenue bond sinking fund account	4,916,590
Sanitary sewer capital replacement account	2,174,000
Sanitary sewer debt service reserve account	4,916,590
Total restricted assets	$19,313,125

Unrestricted Assets – Unrestricted assets represent unrestricted liquid assets. While Government management may have categorized and segmented portions for various purposes, the Urban County Council has the unrestricted authority to revisit or alter these management decisions.

Capital Assets – Capital assets, which include property, plant, equipment and infrastructure (e.g. roads, bridges, traffic signals and similar items) and intangible assets, are reported in the applicable Governmental or Business-Type Activities columns in the government-wide financial statements and in the proprietary funds. Expenditures for items having a useful life greater than one year and having a cost greater than $5,000 for equipment and $25,000 for land, buildings, infrastructure and related improvements are capitalized. Such assets are recorded at historical cost or estimated historical cost if purchased or constructed. Donated capital assets are recorded at estimated fair market value and recorded as donations at the date received. The costs of normal maintenance and repairs that do not add to the value of the asset or materially extend asset lives are not capitalized.

Capital assets of the Government are depreciated using the straight-line method over the following estimated useful lives:

Buildings	10-40 years
Land and leasehold improvements	10-50 years
Infrastructure	10-50 years
Sanitary sewer system lines and plants	50 years
Vehicles, equipment, and furniture	5-25 years
Intangibles	3-5 years

Construction in progress (CIP) represents construction projects for capital assets that have not yet been placed in service. Developments in progress (DIP) represent fees accrued on urban development projects in the EAMP currently underway that have not yet been completed, where settlement of the fees by the respective developer is expected to be made through contributing infrastructure type assets (e.g. roads, sewer systems, etc.) to the Government. CIP and DIP are not depreciated until the projects are complete and placed in service. For more information on the EAMP plan, please see page 59. Land, purchase of development rights and permanent easements are not depreciated.

Compensated Absences – Compensated absences include accumulated unpaid vacation, sick and holiday leave. Government employees are granted vacation and sick leave in varying amounts in accordance with administrative policy. In the event of termination, an employee is reimbursed for accumulated holiday and vacation days. Employees receive annual compensation for accumulated unused sick leave in excess of 600 hours (or 840 hours for

firefighters). Employees are reimbursed for all accumulated unused sick leave upon retirement. All accumulated leave pay is accrued when incurred in the government-wide and proprietary fund financial statements. In governmental funds, compensated absences are not payable with available and spendable resources, and, therefore, are only recorded when they have matured, for example, as a result of employee resignations and retirements.

Long-Term Obligations – In the government-wide and proprietary fund financial statements, long-term debt and obligations are reported as liabilities in the applicable Governmental Activities, Business-Type Activities, or proprietary fund Statement of Net Position. The discounts and premiums related to bonds and notes issued are amortized over the life of the bond or note using the straight-line method. Bonds and notes payable are reported net of the applicable bond premium or discount. Issuance costs are expensed when incurred.

In the fund financial statements, governmental funds recognize bond premiums and discounts, as well as bond issuance costs, during the current period. The face amount of debt issued is reported as other financing sources. Premiums on debt issuances are reported as other financing sources while discounts are reported as other financing uses. Issuance costs are reported as debt service expenditures.

The difference between the re-acquisition price (new debt) and the net carrying value of the old debt on refunded debt of the proprietary funds is amortized as a component of interest expense over the life of the old or new bonds, whichever is shorter, using the straight-line method.

Long-term liabilities include the following:

- Compensated absences, which is the accrual for vacation time earned but not taken by employees.
- Principal outstanding on general obligation bonds, general obligation notes, and revenue bonds.
- Unfunded Post-Retirement Health Benefits, which is the net retirement health benefit obligation for the Policemen's and Firefighters' Retirement Fund and the City Employees' Pension Fund.
- Landfill closure and postclosure care liability, which is the estimated total cost to perform certain maintenance and monitoring functions for thirty years after closure.
- Unearned revenue and other liabilities, which is the cash received in advance of being earned, and other long term liabilities.
- Unfunded pension liability, which is the net retirement obligation for the Policemen's and Firefighters' Retirement Fund.

G. Net Position/Fund Balances

The government-wide and proprietary financial statements utilize a net position presentation. Net position is categorized as follows:

Invested in Capital Assets, Net of Related Debt – is intended to reflect the portion of net position associated with capital assets (net of accumulated depreciation), less outstanding capital assets related debt, net of unspent bond proceeds.

Restricted Net Position – represents amounts that are restricted to specific purposes when constraints placed on the use of resources are either (a) externally imposed by creditors, grantors, contributors, laws/regulations of other governments or constitutional provisions, or (b) resources resulting from enabling legislation.

Unrestricted Net Position – This category represents amounts not appropriated for expenditures or legally segregated for a specific future use.

In the balance sheet of governmental funds the difference between the assets and liabilities of governmental funds is reported as fund balance. The Government's fund balance is divided into the following classifications, as applicable:

Nonspendable – These resources include amounts that cannot be spent because they are either not spendable in form or are legally or contractually required to be maintained intact. The Government's nonspendable funds consisted of prepaid expenses and inventories as of June 30, 2014.

Restricted – Restricted amounts represent resources that are constrained for a specific purpose by external parties, constitutional provisions or enabling legislation. The Government had restricted funds for various projects: public works, public safety, capital projects, grants, urban services and energy improvement as of June 30, 2014.

Committed – Committed amounts are constrained for a specific purpose by the Government using its highest level of decision-making authority. For resources to be considered committed, the Urban County Council issues an ordinance that can only be changed with another corresponding ordinance. The Government has committed funds for general government and economic stabilization as of June 30, 2014.

The Government developed and adopted an Unrestricted General Fund Balance ("Economic Stabilization Fund" or "Economic Contingency Fund") Policy on December 5, 1996. It is the Government's policy to:

- Maintain an Economic Contingency Fund balance of not less than $4,000,000. Interest earned on monies will accrue to the Economic Contingency Fund.

- Budget a deposit of $50,000 per month, for each fiscal year until the Economic Contingency Fund is at least equal to 10% of the last completed fiscal year total General Fund revenues, beginning with the 2007 fiscal year.

- Examine the General Fund Unassigned Fund Balance on an annual basis, following the annual audit report, and allocate 25% of the available balance above the Budgeted Fund Balance Carry forward and a reserve for Capital Re-appropriations to be deposited into the Economic Contingency Fund.

The Economic Contingency Fund balance may only be used for an unanticipated emergency of an extreme nature that cannot be remedied by reasonable budget changes and/or the use of budgeted ending fund balance.

The Government has made a complete and rational analysis, with justifying evidence that the Economic Contingency Fund can be maintained in the future.

Assigned – Assigned amounts represent resources that the Government intends to use for a specific purpose, but do not meet the definition of restricted or committed fund balance. Amounts may be assigned by the Urban County Council or by the Commissioner of Finance under the authorization of the Mayor. The Government has assigned funds for general government and capital projects as of June 30, 2014.

Unassigned – Unassigned amounts represent resources that have not been assigned to other funds or restricted, committed, or assigned to a specific purpose within the General Fund.

When both restricted and unrestricted resources are available for use, it is the Government's policy to use restricted resources first, then unrestricted resources as they are needed. Likewise, fund balances that are committed or assigned would be used first for their approved purposes. Unassigned fund balances would be used as needed.

H. Use of Estimates

The preparation of financial statements in conformity with GAAP requires management to make estimates and assumptions that affect certain reported amounts and disclosures. Accordingly, actual results could differ from those estimates.

I. Revenues

Emergency medical service fees are billed and collected by Software Development, Inc. (SDI) as an agent for the Government. Cash collected by SDI is remitted daily to the Government. The Government records all revenues (net of an allowance for doubtful accounts) billed through the end of the fiscal year by SDI.

The majority of the sanitary sewer and landfill user fees, together with the water quality management fees, are billed and collected by Greater Cincinnati Water Works (GCWW), the third party vendor hired September 2012 to replace Kentucky American Water Company (KAWC). Cash collected by GCWW is remitted to the Government daily. All revenues (net of an allowance for doubtful accounts) billed by GCWW are recorded by the Government.

Unearned revenue in the government-wide and proprietary funds Statement of Net Position and the governmental funds Balance Sheet result from resources that the Government has received before it has a legal claim to it, such as when grant money is received prior to incurring eligible expenditures. In a subsequent period, when revenue is earned, the liability is removed and revenue recognized.

NOTE 2. STEWARDSHIP, COMPLIANCE AND ACCOUNTABILITY

A. Compliance with Finance Related Legal and Contractual Provisions

The Government has no material violations of finance related legal and contractual provisions.

B. Excess of Expenditures over Appropriations - The following divisions, in funds that have budgets adopted annually, had excess expenditures over appropriations for the fiscal year ended June 30, 2014:

	Excess Expenditures
General Fund:	
Board of Elections	$16,918
Chief Development Officer	31,744
Division of Environmental Policy	153,870
Engineering	61,687
Environmental Commission	928
Fire & Emergency Services	2,785,623
Grants & Special Projects Agencies	1,385
Internal Audit Office	7,429
Police	399,245
Social Service Agencies	38,454
Streets & Roads	62,396
Urban Services Fund:	
Fleet and Facilities Management	7,558
Law	$974

Excess expenditures over appropriations were funded by available fund balances.

C. Fund Deficits

There were no fund deficits to report at June 30, 2014.

D. Prior Period Adjustments

Primary Government

Capital assets for Governmental Activities on the government-wide Statement of Net Position were decreased by $541,157 in fiscal year 2014 for property retirements in the prior fiscal year.

Component Units

In fiscal year 2014, the Lexington Center Corporation net position was increased $142,906 to reflect a correction in the Government's early implementation of GASB 65 in the prior fiscal year. The amount represents the fiscal year 2013 ending balance related to prepaid insurances costs. Prepaid insurance costs are reported in other assets and are being amortized as an expense on a straight-line basis over the life of the bonds. During fiscal year 2014 amortization expense totaled $17,499. The ending balance of unamortized prepaid insurance at June 30, 2014 was $125,407.

The Board of Health's net position was increased by $1,468 to recognize grant activity revenues from the prior fiscal year.

NOTE 3. DETAIL NOTES ON ALL FUNDS

A. Cash, Investments and Securities Lending

Primary Government

The Government's bank balances at June 30, 2014 are entirely insured by the Federal Deposit Insurance Corporation (FDIC) and/or collateralized with securities held by the Government's agent in the Government's name. In accordance with Kentucky Revised Statute (KRS) 66.480 and the Government's investment policy, the Government is allowed to invest in the following:

1. Obligations of the United States and of its agencies and instrumentalities, including obligations subject to repurchase agreements, provided that delivery of these obligations subject to repurchase agreements is taken either directly or through an authorized custodian.
2. Obligations and contracts for future delivery or purchase of obligations backed by the full faith and credit of the United States or a United States government agency.
3. Obligations of any corporation of the United States government.
4. Certificates of deposit issued by or other interest-bearing accounts of any bank or savings and loan institution which are insured by the FDIC or similar entity or which are collateralized, to the extent uninsured.
5. Bankers' acceptances for banks rated in one (1) of the three (3) highest categories by a nationally recognized rating agency.
6. Commercial paper rated in the highest category by a nationally recognized rating agency.
7. Bonds or certificates of indebtedness of the Commonwealth of Kentucky and of its agencies and instrumentalities.
8. Securities issued by a state or local government, or any instrumentality or agency thereof, in the United States, and rated in one (1) of the three (3) highest categories by a nationally recognized rating agency.
9. Shares of mutual funds, each of which shall have the following characteristics:
    a. The mutual fund shall be an open-end diversified investment company registered under the Federal Investment Company Act of 1940, as amended

b. The management company of the investment company shall have been in operation for at least five (5) years; and
c. All of the securities in the mutual fund shall be eligible investments under this section.

In addition, the Pension Trust Funds are allowed to invest in equity securities, corporate bonds and international stocks listed as American Depository Receipts (ADR). Investments of the Government as of June 30, 2014 are summarized and categorized in the following table:

		Investment Maturities (in years)			
Investment Type	Fair Value	Less Than 1 Year	1 to 5	6 to 10	More Than 10
Money Market Mutual Funds	$146,840,587	$146,840,587	$0	$0	$0
Certificates of Deposit	9,192,371	526,779	2,599,178	4,923,472	1,142,942
U.S. Government Agency Obligations	25,524,664		4,901,650	8,167,190	12,455,824
Repurchase Agreements	5,688,332	5,688,332			
Total Investments	$187,245,954	$153,055,698	$7,500,828	$13,090,662	$13,598,766

Interest Rate Risk – The risk that changes in interest rates will adversely affect the fair value of an investment. While the Government has adopted an investment policy that recommends controlling interest rate risk through maturity diversification, the policy does not place any formal limits of investment maturities as a means of managing its exposure to fair value losses arising from increasing interest rates.

Credit Risk – The risk that an issuer or other counterparty to an investment will not fulfill its obligations. Investments are made under the "prudent person rule" outlined in the Government's investment policy. This rule is defined to mean "investments shall be made with judgment and care, under circumstances then prevailing, which persons of prudence, discretion, and intelligence exercise in the management of their own affairs, not for speculation, but for investment, considering the probable safety of capital as well as the probable income to be derived." The prudent investor standard shall be applied in the context of managing the overall portfolio.

Concentration of Credit Risk – The risk of loss attributed to the magnitude of the Government's investment in a single issuer. Government securities and investments in mutual funds are excluded from this risk. In order to reduce the credit risk, the investments held by a financial institution in the Government's name should be limited to no more than 35% of the total investments, excluding that held in a Money Market Mutual Fund.

Pension Trust Funds

The Government's Pension Trust Funds are made up of the Policemen's and Firefighters' Retirement Fund (PFRF) and the City Employees' Pension Fund (CEPF). The disclosures below are separate as the pension funds have different investment policies and different objectives. The PFRF is an active growing fund, while the CEPF has been closed since 1983.

Investments of the PFRF as of June 30, 2014 are summarized and categorized in the following table:

Policemen's and Firefighters' Retirement Fund

		Investment Maturities (in years)			
Investment Type	Fair Value	Less Than 1	1 to 5	6 to 10	More Than 10
Debt Securities					
US Agencies	$32,750,564	$750,540	$1,609,097	$4,072,616	$26,318,311
US Government Obligations	14,796,803	819,593	4,457,719	3,213,999	6,305,492
Municipal Obligations	4,311,306	977,210	1,250,547	1,121,189	962,360
International Bonds	13,693,994	670,938	8,013,745	3,845,276	1,164,035
Corporate Debt	69,922,741	907,487	31,047,993	31,004,190	6,963,071
Repurchase Agreements	39,838,438	39,838,438			
	175,313,846	$43,964,206	$46,379,101	$43,257,270	$41,713,269
Other Investments					
Equity Mutual Funds	274,718,357				
Equity Real Estate	59,591,263				
Equity Securities - Domestic	88,727,409				
Equity Securities - International	67,571,888				
	$665,922,763				

The PFRF has contracted with external investment managers to manage all of the funds. The Board has adopted an investment policy that recommends the following target allocations based on asset class:

Asset Class	Target Allocation
Passive Large Cap Core	10%
Active Large Cap Growth	7.5%
Active Large Cap Value	7.5%
Small Cap Equity	15%
International Growth Equities	9.25%
International Value Equities	9.25%
Emerging Markets	4.5%
Total Equities	63.0%
US Core Fixed Income	15.5%
US High Yield Fixed Income	7.5%
Total Fixed Income	23.0%
Real Estate	9.0%
Real Return	5.0%
Total Plan	100.0%

Interest Rate Risk – The PFRF does not have a formal investment policy that limits investment maturities as a means of managing its exposure to fair market losses arising from increasing interest rates.

Credit Risk – The PFRF investment policy manages credit risk by the limitation of certain investments within the above asset classes. For US Equity asset classes up to 15% of US Small Cap Value, 7.5% of US Large Cap Growth, 7.5% of US Large Cap Value and 10% of Passive Large Cap Core portfolio's current market value may be invested

in ADR's. The US Core Fixed Income manager's debt securities must have a minimum quality rating of Baa/BBB or above, while the overall portfolio weighted average credit quality rating must not fall below AA- or equivalent. The US High Yield Fixed Income manager's portfolio may have, on average, no more than 20% of the portfolio in debt securities with a quality rating of CCC/Caa and below, while the overall portfolio rating must not fall below Baa3, BBB-, A2 or P2.

Debt Securities by Investment Type

	US Agencies	US Government Obligations	Municipal Obligations	International Bonds	Corporate Debt	Total	%
Quality Ratings:							
AAA	$0	$0	$1,694,279	$508,694	$4,046,042	$6,249,015	5%
AA	7,093,670	9,122,712	1,397,430	2,911,137	3,852,786	24,377,735	18%
A			599,084	1,081,849	12,897,499	14,578,432	11%
BBB				1,754,422	10,791,370	12,545,792	9%
BB				3,144,725	15,800,632	18,945,357	14%
B				3,381,488	17,893,843	21,275,331	16%
CCC				216,775	2,316,749	2,533,524	2%
NR	25,656,894	5,674,091	620,513	694,904	2,323,820	34,970,222	26%
	$32,750,564	$14,796,803	$4,311,306	$13,693,994	$69,922,741	$135,475,408	100%

Concentration of Credit Risk – Government securities and investments in mutual funds are excluded from this risk. The PFRF places a restriction on equity managers that at the time of purchase they may not invest in more than 5% of the outstanding securities of one issuer nor invest more than 5% of their portfolios' assets in the outstanding securities with one issuer. The US Core Fixed Income manager may not invest more than 5% of the outstanding securities with one issuer nor invest more than 5% of the portfolio's assets in the outstanding securities of one issuer, except for Treasury and Agency securities. The US High Yield Fixed Income manager may not invest more than the greater of 1.5 times the index weight, or 20% of the portfolio, in any one industry. The US High Yield Fixed Income manager may not invest more than 5% of the Plan's assets in the outstanding securities of any one issuer.

Securities Lending – The PFRF has a securities lending agreement with J.P. Morgan, a national banking association (the agent). J.P. Morgan, also the custodian for the retirement fund, acts as an agent to lend securities held in the retirement fund portfolios.

Per the agreement, the PFRF has authorized the lending of domestic bonds and securities in return for collateral. Collateral for loaned securities may be in the form of cash, securities issued or guaranteed by the United States Government or its agencies or irrevocable letters of credit. The broker/dealer collateralizes their borrowing to 102% of the security value, plus accrued interest. If the broker/dealer fails to return the security upon request, then the agent will utilize the collateral to replace the security loaned. The Government does not have the ability to pledge or sell collateral securities without a borrower default.

Investment of the cash collateral may be in commercial paper that is rated in the highest category of at least two nationally recognized security agencies, short-term obligations of banks, short-term obligations of the United States Government or its agencies, repurchase agreements, funding agreements issued by insurance companies rated "A" or higher by A. M. Best & Company or money market mutual funds. The investments of the collateral do not generally match the maturities of the securities lending arrangements themselves; they are typically very short-term in nature and mostly invested in overnight repurchase agreements.

The agent agrees to indemnify the retirement fund for losses resulting directly or indirectly from the failure of the borrower to return the loaned securities in accordance with the terms of the loan agreement, limited to an indemnification amount equal to the difference between the market value of the loaned securities and the value of the collateral. There are no restrictions in the agreement that limit the amount of securities that can be lent at one time or to one borrower.

As of June 30, 2014, the securities loaned in the portfolio did not have credit risk, and the fair value of securities on loan is $39,838,438. Investments of the CEPF as of June 30, 2014 are summarized and categorized in the following table:

City Employees Pension Fund

		Investment Maturities (in years)			
Investment Type	Fair Value	Less Than 1	1 to 5	6 to 10	More Than 10
Debt Securities:					
US Agencies	$5,850,984	$105	$668,810	$1,117,428	$4,064,641
US Government Obligations	2,940,627		1,493,114	572,180	875,333
International Bonds	817,552		332,192	297,882	187,478
Corporate Debt	3,198,709	15,105	1,550,663	718,416	914,525
	12,807,872	$15,210	$4,044,779	$2,705,906	$6,041,977
Other Investments:					
Equity Securities - Domestic	15,941,466				
Equity Securities - International	1,339,723				
	$30,089,061				

The CEPF has contracted with external investment managers to manage all of the funds. The Board has adopted an investment policy that recommends the following target allocations based on asset class:

Asset Class	Target Allocation
US Equities	40%
US Core Fixed Income	60%
Total Plan	100%

Interest Rate Risk – The CEPF does not have a formal investment policy that limits investment maturities as a means of managing its exposure to fair market losses arising from increasing interest rates.

Credit Risk – The CEPF investment policy limits its equity manager to investments in ADR's to 10% of the equity portfolio's current market value. The fixed income manager's debt securities must have a minimum quality rating of Baa/BBB or above, while the overall fixed income portfolio rating must be A+ or above. No more than 10% of the equity portfolio can be of quality rating Baa/BBB and below.

Debt Securities by Investment Type

	US Agencies	US Government	International Bonds	Corporate Debt	Total	%
Quality Ratings:						
AAA	$76,692	$0	$0	$0	$76,692	1%
AA	3,212,845		817,552	867,834	4,898,231	38%
A				2,276,678	2,276,678	18%
BBB	2,561,447	2,940,627			5,502,074	43%
NR				54,197	54,197	< 1%
	$5,850,984	$2,940,627	$817,552	$3,198,709	$12,807,872	100%

Concentration of Credit Risk – The CEPF investment policy places a restriction on equity managers that at the time of purchase, managers may not invest in more than 5% of the outstanding securities of one issuer nor invest more than 5% of their portfolios' assets in the outstanding securities with one issuer. The fixed income manager may not invest in more than 5% of the outstanding securities of one issuer nor invest more than 5% of the fixed income portfolio assets in the outstanding securities of one issuer, except for Treasury and Agency securities.

Component Units

For complete information on custodial credit risk, interest rate risk, credit risk, and concentration of credit risk, refer to the individual reports on each component unit. Summarized investment information for the component units is included in the table below:

	Reported Amount/ Fair Value
U.S. Government and Government Agency Obligations	$18,276,840
Investments not subject to categorization:	
Certificates of Deposit	11,776,836
Money Market Funds	3,034,917
Total Investments	$33,088,593

As of June 30, 2014, LCC had $711,467 and $0 in deposits and investments, respectively that were uninsured and uncollateralized.

B. Capital Assets

Capital asset activity for the year ended June 30, 2014 was as follows:

	Primary Government			
	Beginning Balance	Increases	Decreases	Ending Balance
Governmental Activities:				
Non-Depreciable Assets:				
Land *	$58,813,098	$0	$0	$58,813,098
Purchase of Development Rights	72,187,476	3,272,544		75,460,020
Intangibles	3,104,387			3,104,387
Construction in Progress	21,307,552	21,731,184	(6,009,846)	37,028,890
Developments in Progress	20,502,413	1,264,186	(56)	21,766,543
Depreciable Assets:				
Buildings	145,931,792	1,007,590	(210,679)	146,728,703
Intangibles	8,333,157	534,055		8,867,212
Vehicles, Equipment and Furniture	101,981,831	9,048,218	(2,208,554)	108,821,495
Land and Leasehold Improvements	26,347,309	3,912,827		30,260,136
Infrastructure	1,005,101,284	664,892		1,005,766,176
Sewer Lines	8,084,452			8,084,452
Totals at Historical Cost	1,471,694,751	41,435,496	(8,429,135)	1,504,701,112
Less Accumulated Depreciation For:				
Buildings	(49,446,651)	(4,369,885)	45,966	(53,770,570)
Intangibles	(6,462,696)	(982,045)		(7,444,741)
Vehicles, Equipment and Furniture	(74,196,687)	(6,934,700)	2,163,239	(78,968,148)
Land and Leasehold Improvements	(15,599,261)	(1,849,282)		(17,448,543)
Infrastructure	(282,713,807)	(32,778,307)		(315,492,114)
Sewer Lines	(459,591)	(160,839)		(620,430)
Total Accumulated Depreciation	(428,878,693)	(47,075,058)	2,209,205	(473,744,546)
Governmental Activities Capital Assets, Net	1,042,816,058	(5,639,562)	(6,219,930)	1,030,956,566
Business-Type Activities:				
Non-Depreciable Assets:				
Land	41,525,286	17,355		41,542,641
Construction in Progress	14,562,078	26,725,583	(1,079,816)	40,207,845
Developments in Progress	7,699,957	342,399	(186)	8,042,170
Intangibles	144,094	311,732		455,826
Depreciable Assets:				
Buildings	120,843,771			120,843,771
Intangibles	3,088,807	273,914		3,362,721
Vehicles, Equipment and Furniture	16,899,913	3,671,953	(217,561)	20,354,305
Land and Leasehold Improvements	47,829,535	3,128		47,832,663
Infrastructure	8,150,332	4,201		8,154,533
Sewer Lines	173,826,290	951,770		174,778,060
Sewer Plants	163,269,363			163,269,363
Totals at Historical Cost	597,839,426	32,302,035	(1,297,563)	628,843,898
Less Accumulated Depreciation For:				
Buildings	(72,276,126)	(4,194,295)		(76,470,421)
Intangibles	(2,349,754)	(240,348)		(2,590,102)
Vehicles, Equipment and Furniture	(11,267,469)	(1,202,616)	217,295	(12,252,790)
Land and Leasehold Improvements	(36,269,773)	(1,145,739)		(37,415,512)
Infrastructure	(569,185)	(158,645)		(727,830)
Sewer Lines	(59,740,281)	(3,371,771)		(63,112,052)
Sewer Plants	(87,046,027)	(3,067,080)		(90,113,107)
Total Accumulated Depreciation	(269,518,615)	(13,380,494)	217,295	(282,681,814)
Business-Type Activities Capital Assets, Net	$328,320,811	$18,921,541	($1,080,268)	$346,162,084

* Restated beginning balance due to prior period adjustment

Depreciation expense was charged to functions/programs of the primary government as follows:

Governmental Activities:	
General Government	$638,446
CIO	312,292
Administrative Services	741,691
Finance	389,736
Public Safety	331,331
Environmental Quality & Public Works	4,841,331
Police	731,317
Fire and Emergency Services	1,412,353
Law	1,958
Community Corrections	1,616,467
Social Services	243,164
General Services	2,998,250
Parks and Recreation	1,009,551
Planning, Preservation & Development	31,807,171
Total depreciation expense - Governmental Activities	$47,075,058
Business-Type Activities:	
Sanitary Sewer System	$8,047,827
Public Facilities Corporation	4,278,149
Public Parking Corporation	66,994
Landfill	848,828
Right of Way	7,358
Extended School Program	5,912
Prisoners' Account System	1,200
Enhanced 911	22,936
Water Quality	101,290
Total depreciation expense - Business-Type Activities	$13,380,494

	Discretely Presented Component Units			
	Beginning Balance	**Increases**	**Decreases**	**Ending Balance**
Non-Depreciable Assets:				
Land	$30,491,165	$2,155,671	$0	$32,646,836
Construction in Progress	2,998,935	8,726,144	(4,421,314)	7,303,765
Other	1,208,874	4,147,685	(1,393,292)	3,963,267
Depreciable Assets:				
Buildings and Improvements *	323,131,518	3,953,453	(5,941,982)	321,142,989
Vehicles, Equipment and Furniture *	58,442,701	4,835,095	(3,433,522)	59,844,274
Land and Leasehold Improvements	66,373,187	283,335	(43,276)	66,613,246
Intangibles	60,455			60,455
Totals at Historical Cost	482,706,835	24,101,383	(15,233,386)	491,574,832
Less Accumulated Depreciation	(221,102,897)	(19,286,989)	6,467,317	(233,922,569)
Component Unit Activities Capital Assets, Net	$261,603,938	$4,814,394	($8,766,069)	$257,652,263

* Beginning balances restated.

Construction Commitments

The Government has active construction projects as of June 30, 2014. The projects include improvements to major roadways, government buildings, sanitary sewer and stormwater systems. At June 30, 2014, the Government had the following commitments on construction contracts:

Project	Commitment
Buildings	$379,992
Capital Repairs and Maintenance	2,444,879
Land Improvements	2,230,911
Sanitary Sewer Collection System	7,807,394
Sanitary Sewer Treatment System	4,733,878
Storm Drainage	1,158,295
Street Resurfacing Maintenance	4,808,611
Streets and Roadways	6,134,560
Traffic Control and Markings	583,663
	$30,282,183

Intergovernmental revenues and local contributions provide funding for the major roadway improvements. The Urban Services Fund and intergovernmental revenues fund the renovations to government buildings. General obligation bonds finance the commitments for stormwater system improvements. Intergovernmental revenues and general obligation bonds fund the parks improvements.

C. Interfund Receivables, Payables and Transfers

The principal purpose of the Government's interfund transfers is indicative of funding for capital projects or subsidies of various Government operations and reallocation of special revenues. Due to our practice of cash management by pooling the Government's funds, interfund balances exist as of June 30, 2014. In addition, Federal and State Grants revenues are based on reimbursable expenditures.

The composition of interfund balances as of June 30, 2014, is as follows:

Fund Description	Due from (to) General Fund
Sanitary Sewer System	($4,863,484)
Public Facilities Corporation	1,104,153
Water Quality	576,985
Landfill	8,819
Other Enteprise Funds	3,235,653
Total due from Proprietary Funds	62,126
Urban Service	2,180,879
Federal and State Grants	(2,238,870)
Other Governmental Funds	(129,792)
Internal Service Funds	24,928,984
Total due from General Fund	$24,803,327

Receivable Entity	Payable Entity	Amount
Primary government - General fund	Component unit - Downtown Development Authority	$387,992
Primary government - General fund	Component unit - Parking Authority	571,363
Total		959,355
Component unit - Lexington Convention and Visitor's Bureau	Primary government - General fund	1,092,902
Component unit - Lexington Center Corporation	Primary government - General fund	285,628
Total		$1,378,530

Interfund Transfers:

Transfers are indicative of 1) funding for capital projects, 2) moving unrestricted revenues collected in the General Fund to subsidize various programs accounted for in other funds in accordance with budgetary authorization, and 3) reallocation of special revenues from the fund that statute or budget requires to collect them to the fund that statute or budget requires to expend them. The following schedule briefly summarizes the Government's transfer activity:

	General	Urban Services	Fed St Grants	Non Major Governmental	Total Governmental	Major Proprietary	Non Major Proprietary	Total Proprietary
General	$0	$2,529,220	$1,241,015	($2,083,204)	$1,687,031	$854,641	$0	$854,641
Urban Services	(2,529,220)		28,125		(2,501,095)			
Fed St Grants	(1,241,015)	(28,125)		(2,129,620)	(3,398,760)	(17,166)		(17,166)
Non-Major Governmental	2,083,204		2,129,620		4,212,824	34,239	(267)	33,972
Major Proprietary	(854,641)		46		(854,595)			
Grand Total	($2,541,672)	$2,501,095	$3,398,806	($4,212,824)	($854,595)	$871,714	($267)	$871,447

D. Long-Term Debt

Revenue bonds and other directly related long-term liabilities, which are intended to be paid from proprietary funds, are included in the accounts of such funds. All other long-term indebtedness is accounted for in the governmental column of the government-wide Statement of Net Position.

Primary Government

Bonds payable, notes payable, compensated absences, landfill closure and postclosure care costs, and unfunded pension liabilities at June 30, 2014 are as follows:

	Purpose of Issue	Original Issue	Interest Rates	Final Maturity	Amount Outstanding	Due Within One Year
Governmental Activities						
Bonds, Notes, Loans, and Leases:						
General Obligation, Series 2004C	Multi-Purpose Project	9,640,000	2.50% - 4.75%	1-Jul-2024	455,000	455,000
General Obligation, Series 2005C	PDR /Building Renovation	4,490,000	3.00% - 4.20%	1-Jun-2025	315,000	315,000
General Obligation, Series 2006B	Blvd/Stormwater/Fire Station/Cars	10,310,000	4.00% - 4.50%	1-Jun-2026	1,540,000	755,000
General Obligation, Series 2006C	Purchase of Development Rights	2,055,000	3.50% - 4.20%	1-Nov-2026	1,505,000	90,000
General Obligation, Series 2006D	Refunding	56,850,000	4.00% - 4.25%	1-May-2024	39,955,000	3,590,000
General Obligation, Series 2009A	PDR /Building Renovation/CIP	24,830,000	2.25% - 5.00%	1-Feb-2029	17,685,000	1,535,000
Pension Obligation,Series 2009B	Police/Fire Pension Fund	70,610,000	3.50% - 6.00%	1-Apr-2029	58,010,000	2,685,000
General Obligation, Series 2010B	Refunding of 1999B and 2000A	7,735,000	1.00% - 3.00%	1-Sep-2019	4,795,000	760,000
General Obligation, Series 2010C	Refunding of 2000E	6,635,000	1.00% - 3.00%	1-Dec-2020	4,335,000	575,000
Pension Obligation,Series 2010D	Police/Fire Pension Fund	35,825,000	.95%-5.45%	1-Jun-2030	30,710,000	1,370,000
General Obligation, Series 2010F	CIP projects	6,305,000	1.00%-2.90%	1-Dec-2016	3,725,000	1,290,000
General Obligation, Series 2010G	CIP projects	8,950,000	3.20%-5.40%	1-Dec-2025	8,950,000	
General Obligation, Series 2010H	Refunding of 2001B	4,465,000	1.00%-3.80%	1-Dec-2021	3,885,000	445,000
Pension Obligation,Series 2012A	Police/Fire Pension Fund	31,000,000	2.50% - 4.00%	1-Oct-2032	29,830,000	1,200,000
General Obligation, Series 2012B	Refunding of 2002C and 2004C	6,275,000	2.00% - 4.00%	1-Jul-2024	6,255,000	25,000
General Obligation, Series 2012C	CIP projects	3,455,000	1.50% - 3.00%	1-Jul-2017	2,925,000	710,000
General Obligation, Series 2013A	Road Resurfacing	11,275,000	2.00% - 5.00%	1-Oct-2023	10,430,000	865,000
General Obligation, Series 2013B	Refunding of 2004,2005C,2006B	$6,005,000	2.00% - 4.00%	1-Jul-2025	5,920,000	40,000
General Obligation, Series 2013C	CIP projects	$17,035,000	3.00% - 4.00%	1-Oct-2033	17,035,000	595,000
General Obligation, Series 2014A	Refunding of 2010A	$55,925,000	3.00% - 5.00%	1-Sep-2030	55,925,000	3,550,000
Premiums, Discounts, and Unamortized Amounts on Bond Obligations					5,855,731	
Total Bonds, Notes and Loans Payable					310,040,731	20,850,000
Other Liabilities:						
Compensated Absences					23,046,726	3,392,876
Unfunded Other Post Employment Benefit Liability					74,166,338	
Unfunded Pension Liability					1,395,888	
Total Other Liabilities					98,608,952	3,392,876
Total Governmental Activities					$408,649,683	$24,242,876
Business-Type Activities						
Bonds, Notes and Loans:						
Sanitary Sewer, Series 2009A	Sewer Rehabilitation	$35,960,000	1.75% - 5.875%	1-Jul-2030	$31,740,000	$1,460,000
Sanitary Sewer, Series 2010A	Refunding	13,860,000	2.25% - 3.75%	30-Jun-2021	11,740,000	1,515,000
Public Facilities, Series 2006	Refunding	66,725,000	3.88% - 4.25%	1-Oct-2031	55,840,000	2,215,000
Radcliffe road A209-09	SRF Loan	113,523	2.00%	1-Jun-2030	94,693	5,076
KIA Streetscape A209-8	SRF Loan	1,254,980	2.00%	1-Dec-2030	1,069,799	55,322
So. Elkhorn A09-01	SRF Loan	$14,045,119	2.00%	1-Dec-2031	12,584,807	607,184
Wolf Run A10-08	SRF Loan	$7,972,209	2.00%		7,972,209	
A13-002 Bob-O-Link	SRF Loan	$1,070,057	2.00%		1,070,057	
A13-003 East Lake	SRF Loan	$536,778	2.00%		536,778	
A13-003 Century Hills	SRF Loan	$522,274	2.00%		522,274	
A13-18 E2A	SRF Loan	$3,164,637	2.00%		3,164,637	
A13-007 AW PH3	SRF Loan	$352,623	2.00%		352,623	
A13-007 IDLHR N	SRF Loan	$417,280	2.00%		417,280	
Premiums, Discounts, and Unamortized Amounts on Bond Obligations					(3,856,350)	
Total Bonds, Notes and Loans Payable					123,248,807	5,857,582
Other Liabilities:						
Compensated Absences					1,367,604	433,472
Landfill Closure & Postclosure Care Costs					13,153,961	436,159
Total Other Liabilities					14,521,565	869,631
Total Business-Type Activities					$137,770,372	$6,727,213

Changes in Long-Term Liabilities

Long-term liability activity for the year ended June 30, 2014, was as follows:

	Beginning Balance	Additions	Reductions	Ending Balance	Due Within One Year
Governmental Activities					
Bonds, Notes, Loans, and Leases:					
General and Pension Obligation Bonds	$313,620,000	$72,960,000	($82,395,000)	$304,185,000	$20,850,000
Net of Bond Premiums, Discounts and Unamortized Amounts on Refundings	921,343	5,065,711	(131,323)	5,855,731	
Total Bonds, Notes, and Loans Payable	314,541,343	78,025,711	(82,526,323)	310,040,731	20,850,000
Other Liabilities:					
Compensated Absences	20,156,541	4,295,779	(1,405,594)	23,046,726	3,392,876
Unfunded Other Post Employment Benefit Liability	64,980,406	9,185,932		74,166,338	
Unfunded Pension Liability	1,453,739		(57,851)	1,395,888	
Total Governmental Activities Long-Term Liabilities	$401,132,029	$91,507,422	($83,989,768)	$408,649,683	$24,242,876
Business-Type Activities					
Bonds, Notes and Loans:					
Revenue Bonds	$46,390,000	$0	($2,910,000)	$43,480,000	$2,975,000
Mortgage Revenue Bonds	57,970,000		(2,130,000)	55,840,000	2,215,000
Notes and Loans	14,403,727	14,035,858	(654,428)	27,785,157	667,582
Bonds, Notes, and Loans Payable	118,763,727	14,035,858	(5,694,428)	127,105,157	5,857,582
Net of Bond Premiums, Discounts and Unamortized Amounts on Refundings	(4,128,850)		272,500	(3,856,350)	
Total Bonds, Notes, and Loans Payable	114,634,877	14,035,858	(5,421,928)	123,248,807	5,857,582
Other Liabilities:					
Compensated Absences	1,313,956	63,700	(10,052)	1,367,604	433,472
Landfill Closure and Postclosure Care Costs	13,589,212		(435,251)	13,153,961	436,159
Total Business-Type Activities Long-Term Liabilities	$129,538,045	$14,099,558	($5,867,231)	$137,770,372	$6,727,213

Internal service funds predominately serve the governmental funds. Accordingly, long-term liabilities for them are included as part of the above totals for Governmental Activities. For the Governmental Activities, compensated absences are generally liquidated by the General Fund and the Urban Services Fund. The General Fund is used to liquidate both the net pension obligation and the net other postemployment benefit obligation. For Business-Type Activities, landfill closure and postclosure care costs are liquidated from fees charged for landfill services.

Principal and interest requirements to maturity for the Primary Government's bonds and notes are as follows:

	Governmental Activities		Business-Type Activities					
	General Obligation Bonds, Notes and Loans		Revenue Bonds, Notes and Loans		Mortgage Revenue Bonds		Total Primary Government	
Fiscal Year	Interest	Principal	Interest	Principal	Interest	Principal	Interest	Principal
2015	$12,521,153	$20,850,000	$2,474,641	$3,642,582	$2,269,369	$2,215,000	$17,265,163	$26,707,582
2016	12,080,531	21,320,000	2,365,354	4,308,660	2,178,869	2,310,000	16,624,754	27,938,660
2017	11,199,493	19,860,000	2,228,978	4,428,902	2,084,569	2,405,000	15,513,041	26,693,902
2018	10,471,416	20,490,000	2,080,749	4,554,648	1,986,469	2,500,000	14,538,634	27,544,648
2019	9,675,488	20,475,000	1,926,054	4,686,012	1,884,369	2,605,000	13,485,911	27,766,012
2020 - 2024	35,533,721	100,520,000	7,336,326	19,617,493	7,721,840	14,710,000	50,591,887	134,847,493
2025 - 2029	15,184,211	76,215,000	4,037,850	18,272,578	4,322,619	18,105,000	23,544,680	112,592,578
2030 - 2035	1,703,315	24,455,000	688,104	11,754,282	713,787	10,990,000	3,105,206	47,199,282
Total	$108,369,328	304,185,000	$23,138,057	71,265,157	$23,161,891	55,840,000	$154,669,275	431,290,157
Less principal payable within one year		20,850,000		3,642,582		2,215,000		26,707,582
Long term principal due after one year		$283,335,000		$67,622,575		$53,625,000		$404,582,575

Component Units

The Government is contingently liable for the Lexington Center Corporation and Airport Board's debt. Principal and interest requirements for Component Units' debt are as follows:

	Principal					
Fiscal Year	Lexington Center Corporation	Lexington Airport Board	Fayette County Board of Health	Parking Authority of Lexington	Nonmajor Component Units	Total
2015	$2,005,000	$1,100,000	$125,000	$364,123	$384,912	$3,979,035
2016	2,075,000	1,700,000	130,000	369,807	448,470	4,723,277
2017	2,160,000	2,000,000	145,000	375,580	415,181	5,095,761
2018	2,245,000	2,100,000		4,501,821	440,018	9,286,839
2019	2,340,000	2,200,000			518,462	5,058,462
2020-2024	7,610,000	12,115,000			2,617,443	22,342,443
2025-2029		13,390,000			2,315,464	15,705,464
2030-2034		16,055,000			764,937	16,819,937
2035-2039		4,620,000				4,620,000
Total	18,435,000	55,280,000	400,000	5,611,331	7,904,887	87,631,218
Less payable within one year	2,005,000	1,100,000	125,000	364,123	384,912	3,979,035
Less refinancing loss/premium-discount	(21,851)	(3,901,293)				(3,923,144)
Long term principal due after one year	$16,451,851	$58,081,293	$275,000	$5,247,208	$7,519,975	$87,575,327

	Interest					
Fiscal Year	Lexington Center Corporation	Lexington Airport Board	Fayette County Board of Health	Parking Authority of Lexington	Nonmajor Component Units	Total
2015	$677,372	$2,373,008	$13,480	$84,396	$349,444	$3,497,700
2016	601,468	2,322,134	7,599	78,712	293,484	3,303,397
2017	517,215	2,257,008	600	72,939	296,884	3,144,646
2018	428,265	2,173,008		61,712	301,165	2,964,150
2019	335,615	2,085,008			219,106	2,639,729
2020-2024	403,749	8,642,042			1,075,619	10,121,410
2025-2029		5,350,666			521,377	5,872,043
2030-2034		1,994,961			231,671	2,226,632
2035-2039		334,048				334,048
Total	$2,963,684	$27,531,883	$21,679	$297,759	$3,288,750	$34,103,755

General Description of the Government's Bonds and Notes Payable

Revenue and Mortgage Revenue Bonds

The Sanitary Sewer System (the System) issues revenue bonds to finance improvements and expansions of the sanitary sewer system operated by the Government. The Sanitary Sewer System has issued the following bonds:

1. $35,960,000 of Sewer System Revenue Bonds, Series 2009A, (Taxable Build America Bonds), issued at a discount and payable annually in principal installments ranging from $1,385,000 to $2,420,000 plus interest over 20 years, to be utilized along with other available funds of financing for the construction of major additions, betterment and extensions to the sanitary sewer system. The 2009A Bonds were issued under the guidelines provided under the American Recovery and Reinvestment Act (ARRA). Under the Guidelines set forth in the ARRA, the Government is eligible to apply for an interest subsidy payment from the United States Treasury of 35% for Build America Bonds (BABs). The Government received a subsidy for the year ended June 30, 2014 of $510,428.

2. $13,860,000 of Sewer System Refunding Revenue Bonds Series 2010A, issued at a premium, and payable annually in principal installments ranging from $125,000 to $1,860,000 plus interest over 12 years, to partially refund Revenue Bonds Series 2001A. The refunding provided for a cumulative savings of $1,101,593 over the life of the bonds resulting in a net present value savings of $934,076 or 6.739% of the refunded principal.

The bond ordinances provide that the gross income and revenues of the System be deposited into the Revenue and Operations Account. Monies in the Revenue and Operations Account are to be disbursed as follows:

- Each month to the Sinking Fund, 1/6 of the next interest payment and 1/12 of the next principal payment and, if necessary, 1/24th of the required Debt Service Reserve which is 125% of the average annual debt service on the 2009 Series A, 2010 Series A and any parity bonds until the Debt Service Reserve equals the requirement.

- Pay, as they accrue, the proper and necessary costs of operating, maintaining and insuring the System as set out in the "Current Expenses" contained in the annual budget and to accumulate and maintain an amount sufficient to pay said costs for three months.

- Each month to the Capital Replacement Fund, 1/24th of the required Capital Replacement Reserve (defined as 5% of the outstanding bonds or such larger amount as required by an Independent Consulting Engineer) until the required Capital Replacement Reserve has been accumulated.

- To the Capital Projects Fund any surpluses after the Sinking Fund, Debt Service Reserve and Capital Replacement Fund are fully funded and the Revenue and Operations Account contains an amount sufficient to operate, maintain and insure the System for three full months.

The bond ordinances also outline parity provisions for the issuance of additional bonds for the acquisition or construction of sewer system facilities. The "net income and revenues" of the System, as defined in the bond ordinance, must provide coverage of 125% of Maximum Annual Debt Service. The bonds are insured by Municipal Bond Insurance Association; and supplemental issues, if insured, must also be approved by the insurer.

The Public Facilities Corporation (PFC) was created by the Government to act as the agency and instrumentality of the Government in acquiring, developing and financing public improvements and public projects. The PFC financed various projects through bank and mortgage notes and the issuance of revenue bonds. The debt is collateralized by the properties, a pledge of specified Government revenues and lease payments from the Government sufficient to retire the debt and to provide for the operation and maintenance of the facilities.

The Government entered into various contracts, leases and option agreements with the PFC. These agreements provide that the PFC receives title to the properties mortgaged as security for the revenue bond issues, the proceeds of which have been used to finance the acquisition, construction and improvements to the properties. Upon payment of the outstanding bonds, title to the properties will be conveyed to the Government. The lease agreements are renewable annually, and the likelihood of the leases not being renewed is remote.

The PFC issued the $66,725,000 Mortgage Revenue Refunding Bonds, Series 2006, at a discount and payable annually in principal installments ranging from $1,005,000 to $3,820,000 plus interest over 25 years, to refund the $62,825,000 total principal remaining on the Series 1998 bonds. The refunded bonds were issued to finance a court facility that includes a Circuit Court Building, a District Court Building and an adjoining parking garage. The Government entered into a sublease with the Administrative Office of the Court (AOC) of the Commonwealth of Kentucky which provides for lease payments based on the percentage of space occupied by AOC functions in the courthouses and the AOC share of costs of the parking garage. The resulting AOC sublease payments will account for approximately 89% of the debt service payments; the remaining debt service payments will be paid by the Government.

Kentucky Infrastructure Authority (KIA) State Revolving Fund (SRF) Loans

SRF Loans are loans that are issued by the Commonwealth of Kentucky for infrastructure improvements. These loans are 20 year loans with a 2% interest rate. The Government has qualified for and received the following KIA SRF Loans.

1. Radcliffe Road A209-09 issued in the amount of $113,523, payable annually in principal installments ranging from $1,837 to $3,438 plus interest over 20 years. Financing improvements to the storm water system along Radcliffe Road in Fayette County.

2. KIA Streetscape A209-08 issued in the amount of $1,254,980, payable annually in principal installments ranging from $25,671 to $37,843 plus interest over 20 years. Financing improvements to the storm water system in the city center of Lexington. These funds were used in conjunction with the streetscape project that included upgrades to the sidewalks, sewer and storm water systems. This capital project included South Limestone, East and West Main Street and Vine Street.

3. South Elkhorn Pumpstation KIA A09-01 issued in the amount of $14,045,119, payable annually in principal installments ranging from $281,600 to $423,692 plus interest over 20 years. Financing the upgrade of the South Elkhorn pump station and construction of a new 36 inch force main.

4. KIA A10-08 issued in the amount of $10,500,000 for the upgrade and expansion of the Wolf Run pump station. As of June 30, 2014, the Government had received only a partial draw of $7,972,209 with the remaining balance of $2,527,791 to be requested in fiscal year 2015. Until the remaining balance is requested the Kentucky Infrastructure Authority does not issue an amortization schedule for the loan nor does the Government initiate payment of principle toward the loan. Amortization estimation has been used based on information outlined in the Assistance Agreement between KIA and the Government.

5. KIA Loan A13-002 issued in the amount of $13,674,302 for the upgrades to the Bob-O-Link Trunk Line, Wolf Run Trunk Line and the Wolf Run Storage Tank Capacity Upgrade. As of June 30, 2014, the Government had received only a partial draw of $1,070,057 with the remaining balance of $12,604,245 to be requested in fiscal years 2015 and 2016. Until the remaining balance is requested the Kentucky Infrastructure Authority does not issue an amortization schedule for the loan nor does the Government initiate payment of principle toward the loan. Amortization estimation has been used based on information outlined in the Assistance Agreement between KIA and the Government.

6. KIA Loan A13-003 issued in the amount of $10,194,421 for the upgrades to the Eastlake Trunk Line, Century Hills Trunk Line, West Hickman Trunk Line and the Woodhill Trunk Line. As of June 30, 2014, the Government had received only a partial draw of $1,059,052 with the remaining balance of $9,135,369 to be requested in fiscal year 2015 and 2016. Until the remaining balance is requested the Kentucky Infrastructure Authority does not issue an amortization schedule for the loan nor does the Government initiate payment of principle toward the loan. Amortization estimation has been used based on information outlined in the Assistance Agreement between KIA and the Government.

7. KIA Loan A13-007 issued in the amount of $4,657,640 for the upgrades to the Storm Water Systems of Anniston Wickland, Idlehour, Walhamption Rogers and Perimeter Park Neighborhoods. As of June 30, 2014, the Government had received only a partial draw of $769,903 with the remaining balance of $3,887,737 to be requested in fiscal year 2015. Until the remaining balance is requested the Kentucky Infrastructure Authority does not issue an amortization schedule for the loan nor does the Government initiate payment of principle toward the loan. Amortization estimation has been used based on information outlined in the Assistance Agreement between KIA and the Government

8. KIA Loan A13-18 issued in the amount of $6,000,000 for the upgrades to the Expansion Area 2A Wastewater System. As of June 30, 2014, the Government had received only a partial draw of $3,164,637 with the remaining balance of $2,835,363 to be requested in fiscal year 2015. Until the remaining balance is requested the Kentucky Infrastructure Authority does not issue an amortization schedule for the loan nor does the Government initiate payment of principle toward the loan. Amortization estimation has been used based on information outlined in the Assistance Agreement between KIA and the Government.

General Obligation Bonds and Notes

The Government issues general obligation bonds and notes to provide funds for the acquisition and construction of capital assets used by Governmental Activities. The Government has issued the following general obligation bonds and notes:

1. $9,640,000, Series 2004C, issued at a discount and payable annually in principal installments ranging from $335,000 to $700,000 plus interest over 20 years, to finance the costs associated with the acquisition, construction and equipping of a day treatment facility; the acquisition, renovation and equipping of a multi-use facility; and the acquisition of rights of way and construction of road improvements. Approximately $4,790,000 was partially refunded through the issuance of Series 2012B and $960,000 was partially refunded though the issuance of Series 2013B leaving a remaining balance of $895,000.

2. $4,490,000, Series 2005C, issued at a discount and payable annually in principal installments ranging from $150,000 to $355,000 plus interest over 20 years, to finance the costs of the Purchase of Development Rights Program, renovating and upgrading space in two government office buildings, and making structural repairs to two parking garages owned and operated by the Government. Of the outstanding balance, $1,795,000 was partially refunded through the issuance of Series 2013B leaving a remaining balance of $620,000.

3. $10,310,000, Series 2006B, issued at a discount and payable annually in principal installments ranging from $255,000 to $840,000 plus interest over 20 years, to finance stormwater improvements, neighborhood redevelopment projects, Bluegrass Aspendale Parkway, Veterans Park fire station and police cars. Of the outstanding balance, $2,990,000 was partially refunded through the issuance of Series 2013B leaving a remaining balance of $2,265,000.

4. $2,055,000, Series 2006C, issued at par and payable annually in principal installments ranging from $70,000 to $145,000 plus interest over 20 years, to finance the costs of the Purchase of Development Rights Program.

5. $56,850,000, Refunding Series 2006D, to refund the Public Facilities Corporation Series 1995 bonds for $2,500,000 in principal and to partially refund the 1999 General Obligation Bonds, Series 1999A. Issued at a premium and payable annually in principal installments ranging from $35,000 to $4,680,000 plus interest over 18 years. The refunding provided for a cumulative savings of $2,372,454 over the life of the bonds resulting in net present value savings of $1,756,185 or 3.319% of the refunded principal.

6. $24,830,000, Series 2009A, issued at a premium and payable annually in principal installments ranging from $745,000 to $1,725,000 plus interest over 20 years, to finance the cost of the Purchase of Development Rights Program, Street Resurfacing, Bluegrass Aspendale improvements and other various construction projects.

7. $70,610,000, Series 2009B, Taxable General Obligation Pension Funding Bonds, issued at a discount and payable annually in principal installments ranging from $2,315,000 to $5,515,000 plus interest over 20 years, to finance additional contributions to the Policemen's and Firefighters' Retirement Plan.

8. $7,735,000, Series 2010B, General Obligation Refunding Bonds, for refunding the Series 1999B and 2000A General Obligation Bonds. Issued at a discount and payable annually in principal installments ranging from $715,000 to $850,000 plus interest over 10 years. The refunding provided for a cumulative savings of $1,394,276 over the life of the bonds resulting in a net present value savings of $1,189,304 or 15.376% of the refunded principal.

9. $6,635,000, Series 2010C, General Obligation Refunding Bonds, for refunding the Series 2000E General Obligation Bonds. Issued at a discount and payable annually in principal installments ranging from $60,000 to $675,000 plus interest over 12 years. The refunding provided for a cumulative savings of $675,874 over the life of the bonds resulting in net present value savings of $593,504 or 8.945% of the refunded principal.

10. $35,825,000, Series 2010D, Taxable General Obligation Pension Funding Bonds issued at a discount and payable annually in principal installments ranging from $1,195,000 to $2,700,000 plus interest over 20 years, to finance additional contributions to the Policemen's and Firefighters' Retirement Plan.

11. $6,305,000, Series 2010F, Various Purpose General Obligation Public Projects Build America Bonds, issued at a discount and payable annually in principal installments ranging from $45,000 to $1,305,000 plus interest over 5 years, to finance the acquisition of various equipment for Divisions within the Government including but not limited to Computer Services, Public Safety, Parks and Recreation and Waste Management. The 2010F Bonds were issued under the guidelines provided under the ARRA. Under the Guidelines set forth in the ARRA, the Government is eligible to apply for an interest subsidy payment from the United States Treasury of 35% for BABs. The Government received a subsidy for the year ending June 30, 2014 of $33,253.

12. $8,950,000, Series 2010G, Various Purpose General Obligation Public Projects Recovery Zone Economic Development Bonds (RZEDB), issued at a discount and payable annually in principal installments ranging from $200,000 to $1,445,000 plus interest over 15 years, to finance the acquisition of various equipment for Departments within the Government including but not limited to Public Safety, Planning, Preservation and Development, and Environmental Quality and Public Works. The 2010G Bonds were issued under the guidelines provided under the ARRA. Under the Guidelines set forth in the ARRA, the Government is eligible to apply for an interest subsidy payment from the United States Treasury of 45% for RZEDB. The Government received a subsidy for the year ending June 30, 2014 of $162,450.

13. $4,465,000, Series 2010H, General Obligation Refunding Bonds, for refunding a portion of the General Obligation Bond Series 2001B. Issued at a discount and payable in annual principal payments ranging from $30,000 to $540,000 plus interest over 12 years. The refunding provided for a cumulative savings of $150,459 over the life of the bonds resulting in a net present value savings of $126,407 or 3.028% of the refunded principal.

14. $31,000,000, Series 2012A, Taxable General Obligation Pension Funding Bonds, issued at a premium and payable annually in principal installments ranging from $1,170,000 to $2,110,000 plus interest over 20 years, to finance additional contributions to the Policemen's and Firefighters' Retirement Plan.

15. $6,275,000, Series 2012B, General Obligation Refunding Bonds, for refunding a portion of the General Obligation Bond Series 2002C and the General Obligation Bond Series 2004C. Issued at a discount and payable in annual principal payments ranging from $20,000 to $825,000 plus interest over 12 years. The refunding provided for a cumulative savings of $597,633 over the life of the bonds resulting in net present value savings of $545,403 or 8.759% of the refunded principal.

16. $3,455,000, series 2012C, Various Purpose General Obligation notes to finance various projects including construction, acquisition and installation of various projects including but not limited to street and sidewalk improvements, safety equipment, various park and recreation improvements and other equipment and vehicles for the benefit of numerous Departments of the Government. Issued at a premium and payable in annual principal payments ranging from $530,000 to $750,000 plus interest over 5 years.

17. $11,275,000, Series 2013A, Various Purpose General Obligation Bonds to finance various street and highway improvements including the rehabilitation and paving of existing roads and streets throughout Lexington, Fayette County, Kentucky. Issued at a premium and payable in annual principal payments ranging from $845,000 to $1,265,000 plus interest over 10 years.

18. $6,005,000, Series 2013B, Various Purpose General Obligation Refunding Bonds, for refunding a portion of the General Obligation Bond Series 2004C, General Obligation Bond Series 2005C and General Obligation Bond Series 2006B. Issued at a premium and payable annually in principal installments ranging from $40,000 to $925,000 plus interest over 13 years. The refunding provided for a cumulative savings of $402,579 over the life of the bonds resulting in net present value savings of $293,222 or 5.103% of the refunded principal.

19. $17,035,000, Series 2013C, Various Purpose General Obligation Bonds to finance various projects for Departments within the Government, including but not limited to communications and computer equipment and other equipment, traffic engineering equipment, police and fire equipment, police and fire vehicles, and golf carts, remodeling and renovation of public safety buildings, Kentucky Theatre, maintenance building, fire stations, street and sidewalk improvements, various park projects and improvements, HVAC system maintenance and weather and emergency systems upgrades Issued at a premium and payable in annual principal payments ranging from $595,000 to $1,195,000 plus interest over 20 years.

20. $55,925,000 Series 2014A, Various Purpose General Obligation Refunding Bonds, for refunding the General Obligation Bond Series 2010A Build America Bonds. Issued at a premium and payable annually in principal installments ranging from $2,325,000 to $4,220,000 plus interest over 17 years. The refunding provided for a

cumulative savings of $2,214,916 over the life of the bonds resulting in net present value savings of $2,437,443 or 4.35% of the refunded principal.

Landfill Closure and Postclosure Care Cost

State and Federal laws and regulations require the Government to place final covers on its landfills and to perform certain maintenance and postclosure monitoring functions at its landfills for thirty years. Since the operations and maintenance of the Government's landfills are accounted for in an Enterprise Fund, the accrued liability for these costs are reported in the Landfill Fund as required by GASB 18, *Accounting for Municipal Solid Waste Landfill Closure and Postclosure Care Costs*. The liability at June 30, 2014 is based on the estimated cost of maintaining and monitoring the Old Frankfort Pike Landfill (OFPLF) and the Haley Pike Landfill. Actual cost may be higher due to inflation, changes in technology, or changes in regulations and these costs will be funded by the Landfill Fund. The OFPLF ceased accepting waste decades ago. The Haley Pike Landfill ceased accepting waste in December 2011. Both of these landfills are at 100% capacity. The Haley Pike Landfill has been capped. Environmental monitoring and maintenance of the property will occur over the next 30 years, in accordance with Kentucky State Law.

NOTE 4. SELF-INSURANCE PROGRAM

A. Health, Dental and Vision Care – The Government offers health, dental, and vision care insurance options to employees of the Government. The self insured medical and pharmacy health plan is provided by Humana and City Pharmacy. The fully insured dental and vision plans are provided by Delta Dental and Eye Med respectively. Third party administrators are responsible for the processing of claims and cost containment. Premiums are paid through payroll deductions and may be funded fully or partially by the Benefit Pool provided by the Government. The Health, Dental, and Vision Care Insurance Fund accounts for these activities and is reported in an internal service fund. Changes in the balances of claims liabilities during the past two years are as follows:

Surplus at June 30, 2012	$0
Claims and changes in estimates	28,097,342
Claims paid	(28,097,342)
Surplus at June 30, 2013	0
Claims and changes in estimates	27,970,275
Claims paid	(27,970,275)
Surplus at June 30, 2014	$0

B. Insurance and Risk Management – The Government is exposed to various risks of loss related to torts; theft of, damage to, and destruction of assets; errors and omissions; injuries to employees; and natural disasters. These risks are covered through the Property and Casualty Claims Fund (the Fund), a self-insured program established in 1982. There are five types of coverage provided by the self-insured program: auto liability, auto physical damage, general liability, property (including boiler and machinery), and workers' compensation.

All assets and employees of the primary government are covered by the Fund. Premiums are paid into the Fund by the General Fund, the Urban Services Fund, and the Sanitary Sewer System Fund and are based on both exposure and experience factors. Premiums include amounts needed to pay prior and current-year claims and administrative costs.

Liabilities of the fund are reported when it is probable that a loss has occurred and the amount of the loss can be reasonably estimated. Liabilities include an amount for claims that have been incurred but not reported (IBNR). The result of the process to estimate the claims liability depends on many complex factors, such as inflation, changes in legal doctrines, and damage awards. Accordingly, claims are reevaluated periodically to consider the effects of inflation, recent claim settlement trends, and other economic and social factors. Estimated recoveries, from subrogation and excess insurance policies, for example, are another component of the claims liability estimate.

Annually, as of June 30, the Fund has a third party actuary review the claim histories for all claim years for which open claims are outstanding. The actuary projects the ultimate claim payment obligation (including the IBNR claims) for each year's claim experience. The Government elected to establish the liability for these claims and loss expenses at their present value with a discount rate of 3.5%. As of June 30, 2014 the undiscounted estimated liability was $33,201,973. The discounted estimated liability as of June 30, 2014 was $27,653,705. Changes in the balances of claims liabilities during the past two years are as follows:

	Auto Liability and Physical Damage	General Liability	Property	Workmens' Compensation	Total
Liability at June 30, 2012	$979,383	$6,367,873	$136,232	$14,540,957	$22,024,445
Claims and changes in estimates	5,483,185	5,784,985	420,511	3,656,313	15,344,994
Claims paid 2013	(2,483,714)	(2,649,710)	(416,868)	(3,312,950)	(8,863,242)
Liability at June 30, 2013	3,978,854	9,503,148	139,875	14,884,320	28,506,197
Claims and changes in estimates	1,375,494	4,915	1,049,178	6,630,619	9,060,206
Claims paid 2014	(2,111,833)	(893,898)	(1,002,291)	(5,904,676)	(9,912,698)
Liability at June 30, 2014	$3,242,515	$8,614,165	$186,762	$15,610,263	$27,653,705

The Fund uses excess insurance policies, purchased from various commercial carriers, to reduce its exposure to large losses on all types of insured events or for exposures that are difficult to self-insure. These insurance policies permit recovery of losses above the self-insured retention limits from the insurance carriers, although it does not discharge the primary liability of the Self-Insured Retention Fund as the direct source for payment of claims made against the Government. Workers' compensation self-insured retention was $750,000 and property self-insured retention was $250,000. The following schedule indicates the types of excess insurance purchased, the SIR (self-insured retention level) maintained by the Fund, limits and some of the sub-limits of the excess insurance coverage:

Line of coverage	Self-insured Retention Per Occurrence	Excess Reinsurance Annual Limit
Property	$250,000	$500,000,000 Per Occurrence
Flood Loss	250,000	$100,000,000 Per Occurrence
Flood Loss (Zones A,V, and all other 100 – year floodplains)	250,000	$2,000,000 Per Occurrence
Earthquake Loss	250,000	$100,000,000 Per Occurrence
Electronic Data Processing	250,000	Included in Property Limits
Traffic Control Equipment	250,000	Included in Property Limits
Cyber Coverage – Third Party	100,000	$20,000,000 Aggregate
Cyber Coverage – First Party	100,000	$2,000,000 Aggregate
Boiler and Machinery	100,000	$100,000,000 Per Occurrence
Electronic Data Processing	100,000	$10,000,000 Per Occurrence
Auto Physical Damage	100,000	Included in Property Limits
Auto Liability	2,000,000	$5,000,000 Per Occurrence
General Liability	2,000,000	$5,000,000 Per Occurrence
Public Officials Liability	2,000,000	$5,000,000 Per Occurrence
Workers' Compensation	1,000,000	Statutory Per Occurrence
Employers' Liability	$75,0000 with $250,000 corridor	$1,000,000 Per Occurrence

NOTE 5. CONTINGENT LIABILITIES AND COMMITMENTS

A. Litigation – The Government is party to numerous legal proceedings where the ultimate outcome cannot be determined with certainty or cannot be reasonably estimated, many of which normally occur in government operations. The Government's Department of Law estimates that there are pending cases in which there is a reasonably possible likelihood that the Government will incur some liability. As of June 30, 2014 the Government has accrued approximately $11,000,000 for potential liabilities for the cases covered by self-insurance (See Note 4.B.) and approximately $4,500,000 in the General Fund in the Government-Wide Financial Statements for matters not covered by the self-insurance program.

In 2005, a case was filed by multiple firefighters alleging that their overtime wages, pension contributions and benefits were not calculated accurately. They seek compensatory damages and attorneys' fees. The Government filed a Motion for Judgment on the Pleadings on state wage and hour claims, and the Motion was granted by the Fayette Circuit Court. The Court granted the Government's motion to make the judgment final and appealable, and the Plaintiffs appealed to the Court of Appeals. The Court of Appeals upheld the Circuit Court's decision in favor of the Government. The Plaintiffs have filed a Motion for Discretionary Review with the Kentucky Supreme Court and the Government's Response has been submitted. The Kentucky Supreme Court issued an Order holding in abeyance the Motion for Discretionary Review until another firefighter wage and hour case is decided. The Kentucky Supreme Court ultimately issued a decision in the other firefighter case, and the Lexington case was remanded to the Court of Appeals. The Court of Appeals issued a decision which necessitated further review at the Kentucky Supreme Court. Currently, the case is pending there on a Motion for Discretionary Review. The Plaintiffs' claim could be in excess of $1,000,000, depending on the form of calculation of back overtime wages. The Government intends to vigorously defend the claims asserted in the lawsuit, but at the same time, and at the Plaintiffs' counsels' request, has indicated a willingness to attempt to mediate the parties' differences while continuing to litigate the Government's defenses.

B. United States Environmental Protection Agency Consent Decree – The United States Environmental Protection Agency (EPA) and the Kentucky Environmental and Public Protection Cabinet (KYEPPC) filed suit in federal court against the Government in 2006 alleging various violations of the Clean Water Act. The Government completed negotiations with the EPA and KYEPPC to resolve the alleged violations. The resulting Consent Decree agreement was entered in the United States District Court – Eastern District of Kentucky on January 3, 2011. The settlement agreement requires the Government to undertake extensive studies, sewer improvement projects and management plans to correct the problems that were alleged. The settlement affords the Government up to 13 years to correct the problems. The Government has estimated that the cost of remedial measures would approach $591 million over the life of the Consent Decree. The Government increased sanitary sewer rates to fund obligations under the Consent Decree and also adopted a storm water management fee.

C. Federal and State Grants – The Government receives grant funds from various Federal and State government agencies to be used for specific designated purposes and are governed by various rules and regulations of the grantor agencies. The grant programs are subject to audit by agents of the granting authorities, the purpose of which is to ensure compliance with conditions surrounding the granting of funds. If a grantor's review indicates that the funds have not been used for the intended purpose, the grantor may request a refund of monies advanced or refuse to reimburse the Government for its expenditures. In management's opinion, any liability for any refunds or reimbursements which may arise as a result of audits of grant funds would not have a material impact on the financial position of the Government. Continuation of the Government's grant programs is predicated upon the grantor's satisfaction that the funds provided are being spent as intended and the grantor's intent to continue their programs.

D. Lexington Center Corporation – LCC is a non-profit, non-stock corporate agency and instrumentality of the Government. The Government entered into a lease agreement that provides for leasing the Lexington Center from LCC on an annual basis beginning June 15, 1993. This lease agreement replaces a contract lease and option agreement that began October 1, 1974. The annual rental to be paid by the Government to LCC is an amount equal

to interest and principal paid on the Series 2008A Bonds and Capital Appreciation Bonds, less a credit for interest earned by investments in the Debt Service Reserve Account and Bonds Service Account, plus a credit for any revenues or assets of LCC constituting operation revenue. The agreement grants the Government an exclusive option to renew the lease for additional one-year periods through June 30, 2022, but the Government may elect not to renew the lease with written notice to LCC. The Government may acquire title to the facilities on any interest payment date by notifying LCC and the Trustee within sixty days before such date and by paying to the Trustee an amount equal to principal, interest and redemption premiums on bonds outstanding at that time, plus costs associated with the redemption of the bonds.

On July 13, 2001, LCC and the University of Kentucky Athletic Association entered into a lease agreement through the 2017-18 basketball season for the use of Rupp Arena.

An agreement between LCC and the Lexington Convention and Visitors Bureau, dated March 20, 2001, provides for annual contributions of $748,000 to LCC for the period beginning 2001 and ending 2021. Contributions shall decrease in the amount of $100,000 each successive fiscal year beginning in 2013, with a final contribution of $48,000 in 2021.

On May 29, 2012, the Blue Grass Community Foundation awarded LCC a grant in the amount of $2,500,000 for renovations and upgrades to student-athlete locker room facilities, dressing rooms for entertainment acts and artists and other public areas within Rupp Arena.

E. Lexington-Fayette Urban County Airport Corporation (Airport Corporation) – The Airport Corporation is a non-profit, non-stock corporate agency and instrumentality of the Government and the Airport Board. The Government and the Airport Board have entered into a joint and severable Contract Lease and Option Agreement that provides for leasing the Bluegrass Airport from the Airport Corporation on an annual basis beginning October 1, 1976. The annual rental to be paid by the Government to the Airport Corporation is an amount equal to interest and principal on the bonds, plus costs of operating, maintaining and insuring the leased premises, less all receipts of the Airport Corporation that are not required to be otherwise applied. The agreement grants the Government the option to renew the lease for additional one-year periods through June 30, 2024, but the Government may elect not to renew the lease with written notice to the Airport Corporation. The Airport Corporation has had sufficient revenues to pay all debt service costs without a lease payment from the Government. The financial status is expected to remain the same.

As of June 30, 2014, several uncompleted construction projects funded in-part by Federal grants remain open. Upon completion and final approval by the Inspector General, these projects will be closed out and a final account will be rendered. Outstanding construction contract commitments are $2,291,000 at June 30, 2014.

The Airport Corporation is subject to federal, state, and local regulations in regards to the discharge of various materials into the environment. Costs are routinely incurred to remove, contain and neutralize existing environmental contaminates and these costs are generally expensed as incurred. Future costs for existing conditions are not readily determinable and are not reflected in the financial statements.

The Airport Corporation is exposed to various risks of loss related to torts; theft of, damage to, and destruction of assets; errors and omissions; injuries to employees; general liability claims; and natural disasters. The Airport Corporatoin manages these risks through the purchase of commercial insurance. The amount of settlements has not exceeded coverage in any of the past three fiscal years.

F. Lexington Public Library – The Library is a non-profit, non-stock corporate agency and instrumentality of the Government. The Lexington Public Library Board of Trustees is a defendant in a lawsuit filed by the Library's former Director, for contract damages associated with her 2009 termination by the Board. This matter came before an American Arbitration Association panel that on May 17, 2013 issued an Order of Damages totaling $907,762. On each of the panel's findings for damages a panel member dissented to the order except in the case of

the salary remaining on the contract which totals $257,731. The Lexington Public Library Board of Trustee's legal counsel presented to the Fayette Circuit Court arguments and memoranda supporting the Board's position that the Arbitration Panel exceeded its authority under Kentucky law.

It is probable that the damages awarded for salary remaining on the contract will be upheld as well as interest damages at 8% per annum per Kentucky statute. As such, the Lexington Public Library has recorded a liability of $316,253 for damages in the lawsuit filed by its former Director.

G. Lexington Downtown Housing Fund, LLC – On December 9, 2004 the Government passed ordinance 319-2004 approving a lease and sublease for the purpose of creating, enhancing and extending market-rate housing in downtown Lexington (the Project). The Ordinance authorized entering into one or more leases with the Kentucky League of Cities Funding Trust to enable the Government to finance the Project for an aggregate principal amount of $2,000,000 outstanding at any one time. The leases are a general obligation pledge of the Government. The sublease agreement between the Government and the Lexington Downtown Housing Fund, LLC (DHL LLC) assigns administrative management and support of the loan programs to DHL LLC. Under the loan program, DHL LLC makes loans to developers of approved projects. The loans made by DHL LLC are funded in part by the sublease and in part from funds contributed or loaned from local participating banks. The interest on the loans are paid by the developers and the principal of the loans are subsequently repaid by the revenues from the projects. In the event of default by the developer on the loan payment, the portion of the loan funded by the sublease would become an obligation of the Government. In June, 2014, the Government paid U.S. Bank $1,006,488 to fulfill the general obligation pledge with the Kentucky League of Cities. Of that amount, $1,005,000 is principal and $1,488 is interest and fees. The Government has entered into financial agreements with the remaining developers. Artek, LLC has agreed to a promissory note made payable to the Government of $150,000, maturing June 13, 2019. In addition, Artek, LLC agrees to use its best efforts to pay any additional funds that may be available at the maturity date, up to a maximum amount of $75,000. Lastly, Artek, LLC paid $20,000 to the Government on April 25, 2014. The Government has recorded a long term note receivable in the guaranteed amount of $150,000. The remaining principal balance of $355,000 has been forgiven.

The Government has recorded a long term note receivable in the amount of $405,000 due from Lexington Centercourt on June 13, 2019. The Government anticipates the amount to be paid in full.

H. Liens and Encumbrances – While the Government has satisfactory title to all owned assets, there may be some liens and encumbrances on such assets for matters unrelated to bond issues. Only a complete accurate title search of all properties would disclose such liens and encumbrances.

I. Conduit Debt – The Government has issued Industrial Revenue Bonds to provide financial assistance to private sector and nonprofit entities for the acquisition and construction of industrial and commercial facilities deemed to be in the public interest. The bonds are secured by the property financed and are payable solely from payments received on the underlying mortgage loans. Upon repayment of the bonds, ownership of the acquired facilities transfers to the private sector or nonprofit entity served by the bond issue. The Government is not obligated in any manner for repayment of the bonds. Accordingly, the bonds are not reported as liabilities in the accompanying financial statements. As of June 30, 2014, there were 28 series of Industrial Revenue Bonds outstanding with an aggregate amount payable of approximately $218,078,316.

To provide for the construction of a hospital facility, the PFC issued Lease Revenue Bonds, Series 2011A (Eastern State Hospital Project). The bonds are a special limited obligation of the PFC, payable solely from and secured by a pledge of rentals to be received from a lease agreement between the PFC and the Commonwealth of Kentucky. The bonds do not constitute a debt or pledge of the faith and credit of the PFC or the Government, and accordingly have not been reported in the accompanying financial statements. At June 30, 2014, the Lease Revenue Bonds outstanding total approximately $134,460,000.

J. Encumbrances – Encumbrance accounting is utilized during the year to facilitate effective budgetary control. Encumbrances are treated as budgeted expenditures in the year of incurrence of the commitment to purchase. Budgetary comparisons presented in this report are on this budgetary basis of accounting. Adjustments necessary to convert from the budgetary basis to GAAP are provided on the face of the budgetary comparison statements.

In governmental funds, encumbrances outstanding at year-end represent commitments related to unperformed contracts for goods or services. Encumbrance accounting, under which purchase orders, contracts and other commitments for the expenditure of resources are recorded to reserve that portion of the applicable appropriations, is utilized in the governmental funds. Encumbrances are not treated as expenditures or liabilities because the commitments will be honored during the subsequent year. Outstanding encumbrances for the governmental funds at June 30, 2014 were as follows:

General Fund	$3,244,147
Urban Service Fund	1,700,667
Nonmajor Governmental Funds	$8,369,885

Encumbrances are not recorded in the financial statements for proprietary fund types and Pension Trust Funds. However, the purchase orders outstanding at June 30, 2014 for these funds are as follows:

Sanitary Sewer System	$16,344,205
Public Facilities Corporation	14,070
Water Quality	3,398,293
Landfill	54,267
Nonmajor Enterprise Funds	$36,810

NOTE 6. THE SINGLE AUDIT ACT

The U.S. Office of Management and Budget's Circular No. A-133 for Audits of States, Local Governments and Non-Profit Organizations (the Circular) requires non-federal entities that expend $500,000 or more a year in Federal awards to have an audit performed in accordance with the provisions of the Circular. A separate supplemental report will be issued on active grant programs of the Government in accordance with applicable provisions of the Single Audit Act of 1984, P.L. 98-502 and the Single Audit Act Amendments of 1996, P.L. 104-156.

NOTE 7. SUBSEQUENT EVENTS

Primary Government

On September 29, 2014, the Kentucky Infrastructure Authority Board approved an additional low interest loan for the purpose of constructing additional wet weather storage tanks for the Government's Wastewater system in the amount of $36,000,000. These projects are required as part of the EPA Consent Decree. The total amount is $92,167,393. As of June 30, 2014, the Government had received proceeds of $14,035,858.

On October 20, 2014, the Government issued Sanitary Sewer System Series 2014 refunding bonds with a par value of $34.6 million. The proceeds will be used to refund Series 2009 and Series 2010A, $30.28 million and $11.74 million outstanding principal, respectively.

On October 21, 2014, the Urban County Council approved the issuance of General Obligation bonds with a par value of $27.69 million. The bonds will fund various capital projects. In addition, the Urban County Council approved issuance of Qualified Energy Conservation Bonds (QECB) with a par value of $2.9 million. The QECB bonds are qualified tax credit bonds issued by the state and allow the Government to recoup part of the interest

through a direct subsidy from the Department of Treasury. The Government plans to use proceeds on capital improvements for the Detention Center.

Component Units

On June 11, 2014, the Board of Trustees for the Lexington Public Library voted to purchase a building for approximately $4 million that will be renovated and placed in service to replace the existing Eagle Creek Branch. As such, the Library paid a refundable $150,000 deposit on the property. The Eagle Creek Branch building will be sold, and the proceeds used to pay down the debt associated with the new branch. The new branch is expected to open by May 2015. The purchase will be completed upon the Library obtaining appropriate financing.

NOTE 8. TRANSFER OF ASSETS

Primary Government

Parking Authority of Lexington – Effective July 1, 2012, the Government entered into a transfer agreement with a component unit, Parking Authority of Lexington. The transfer agreement encompasses relinquishing management and control of four properties, formerly listed as assets of the Government. During fiscal year 2014, the net book value of the Governmental Activities capital assets transferred was $69,267. The net book value of the Business-Type Activities capital assets transferred was $198,233. The total net book value of the properties transferred was $267,500.

NOTE 9. DEFINED BENEFIT PENSION PLANS AND OTHER POST EMPLOYMENT BENEFITS

The Policemen's and Firefighters' Retirement Fund (PFRF) and The City Employees' Pension Fund (CEPF)

A. Plan Descriptions

The Government contributes to two single employer defined benefit pension plans: The PFRF and the CEPF.

The sworn personnel of the divisions of Police and Fire are eligible to participate in the PFRF. For members whose participation date in the PFRF is prior to March 14, 2013, benefits vest after twenty years of service. The annuity is 2.5% of average salary multiplied by years of total service. For members whose participation date is on or after March 14, 2013, benefits vest after twenty-five years of service. The annuity is 2.25% of average salary multiplied by years of total service. Cost of living adjustments (COLA) will be granted on the following schedule for both current and future retirees beginning on the earlier of a member turning age 50 or being retired for five years until the PFRF, utilizing the current COLA provisions, is 85% funded. At that time, COLA's will be granted each year by an amount, determined by the Board, of between 2% and 5% compounded annually. In addition, those receiving an annuity of over $100,000 will not be eligible to receive a COLA until the later of the proposed conditions or January 1, 2016.

Annual Annuity	COLA %
Above $100,000	1%
$75,000 to $99,000	1%
$50,000 to $74,999	1.5%
$40,000 to $49,999	1.5%
$35,000 to $39,999	2%
$30,000 to $24,999	2%
Under $30,000	2%

Members may add unused sick leave to service credit and average annual salary for purposes of calculating retirement benefits. The costs of administering the PFRF are financed by a combination of additional contributions as well as investment income.

Civil service employees of the City of Lexington were covered by the CEPF. In 1973, the governments of the City of Lexington and Fayette County merged to form the Government. In December 1973, the City of Lexington froze admission of new entrants into the CEPF, and in January 1974 the new merged Government assumed the City of Lexington's liability for covered employees and the CEPF was closed to any new members. A member who has attained age 60 and completed 20 years of service or completed 30 years of service regardless of age may apply for retirement. Members who are 45 years old or older with 10 years of service may request a deferred retirement benefit to be paid when they reach 60 years of age. Retirees receive 2.5% of their average salary for each year of service up to 20 years plus 1% of average salary for each year of service over 20 years, with a maximum benefit of 65% of average salary. Members may add unused sick leave to service credit and average annual salary for purposes of calculating retirement benefits. Death and disability benefits are also provided under certain conditions. In addition, the plan includes an annual cost of living adjustment of 3% for any member retiring after July 1, 1981 that has attained age 61 or has been retired for one year. The costs of administering the CEPF are financed by a combination of additional contributions as well as investment income.

Both pension plans are included in the Government's comprehensive annual report and do not issue stand-alone financial reports. Membership of each plan consisted of the following at June 30, 2014:

	Number
Inactive Plan Participants:	
Retirees and beneficiaries currently receiving benefits	1,153
Active Plan Participants:	
Active members	1,097
Total	2,250

B. Summary of Significant Accounting Policies and Plan Asset Matters

Basis of Accounting – The preparation of the financial statements of the PFRF and CEPF conform to the provisions of GASB Statement No. 25. Benefits and refunds of both plans are recognized when due and payable in accordance with the terms of each plan. The financial statements are prepared on an accrual basis.

Investments – Investments are stated at fair value**.** Securities traded on a national exchange are valued at the last reported sales price. Gains or losses on the sale of fixed income securities are recognized using the completed transaction method. There are no significant investments (other than U.S. Government and U.S. Government Agencies & Instrumentalities) in any one organization that represents 5% or more of net assets available for benefits.

C. Contributions

The contribution requirements and benefit provisions for the PFRF and CEPF are established by state statute and Government ordinance. In fiscal year 2014, the Government contributed 36.53% to the PFRF and 17.5% to the CEPF. Administrative costs were financed by a combination of additional contributions as well as investment income. The required contribution rates are shown in the following table:

	PFRF	CEPF
Required Contribution Rates:		
Government	36.53%	17.5%
Plan Member	12.0%	8.5%

D. Supplemental Information

Schedule of Funding Progress

Actuarial Valuation Date	Actuarial Value of Assets (a)	Actuarial Accrued Liability (AAL) - Entry Age (b)	Unfunded AAL (UAAL) (b-a)	Funded Ratio (a/b)	Covered Payroll (c)	UAAL as a % of Covered Payroll (b-a)/(c)
Policemen's and Firefighters' Pension Fund (3% COLA)						
7/1/09	$441,772,820	$699,851,128	$258,078,308	63.1%	$65,765,448	392.4%
7/1/10	502,259,967	724,140,738	221,880,771	69.4%	60,512,412	366.7%
7/1/11	501,069,884	758,851,546	257,781,662	66.0%	64,258,162	401.2%
7/1/12	525,849,582	687,673,831	161,824,249	76.5%	54,595,799	296.4%
7/1/13	533,892,554	738,343,325	204,450,771	72.3%	62,455,725	327.4%
7/1/14	$579,749,633	$760,384,029	$180,634,396	76.2%	$63,248,485	285.6%
City Employees' Pension Fund						
7/1/09	$24,865,567	$20,179,074	$(4,686,493)	123.2%	$43,416	(10,794.4)%
7/1/10	25,529,868	16,080,311	(9,449,557)	158.8%	0*	NA
7/1/11	27,052,395	15,068,768	(11,983,627)	179.5%	0*	NA
7/1/12	26,875,985	14,012,737	(12,863,248)	191.8%	0*	NA
7/1/13	28,029,242	12,970,313	(15,058,929)	216.1%	0*	NA
7/1/14	$30,783,518	$11,925,758	$(18,857,760)	258.1%	0*	NA

*All city employees are currently retired, therefore covered payroll is $0.

Annual Pension Cost and Net Pension Obligation (Asset)

	PFRF	CEPF
Annual required contribution	$23,217,413	$0
Interest on net pension obligation (asset)	(4,074,374)	101,762
Adjustment to annual required contribution	(4,278,850)	159,613
Annual pension cost	23,421,889	(57,851)
Contributions made	23,217,413	0
Decrease in net pension obligation (asset)	204,476	(57,851)
Net pension obligation (asset), beginning of year	(54,324,982)	1,453,739
Net pension obligation (asset), end of year	$(54,120,506)	$1,395,888

Six-Year Trend Information

Fiscal Year Ending	Annual Pension Cost (APC)	Contribution	Percentage of APC Contributed	Net Pension Obligation (Asset)
Policemen's and Firefighters' Pension Fund				
2009	$28,839,699	$84,023,573	291.3%	$(30,143,003)
2010	30,485,067	49,469,806	162.3%	(49,127,742)
2011	27,923,223	14,408,809	51.6%	(35,613,328)
2012	28,668,786	47,585,689	165.9%	(54,530,231)
2013	22,527,317	22,322,068	99.1%	(54,324,982)
2014	$23,421,889	$23,217,413	99.1%	$(54,120,506)
City Employees' Pension Fund				
2009	$(74,415)	$7,864	N/A	$1,787,708
2010	(71,141)	$74,488	N/A	1,642,079
2011	(65,345)		N/A	1,576,734
2012	(62,746)		N/A	1,513,988
2013	(60,249)		N/A	1,453,739
2014	$(57,851)		N/A	$1,395,888

The information presented in the supplemental schedules was determined as part of the actuarial valuations at the dates indicated. Additional information as of the latest actuarial valuation is presented in the following table.

	Policemen's and Firefighters' Pension Fund	City Employees' Pension Fund
Valuation date	July 1, 2014	July 1, 2014
Actuarial cost method	Entry Age Normal Funding	Entry Age Normal Funding
Amortization method	Level Dollar - Closed	Level Dollar - Open
Remaining amortization period	29 years open	15 years open
Asset valuation method	Actuarial Related Value	Market
Actuarial assumptions:		
Investment rate of return	7.5%	7.0%
Projected salary increases	10.50% to 4.00%	N/A
Cost-of-living adjustments	See Note 9.A. on page 90	3.0%
Inflation	3.0%	N/A

The Government's annual required contribution (ARC), amount contributed, and percentage of required contribution to actual contribution for the last six years are as follows:

Fiscal Year Ending	ARC	Contribution	Percentage of ARC Contributed
Policemen's and Firefighters' Retirement			
2009	$28,689,989	$84,023,573	292.9%
2010	30,665,280	49,469,806	161.3%
2011	28,216,938	14,408,809	51.1%
2012	28,703,638	47,585,689	165.8%
2013	22,322,068	22,322,068	100.0%
2014	$23,217,413	$23,217,413	100.0%
City Employees' Pension*			
2009		$7,864	
2010		$74,488	
2011			
2012			
2013			
2014			

*Closed plan

E. Other Post Employment Benefit (OPEB)

Plan Description – In August 1999, the Urban County Council passed an ordinance that authorized the Government to provide a health insurance benefit to the retirees of both retirement funds, effective July 1, 1999 (the Plan). All retirees who continue to participate in the Government's group health insurance plan are eligible for this benefit.

Funding Policy – The Government pays the premiums for single coverage on a pay-as-you-go basis. In fiscal year 2014, 870 retirees of the PFRF received this benefit for a total cost of $4,294,779; and 16 retirees of the CEPF received this benefit for a total cost to the Government of $54,199.

Annual OPEB Cost and Net OPEB Obligation – The Government's annual OPEB cost (expense) is calculated based on the annual required contribution (ARC) of the employer, an amount actuarially determined in accordance with the parameters of GASB Statement 45. The ARC represents a level of funding that, if paid on an ongoing basis, is projected to cover normal cost each year and to amortize any unfunded actuarial liabilities (or funding excess) over a period not to exceed thirty years.

The following table shows the components of the Government's annual OPEB cost for the year, the amount actually contributed to the plan, and changes in the Government's net OPEB obligation:

Annual required contribution	$13,261,194
Interest on net OPEB obligation	2,924,118
Adjustment to annual required contribution	2,650,401
Annual OPEB cost (expense)	13,534,911
Contributions made	(4,348,979)
Increase in net OPEB obligation	9,185,932
Net OPEB obligation, beginning of year	64,980,406
Net OPEB obligation, end of year	$74,166,338

The Government's annual OPEB cost, the percentage of annual OPEB cost contributed to the plan, and the net OPEB obligation for fiscal year 2014 and the two preceding fiscal years were as follows:

Fiscal Year Ending	Annual OPEB Cost	Percentage of Annual OPEB Cost Contributed	Net OPEB Obligation
2012	$16,713,023	26.3%	$56,962,856
2013	13,501,140	40.6%	64,980,406
2014	13,534,911	32.13%	74,166,338

Funded Status and Funding Progress – The Government completed an actuarial valuation of the future unfunded actuarial accrued liability of these benefits and it was determined that as of July 1, 2014 the liability was $195,064,091. The annual required contribution to fund this liability over a period of 30 years is $16,301,497. These figures represent the amount needed to provide benefits for 870 current retirees and beneficiaries and 1,097 active members. To date there has not been any funding of this liability.

Actuarial assumptions of an ongoing plan involve estimates of the value of reported amounts and assumptions about the probability of occurrence of events far into the future. Examples include assumptions about future employment, mortality, and the healthcare cost trend. Amounts determined regarding the funded status and the annual required contributions of the employer are subject to continual revision as actual results are compared with past expectations and new estimates are made about the future. The schedule of funding progress, presented as required supplementary information following the notes to the financial statements, presents multiyear trend information about whether the actuarial value of assets is increasing or decreasing over time relative to the actuarial accrued liabilities for benefits.

Methods and Assumptions – Projections of benefits for financial reporting purposes are based on the substantive plan (the plan as understood by the employer and plan members) and include the types of benefits provided at the time of each valuation and the historical pattern of sharing of benefit costs between the employer and plan members to that point. The methods and assumptions used include techniques that are designed to reduce the effects of short-term volatility in actuarial accrued liabilities and the actuarial value of assets, consistent with the long-term perspective of the calculations.

The actuarial assumptions used for the calculations are listed below.

Valuation date	July 1, 2014
Actuarial cost method	Projected unit credit
Amortization method	Level Percent of Pay, Open
Remaining amortization period	30 years
Asset valuation method	Market Value of Assets
Actuarial assumptions:	
Investment rate of return*	4.5%
Medical cost trend rate*	
Pre-Medicare trend rate	9.5% - 5.0%
Post-Medicare trend rate	7.0% - 5.0%
Year of ultimate trend rate	2018
* Includes inflation at	3.0%

Schedule of Funding Progress

Actuarial Valuation Date	Actuarial Value of Assets (a)	Actuarial Accrued Liability (AAL) - Projected Unit Credit (b)	Unfunded AAL (UAAL) (b-a)	Funded Ratio (a/b)	Covered Payroll (c)	UAAL as a % of Covered Payroll (b-a)/(c)
7/1/10		$211,706,877	$211,706,877	0.00%	$60,512,412	349.9%
7/1/12		171,684,066	171,684,066	0.00%	54,595,799	314.5%
7/1/14		$195,064,091	$195,064,091	0.00%	$63,248,485	308.4%

F. Pension Plan Financial Statements

STATEMENT OF NET POSITION

June 30, 2014

	PFRF	CEPF	Total Pension Trust Funds
ASSETS			
Cash and Cash Equivalents	$11,360,170	$730,788	$12,090,958
Inventories and Prepaid Expenses	36		36
Receivables:			
Interest Receivable	1,460,134	99,301	1,559,435
Investments, at Fair Value:			
Debt Securities:			
US Agencies	32,750,564	5,850,984	38,601,548
US Government Obligations	14,796,803	2,940,627	17,737,430
Municipal Obligations	4,311,306		4,311,306
International Bonds	13,693,994	817,552	14,511,546
Corporate Debt	69,922,741	3,198,709	73,121,450
Repurchase Agreements	39,838,438		39,838,438
Other Investments:			
Equity Mutual Funds	274,718,357		274,718,357
Equity Real Estate	59,591,263		59,591,263
Equity Securities - Domestic	88,727,409	15,941,466	104,668,875
Equity Securities - International	67,571,888	1,339,723	68,911,611
Total Investments	665,922,763	30,089,061	696,011,824
Total Assets	$678,743,103	$30,919,150	$709,662,253
LIABILITIES			
Accounts Payable and Accrued Expenses	$2,360	$0	$2,360
Securities Lending Transactions	39,838,438		39,838,438
Due to Other Funds	2,621,424	135,703	2,757,127
Total Liabilities	$42,462,222	$135,703	$42,597,925
NET POSITION			
Amounts Held in Trust for Pension Benefits	$636,280,881	$30,783,447	$667,064,328

STATEMENT OF CHANGES IN NET POSITION
June 30, 2014

	PFRF	CEPF	Total Pension Trust Funds
ADDITIONS			
Contributions:			
Employer	$23,217,413	$0	$23,217,413
Employer - Administration	4,294,779	54,199	4,348,978
Plan Members	9,730,115		9,730,115
Other	124,281		124,281
Total Contributions	37,366,588	54,199	37,420,787
Investment Income:			
Net Change in Fair Value of Investments	90,642,753	3,350,964	93,993,717
Interest	5,921,838	734,871	6,656,709
Dividends	3,071,592	313,034	3,384,626
Total Investment Income	99,636,183	4,398,869	104,035,052
Less Investment Expense	3,315,350	42,821	3,358,171
Net Investment Income	96,320,833	4,356,048	100,676,881
Income from Securities Lending Activities:			
Securities Lending Income	47,229		47,229
Securities Lending Expenses:			
Borrower Rebates	(62,599)		(62,599)
Management Fees	43,903		43,903
Total Securities Lending Expenses (Income)	(18,696)	0	(18,696)
Net Income on Securities Lending Activities	65,925	0	65,925
Total Additions	133,753,346	4,410,247	138,163,593
DEDUCTIONS			
Benefit Payments	53,597,352	1,628,793	55,226,145
Administrative Expense	598,923	27,249	626,172
Total Deductions	54,196,275	1,656,042	55,852,317
Net Increase	79,557,071	2,754,205	82,311,276
Net Position, Beginning	556,723,810	28,029,242	584,753,052
Net Position, Ending	$636,280,881	$30,783,447	$667,064,328

G. The County Employees' Retirement System

The Government contributes to the Commonwealth of Kentucky's County Employees' Retirement System (CERS) pursuant to KRS 78.530 administered by the Board of Trustees of the Kentucky Retirement System. CERS is a cost-sharing multi-employer public employee retirement system which covers substantially all regular full-time employees of each county and school board and any additional eligible local agencies electing to participate in the System. At June 30, 2014, there were over 1,400 local government agencies participating in CERS, which provides for retirement, disability and death benefits. Beginning October 27, 1975, all eligible full-time employees of the Government were required to participate in CERS. CERS issues a publicly available financial report that includes financial statements and required supplementary information. The report may be obtained by writing to the Kentucky Retirement Systems, Perimeter Park West, 1260 Louisville Road, Frankfort, KY 40601, or by telephone at (502) 696-8800.

Nonhazardous covered employees are required to contribute 5 percent of their salary to the plan. Nonhazardous covered employees who begin participation on or after September 1, 2008 are required to contribute 6 percent of their salary to the plan. The Government's contribution rate for nonhazardous employees was 18.89 percent.

Hazardous covered employees are required to contribute 8 percent of their salary to the plan. Hazardous covered employees who begin participation on or after September 1, 2008 are required to contribute 9 percent of their salary to be allocated as follows: 8 percent will go to the member's account and 1 percent will go to the KRS insurance fund. The Government's contribution rate for hazardous employees was 35.70 percent.

The contribution requirements and the amounts contributed to CERS were $16,161,747, $16,625,248 and $16,388,805 respectively for the years ended June 30, 2014, 2013 and 2012.

Benefits fully vest on reaching five years of service for nonhazardous employees. Aspects of benefits for nonhazardous employees include retirement after 27 years of service or age 65. Nonhazardous employees who begin participation on or after September 1, 2008 must meet the rule of 87 (member's age plus years of service credit must equal 87, and the member must be a minimum of 57 years of age) or the member is age 65, with a minimum of 60 months service credit.

Aspects of benefits for hazardous employees include retirement after 20 years of service or age 55. For hazardous employees who begin participation on or after September 1, 2008 aspects of benefits include retirement after 25 years of service or the member is age 60, with a minimum of 60 months of service credit.

CERS also provides post retirement health care coverage as follows:

For members participating prior to July 1, 2003, years of service and respective percentages of the maximum contribution are as follows:

Years of Service	% paid by Insurance Fund	% Paid by Member through Payroll Deduction
20 or more	100%	0%
15-19	75%	25%
10-14	50%	50%
4-9	25%	75%
Less than 4	0%	100%

As a result of House Bill 290 (2004 General Assembly), medical insurance benefits are calculated differently for members who began participation on or after July 1, 2003. Once members reach a minimum vesting period of ten years, non-hazardous employees whose participation began on or after July 1, 2003, earn ten dollars per month for insurance benefits at retirement for every year of earned service without regard to maximum dollar amount.

Hazardous employees whose participation began on or after July 1, 2003, earn fifteen dollars per month for insurance benefits at retirement for every year of earned service without regard to maximum dollar amount. Upon the death of a hazardous employee, such employee's spouse receives ten dollars per month for insurance benefits for each year of the deceased employee's hazardous service. This dollar amount is subject to adjustment annually based on the retiree cost of living adjustment, which is updated annually due to changes in the Consumer Price Index.

As a result of Senate Bill 2 (2013 General Assembly), members whose participation begins on or after January 14, 2014, may have reduced benefits and rights provided under KRS 78.510 to 78.852, except amounts the member has accrued at the time of amendment.

NOTE 10. RECENT GASB PRONOUNCEMENTS

In June 2012, the GASB approved Statement No. 68, *Accounting and Financial Reporting for Pensions.* This Statement replaces the requirements of Statement No. 27, *Accounting for Pensions by State and Local Governmental Employers* and Statement No. 50, *Pension Disclosures,* as they relate to governments that provide pensions through pension plans administered as trusts or similar arrangements that meet certain criteria. Statement No. 68 requires governments providing defined benefit pensions to recognize their long-term obligation for pension benefits as a liability for the first time, and to more comprehensively and comparably measure the annual costs of pension benefits.

Cost-sharing governmental employers will also be required to report a net pension liability, pension expense and pension-related assets and liabilities based on their proportionate share of the collective amounts for all governments in the plan.

In January 2013, the GASB approved Statement No. 69, *Government Combinations and Disposals of Government Operations*. This Statement establishes accounting and financial reporting standards related to government combinations and disposals of government operations. As used in this Statement, the term *government combinations* includes a variety of transactions referred to as mergers, acquisitions, and transfers of operations. This Statement provides specific accounting and financial reporting guidance for combinations in the governmental environment. This Statement also improves the usefulness of financial reporting by requiring that disclosures be made by governments about combination arrangements in which they engage and for disposals of government operations. The requirements of this Statement are effective for government combinations and disposals of government operations occurring in financial reporting periods beginning after December 15, 2013. The Government does not expect this Statement to have a significant effect on its financial statements.

In April 2013, the GASB approved Statement No. 70, *Accounting and Financial Reporting for Nonexchange Financial Guarantees.* The objective of this Statement is to improve accounting and financial reporting by state and local governments that extend and receive nonexchange financial guarantees. This Statement requires a government that extends a nonexchange financial guarantee to recognize a liability when qualitative factors and historical data, if any, indicate that it is more likely than not that the government will be required to make a payment on the guarantee. This Statement specifies the information required to be disclosed by governments that extend nonexchange financial guarantees. In addition, this Statement requires new information to be disclosed by governments that receive nonexchange financial guarantees. The requirements of this Statement were implemented as of June 30, 2014. Except for disclosures related to cumulative amounts paid or received in relation to a financial guarantee, the provisions of this Statement were applied retroactively. This Statement did not significantly affect the Government's financial statements.

In November 2013, the GASB approved Statement No. 71, *Pension Transition for Contributions Made Subsequent to the Measurement Date – an amendment of GASB Statement No. 68.* The objective of this Statement is to address an issue regarding application of the transition provisions of Statement No. 68, *Accounting and Financial Reporting for Pensions*. The issue relates to amounts associated with contributions, if any, made by a state or local government employer or nonemployer contributing entity to a defined benefit pension plan after the measurement date of the

government's beginning net pension liability. This Statement amends paragraph 137 of Statement No. 68 to require that, at transition, a government recognize a beginning deferred outflow of resources for its pension contributions, if any, made subsequent to the measurement date of the beginning net pension liability. Statement No. 68, as amended, continues to require that beginning balances for other deferred outflows of resources and deferred inflows of resources related to pensions be reported at transition only if it is practical to determine all such amounts. The provisions of this Statement are required to be applied simultaneously with the provisions of Statement No. 68.

NONMAJOR GOVERNMENTAL FUNDS

SPECIAL REVENUE FUNDS

The Special Revenue Funds are used to account for specific revenues that are legally restricted to expenditure for particular purposes.

The **County Aid Program Fund** accounts for the allocation of county road funds from the Commonwealth of Kentucky as provided by HB 973 and adopted by the 1980 General Assembly based upon the motor fuels taxes collected.

The **Municipal Aid Program Fund** accounts for the allocation from the Commonwealth of Kentucky as provided by KRS 174 for design, right-of-way acquisitions, utilities, construction and other municipal road expenditures.

The **Industrial Revenue Bond Fund** accounts for receipts and disbursements of IRB issuance fees.

The **Mineral Severance Fund** and **Coal Severance Fund** account for receipts and disbursements of the Coal and Mineral Severance Tax received from the Commonwealth of Kentucky.

The **Property & Evidence Fund** accounts for monies collected from prisoners. Once the case has been adjudicated through the court system, money is distributed as ordered.

The **Lexington Jobs Fund** was established as a local economic development program to promote employment growth. All program loan payments and collections remain within the fund.

The **Police Confiscated Fund** accounts for recoveries from federal criminal case settlements awarded to the LFUCG Division of Police. Expenditures are restricted to police law enforcement programs.

The **Police Confiscated State Fund** accounts for recoveries from state criminal case settlements awarded to the Government's Division of Police. Expenditures are restricted to police law enforcement programs.

The **Public Safety Fund** accounts for revenues and disbursements of the House Bill 413 fees received from the Commonwealth of Kentucky.

CAPITAL PROJECTS FUNDS

Capital Projects Funds are used to account for the acquisition and construction of major capital facilities and equipment other than those financed by proprietary funds.

The **Lexington Cultural Center** is a project to construct a performing arts and exhibit facility in downtown Lexington.

The **2003 Bond Projects** are for acquisition of vehicles, equipment, the next phase of replacement of the Government Center HVAC system and fire trucks.

The **Equipment Lease Notes** are general obligation notes used for the acquisition of vehicles and capital equipment for the various departments of the Government.

The **2007, 2008, & 2009 Bond Projects** are for park projects, computer equipment and building renovations and improvements.

The **2010 Bond Projects** are to finance various projects for departments within the Government, including acquisition of equipment, infrastructure projects and the Purchase of Development Rights program.

The **2011 & 2012 Bond Projects** are to finance the acquisition of various equipment for departments within the Government including but not limited to Computer Services, Public Safety, Parks and Recreation, Solid Waste, Purchase of Development Rights, Recycling Center and Public Works utility design.

The **2013 Bond Projects** are to finance the acquisition of vehicles and equipment, various parks projects and complete renovation of the Emergency Operations Center.

The **2014 Bond Projects** will fund projects for Purchase of Development Rights, conservation easements, Public Safety radios, renovation and construction of Parks and funding for the Arena, Arts, and Entertainment District.

The **2015 Bond Projects** will fund projects for Purchase of Development Rights, conservation easements, Public Safety, traffic signal upgrades, renovation and construction of Parks, Facilities and Fleet Management vehicle replacement and repairs and a new senior citizens center.

The **Public Library Corporation** is for the acquisition, construction, equipping and financing of public projects to be used for public library purposes.

The **Roads, Parks, Open Space, Storm Water Exactions** are for improvements necessary to provide roads, parks, open space and storm water management in the Expansion Area Master Plan funded by developer and property owner exaction fees.

LEXINGTON-FAYETTE URBAN COUNTY GOVERNMENT
COMBINING BALANCE SHEET
NONMAJOR GOVERNMENTAL FUNDS
June 30, 2014

	Special Revenue Funds										
				Local Economic Assistance							
	County Aid Program	Municipal Aid Program	Industrial Revenue Bond	Mineral Severance	Coal Severance	Property & Evidence	Lexington Jobs Fund	Police Confiscated Funds	Police Confiscated State Funds	Public Safety Fund	Total
ASSETS											
Current Cash	$2,468,110	$100	$154,661	$407,357	$372,630	$384,559	$0	$411,043	$791,304	$0	$4,989,764
Current Investments	189,638	6,562,942		63,213				1,062,673			7,878,466
Receivables:											
Other	77,627	594,063		75,386	15,238			4,330		71,987	838,631
Inventories and Prepaid Items								8,391			8,391
Due from Other Funds	65,532	1,687,773	14,689	200,095	3,949	1,581	1,000,000		82,213	919,413	3,975,245
Total Assets	$2,800,907	$8,844,878	$169,350	$746,051	$391,817	$386,140	$1,000,000	$1,486,437	$873,517	$991,400	$17,690,497
LIABILITIES AND FUND BALANCES											
Liabilities:											
Accounts and Contracts Payable	$458,006	$212,750	$0	$24,967	$0	$2,774	$0	$59,642	$295,373	$0	$1,053,512
Accrued Payroll & Related Liabilities		2,189									2,189
Due to Other Funds								333,530			333,530
Unearned Revenue and Other						383,341		1,084,874			1,468,215
Total Liabilities	458,006	214,939	0	24,967	0	386,115	0	1,478,046	295,373	0	2,857,446
Fund Balances:											
Nonspendable								8,391			8,391
Restricted for:											
Public Works	2,342,901	8,629,939	169,350		391,817						11,534,007
Public Safety						25			578,144	991,400	1,569,569
Assigned				721,084			1,000,000				1,721,084
Total Fund Balances	2,342,901	8,629,939	169,350	721,084	391,817	25	1,000,000	8,391	578,144	991,400	14,833,051
Total Liabilities and Fund Balances	$2,800,907	$8,844,878	$169,350	$746,051	$391,817	$386,140	$1,000,000	$1,486,437	$873,517	$991,400	$17,690,497

Continued

LEXINGTON-FAYETTE URBAN COUNTY GOVERNMENT
COMBINING BALANCE SHEET, Continued
NONMAJOR GOVERNMENTAL FUNDS
June 30, 2014

	Capital Projects Funds												
	Lexington Cultural Center	**2003 Bond Projects**	**Equipment Lease Notes**	**2007, 2008, & 2009 Bond Projects**	**2010 Bond Projects**	**2011 & 2012 Bond Projects**	**2013 Bond Projects**	**2014 Bond Projects**	**2015 Bond Projects**	**Public Library Corporation**	**Roads, Parks, Open Space, Storm Water Exactions**	**Total**	**Total Nonmajor Governmental Funds**
ASSETS													
Current Cash	$4,308	$0	$0	$76,575	$0	$0	$0	$1,420,980	$0	$468,348	$1,605,946	$3,576,157	$8,565,921
Current Investments	348,253									311,399		659,652	8,538,118
Receivables:													
Other								518,123			33,624	551,747	1,390,378
Inventories and Prepaid Items						17,823	717	50,928				69,468	77,859
Due from Other Funds			321,494				6,241			21,781		349,516	4,324,761
Restricted Investments		347,449	2,188	1,341,733	5,235,949	858,452	1,425,054	11,774,021	2,188			20,987,034	20,987,034
Total Assets	$352,561	$347,449	$323,682	$1,418,308	$5,235,949	$876,275	$1,432,012	$13,764,052	$2,188	$801,528	$1,639,570	$26,193,574	$43,884,071
LIABILITIES AND FUND BALANCES													
Liabilities:													
Accounts and Contracts Payable	$0	$0	$0	$2,399	$71,352	$11,892	$138,351	$1,646,063	$0	$0	$0	$1,870,057	$2,923,569
Accrued Payroll & Related Liabilities												0	2,189
Due to Other Funds	311,089	113,547		952,834	144,547	594,713		1,015,828			988,465	4,121,023	4,454,553
Unearned Revenue and Other												0	1,468,215
Total Liabilities	311,089	113,547	0	955,233	215,899	606,605	138,351	2,661,891	0	0	988,465	5,991,080	8,848,526
Fund Balances:													
Nonspendable						17,823	717	50,928				69,468	77,859
Restricted for:													
Public Works												0	11,534,007
Public Safety												0	1,569,569
Capital Projects	41,472	233,902	323,682	463,075	5,020,050	251,847	1,292,944	11,051,233	2,188	801,528	651,105	20,133,026	20,133,026
Assigned												0	1,721,084
Total Fund Balances	41,472	233,902	323,682	463,075	5,020,050	269,670	1,293,661	11,102,161	2,188	801,528	651,105	20,202,494	35,035,545
Total Liabilities and Fund Balances	$352,561	$347,449	$323,682	$1,418,308	$5,235,949	$876,275	$1,432,012	$13,764,052	$2,188	$801,528	$1,639,570	$26,193,574	$43,884,071

LEXINGTON-FAYETTE URBAN COUNTY GOVERNMENT
COMBINING STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES
NONMAJOR GOVERNMENTAL FUNDS
June 30, 2014

	Special Revenue Funds										
				Local Economic Assistance							
	County Aid Program	Municipal Aid Program	Industrial Revenue Bond	Mineral Severance	Coal Severance	Property & Evidence	Lexington Jobs Fund	Police Confiscated Funds	Police Confiscated State Funds	Public Safety Fund	Total
REVENUES											
Charges for Services	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0
Intergovernmental	973,769	7,410,407		349,372	119,267			434,421	464,767	286,370	10,038,373
Property Sales									9,950		9,950
Other								1,377			1,377
Income on Investments	28	681		9		25		106			849
Total Revenues	973,797	7,411,088	0	349,381	119,267	25	0	435,904	474,717	286,370	10,050,549
EXPENDITURES											
Current:											
Planning, Preservation, & Development		17,379									17,379
Police								348,170	175,876		524,046
Capital:											
Equipment								87,283	393,554		480,837
Acquisitions and Construction	1,282,464	1,286,114		73,987	240,191				81,614		2,964,370
Total Expenditures	1,282,464	1,303,493	0	73,987	240,191	0	0	435,453	651,044	0	3,986,632
Excess (Deficiency) of Revenues over (under) Expenditures	(308,667)	6,107,595	0	275,394	(120,924)	25	0	451	(176,327)	286,370	6,063,917
OTHER FINANCING SOURCES (USES)											
Transfers In							1,000,000				1,000,000
Transfers Out		(3,176,950)								(200,000)	(3,376,950)
Total Other Financing Sources (Uses)	0	(3,176,950)	0	0	0	0	1,000,000	0	0	(200,000)	(2,376,950)
Net Change in Fund Balances	(308,667)	2,930,645	0	275,394	(120,924)	25	1,000,000	451	(176,327)	86,370	3,686,967
Fund Balances (Deficits), Beginning	2,651,568	5,699,294	169,350	445,690	512,741			7,940	754,471	905,030	11,146,084
Fund Balances (Deficits), Ending	$2,342,901	$8,629,939	$169,350	$721,084	$391,817	$25	$1,000,000	$8,391	$578,144	$991,400	$14,833,051

Continued

LEXINGTON-FAYETTE URBAN COUNTY GOVERNMENT
COMBINING STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES, Continued
NONMAJOR GOVERNMENTAL FUNDS
June 30, 2014

	Capital Projects Funds												
	Lexington Cultural Center	**2003 Bond Projects**	**Equipment Lease Notes**	**2007, 2008, & 2009 Bond Projects**	**2010 Bond Projects**	**2011 & 2012 Bond Projects**	**2013 Bond Projects**	**2014 Bond Projects**	**2015 Bond Projects**	**Public Library Corporation**	**Roads, Parks, Open Space, Storm Water Exactions**	**Total**	**Total Nonmajor Governmental Funds**
REVENUES													
Charges for Services	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0
Intergovernmental												0	10,038,373
Exactions											486,643	486,643	486,643
Property Sales												0	9,950
Other					800,000					260,942		1,060,942	1,062,319
Income on Investments	42	395	296	1,542	7,377	3,237	2,527	10,827		39	1,434	27,716	28,565
Total Revenues	42	395	296	1,542	807,377	3,237	2,527	10,827	0	260,981	488,077	1,575,301	11,625,850
EXPENDITURES													
Current:													
Finance										370		370	370
Planning, Preservation, & Development												0	17,379
Public Safety						433,942						433,942	433,942
Police												0	524,046
Parks and Recreation							29,714					29,714	29,714
Debt Service:													
Principal										226,200		226,200	226,200
Interest										35,840		35,840	35,840
Other Debt Service								63,872	166,825			230,697	230,697
Capital:													
Equipment				178,680	521,722	3,273,580	212,640	4,219,718				8,406,340	8,887,177
Acquisitions and Construction				576,144	380,900	683,590	827,745	10,667,317				13,135,696	16,100,066
Total Expenditures	0	0	0	754,824	902,622	4,391,112	1,070,099	14,950,907	166,825	262,410	0	22,498,799	26,485,431
Excess (Deficiency) of Revenues over (under) Expenditures	42	395	296	(753,282)	(95,245)	(4,387,875)	(1,067,572)	(14,940,080)	(166,825)	(1,429)	488,077	(20,923,498)	(14,859,581)
OTHER FINANCING SOURCES (USES)													
Transfers In												0	1,000,000
Transfers Out				(23,374)	(875,000)			(937,500)				(1,835,874)	(5,212,824)
Issuance of Debt								17,035,000				17,035,000	17,035,000
Premium on Bonds								615,210				615,210	615,210
Discount on Bonds								(86,367)				(86,367)	(86,367)
Issuance of Refunding Debt, par									55,925,000			55,925,000	55,925,000
Issuance of Refunding Debt, premium									5,390,131			5,390,131	5,390,131
Payment to Refunded Debt Escrow Agent									(61,146,118)			(61,146,118)	(61,146,118)
Total Other Financing Sources (Uses)	0	0	0	(23,374)	(875,000)	0	0	16,626,343	169,013	0	0	15,896,982	13,520,032
Net Change in Fund Balances	42	395	296	(776,656)	(970,245)	(4,387,875)	(1,067,572)	1,686,263	2,188	(1,429)	488,077	(5,026,516)	(1,339,549)
Fund Balances (Deficits), Beginning	41,430	233,507	323,386	1,239,731	5,990,295	4,657,545	2,361,233	9,415,898		802,957	163,028	25,229,010	36,375,094
Fund Balances (Deficits), Ending	$41,472	$233,902	$323,682	$463,075	$5,020,050	$269,670	$1,293,661	$11,102,161	$2,188	$801,528	$651,105	$20,202,494	$35,035,545

LEXINGTON-FAYETTE URBAN COUNTY GOVERNMENT
SCHEDULE OF EXPENDITURES OF FEDERAL AWARDS
For the Year Ended June 30, 2014

Grantor/Program Title	Federal CFDA Number	Direct/ Pass-through Grantor's Number	Accrued (Deferred) Revenue at July 1, 2013	Revenue Received	Expenditures	Accrued (Deferred) Revenue at June 30, 2014
US Department of Agriculture:						
Direct Programs:						
Child Care Food Program	10.558	11475	$4,551	$21,462	$16,911	$0
Child Care Food Program	10.558	11475		45,432	49,112	3,680
Purchase of Development Rights (PDR)	10.913	68-5C16-11-128	872,340	872,340		
Purchase of Development Rights (PDR)	10.913	68-5C16-11-128		196,850	1,087,071	890,221
Passed through Commonwealth of Kentucky:						
Emerald Ash Borer Treatment Site	10.664	PON2 128 1200003374	9,477	9,477		
Total US Department of Agriculture			886,368	1,145,561	1,153,094	893,901
US Department of Housing and Urban Development:						
Direct Programs:						
Community Dev Block Grant	14.218	B11MC210004	184,542	552,113	367,571	
Community Dev Block Grant	14.218	B12MC210004		1,278,342	1,641,550	363,208
Emergency Solutions	14.231	E11MC210003	(1,166)	23,983	25,149	
Emergency Solutions	14.231	E12MC210003	17,987	161,892	144,701	796
Emergency Solutions	14.231	E13MC210003		62,203	86,829	24,626
HOME	14.239	M10MC210201	25,197	871,037	845,840	
HOME	14.239	M11MC210201			188,228	188,228
Housing Opp for Pers with AIDS (HOPWA)	14.241	KY-H11-0012	26,584	392,999	469,854	103,439
Total US Department of Housing and Urban Development			253,144	3,342,569	3,769,722	680,297
US Department of Interior:						
Passed through Commonwealth of Kentucky:						
Hisle Farm Park	15.611	PON2 660 13000024351		49,962	49,962	
			0	49,962	49,962	0
US Department of Justice:						
Direct Programs:						
Police Confiscated Funds	16.000	NA	(908,899)	611,428	435,453	(1,084,874)
Safe Havens	16.527	2010-CW-AX-K013	31,622	110,808	118,142	38,956
Safe Havens	16.527	2013-FL-AX-K011			2,123	2,123
Arrest Policy	16.590	2011-WE-AX-0011	55,829	121,319	95,347	29,857
SCAAP	16.606	2011-AP-BX-0370	(9,757)		9,747	(10)
SCAAP	16.606	2012-AP-BX-0690	(65,503)		2,837	(62,666)
SCAAP	16.606	2013-AP-BX-0161		53,662		(53,662)
Bulletproof Vests	16.607	2011-BOBX-11055448	295	295		
Bulletproof Vests	16.607	2012-BOBX-12064748	345	345		
Project Safe Neighborhoods	16.609	2010-GP-BX-0095	52,782	52,782		
Project Safe Neighborhoods	16.609	2011-GP-BX-0027	1,840	33,668	49,044	17,216
Cops Hire	16.710	2011ULWX0015	124,886	339,347	218,408	3,947
National PAL Mentoring Program	16.726	2013-JU-FX-0024		468	3,835	3,367
PALYEP	16.726	2011-JU-FX-0015	1,827	1,827		
Lex-Fayette Co Detention Center (PREA)	16.735	2010-RP-BX-K001		18,187	23,329	5,142
Justice Assistance Grant	16.738	2010-DJ-BX-1245	(33,428)		33,428	
Justice Assistance Grant	16.738	2011-DJ-BX-3120	(129,767)		92,052	(37,715)
Justice Assistance Grant	16.738	2012-DJ-BX-0432	113,181	252,727	133,885	(5,661)
Justice Assistance Grant	16.738	2013-DJ-BX-0325		229,909	203,920	(25,989)
Passed through Commonwealth of Kentucky:						
Juv Accountability Block Grant	16.523	JABG-2013-LFUCG St-00007	10,707	13,220	2,513	
Juv Accountability Block Grant	16.523	JABG-2014-LFUCG St-00006		5,023	13,400	8,377
Sexual Assault Nurse Examiner (SANE)	16.588	VAWA-2012-LFUCG-ST-0029	6,455	25,126	18,671	
Sexual Assault Nurse Examiner (SANE)	16.588	VAWA-2013-LFUCG-ST-0033		4,247	12,753	8,506
Street Sales	16.738	2012-JAG-LFUCG STRE-0091	25,914	25,914		
Street Sales (Confiscated Funds)	16.738	2012-JAG-LFUCG STRE-0091		19,623	19,623	
Street Sales	16.738	2013-JAG-LFUCG-STRE-0094		21,473	49,385	27,912
Total US Department of Justice			(721,671)	1,941,398	1,537,895	(1,125,174)
US Department of Labor:						
Passed through Commonwealth of Kentucky:						
WIA	17.259	13-010Y	15,064	25,278	10,214	
WIA	17.259	14-006Y		55,360	62,834	7,474
Total US Department of Labor			15,064	80,638	73,048	7,474

LEXINGTON-FAYETTE URBAN COUNTY GOVERNMENT
SCHEDULE OF EXPENDITURES OF FEDERAL AWARDS
For the Year Ended June 30, 2014

Grantor/Program Title	Federal CFDA Number	Direct/ Pass-through Grantor's Number	Accrued (Deferred) Revenue at July 1, 2013	Revenue Received	Expenditures	Accrued (Deferred) Revenue at June 30, 2014
US Department of Transportation:						
Direct Programs:						
Passed through Commonwealth of Kentucky:						
Air Quality Planning	20.205	1300000048	10,715	10,715		
Air Quality Planning	20.205	1300006289		24,963	43,242	18,279
Alexander Drive/Stone	20.205	P02-628-0800020946	126,394	156,797	30,403	
Bicycle and Pedestrian Planning	20.205	1300006289		20,969	37,531	16,562
Brighton East	20.205	1000001796	79,717	296,207	234,354	17,864
Citation Boulevard	20.205	C-05396856	99,667	99,667		
Clays Mill Road	20.205	C-03328686	629,671	1,313,752	2,488,004	1,803,923
Congestion Management	20.205	1300000048	2,602	2,602		
Congestion Management	20.205	1300006289		25,727	49,772	24,045
Distracted Driving	20.205	PO2-625-14000015611		14,662	14,662	
Distracted Driving-Supplemental	20.205	PO2-625-14000051191			29,984	29,984
Federal Highway Planning	20.205	1200004765	128,334	128,334		
Federal Highway Planning	20.205	1300004307		210,255	350,400	140,145
Fiber Optic Cable Installation	20.205	P02-628-1300002569			20,800	20,800
Gainesway Trail CMAQ Project	20.205	PO2-628-0700013794	1,753	4,197	16,497	14,053
Grimes Mill Bridge	20.205	C-05354512		570,579	699,806	129,227
Illuminated Street Signs	20.205	PO2-628-0900022381	322,905	322,905		
Intelligent Transpor. System (ITS)	20.205	1200000760	70,818	70,818		
Intelligent Transpor. System (ITS)	20.205	PO2-625-1300000653	8,172	296,992	451,828	163,008
Intelligent Transpor. System (ITS)	20.205	PO2-625-1400003771			2,236	2,236
Legacy Trail Enhancements	20.205	PO2-625-1200003879	79		5,052	5,131
Lexington Traffic	20.205	P02-625-1200001306		67,964	88,889	20,925
Liberty Road/Todds Road	20.205	C-00021586	(135,052)			(135,052)
Liberty Road/Todds Road	20.205	C-04073306	126,546	161,995	24,927	(10,522)
Loudon Avenue Sidewalk Project	20.205	PO2-628-1100001626	6,421	6,421	602	602
Newtown Pike	20.205	C-00343167	37,050	51,060	35,336	21,326
Newtown Pike Supplement #1	20.205	C-00343167	13,108	66,666	91,156	37,598
Newtown Pike Supplement #2	20.205	C-00343167	1,201,576	2,219,551	1,428,227	410,252
Old Frankfort Pike Corridor	20.205	PO2-628-1200001790	12,480	27,040	14,560	
Polo Club Boulevard Project	20.205	PO2-625-1300001036		125,720	143,339	17,619
Rose Street Bike Lanes	20.205	C-01099430	3,200	15,327	12,127	
Share The Road	20.205	PO2-628-0900022380	22,012	22,012	8,400	8,400
Southland	20.205	P02-628-1100001374	16,866	35,432	20,701	2,135
Tates Creek Sidewalks	20.205	PO2-628-1300001250		996,387	1,334,187	337,800
Town Branch	20.205	P02-628-1200004353	857	2,683	1,826	
Mobility Office	20.205	MA-1300000048	44,862	44,862		
Mobility Office	20.205	MA-1300006289		61,911	101,716	39,805
MCSAP	20.218	No Number	20,971	63,574	42,603	
MCSAP	20.218	No Number			42,827	42,827
Tact	20.218	No Number	1,025	5,713	4,688	
Cool Trail	20.219	1000003084	4,812	4,812	23,374	23,374
Fed Transit Admin Section 5303	20.505	KY-80-0003-04	8,555	8,555		
Fed Transit Admin Section 5303	20.505	KY-80-0004-00		29,321	45,266	15,945
Traffic Safety	20.600	AL-13-16	27,550	34,989	7,439	
Traffic Safety	20.601	DUIK8-14-04		90,976	99,500	8,524
Traffic Safety Speed Program	20.600	PT-14-28		24,651	24,864	213
Traffic Safety Click It or Ticket Enforcement	20.602	K2-14-19			4,128	4,128
Traffic Safety Supplement	20.602	K2-13-17	10,000	10,000		
Total US Department of Transportation			2,903,666	7,747,763	8,075,253	3,231,156
US Environmental Protection Agency						
Direct Programs:						
Brownfield Assessment Project	66.818	BF-95461610-0	10,758	132,000	247,691	126,449
Passed through Commonwealth of Kentucky:						
Wolf Run	66.460	C9994861-09	878	878	69	69
Wolf Run	66.460	PON2 129 1400000015			187	187
Wolf Run	66.458	A10-08 SWR		7,972,209	8,355,763	383,554
Century Hills	66.458	A13-003 SWR		522,274	613,201	90,927
East Lake	66.458	A13-003 SWR		536,779	642,586	105,807
Anniston Wickland PH3	66.458	A13-007 WQ		352,623	629,060	276,437
Idle Hour	66.458	A13-007 WQ		417,280	417,280	
E2A	66.458	A13-18 SWR		3,164,637	3,911,376	746,739
Bob-O-Link	66.458	A13-002 SWR		1,070,057	1,265,569	195,512
Total US Environmental Protection Agency			11,636	14,168,737	16,082,782	1,925,681
US Department of Health and Human Services:						
Passed through Commonwealth of Kentucky:						
Senior Citizens	93.044	AS-2012-2013-2015	11,502	11,502		
Senior Citizens	93.044	AS-2013-2014-2015		103,798	122,682	18,884
New Chance-Cab For Families	93.558	PON2 736 1200001514	10,055	10,055		
Home Network	93.597	2011-2012-PUBLIC-R	(172,952)		162,089	(10,863)
Home Network	93.597	2012-1013-PUBLIC-R	(378,350)	62,640	148,015	(292,975)
Home Network	93.597	2013-1014-PUBLIC-R		286,340		(286,340)
Total US Department of Health and Human Services			(529,745)	474,335	432,786	(571,294)

LEXINGTON-FAYETTE URBAN COUNTY GOVERNMENT
SCHEDULE OF EXPENDITURES OF FEDERAL AWARDS
For the Year Ended June 30, 2014

Grantor/Program Title	Federal CFDA Number	Direct/ Pass-through Grantor's Number	Accrued (Deferred) Revenue at July 1, 2013	Revenue Received	Expenditures	Accrued (Deferred) Revenue at June 30, 2014
US Department of Homeland Security Office of Domestic Preparedness:						
Direct Programs:						
Fire Prevention	97.044	EMW-2012-FP-00294		18,116	18,116	
Passed through Commonwealth of Kentucky:						
Hazard Mitigation Grant Prog.(HMGP_Plan)	97.039	PON209511000015692	5,297	5,297		
Chemical Stockpile Emergency (CSEPP)	97.040	PON209510000009494	19,953	21,668	1,715	
Chemical Stockpile Emergency (CSEPP)	97.040	PON209511000014052	167,937	306,772	138,835	
Chemical Stockpile Emergency (CSEPP)	97.040	PON209512000005372	223,142	391,842	173,139	4,439
Chemical Stockpile Emergency (CSEPP)	97.040	PO209513000036521	28,783	99,480	329,711	259,014
Chemical Stockpile Emergency (CSEPP)	97.040	PO209514000033041			116,376	116,376
Emergency Management Assistance	97.042	PON209513000006711	79,646	93,745	14,099	
Emergency Management Assistance	97.042	PON209514000003351			18,879	18,879
State Homeland Dive	97.067	PO2 094 1400002977 1		11,610	11,610	
State Homeland Police	97.067	PO2 094 1300003027 1		55,000	55,000	
State Homeland Police	97.067	PO2 094 1400003000 1		15,761	15,761	
State Homeland Training	97.067	PO2 094 1300003012 1		53,000	53,000	
State Homeland Fire	97.067	PO2 094 1400003390 1		48,000	48,000	
Metro Medical Response System (MMRS)	97.067	PO2 094 1100002296 5	37,510	37,510		
Metro Medical Response System (MMRS)	97.067	P02 094 1200003498 4	27,108	108,491	91,689	10,306
Staffing for Adequate Fire & Emerg Respons	97.083	EMW-2011-FH-00445	175,476	873,710	1,459,241	761,007
Total US Dept. of Homeland Security Office of Domestic Preparedness			764,852	2,140,002	2,545,171	1,170,021
US Election Assistance Commission						
Passed through Commonwealth of Kentucky:						
Help America Vote	90.401	N/A			53,800	53,800
Total US Department of Energy			0	0	53,800	53,800
Total Federal Financial Assistance			$3,583,314	$31,041,003	$33,723,551	$6,265,862

Note: Per generally accepted accounting principles, grant revenues received but not earned with purpose restrictions only are recognized as revenues and fund balance in the financial statements.

LEXINGTON-FAYETTE URBAN COUNTY GOVERNMENT
SCHEDULE OF EXPENDITURES OF STATE AWARDS
For the Year Ended June 30, 2014

Grantor/Program Title	Grantor's Number	Grantor	Accrued or (Deferred) Revenue at July 1, 2013	Revenue Received	Expenditures	Accrued or (Deferred) Revenue at June 30, 2014
ADF Family Care Center	A834 (2014-A)	Bluegrass Area Development District	$0	$27,980	$27,980	$0
Bluesky	SX21067007	Kentucky Infrastructure Authority	88,539	253,443	164,904	
Day Treatment	PON252312000035321	Kentucky Dept. of Juvenile Justice	18,137	18,137		
Day Treatment	PON252313000023611	Kentucky Dept. of Juvenile Justice		199,522	217,660	18,138
Economic Development-Belcan Engineer.	N/A	Kentucky Cabinet Economic Development	(234,000)			(234,000)
Economic Development-Bingham McCutch	N/A	Kentucky Cabinet Economic Development	450,000	450,000		
Emergency Medical Services	N/A	Kentucky Bd. Emergency Medical Services		10,714	10,714	
Expansion	SX21067006	Kentucky Infrastructure Authority	310,937	1,549,434	1,443,442	204,945
Federal Highway Planning	1200004765	Kentucky Transportation Cabinet	8,021	8,021		
Federal Highway Planning	1300004307	Kentucky Transportation Cabinet		13,141	21,900	8,759
Fire Training Incentive	155	Kentucky Commission on Fire Protection		2,209,878	2,209,878	
Green Acres	SX21067103	Kentucky Infrastructure Authority	9,708	114,348	104,670	30
Hazard Mitigation Grant (HMGP_Plan)	PON209511000015692	Kentucky Emergency Management Agency	848	848		
Home Network	2012-1013-PUBLIC-R	Lexington Fayette County Health Dept	(59,180)	19,390	78,570	
Home Network	2013-1014-PUBLIC-R	Lexington Fayette County Health Dept		85,100	507	(84,593)
Isaac Murphy Memorial Garden	PO2-625-1000004542	Kentucky Transportation Cabinet	2,250	11,450	9,200	
Kentucky Pride	N/A	Kentucky Dept. Natural Resources	(29,315)		29,315	
Kentucky Pride	N/A	Kentucky Dept. Natural Resources		149,036	80,683	(68,353)
KY Recycle	N/A	Kentucky Energy & Environmental Cabinet	(112,000)		112,000	
LPS Settlement	N/A	Kentucky Office of the Attorney General		759,125	59,199	(699,926)
Law Enforcement Protection Program	PO2 094 1300002728 1	Governor's Office for Homeland Security	15,875	15,875		
Law Enforcement Service Fee	LSF-2012-LFUCG-Stre-00201	Kentucky Justice Cabinet	70,007	70,007		
Law Enforcement Service Fee	LSF-2013-LFUCG-Stre-00226	Kentucky Justice Cabinet		92,406	99,790	7,384
Legacy Trail Enhancements	PO2-625-1200003879	Kentucky Transportation Cabinet		33	1,283	1,250
Lexington Downtown Redevelopment Proj	PON2 112 1300001077 1	Kentucky Dept. Local Government	375,000	2,187,500	1,812,500	
Liberty Road/Todds Road	C-0021586	Kentucky Transportation Cabinet	(33,365)			(33,365)
Liberty Road/Todds Road	C-04073306	Kentucky Transportation Cabinet	31,639	40,499	6,232	(2,628)
Newtown Pike Extension	C00343167	Kentucky Transportation Cabinet	9,262	12,765	8,834	5,331
Police Training Incentive	N/A	Kentucky Law Enforcement Foundation	164,746	164,746		
Police Training Incentive	N/A	Kentucky Law Enforcement Foundation		1,960,781	2,146,593	185,812
SANE3 (Sexual Assault Treatment Project)	VAWA-2010-LFUCG ST-00132	Kentucky Justice Cabinet	1,800			1,800
SANE3 (Sexual Assault Treatment Project)	VAWA-2011-LFUCG-ST-00220	Kentucky Justice Cabinet	10,800	8,600		2,200
SANE3 (Sexual Assault Treatment Project)	VAWA-2012-LFUCG-ST-00296	Kentucky Justice Cabinet	5,000	3,400	5,400	7,000
SANE3 (Sexual Assault Treatment Project)	VAWA-2013-LFUCG-ST-00334	Kentucky Justice Cabinet			4,800	4,800
Tates Creek Rd/Lansdowne Dr Traffic Sig	N/A	Kentucky Transportation Cabinet	2,600	2,600	97,400	97,400
Total State Financial Assistance			$1,107,309	$10,438,779	$8,753,454	($578,016)

Note: Per generally accepted accounting principles, grant revenues received but not earned with purpose restrictions only are recognized as revenues and fund balance in the financial statements.

NONMAJOR ENTERPRISE FUNDS

Enterprise Funds are established to account for the acquisition, operation and maintenance of the Government's facilities and services which are entirely or predominantly self-supported by user charges or where the Government has decided that periodic determination of revenues earned, expenses incurred and net income is appropriate for capital maintenance, public policy, management control, accountability and other purposes.

The **Right of Way** program was established in 2003 to account for fees levied to monitor and manage public facilities located in public rights-of-way.

The **Extended School Program** was established in 1994 to provide before and after school care for children in participating elementary and middle schools.

The **Prisoners' Account System** was transferred to the Government in 1994 and accounts for the operations of the commissary at the Fayette County Detention Center.

The **Enhanced 911 Fund** was established in 1996 to account for the revenues and expenses of developing and operating an enhanced 911 system.

The **Central Kentucky Network Fund** was established in 2014 to ensure the appropriate treatment of revenues or other monies received from jurisdictions participating in the Central Kentucky 911 Network.

The **Small Business Development Fund** was established in 2000 to promote and assist the growth and development of business concerns. This program was previously administered by the Urban County Development Corporation, a component unit of the Government, which was dissolved in March 2000.

The **Public Parking Corporation** was established in 1984 to account for the construction and operation of government-owned parking facilities.

LEXINGTON-FAYETTE URBAN COUNTY GOVERNMENT
COMBINING STATEMENT OF NET POSITION
NONMAJOR ENTERPRISE FUNDS
June 30, 2014

	Right of Way	Extended School Program	Prisoners' Account System	Enhanced 911	CKY Network	Small Business Development	Public Parking Corporation	Total
ASSETS								
Current Assets:								
Cash	$476,279	$3,602	$284,916	$1,355,391	$111,576	$132,085	$1,015,287	$3,379,136
Investments				1,401,115		35,592		1,436,707
Receivables:								
Other Receivables		515	32	420,557		35,867		456,971
Less Allowance for Uncollectible Accounts						(35,867)		(35,867)
Due from Other Funds	647,980	618,831	564,348	960,248	60,081	1,654	382,511	3,235,653
Inventories and Prepaid Expenses			150	36,753				36,903
Total Current Assets	1,124,259	622,948	849,446	4,174,064	171,657	169,331	1,397,798	8,509,503
Non-Current Assets:								
Land							400,000	400,000
Land Improvements		10,000					3,197,206	3,207,206
Buildings							55,351	55,351
Vehicles, Equipment, and Furniture	56,651	94,334	188,902	1,739,421				2,079,308
Intangibles			152,726	1,382,183				1,534,909
Less Accumulated Depreciation	(51,779)	(100,834)	(341,028)	(2,957,008)			(1,507,238)	(4,957,887)
Construction in Progress				1,000,000				1,000,000
Total Non-Current Assets	4,872	3,500	600	1,164,596	0	0	2,145,319	3,318,887
Total Assets	$1,129,131	$626,448	$850,046	$5,338,660	$171,657	$169,331	$3,543,117	$11,828,390
LIABILITIES								
Current Liabilities:								
Accounts, Contracts and Retainage Payable	$1,143	$87,115	$102,481	$18,536	$0	$0	$0	$209,275
Accrued Payroll	7,550	74,944		53,018				135,512
Compensated Absences	8,881	1,278		21,312				31,471
Unearned Revenue and Other			32					32
Total Current Liabilities	17,574	163,337	102,513	92,866	0	0	0	376,290
Non-Current Liabilities:								
Compensated Absences	8,881	41,337		21,312				71,530
Total Non-Current Liabilities	8,881	41,337	0	21,312	0	0	0	71,530
Total Liabilities	$26,455	$204,674	$102,513	$114,178	$0	$0	$0	$447,820
NET POSITION								
Invested in Capital Assets, Net of Related Debt	$4,872	$3,500	$600	$1,164,596	$0	$0	$2,145,319	$3,318,887
Unrestricted (Deficits)	1,097,804	418,274	746,933	4,059,886	171,657	169,331	1,397,798	8,061,683
Total Net Position	$1,102,676	$421,774	$747,533	$5,224,482	$171,657	$169,331	$3,543,117	$11,380,570

LEXINGTON-FAYETTE URBAN COUNTY GOVERNMENT
COMBINING STATEMENT OF REVENUES, EXPENSES, AND CHANGES IN NET POSITION
NONMAJOR ENTERPRISE FUNDS
For the Year Ended June 30, 2014

	Right of Way	Extended School Program	Prisoners' Account System	Enhanced 911	CKY Network	Small Business Development	Public Parking Corporation	Total
Operating Revenues								
User Charges	$0	$0	$0	$0	$0	$0	$0	$0
Fees		2,202,171		4,118,124	111,576			6,431,871
License Fees and Permits	520,812							520,812
Gross Profit - Commissary			1,375,813					1,375,813
Other			996,472	154,982				1,151,454
Total Operating Revenues	520,812	2,202,171	2,372,285	4,273,106	111,576	0	0	9,479,950
Operating Expenses								
Right of Way	301,325							301,325
Extended School Program		1,809,867						1,809,867
Prisoners' Account			573,409					573,409
Inmate Trust Account			1,269,784					1,269,784
Enhanced 911				2,361,860				2,361,860
CKY Network					450,919			450,919
Administration		161,615						161,615
Depreciation	7,358	5,912	1,200	22,936			66,994	104,400
Total Operating Expenses	308,683	1,977,394	1,844,393	2,384,796	450,919	0	66,994	7,033,179
Operating Income (Loss)	212,129	224,777	527,892	1,888,310	(339,343)	0	(66,994)	2,446,771
Non-Operating Revenues (Expenses)								
Income on Investments				210		500		710
Gain (Loss) on Sale of Capital Assets							(198,233)	(198,233)
Total Non-Operating Revenues	0	0	0	210	0	500	(198,233)	(197,523)
Income (Loss) Before Contributions and Transfers	212,129	224,777	527,892	1,888,520	(339,343)	500	(265,227)	2,249,248
Transfers In					511,000			511,000
Transfers Out				(511,267)				(511,267)
Change in Net Position	212,129	224,777	527,892	1,377,253	171,657	500	(265,227)	2,248,981
Net Position, Beginning	890,547	196,997	219,641	3,847,229		168,831	3,808,344	9,131,589
Net Position, Ending	$1,102,676	$421,774	$747,533	$5,224,482	$171,657	$169,331	$3,543,117	$11,380,570

LEXINGTON-FAYETTE URBAN COUNTY GOVERNMENT
COMBINING STATEMENT OF CASH FLOWS
NONMAJOR ENTERPRISE FUNDS
For the Year Ended June 30, 2014

	Right of Way	Extended School Program	Prisoners' Account System	Enhanced 911	CKY Network	Small Business Development	Public Parking Corporation	Total
Cash Flows from Operating Activities:								
Receipts from Customers	$520,812	$1,878,186	$2,372,253	$3,852,549	$111,576	$0	$0	$8,735,376
Payments to Suppliers	(255,368)	(292,762)	(2,362,250)	(1,655,814)	(511,000)	(300)		(5,077,494)
Payments to Employees	(265,444)	(1,435,852)		(1,701,930)				(3,403,226)
Payments for Interfund Services Used		(161,546)		(3,423)				(164,969)
Net Cash Provided by (Used in) Operating Activities	0	(11,974)	10,003	491,382	(399,424)	(300)	0	89,687
Cash Flows from Noncapital Financing Activities:								
Transfers In					511,000			511,000
Transfers Out				(511,000)				(511,000)
Net Cash Flows Provided by (Used in) Noncapital Financing Activities	0	0	0	(511,000)	511,000	0	0	0
Cash Flows from Capital and Related Financing Activities:								
Purchases of Capital Assets				(737,567)				(737,567)
Disposals of Property, Plant and Equipment								0
Net Cash Flows from Capital and Related Financing Activities	0	0	0	(737,567)	0	0	0	(737,567)
Cash Flows Provided by Investing Activities:								
Purchases of Investments				(210)		(200)		(410)
Income on Investments				210		500		710
Net Cash Flows Provided by (Used in) Investing Activities	0	0	0	0	0	300	0	300
Net Increase (Decrease)	0	(11,974)	10,003	(757,185)	111,576	0	0	(647,580)
Cash at Beginning of Year	476,279	15,576	274,913	2,112,576	0	132,085	1,015,287	4,026,716
Cash at End of Year	$476,279	$3,602	$284,916	$1,355,391	$111,576	$132,085	$1,015,287	$3,379,136
Reconciliation of Operating Income (Loss) to Net Cash Provided by (Used In) Operating Activities:								
Operating Income (Loss)	$212,129	$224,777	$527,892	$1,888,310	($339,343)	$0	($66,994)	$2,446,771
Adjustments to Reconcile Operating Income (Loss) to Net Cash Provided by (Used in) Operating Activities:								
Depreciation	7,358	5,912	1,200	22,936			66,994	104,400
(Increase) Decrease in Assets:								
Other Receivables		(323,985)	(32)	(420,557)				(744,574)
Inventories and Prepaid Expenses		7,947	(150)	(35,172)				(27,375)
Due from Other Funds	(223,982)		(313,691)	(960,248)	(60,081)	(300)		(1,558,302)
Increase (Decrease) in Liabilities:								
Accounts Payable	(1,996)	75,483	(204,525)	(6,281)				(137,319)
Accrued Payroll	795	(2,396)		9,272				7,671
Due to Other Funds				(990)				(990)
Unearned Revenues & Other			(691)					(691)
Compensated Absences	5,696	288		(5,888)				96
Total Adjustments	(212,129)	(236,751)	(517,889)	(1,396,928)	(60,081)	(300)	66,994	(2,357,084)
Net Cash Provided by (Used In) Operating Activities	$0	($11,974)	$10,003	$491,382	($399,424)	($300)	$0	$89,687

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INTERNAL SERVICE FUNDS

Internal Service Funds are used to account for the financing on a cost-reimbursement basis of services provided by one department to other departments within the Government and outside agencies associated with the Government. Individual funds included in this fund type are as follows:

The **Health, Dental and Vision Care Insurance Fund** accounts for the Government's self-insurance programs for employee medical, dental and vision care benefits.

The **Insurance and Risk Management Fund** accounts for the Government's self-insurance programs for workers' compensation, vehicle liability and physical, general liability and property damage coverage.

LEXINGTON-FAYETTE URBAN COUNTY GOVERNMENT
COMBINING STATEMENT OF NET POSITION
INTERNAL SERVICE FUNDS
June 30, 2014

	Health, Dental and Vision Care	Insurance and Risk Management	Total
ASSETS			
Current Assets:			
Cash	$615,000	$3,729,096	$4,344,096
Due from Other Funds	653,835	24,275,149	24,928,984
Receivables	4,194	116,245	120,439
Inventories and Prepaid Expenses	334,530		334,530
Total Current Assets	$1,607,559	$28,120,490	$29,728,049
LIABILITIES			
Current Liabilities:			
Accounts Payable	$240,559	$106,298	$346,857
Claims Payable:			
Reported		12,866,154	12,866,154
Incurred But Not Reported	1,367,000	14,787,551	16,154,551
Total Liabilities	$1,607,559	$27,760,003	$29,367,562
NET POSITION			
Unrestricted	$0	$360,487	$360,487

LEXINGTON-FAYETTE URBAN COUNTY GOVERNMENT
COMBINING STATEMENT OF REVENUES, EXPENSES, & CHANGES IN FUND NET POSITION
INTERNAL SERVICE FUNDS
For the Year Ended June 30, 2014

	Health, Dental and Vision Care Insurance				Insurance and Risk	
	Health	**Dental**	**Vision Care**	**Total**	**Management**	**Total**
Operating Revenues						
Premiums	$25,868,733	$1,976,736	$124,806	$27,970,275	$10,968,387	$38,938,662
Total Operating Revenues	25,868,733	1,976,736	124,806	27,970,275	10,968,387	38,938,662
Operating Expenses						
Claims and Benefit Payments	23,292,284	1,976,494	116,719	25,385,497	11,581,075	36,966,572
Operating Supplies and Expense	2,584,778			2,584,778		2,584,778
Total Operating Expenses	25,877,062	1,976,494	116,719	27,970,275	11,581,075	39,551,350
Operating Income (Loss)	(8,329)	242	8,087	0	(612,688)	(612,688)
Change in Net Position	(8,329)	242	8,087	0	(612,688)	(612,688)
Net Position, Beginning	430,201	(437,768)	7,567	0	973,175	973,175
Net Position, Ending	$421,872	($437,526)	$15,654	$0	$360,487	$360,487

LEXINGTON-FAYETTE URBAN COUNTY GOVERNMENT
COMBINING STATEMENT OF CASH FLOWS
INTERNAL SERVICE FUNDS
For the Year Ended June 30, 2014

	Health, Dental and Vision Care	Insurance and Risk Management	Total
Increase (Decrease) in Cash and Cash Equivalents:			
Cash Flows from Operating Activities:			
Receipts from Employees and Other Sources	$27,970,275	$0	$27,970,275
Receipts from Interfund Services Provided	(232,530)	(8,111,677)	(8,344,207)
Refunds from/(Payments to) Suppliers	(2,461,248)	21,153	(2,440,095)
Payments for Claims	(25,276,497)	(12,433,567)	(37,710,064)
Net Cash Used in Operating Activities	0	(20,524,091)	(20,524,091)
Net Increase (Decrease) in Cash and Cash Equivalents	0	(20,524,091)	(20,524,091)
Cash at Beginning of Year	615,000	24,253,187	24,868,187
Cash at End of Year	$615,000	$3,729,096	$4,344,096
Reconciliation of Operating Income to Net Cash Used In Operating Activities:			
Operating Income	$0	($612,688)	($612,688)
Adjustments to Reconcile Operating Income to Net Cash Used in Operating Activities:			
(Increase) Decrease in Assets:			
Due from Other Funds	(354,686)	(19,176,005)	(19,530,691)
Other Receivables	122,156	95,941	218,097
Inventories and Prepaid Expenses	34,283		34,283
Increase (Decrease) in Liabilities:			
Accounts Payable	89,247	21,153	110,400
Claims Payable	109,000	(852,492)	(743,492)
Total Adjustments	0	(19,911,403)	(19,911,403)
Net Cash Provided by Operating Activities	$0	($20,524,091)	($20,524,091)

FIDUCIARY FUNDS

Fiduciary Funds are used to account for assets held by the Government in a trustee capacity or as an agent for individuals, private organizations, other governmental units or other funds. These include pension trust, expendable trust and agency funds. Individual funds included in this fund type are as follows:

AGENCY FUNDS

The **Neighborhood Sewer Projects Fund** is an agency fund that accounts for the collection of special assessments and debt service payments on financing for neighborhood capital projects.

The **Juvenile and Adult Probation Fund** accounts for funds collected by the divisions of Youth Services and Detention Services from juvenile and adult offenders and disbursed to victims in accordance with court decrees and funds collected from and disbursed for inmates on work release.

The **Domestic Relations Fund** accounts for the child support payments collected by the Government from non-custodial parents and disbursed to custodial parents.

The **Representative Payee Fund** accounts for funds managed by the Government on behalf of adults who are unable to manage their own money in order to prevent the exploitation, abuse and neglect of these citizens.

LEXINGTON-FAYETTE URBAN COUNTY GOVERNMENT
COMBINING STATEMENT OF NET POSITION
AGENCY FUNDS
For Years as Stated

	Balance June 30, 2013	Balance June 30, 2014
NEIGHBORHOOD SEWER PROJECTS FUND		
Cash and Short-Term Investments	$714	$714
Total Assets	$714	$714
Payable to Property Owners	$714	$714
Total Liabilities	$714	$714
JUVENILE AND ADULT PROBATION FUND		
Cash	$327,627	$329,563
Total Assets	$327,627	$329,563
Accounts Payable	$327,627	$329,563
Total Liabilities	$327,627	$329,563
DOMESTIC RELATIONS FUND		
Cash	$313,982	$314,277
Total Assets	$313,982	$314,277
Accounts Payable	$313,982	$314,277
Total Liabilities	$313,982	$314,277
REPRESENTATIVE PAYEE FUND		
Cash	$18,552	$28,416
Total Assets	$18,552	$28,416
Accounts Payable	$18,552	$28,416
Total Liabilities	$18,552	$28,416
TOTALS - AGENCY FUNDS		
Cash and Short-Term Investments	$660,875	$672,970
Total Assets	$660,875	$672,970
Liabilities	$660,875	$672,970
Total Liabilities	$660,875	$672,970

LEXINGTON-FAYETTE URBAN COUNTY GOVERNMENT
COMBINING STATEMENT OF CHANGES IN ASSETS AND LIABILITIES
AGENCY FUNDS
For the Year Ended June 30, 2014

	Balance June 30, 2013	Additions	Deductions	Balance June 30, 2014
NEIGHBORHOOD SEWER PROJECTS FUND				
Cash and Short-Term Investments	$714	$0	$0	$714
Payable to Property Owners	$714	$0	$0	$714
JUVENILE AND ADULT PROBATION FUND				
Cash	$327,627	$15,077	$13,141	$329,563
Total Assets	$327,627	$15,077	$13,141	$329,563
Accounts Payable	$327,627	$15,722	$13,786	$329,563
Due to Other Funds		965	965	
Total Liabilities	$327,627	$16,687	$14,751	$329,563
DOMESTIC RELATIONS FUND				
Cash	$313,982	$295		$314,277
Accounts Payable	$313,982	$295		$314,277
REPRESENTATIVE PAYEE FUND				
Cash	$18,552	$189,413	$179,549	$28,416
Accounts Payable	$18,552	$189,413	$179,549	$28,416
TOTALS - AGENCY FUNDS				
Cash and Short-Term Investments	$660,875	$204,785	$192,690	$672,970
Liabilities	$660,875	$206,395	$194,300	$672,970

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NONMAJOR COMPONENT UNITS

The **Lexington Transit Authority** is authorized to promote and develop mass transportation, including acquisition, operation and extension of the existing mass transit system.

The **Lexington Public Library** provides educational, informational and recreational service needs to Lexington and Fayette County through circulating and reference materials.

The **Lexington Convention and Visitors Bureau** promotes recreational, convention and tourist activity in Fayette County.

The **Downtown Development Authority** acts as an agency of the Government in various economic development, redevelopment and physical improvement activities associated with downtown.

LEXINGTON-FAYETTE URBAN COUNTY GOVERNMENT
COMBINING STATEMENT OF NET POSITION
NONMAJOR COMPONENT UNITS
June 30, 2014

	Lexington Transit Authority	Lexington Public Library	Lexington Convention and Visitors Bureau
ASSETS			
Cash	$9,413,040	$4,560,835	$1,711,232
Investments		6,313,569	
Receivables:			
Accounts Receivable	82,857	28,054	213,079
Other	141,248	127,585	
Due from Primary Government			1,092,902
Due from Other Governments	4,353,094		
Inventories and Prepaid Expenses	420,552	7,791	48,262
Restricted Current Assets:			
Cash			1,116,077
Investments			510,616
Pension Assets	826,307		
Restricted Non-Current Investments			
Capital Assets:			
Non-depreciable	6,075,577	4,017,023	19,727
Depreciable (Net)	15,778,872	16,698,442	216,222
Other Assets		150,000	
Total Assets	$37,091,547	$31,903,299	$4,928,117
LIABILITIES			
Accounts, Contracts Payable and Accrued Liabilities	$1,030,912	$1,084,269	$254,323
Interest Payable		20,997	
Due to Primary Government			
Due to Component Units			
Unearned Revenue and Other		501	1,693
Non-Current Liabilities:			
Due Within One Year:			
Compensated Absences	167,764	311,312	11,655
Bonds and Notes Payable		384,912	
Due in More Than One Year:			
Compensated Absences	289,885		
Bonds and Notes Payable		7,519,975	
Total Liabilities	$1,488,561	$9,321,966	$267,671
NET POSITION			
Investment in Capital Assets, Net of Related Debt	$21,854,449	$12,960,578	$235,949
Restricted for:			
Pension	826,307		
Governmental and Program Funds		197,434	
Unrestricted	12,922,230	9,423,321	4,424,497
Total Net Position	$35,602,986	$22,581,333	$4,660,446

Downtown Development Authority	Total Nonmajor Component Units
$518,225	$16,203,332
	6,313,569
	323,990
	268,833
	1,092,902
	4,353,094
355	476,960
	1,116,077
	510,616
	826,307
	10,112,327
	32,693,536
	150,000
$518,580	$74,441,543
$11,628	$2,381,132
	20,997
387,992	387,992
	0
	2,194
7,430	498,161
	384,912
1,631	291,516
	7,519,975
$408,681	$11,486,879
$0	$35,050,976
	826,307
	197,434
109,899	26,879,947
$109,899	$62,954,664

LEXINGTON-FAYETTE URBAN COUNTY GOVERNMENT
COMBINING STATEMENT OF ACTIVITIES
NONMAJOR COMPONENT UNITS
For the Year Ended June 30, 2014

		Program Revenues		
	Expenses	**Charges for Services**	**Operating Grants and Contributions**	**Capital Grants and Contributions**
Lexington Transit Authority				
Transit Operations	$23,298,602	$2,866,582	$5,068,431	$742,554
Depreciation	2,938,320			
Total Lexington Transit Authority	26,236,922	2,866,582	5,068,431	742,554
Lexington Public Library				
Library Operations	12,658,549	770,192	248,280	105,000
Depreciation	1,190,147			
Interest on Long-Term Debt	360,769			
Total Lexington Public Library	14,209,465	770,192	248,280	105,000
Lexington Convention and Visitors Bureau				
Convention and Tourism Operations	5,292,561		497,395	
Depreciation	68,567			
Total Lexington Convention and Visitors Bureau	5,361,128	0	497,395	0
Downtown Development Authority				
Downtown Design Center	565,054			279,763
Total Downtown Development Authority	565,054	0	0	279,763
Total Nonmajor Component Units	$46,372,569	$3,636,774	$5,814,106	$1,127,317
	General Revenues:			
	Taxes			
	Payment from/to Lexington-Fayette Urban County Governmen			
	Income on Investments			
	Gain (Loss) on Sale of Capital Assets			
	Miscellaneous			
	Total General Revenues			
	Change in Net Position			
	Net Position, Beginning			
	Net Position, Ending			

Net (Expenses) Revenue and Changes in Net Assets				
Lexington Transit Authority	**Lexington Public Library**	**Lexington Convention and Visitors Bureau**	**Downtown Development Authority**	**Total Nonmajor Component Units**
($14,621,035)				($14,621,035)
(2,938,320)				(2,938,320)
				(17,559,355)
	($11,535,077)			(11,535,077)
	(1,190,147)			(1,190,147)
	(360,769)			(360,769)
				(13,085,993)
		($4,795,166)		(4,795,166)
		(68,567)		(68,567)
				(4,863,733)
			($285,291)	(285,291)
				(285,291)
($17,559,355)	($13,085,993)	($4,863,733)	($285,291)	($35,794,372)
$15,919,267	$13,868,108	$5,926,314	$0	$35,713,689
			348,000	348,000
	77,822	3,713	229	81,764
(7,324)				(7,324)
	2,545	20,710		23,255
15,911,943	13,948,475	5,950,737	348,229	36,159,384
(1,647,412)	862,482	1,087,004	62,938	365,012
37,250,398	21,718,851	3,573,442	46,961	62,589,652
$35,602,986	$22,581,333	$4,660,446	$109,899	$62,954,664

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STATISTICAL SECTION

The Lexington-Fayette Urban County Government's Comprehensive Annual Financial Report presents detailed information as a context for understanding what the information in the financial statements, note disclosures and required supplementary information says about the Government's overall financial health.

Financial Trends: Tables 1 – 6

These schedules contain trend information to help the reader understand how the Government's financial performance and well-being have changed over time.

Revenue Capacity: Tables 7 – 12

These schedules contain information to help the reader assess the Government's most significant local revenue sources.

Debt Capacity: Tables 13 – 17

These schedules present information to help the reader assess the affordability of the Government's current level of outstanding debt and the Government's ability to issue additional debt in the future.

Demographic & Economic Indicators: Tables 18 – 21

These schedules offer demographic and economic indicators to help the reader understand the environment within which the Government's financial activity takes place.

Operating Information: Tables 22 – 24

These schedules contain service and infrastructure data to help the reader understand how the information in the Government's financial report relates to the services the government provides and the activities it performs.

TABLE 1

LEXINGTON-FAYETTE URBAN COUNTY GOVERNMENT
NET POSITION
LAST TEN FISCAL YEARS

	Fiscal Year									
	2005	2006	2007	2008	2009	2010	2011	2012	2013	2014
Governmental Activities										
Investment in Capital Assets, net of related debt	$128,533,898	$964,032,556	$965,683,982	$963,823,728	$934,789,342	$920,938,945	$921,236,876	$899,350,344	$877,691,469	$860,074,409
Restricted	1,316,495	10,509,131	19,918,500	2,241,711	6,255,432	(31,494,181)	32,640,718	20,289,131	26,895,407	22,045,314
Unrestricted (Deficit)	29,526,571	50,390,084	30,807,379	5,930,420	(6,454,734)		(110,023,238)	(98,714,274)	(94,638,121)	(83,112,939)
Total governmental activities net position	159,376,964	1,024,931,771	1,016,409,861	971,995,859	934,590,040	889,444,764	843,854,356	820,925,201	809,948,755	799,006,784
Business-type Activities										
Investment in Capital Assets, net of related debt	243,680,021	245,818,433	244,593,588	239,407,215	254,269,159	239,666,463	209,276,568	217,434,369	217,313,258	222,913,279
Restricted	33,688,305	34,565,941	39,914,276	24,129,422	24,680,839	35,249,098	50,637,360	57,712,759	66,194,803	68,209,300
Unrestricted (Deficit)	5,634,802	11,084,804	14,020,822	24,615,573	7,399,034	14,702,006	33,023,663	29,435,424	27,429,362	33,237,351
Total business-type activities net position	283,003,128	291,469,178	298,528,686	288,152,210	286,349,032	289,617,567	292,937,591	304,582,552	310,937,423	324,359,930
Primary Government										
Investment in Capital Assets, net of related debt	372,213,919	1,209,850,989	1,210,277,570	1,203,230,943	1,189,058,501	1,160,605,408	1,130,513,444	1,116,784,713	1,095,004,727	1,082,987,688
Restricted	35,004,800	45,075,072	59,832,776	26,371,133	30,936,271	3,754,917	83,278,078	78,001,890	93,090,210	90,254,614
Unrestricted (Deficit)	35,161,373	61,474,888	44,828,201	30,545,993	944,300	14,702,006	(76,999,575)	(69,278,850)	(67,208,759)	(49,875,588)
Total primary government net position	$442,380,092	$1,316,400,949	$1,314,938,547	$1,260,148,069	$1,220,939,072	$1,179,062,331	$1,136,791,947	$1,125,507,753	$1,120,886,178	$1,123,366,714

2006 was the first year LFUCG reported all capital assets, including infrastructure, pursuant to GASB 34.

Source: Department of Finance, Lexington-Fayette Urban County Government

LEXINGTON-FAYETTE URBAN COUNTY GOVERNMENT
CHANGES IN NET POSITION
LAST TEN FISCAL YEARS
(Accrual Basis of Accounting)

	Fiscal Year									
	2005	2006	2007	2008	2009	2010	2011	2012	2013	2014
Expenses										
Governmental Activities:										
General Government	$22,840,721	$21,977,521	$23,927,771	$30,660,951	$22,706,306	$22,726,537	$24,197,239	$22,985,046	$23,692,990	$26,973,537
Administrative Services	23,522,220	27,674,322	34,445,260	3,832,639	3,315,306	1,299,382	1,386,040	21,143,480	11,761,053	5,342,699
Health, Dental and Vision Insurance	14,011,082	14,740,182	13,301,058	14,564,306	25,824,211	26,711,492	34,755,417	26,211,457	25,006,634	24,893,545
Chief Information Officer				11,216,315	14,522,324	9,161,677	9,713,226			6,983,029
Chief Development Officer								470,018	620,665	192,555
Finance	6,670,050	6,629,421	10,464,204	12,376,624	13,378,819	24,047,223	28,515,655	19,357,661	14,744,087	16,726,346
Public Works	35,320,695	93,199,722	68,896,198	71,695,702	62,907,588	61,841,096	63,671,436			
Environmental Quality & Public Works								80,559,723	83,878,537	45,339,718
Planning, Preservation, & Development*									3,767,295	47,343,980
Public Safety	9,001,079	8,363,244	11,937,598	26,717,271	13,145,251	11,259,687	11,162,765	13,042,036	14,666,437	10,776,283
Police	47,320,658	56,588,057	56,980,657	63,533,856	69,507,685	70,694,372	71,714,415	68,164,371	69,945,322	69,822,219
Fire and Emergency Services	39,390,542	47,469,043	53,242,082	58,497,360	66,077,180	63,116,000	67,106,441	66,413,015	62,781,239	67,689,682
Community Corrections	27,326,172	28,539,978	29,028,326	30,686,297	30,670,339	30,894,261	31,104,781	31,286,365	32,631,937	34,000,937
Building Inspection										
Environmental Quality				23,947,831	24,729,110	21,516,034	23,500,067			
Social Services	10,579,394	13,379,478	15,493,804	16,392,173	14,719,158	11,836,703	10,672,881	9,780,945	10,194,745	10,478,516
General Services	16,998,086	18,493,537	10,855,412	11,531,344	13,944,835	14,629,238	14,242,698	10,041,709	10,898,533	10,551,162
Parks and Recreation	14,840,330	16,739,980	19,428,046	21,961,714	19,955,406	18,320,506	19,064,298	19,386,251	19,653,677	19,693,483
Law and Risk Management	2,041,719	1,946,786	2,115,341	12,593,109	10,803,413	9,301,249	10,227,268	3,497,483	4,006,240	3,811,867
Outside Agencies	267,976	178,667								
Special Projects										
Interest on Long-Term Debt	6,236,280	6,291,512	6,378,169	5,727,995	6,357,236	10,692,416	13,131,617	12,835,920	13,116,205	13,053,635
Debt Service - Other	1,261,204	1,040,970	1,056,289	1,056,179						
Total governmental activities	277,628,208	363,252,420	357,550,215	416,991,666	412,564,167	408,047,873	434,166,244	405,175,480	401,365,596	413,673,193
Business-type Activities:										
Sanitary Sewer System	23,554,596	24,553,305	26,703,501	36,565,069	35,438,026	41,453,360	42,472,580	40,124,346	39,014,016	43,664,387
Public Facilities	12,121,284	12,175,005	10,444,503	11,359,294	10,971,103	10,806,267	10,741,225	10,333,320	9,419,886	8,895,507
Public Parking	891,857	909,544	511,198	463,177	1,012,399	927,900	906,926	847,894	84,866	265,226
Landfill	4,233,412	1,391,578	1,651,318	7,250,365	6,209,619	6,641,801	6,581,625	5,271,593	4,099,770	6,060,197
Right of Way	266,933	292,284	307,012	333,723	299,598	313,383	312,770	298,896	284,470	308,683
Extended School Program	1,452,385	1,578,873	1,967,573	2,081,422	2,333,357	2,456,874	2,207,310	2,339,148	2,198,555	1,977,394
Prisoners' Account System	1,472,693	1,363,204	1,273,913	1,724,224	1,628,156	1,421,523	1,287,139	1,373,473	1,393,543	1,844,393
Enhanced 911	2,112,518	2,107,592	3,057,919	3,870,267	3,314,149	3,634,032	3,083,806	2,973,088	2,930,379	2,384,796
CKY Network	40,296	35,122	62,228	54,347	63,502	57,644	84,242	29,307	10,668	450,919
Small Business Development	3,562	8,838								
Water Quality					1,841,975	4,528,403	6,280,081	9,182,669	8,308,501	9,139,302
Total business-type activities	46,149,536	44,415,345	45,979,165	63,701,888	63,111,884	72,241,187	73,957,704	72,773,734	67,744,654	74,990,804
Total primary government	$323,777,744	$407,667,765	$403,529,380	$480,693,554	$475,676,051	$480,289,060	$508,123,948	$477,949,214	$469,110,250	$488,663,997

LEXINGTON-FAYETTE URBAN COUNTY GOVERNMENT
CHANGES IN NET ASSETS
LAST TEN FISCAL YEARS (contd.)
(Accrual Basis of Accounting)

	Fiscal Year									
	2005	2006	2007	2008	2009	2010	2011	2012	2013	2014
Program Revenues										
Governmental Activities:										
Charges for Services	$41,277,818									
General Government		$3,103,058	$8,708,357	$14,562,857	$14,300,517	$13,541,123	$15,644,382	$15,086,369	$23,141,015	$17,046,255
Administrative Services		1,577,237	7,167,050				1,000	1,603,453	559,050	367,363
Health, Dental, and Vision		14,676,675	13,297,984	14,564,306	25,824,211	26,711,492	34,755,417	26,211,457	25,006,634	24,893,545
Chief Information Officer				77,900	56,344	14,368	20,876			4,271
Chief Development Officer										6,281
Finance		866,815	1,233,796	1,526,545	4,385,600	3,807,077	3,145,043	2,511,142	2,413,363	3,358,781
Public Works		1,574,355	1,304,217	14,388,414	3,775,946	5,770,608	4,088,338			
Environmental Quality & Public Works								2,912,917	2,757,405	2,681,977
Planning, Preservation, & Development*									240,168	2,245,228
Public Safety		2,394,577	2,419,149	1,482,000	403,491	445,029	329,460	2,045,401	1,857,059	64,898
Police		1,088,235	309,799	614,408	2,031,643	2,007,988	2,402,840	1,528,342	1,942,297	2,039,209
Fire and Emergency Services		3,645,180	4,166,741	4,686,614	6,773,040	6,191,913	6,478,108	7,340,946	6,952,394	7,036,029
Community Corrections		5,995,495	6,955,537	7,822,586	6,413,349	6,319,484	7,429,351	7,707,225	8,286,565	9,161,315
Environmental Quality				2,155,407	1,265,393	1,850,487	2,406,997			
Social Services		355,936	2,071,456	3,362,329	3,754,793	2,848,473	3,542,915	1,766,790	1,857,123	1,703,695
General Services		69,488		71,059	104,442	113,498	97,898	63,132	28,827	4,155
Parks and Recreation		4,338,295	4,520,111	4,566,558	5,381,956	4,691,533	4,258,091	4,810,535	4,156,325	3,869,990
Law and Risk Management		1,145	475	2,935	21,528	34,444	18,217	35,293	36,944	49,006
Outside Agencies		923,420								
Debt Service - other		485,304	73,448							
Operating Grants and Contributions	20,838,959	19,297,952	31,988,064	17,500,905	13,251,883	20,192,672	13,849,522	14,139,426	13,065,758	15,108,425
Capital Grants and Contributions	12,970,715	15,349,943	3,138,381	7,838,458	10,276,393	10,434,599	7,078,729	8,316,236	6,272,539	9,200,572
Total Governmental Activities	75,087,492	75,743,110	87,354,565	95,223,281	98,020,529	104,974,788	105,547,184	96,078,664	98,573,466	98,840,995
Business-Type Activities:										
Charges for Services	49,825,599									
Sanitary Sewer System		28,471,944	26,199,037	27,532,422	36,605,347	47,470,305	48,803,593	47,287,791	52,927,780	50,480,049
Public Facilities		7,251,009	5,390,398	6,237,836	6,841,271	6,405,531	7,157,088	7,156,666	5,830,285	6,375,794
Public Parking		1,303,998	593,995	1,192,523	1,373,037	1,203,102	859,874	977,414	4,560	
Landfill		7,999,651	7,870,493	8,556,220	8,499,137	8,240,762	7,203,610	7,183,611	6,845,329	7,064,989
Right of Way		412,292	413,705	310,950	403,771	479,012	483,196	419,676	392,466	520,812
Extended School Program		1,494,955	2,220,509	2,203,771	1,808,121	2,097,145	2,038,391	2,338,243	2,379,751	2,202,171
Prisoners' Account System		1,452,156	1,950,786	2,066,361	2,026,429	1,915,910	1,121,799	1,524,127	1,619,626	2,372,285
Enhanced 911		2,365,264	2,383,332	2,621,394	3,453,310	4,069,027	3,749,409	3,999,658	3,517,634	4,273,106
CKY Network		27,449	26,609	61,360	84,045	91,090	140,699	51,798	25,738	111,576
Small Business Development		6,258	23,384	188						
Water Quality					68,268	5,581,104	11,604,569	12,095,514	12,296,476	13,119,524
Total Business-Type Activities	49,825,599	50,784,976	47,072,248	50,783,025	61,162,736	77,552,988	83,162,228	83,034,498	85,839,645	86,520,306
Total Primary Government	124,913,091	126,528,086	134,426,813	146,006,306	159,183,265	182,527,776	188,709,412	179,113,162	184,413,111	185,361,301
Net (Expense)/Revenue										
Governmental Activities	(202,540,716)	(287,509,310)	(270,195,650)	(321,768,385)	(314,543,638)	(303,073,085)	(328,619,060)	(309,096,816)	(302,792,130)	(314,832,198)
Business-Type Activities	3,676,063	6,369,631	1,093,083	(12,918,863)	(1,949,148)	5,311,801	9,204,524	10,260,764	18,094,991	11,529,502
Total Primary Government	(198,864,653)	(281,139,679)	(269,102,567)	(334,687,248)	(316,492,786)	(297,761,284)	(319,414,536)	(298,836,052)	(284,697,139)	(303,302,696)
General Revenues and Other Changes in Net Position										
Governmental Activities:										
Property Taxes	43,189,707	44,889,961	47,791,867	51,455,185	54,301,749	51,143,199	52,548,109	52,860,840	53,597,311	54,759,199
Licenses and Permits	188,973,285	197,857,140	210,698,736	220,015,258	218,194,593	215,196,838	224,399,866	230,580,201	238,924,158	248,271,270
Grants and Contributions Not Restricted to Specific Programs:										
Community Development Block Grant	2,570,656	2,264,419	2,126,818	2,463,746	2,577,631	2,250,779	2,175,565	2,171,901	2,176,035	2,009,120
Income on Investments	1,839,509	3,395,527	6,121,269	3,582,709	804,510	300,149	129,839	589,967	(509,890)	263,242
Sale of Assets	523,841	956,340	(1,041,367)	457,516	641,460	(45,882)	2,300,242	311,259	283,406	
Bond Refunding										
Miscellaneous	767,547	827,029	963,926							
Conveyance of Asset			(2,116,880)							
Transfers	(1,281,083)	670,254	(3,308,054)	(620,031)	617,876	1,737,854	1,249,888	(346,507)	(1,106,585)	(871,447)
Total Governmental Activities	236,583,462	250,860,670	261,236,315	277,354,383	277,137,819	270,582,937	282,803,509	286,167,661	293,364,435	304,431,384
Business-Type Activities:										
Income on Investments	1,397,929	2,728,854	2,802,634	1,907,250	669,955	96,285	540,692	1,029,866	(215,314)	1,021,558
Sale of Assets	9,350	17,819	(183,523)	15,106	93,891	(401,697)	39,149	7,824		
Bond Refunding										
Transfers	1,281,083	(670,254)	3,308,054	620,031	(617,876)	(1,737,854)	(1,249,888)	346,507	(11,902,981)	871,447
Total Business-Type activities	2,688,362	2,076,419	5,927,165	2,542,387	145,970	(2,043,266)	(670,047)	1,384,197	(12,118,295)	1,893,005
Total Primary Government	239,271,824	252,937,089	267,163,480	279,896,770	277,283,789	268,539,671	282,133,462	287,551,858	281,246,140	306,324,389
Change in Net Position										
Governmental activities	34,042,746	(36,648,640)	(8,959,335)	(44,414,002)	(37,405,819)	(32,490,148)	(45,815,551)	(22,929,155)	(9,427,695)	(10,400,814)
Business-type activities	6,364,425	8,446,050	7,020,248	(10,376,476)	(1,803,178)	3,268,535	8,534,477	11,644,961	5,976,696	13,422,507
Prior Period Adjustment - Government Activities		902,203,447	437,425			(12,655,128)	225,143		(1,548,751)	(541,157)
Prior Period Adjustment-Business-Type Activities		20,000	39,260				(5,214,453)		378,175	
Total Primary Government	$40,407,171	$874,020,857	($1,462,402)	($54,790,478)	($39,208,997)	($41,876,741)	($42,270,384)	($11,284,194)	($4,621,575)	$2,480,536

*Planning, Preservation, & Development was added in FY13 and was previously included with Administration.
Source: Department of Finance, Lexington-Fayette Urban County Government

TABLE 3

LEXINGTON-FAYETTE URBAN COUNTY GOVERNMENT
FUND BALANCES, GOVERNMENTAL FUNDS
LAST TEN FISCAL YEARS
(Modified Accrual Basis of Accounting)

	Fiscal Year									
	2005	2006	2007	2008	2009	2010	2011	2012	2013	2014
General Fund										
Reserved	$4,940,741	$4,845,381	$4,637,101	$5,254,246	$12,177,430	$12,019,893	$0	$0	$0	$0
Unreserved										
Designated for Economic Contingency	5,996,710	8,272,087	11,894,147	13,219,620	14,470,569	14,470,569				
Designated for Payroll	4,260,723		556,400	1,293,279	2,116,169	2,923,169				
Designated for Working Capital	3,394,250	7,036,780	9,634,602							
Designated for Pay Adjustments										
Undesignated	17,468,671	17,734,190	15,713,298	4,620,501	4,365,746	2,106,483				
Nonspendable							1,493,737	1,461,447	1,405,198	1,627,367
Restricted for:										
Energy Improvement Projects									408,227	636,874
Committed for:										
General Government							3,931,000		6,612,684	11,249,146
Economic Stabilization							18,200,738	18,482,971	23,290,466	25,224,221
Assigned to:										
Capital Projects								6,972,224	8,060,560	8,137,251
General Government								11,583,075	10,325,000	12,700,000
Urban Services								2,500,000		
Unassigned							562,360	3,265,872	4,309,677	4,176,646
Total	36,061,095	37,888,438	42,435,548	24,387,646	33,129,914	31,520,114	24,187,835	44,265,589	54,411,812	63,751,505
Urban Services										
Reserved	3,796,313	2,963,095	1,661,414	1,064,326	5,612,288	8,842,245				
Designated for Payroll	367,505		45,700	99,401	127,622	154,622				
Undesignated	17,637,287	20,771,372	26,852,738	31,935,168	28,237,751	16,986,960				
Nonspendable							4,031	604	175	11,112
Restricted for:										
Urban Service Projects							20,420,741	22,767,570	28,631,854	29,855,868
Energy Improvement Projects									10,383	13,314
Unassigned										
Total	21,801,105	23,734,467	28,559,852	33,098,895	33,977,661	25,983,827	20,424,772	22,768,174	28,642,412	29,880,294
All Other Governmental Funds										
Reserved	9,119,957	11,641,885	6,521,414	18,430,040	7,944,462	12,702,665				
Undesignated, reported in:										
Nonspendable							369	6,604	22,376	77,859
Restricted for:										
Public Works							10,357,176	8,238,721	9,032,953	11,534,007
Public Safety							3,117,402	2,812,852	1,659,378	1,569,569
Special Revenue Funds	4,315,924	6,789,094	8,770,810	9,269,371	12,137,914	13,742,070				
Capital Projects	19,410,938	25,849,967	14,852,272	(13,728,932)	6,138,952	36,272,857	32,094,257	19,027,031	25,214,697	20,133,026
Grants Projects	514,983	235,303	313,460	119,184	100,842	116,485	546,461	1,262,100	1,262,100	1,262,100
Committed for:										
General Government							410,544	447,605		
Assigned to:										
General Government									445,690	1,721,084
Unassigned							(974,484)	(370,103)		
Total	$33,361,802	$44,516,249	$30,457,956	$14,089,663	$26,322,170	$62,834,077	$45,551,725	$31,424,810	$37,637,194	$36,297,645

LFUCG elected to implement GASB Statement No. 54, Fund Balance Reporting and the Governmental Fund Type Definitions, in fiscal year 2011.
This statement allows the entity to apply prospectively in the statistical section. Therefore, LFUCG has not reclassified prior information.

Source: Department of Finance, Lexington-Fayette Urban County Government

TABLE 4

LEXINGTON-FAYETTE URBAN COUNTY GOVERNMENT
CHANGES IN FUND BALANCES, GOVERNMENTAL FUNDS
LAST TEN FISCAL YEARS
(Modified Accrual Basis of Accounting)

	Fiscal Year									
	2005	2006	2007	2008	2009	2010	2011	2012	2013	2014
Revenues										
Licenses and Permits	$189,786,177	$198,653,467	$215,760,874	$224,874,954	$222,841,928	$219,586,264	$228,816,452	$235,226,117	$243,655,298	$253,581,959
Taxes	43,189,707	44,889,961	47,791,867	51,455,185	54,301,749	51,143,199	52,548,109	52,860,840	53,597,311	54,759,199
Charges for Services	21,561,092	20,648,157	22,350,901	21,357,602	22,073,405	21,182,005	24,158,224	26,262,822	26,365,849	26,797,087
Fines and Forfeitures	184,104	323,063	57,192	180,785	303,205	268,459	220,449	176,319	311,930	258,112
Local Contributions										
Intergovernmental	30,321,835	31,784,556	32,419,475	45,587,385	36,462,389	41,088,818	33,622,666	35,125,072	32,365,491	38,199,741
Exactions	4,767,468	2,823,892	1,584,199	1,282,254	379,575	601,993	96,613	129,603	532,410	486,643
Grant Match	2,025,396	2,256,329	2,178,329	1,709,521	2,734,433	2,619,353				
Property Sales	523,841	956,340	785,073	557,071	803,382	499,119	2,681,463	453,540	462,570	181,052
Income on Investments	1,420,555	3,366,361	5,737,945	3,582,709	804,510	300,149	129,839	589,902	(509,785)	263,298
Other	5,544,293	5,787,271	7,260,457	8,145,477	7,928,848	9,988,984	8,998,513	4,002,075	3,436,946	4,067,219
Total Revenues	299,324,468	311,489,397	335,926,312	358,732,943	348,633,424	347,278,343	351,272,328	354,826,290	360,218,020	378,594,310
Expenditures										
General Government	9,812,520	8,635,249	6,706,895	13,651,464	6,761,982	6,962,873	7,382,550	5,059,177	5,647,407	5,678,539
Administrative Services	24,077,384	25,104,922	25,431,738	1,845,175	3,213,262	1,098,505	1,209,504	19,612,467	10,370,972	5,014,372
Chief Information Officer				9,919,332	13,566,187	10,287,205	8,450,628			6,018,607
Chief Development Officer								458,932	613,743	190,339
Finance	6,593,458	7,145,881	9,890,462	11,561,109	11,488,448	11,979,265	9,271,854	5,405,089	5,115,502	5,020,225
Public Works	41,247,381	40,430,609	34,857,640	23,013,365	24,708,831	22,514,826	21,858,996			
Environmental Quality & Public Works								36,315,403	37,037,311	36,407,046
Planning, Preservation, & Development*									3,659,901	8,670,017
Public Safety	118,307,014	137,232,016	142,764,740	153,492,722	227,892,046	191,233,566	160,552,216	193,328,465	172,413,558	173,507,393
Social Services	13,389,135	12,245,264	13,347,071	12,006,737	11,623,944	9,615,423	8,402,054	7,804,749	8,222,664	8,196,041
Environmental Quality				19,441,341	21,076,668	20,398,457	22,544,214			
General Services	24,696,780	30,279,293	28,040,506	28,280,713	29,246,730	26,370,443	25,763,110	24,095,490	26,517,790	24,348,481
Law and Risk Management	1,861,769	1,575,637	2,064,825	23,551,596	10,851,780	9,327,861	10,237,207	3,571,448	3,994,327	4,035,393
Outside Agencies	18,876,456	15,846,048	15,613,480	20,090,648	19,236,209	18,123,297	19,244,315	20,571,727	20,260,096	24,739,506
Special Projects										
Debt Service:										
Principal	14,156,321	15,030,273	18,797,661	16,740,000	13,760,000	26,230,000	20,035,000	18,465,000	17,855,000	21,925,000
Interest and Other	7,634,836	7,384,493	7,594,762	6,907,518	5,495,982	9,409,512	13,703,243	12,927,929	13,108,740	13,667,645
Capital	12,927,159	21,389,866	36,861,883	47,475,384	45,435,689	70,941,523	49,010,038	29,785,796	28,336,917	48,815,941
Total Expenditures	293,580,213	322,299,551	341,971,663	387,977,104	444,357,758	434,492,756	377,664,929	377,401,672	353,153,928	386,234,545
Excess (Deficiency) of Revenues over (under) Expenditures	5,744,255	(10,810,154)	(6,045,351)	(29,244,161)	(95,724,334)	(87,214,413)	(26,392,601)	(22,575,382)	7,064,092	(7,640,235)
Other Financing Sources (Uses)										
Transfers In	5,719,846	6,807,387	3,746,037	1,375,483	4,238,345	6,723,504	3,843,657	18,102,675	7,226,272	28,308,895
Transfers Out	(7,000,929)	(6,137,133)	(7,054,091)	(2,008,473)	(3,620,469)	(4,985,650)	(3,773,123)	(18,493,131)	(7,822,695)	(29,163,490)
Property Sales										
Debt Proceeds (net of bond refunding)	22,325,000	24,700,000	4,667,606		116,960,000	119,515,000	19,720,000	37,275,000	21,177,299	78,350,131
Bond Anticipation Note	304,813	7,599								
Premium (Discount) on Bonds Issued	39,218	210,968				(7,130,168)	(4,580,255)	(6,014,921)	(4,549,025)	(60,617,275)
Total Other Financing Sources (Uses)	21,387,948	25,588,821	1,359,552	(632,990)	117,577,876	114,122,686	15,210,279	30,869,623	16,031,851	16,878,261
Net Change in Fund Balances	$27,132,203	$14,778,667	($4,685,799)	($29,877,151)	$21,853,542	$26,908,273	($11,182,322)	$8,294,241	$23,095,943	$9,238,026
Debt Service as a percentage of noncapital expenditures*	7.8%	7.2%	8.3%	6.2%	4.5%	9.5%	10.2%	8.7%	9.1%	10.1%

*Planning, Preservation, & Development was added in FY13 and was previously included with Administration.

Source: Department of Finance, Lexington-Fayette Urban County Government

TABLE 5

LEXINGTON-FAYETTE URBAN COUNTY GOVERNMENT
CHANGES IN FUND BALANCE, GENERAL FUND
LAST TEN FISCAL YEARS
(Budgetary Basis of Accounting)

	Fiscal Year									
	2005	2006	2007	2008	2009	2010	2011	2012	2013	2014
Revenues										
Licenses and Permits	$188,632,470	$197,805,430	$214,665,674	$223,622,531	$221,612,009	$218,333,096	$227,486,734	$233,898,045	$242,304,633	$252,196,981
Taxes	17,731,787	17,156,666	18,150,819	19,509,219	20,737,242	20,222,945	20,992,845	20,880,351	21,368,326	21,899,738
Charges for Services	21,260,954	21,003,296	22,215,574	21,313,927	21,965,618	21,002,080	24,084,059	23,879,484	24,202,174	24,643,221
Fines and Forfeitures	184,104	323,063	57,192	137,659	270,598	262,040	215,493	170,001	309,442	257,039
Intergovernmental	2,418,670	2,465,624	2,133,350	3,315,630	2,405,778	1,156,085	2,441,417	1,942,553	1,978,891	1,720,761
Property Sales	516,536	349,715	465,537	392,892	646,007	473,784	1,985,318	152,194	137,719	56,688
Income on Investments	533,607	1,481,463	2,971,942	1,827,694	288,720	62,901	(2,381)	390,823	(556,777)	432,454
Other	1,873,064	1,743,395	4,088,217	3,206,921	3,559,545	5,640,858	4,159,715	2,213,409	2,388,300	2,509,949
Total Revenues	233,151,192	242,328,652	264,748,305	273,326,473	271,485,517	267,153,789	281,363,200	283,526,860	292,132,708	303,716,831
Expenditures and Other Financing Sources (Uses)										
General Government	3,668,705	4,458,163	5,048,021	11,450,829	3,337,821	3,206,859	3,872,271	1,700,098	3,476,730	3,664,554
Administrative Services	13,228,125	15,582,368	15,276,489	1,081,760	1,052,574	1,098,505	1,209,504	15,973,425	8,112,087	2,656,141
Chief Information Officer				6,513,655	7,610,707	7,366,977	7,820,811			6,018,605
Chief Development Officer								158,932	163,743	182,074
Finance	6,773,332	7,256,067	7,745,982	7,955,937	9,057,361	8,297,391	7,936,589	5,387,968	5,101,158	5,022,088
Public Works	12,389,534	12,637,417	11,771,654	18,553,415	17,198,118	18,296,963	16,628,445			
Environmental Quality & Public Works								8,380,410	8,103,750	7,366,215
Planning, Preservation, & Development*									2,738,011	7,742,329
Public Safety	111,767,425	131,079,150	138,132,390	146,778,076	219,175,755	183,918,587	154,017,726	187,071,884	167,821,104	165,631,441
Social Services	9,143,767	9,274,916	10,617,866	10,245,245	9,604,663	7,439,405	6,801,050	6,003,513	6,566,634	6,633,883
Environmental Quality				2,025,452	53,206	3,217	6,407			
General Services	24,917,618	25,299,456	28,318,762	28,032,856	28,401,996	26,464,121	25,414,155	24,165,031	26,774,613	29,847,860
Law	1,876,412	1,923,928	1,782,008	20,032,934	9,602,925	8,601,967	9,607,308	3,494,863	3,926,008	3,974,171
Outside Agencies	18,258,584	14,349,512	15,464,809	16,843,781	16,913,570	16,786,200	16,935,373	17,206,291	17,121,904	18,935,337
Debt Service	20,802,641	21,585,420	25,662,867	23,163,080	19,386,936	27,749,206	33,701,269	30,937,819	29,748,196	34,160,768
Other Financing (Sources) Uses	4,860,964	140,864	202,328	(685,501)	(78,652,384)	(40,465,809)	(3,207,654)	(37,031,128)	2,332,547	2,541,672
Residual Equity Transfers										
Total Expenditures and Other Financing Sources (Uses)	227,687,107	243,587,261	260,023,176	291,991,519	262,743,248	268,763,589	280,743,254	263,449,106	281,986,485	294,377,138
Net Change in Fund Balance	$5,464,085	($1,258,609)	$4,725,129	($18,665,046)	$8,742,269	($1,609,800)	$619,946	$20,077,754	$10,146,223	$9,339,693

*Planning, Preservation, & Development was added in FY13 and was previously included with Administration.

Source: Department of Finance, Lexington-Fayette Urban County Government

TABLE 6

LEXINGTON-FAYETTE URBAN COUNTY GOVERNMENT
SANITARY SEWER SYSTEM
SUMMARY OF REVENUES AND EXPENSES

	Fiscal Year									
	2005	2006	2007	2008	2009	2010	2011	2012	2013	2014
Revenues										
Sewer Service Charges	$24,049,216	$25,602,266	$24,014,195	$25,884,142	$35,213,276	$45,578,971	$45,663,797	$44,334,743	$45,990,027	$46,577,092
Sewer Tap on Fees	1,584,341	1,661,417	1,629,573	1,223,820	1,048,864	1,072,452	1,523,169	1,944,010	2,325,787	2,013,656
Exactions	1,974,660	1,160,296	513,539	343,998	198,914	287,677	885,730	150,120	4,002,945	801,569
Other Income	50,204	47,965	41,731	80,462	93,293	448,880	776,339	615,624	609,021	1,155,128
Total Revenues	27,658,421	28,471,944	26,199,038	27,532,422	36,554,347	47,387,980	48,849,035	47,044,497	52,927,780	50,547,445
Operating Expenses										
Treatment Plant	6,088,076	7,106,877	7,259,708	8,164,345	8,447,048	8,502,531	8,411,093	7,933,477	8,217,471	7,935,854
Collection System	3,485,272	3,760,098	4,236,199	5,411,212	4,427,863	4,297,166	5,544,184	5,064,273	4,405,020	4,461,052
Administration	6,002,433	5,959,400	6,786,349	15,083,099	14,325,685	18,974,390	18,243,183	17,142,578	16,216,619	20,773,379
Depreciation	6,373,506	6,225,299	6,361,511	6,417,656	6,393,816	7,113,944	7,214,960	7,299,442	7,683,896	8,047,827
Total Operating Expenses	21,949,287	23,051,674	24,643,767	35,076,312	33,594,412	38,888,031	39,413,420	37,439,770	36,523,006	41,218,112
Operating Income	5,709,134	5,420,270	1,555,271	(7,543,890)	2,959,935	8,499,949	9,435,615	9,604,727	16,404,774	9,329,333
Net Nonoperating Revenues/(Expenses)	(504,103)	555,560	(279,228)	(406,882)	(1,255,146)	(2,909,369)	(2,486,197)	(1,697,841)	(2,649,715)	(1,451,967)
Capital Contributions										
Transfers In	10,000	10,000	533,401	81,331	453,974		3,010,299	422,187	1,208,935	88,369,088
Transfers Out	(952)	(1,149,277)	(910,455)	(596,775)	(888,779)	(394,869)	(4,283,344)	(466,138)	(1,039,194)	(88,351,969)
Net Income/Change in Net Position	$5,214,079	$4,836,553	$898,989	($8,466,216)	$1,269,984	$5,195,711	$5,676,373	$7,862,935	$13,924,800	$7,894,485

Source: Department of Finance, Lexington-Fayette Urban County Government

TABLE 7

LEXINGTON-FAYETTE URBAN COUNTY GOVERNMENT
NET ASSESSED VALUE
REAL, TANGIBLE, & INTANGIBLE PROPERTY
(In Thousands)

Fiscal Year	Residential	Farms	Commercial	Oil, Mineral & Timber Rights	Tangible	Intangible	Total	Less Intangible	Total Taxable Assessed Value	Total Direct Tax Rate (Per $100 of Assessed value)
2005	$11,287,422	$559,829	$4,897,578	$770	$4,315,023	$3,527,423	$24,588,045	$3,527,423	$21,060,621	0.2704
2006	12,304,135	596,790	5,110,109	839	4,615,906	4,255,901	26,883,680	4,255,901	22,627,779	0.2704
2007	13,207,008	624,912	5,444,972	1,524	5,030,923		24,309,339		24,309,339	0.2704
2008	14,116,473	819,013	5,890,069	1,544	4,931,925		25,759,024		25,759,025	0.2694
2009	14,681,278	836,738	6,219,162	1,516	5,723,817		27,462,511		27,462,511	0.2535
2010	14,887,510	866,958	6,310,733	1,530	5,076,606		27,143,337		27,143,337	0.2535
2011	15,043,326	880,219	6,377,418	2,241	4,975,027		27,278,231		27,278,231	0.2535
2012	15,164,243	898,982	6,421,877	1,880	5,014,698		27,501,680		27,501,680	0.2535
2013	15,235,648	897,667	6,523,119	1,499	5,333,542		27,991,475		27,991,475	0.2535
2014	$15,299,695	$899,945	$6,757,308	$1,127	$5,395,493		$28,353,568		$28,353,568	0.2535

Note: Property is assessed at 100% fair market value. The intangible property tax rate was repealed as of January 1, 2006 per Kentucky Revised Statute 132.208.

Source: Department of Finance, Lexington-Fayette Urban County Government

TABLE 8

LEXINGTON-FAYETTE URBAN COUNTY GOVERNMENT
PROPERTY TAX LEVIES AND COLLECTIONS
LAST TEN FISCAL YEARS

Fiscal Year	Taxes Levied for the Fiscal Year	Collected within the Fiscal Year of Levy		Collections in Subsequent Years		Total Collections to Date	
		Amount	% of Levy			Amount	% of Levy
2005	$41,915,431	$41,211,370	98.3%	$704,061	*	$41,915,431	100.0%
2006	44,526,763	44,342,484	99.6%	184,279	*	44,526,763	100.0%
2007	47,282,303	47,245,216	99.9%	37,087	*	47,282,303	100.0%
2008	51,138,980	51,077,055	99.9%	61,925	*	51,138,980	100.0%
2009	53,823,142	53,779,117	99.9%	44,025	*	53,823,142	100.0%
2010	51,262,112	50,085,884	97.7%	1,176,228	*	51,262,112	100.0%
2011	52,264,220	51,732,977	99.0%	531,243	*	52,264,220	100.0%
2012	52,631,283	52,011,046	98.8%	620,237	*	52,631,283	100.0%
2013	53,136,159	52,567,908	98.9%	568,251	*	53,136,159	100.0%
2014	$53,598,026	$53,147,356	99.2%	$130,529		$53,277,885	99.4%

Note: Data provided by the Sheriff's Tax Settlement Report
*Corrected to reflect collections to date by fiscal year of levies

Source: Department of Finance, Lexington-Fayette Urban County Government

TABLE 9

LEXINGTON-FAYETTE URBAN COUNTY GOVERNMENT
DIRECT AND OVERLAPPING PROPERTY TAX RATES
LAST TEN FISCAL YEARS
(RATE PER $100)

	LFUCG Direct Rates					Overlapping Rates						
		Urban Services										
Fiscal Year	General	Refuse	Street Lights	Street Cleaning	Total Direct	Fayette County School	Commonwealth of Kentucky	Extension Services	Soil & Water Conservation	Health Department	Lextran	Total
2005	0.0800	0.1600	0.0210	0.0094	0.2704	0.5350	0.1310	0.0032	0.0004	0.0280		0.9680
2006	0.0800	0.1600	0.0210	0.0094	0.2704	0.5380	0.1310	0.0031	0.0004	0.0280	0.0600	1.0309
2007	0.0800	0.1600	0.0210	0.0094	0.2704	0.5410	0.1280	0.0031	0.0004	0.0280	0.0600	1.0309
2008	0.0800	0.1590	0.0210	0.0094	0.2694	0.5940	0.1240	0.0031	0.0004	0.0280	0.0600	1.0789
2009	0.0800	0.1590	0.0210	0.0094	0.2694	0.6050	0.1220	0.0032	0.0004	0.0280	0.0600	1.0880
2010	0.0800	0.1431	0.0210	0.0094	0.2535	0.6280	0.1220	0.0032	0.0004	0.0280	0.0600	1.0951
2011	0.0800	0.1431	0.0210	0.0094	0.2535	0.6280	0.1220	0.0032	0.0004	0.0280	0.0600	1.0951
2012	0.0800	0.1431	0.0210	0.0094	0.2535	0.6280	0.1220	0.0032	0.0004	0.0280	0.0600	1.0951
2013	0.0800	0.1431	0.0210	0.0094	0.2535	0.6280	0.1220	0.0032	0.0004	0.0280	0.0600	1.0951
2014	0.0800	0.1431	0.0210	0.0094	0.2535	0.6740	0.1220	0.0033	0.0004	0.0280	0.0600	1.1412

Note: All taxpayers in Fayette County are subject to the General Service rate. Total Direct rate is for taxpayers receiving complete urban services. Rates would be reduced for those taxpayers receiving less than full urban services.

The annual increase in real property tax revenue, excluding new assessments, must be 4% or less. Any amount over 4% is subject to a recall vote.

Source: Department of Finance, Lexington-Fayette Urban County Government

TABLE 10

LEXINGTON-FAYETTE URBAN COUNTY GOVERNMENT
PRINCIPAL PROPERTY TAX PAYERS
CURRENT YEAR AND NINE YEARS AGO

	2014			2005		
Name	Taxable Assessed Value	Rank	% of Total City Taxable Assessed Value	Taxable Assessed Value	Rank	% of Total City Taxable Assessed Value
Fayette Mall SPE LLC	$117,000,000	1	0.41%			
Fourth Quarter Properties	94,755,300	2	0.33%	$74,562,600	1	0.35%
Sir Forty 57 LLC	52,500,000	3	0.19%			
Lexmark International Inc.	48,898,600	4	0.17%	56,151,400	2	0.27%
War Admiral Place LLC	47,231,200	5	0.17%			
Weingarten Realty Inc.	45,900,500	6	0.16%			
Fayette Plaza CMBS LLC	40,000,000	7	0.14%			
Inland American Lodging LLC	39,330,000	8	0.14%			
Beaumont Lexington	37,525,300	9	0.13%			
Mid American Apts LLC	37,400,000	10	0.13%			
Ball Realty Inc.				38,137,100	4	0.18%
Lexington Joint Venture*				50,468,800	3	0.24%
Meijer Stores Ltd				35,879,400	5	0.17%
W T Young Inc.				34,999,100	6	0.17%
Griffin Gate Association				26,700,000	8	0.13%
MCV Venture				27,200,000	7	0.13%
Lexington Financial				25,000,000	10	0.12%
Bluegrass Building Partners				25,100,000	9	0.12%
Total	$560,540,900		1.98%	$394,198,400		1.87%

*Lexington Joint Venture - changed name to Fayette Mall SPE LLC in 2010

Source: Department of Finance, Lexington-Fayette Urban County Government

TABLE 11

LEXINGTON-FAYETTE URBAN COUNTY GOVERNMENT
DIRECT AND OVERLAPPING
LICENSE FEE RATES
LAST TEN FISCAL YEARS

Fiscal Year	LFUCG Direct Rate	Fayette County School	Total
2005	2.25%	0.50%	2.75%
2006	2.25%	0.50%	2.75%
2007	2.25%	0.50%	2.75%
2008	2.25%	0.50%	2.75%
2009	2.25%	0.50%	2.75%
2010	2.25%	0.50%	2.75%
2011	2.25%	0.50%	2.75%
2012	2.25%	0.50%	2.75%
2013	2.25%	0.50%	2.75%
2014	2.25%	0.50%	2.75%

Source: Department of Finance, Lexington-Fayette Urban County Government

TABLE 12

LEXINGTON-FAYETTE URBAN COUNTY GOVERNMENT
TEN MAJOR OCCUPATIONAL TAX WITHHOLDERS
CURRENT YEAR AND NINE YEARS AGO

Name	2014 Rank	2005 Rank
University of Kentucky	1	1
Fayette County Board of Education	2	3
Lexmark International	3	2
Lexington-Fayette Urban County Government	4	4
Baptist Healthcare	5	6
Defense Finance & Acctg System	6	10
St. Joseph Hospital	7	5
Ashland, Inc.	8	7
Lexington Clinic	9	9
Lockheed Martin	10	
IBM Information Products		8

Source: Department of Finance, Lexington-Fayette Urban County Government

TABLE 13

LEXINGTON-FAYETTE URBAN COUNTY GOVERNMENT
RATIOS OF OUTSTANDING DEBT BY TYPE
LAST TEN FISCAL YEARS

	Governmental Activities				Business-type Activities					
Fiscal Year	General Obligation Bonds, Notes, Leases	Mortgage Revenue Bonds	Lease Revenue Notes Payable	Bond Anticipation Notes	Revenue Bonds	Mortgage Revenue Bonds	Notes Payable	Total Primary Government	% of Personal Income	Primary Government Debt Per Capita
2005	$144,905,000	$0	$257,934	$742,401	$46,560,000	$71,680,000	$0	$264,145,335	2.7%	$959
2006	154,760,000		72,661	750,000	42,915,000	69,625,000		268,122,661	2.5%	958
2007	142,805,000				39,400,000	68,885,000		251,090,000	2.2% *	886
2008	126,065,000				35,715,000	68,195,000		229,975,000	2.0%	799
2009	229,265,000				31,860,000	66,470,000		327,595,000	2.9% *	1,120
2010	308,355,000			8,000,000	64,565,000	63,890,000		444,810,000	3.8% *	1,499
2011	303,865,000				60,055,000	61,990,000	15,105,027	441,015,027	3.6% *	1,462
2012	315,714,650				48,121,327	56,708,664	14,766,530	435,311,171	3.4% *	1,425
2013	314,541,343				45,400,398	54,830,752	14,403,727	429,176,220	na	1,391
2014	$310,040,731	$0	$0	$0	$42,590,809	$52,872,841	$27,785,157	$433,289,538	na	na

Note: Details regarding LFUCG outstanding debt can be found in the notes to the financial statements.
See table 18 for population data.
Personal income data for 2012 and 2013 not available at time of publication.
Population data for 2013 not available at time of publication.

* Updated in 2014

Source: Department of Finance, Lexington-Fayette Urban County Government

TABLE 14

LEXINGTON-FAYETTE URBAN COUNTY GOVERNMENT
RATIOS OF GENERAL BONDED DEBT OUTSTANDING
LAST TEN FISCAL YEARS

Fiscal Year	General Obligation Bonds	% of Assessed Value of Property	Per Capita
2005	$144,905,000	0.69%	$526 *
2006	154,760,000	0.68%	553 *
2007	142,805,000	0.59%	504 *
2008	126,065,000	0.49%	438 *
2009	229,265,000	0.83%	784 *
2010	308,355,000	1.14%	1,039 *
2011	303,865,000	1.11%	1,008
2012	315,714,650	1.15%	1,033
2013	314,541,343	1.12%	1,020
2014	$310,040,731	1.09%	na

Notes: Details regarding LFUCG outstanding debt can be found in the notes to the financial statements.
See Table 7 for property value date and Table 18 for population data.
Population data for 2014 not available at time of publication.

* Updated in 2014

Source: Department of Finance, Lexington-Fayette Urban County Government

TABLE 15

LEXINGTON-FAYETTE URBAN COUNTY GOVERNMENT
SCHEDULE OF DIRECT AND OVERLAPPING INDEBTEDNESS
AS OF JUNE 30, 2014

	Debt Outstanding (1)	Estimated Percentage Applicable (2)	Estimated Share of Overlapping Debt
Lexington Center Corporation			
Mortgage Revenue Bonds, Series 2008A	$18,435,000	3.62%	$667,563
Lexington-Fayette Urban County Government Airport Corporation			
Fixed Rate General Airport, Revenue and Refunding Bond 2009A (non-AMT)	31,880,000	4.31%	1,372,821
Variable Rate General Airport,Revenue and Refunding Bond 2009B (AMT)	5,400,000	4.31%	232,536
Fixed Rate General Airport,Revenue and Refunding Bond 2012A (AMT)	6,770,000	4.31%	291,531
Fixed Rate General Airport,Revenue and Refunding Bond 2012B (non-AMT)	11,230,000	4.31%	483,588
Fayette County School & Kentucky School Commission Bonds	367,170,000	100.00%	367,170,000
Lexington-Fayette Urban County Department of Health	$400,000	100.00%	400,000
Subtotal, Overlapping Debt			370,618,039
LFUCG, Direct Debt			310,040,731
Total Direct and Overlapping Indebtedness			$680,658,770

Notes

(1) Industrial Revenue Bonds, Industrial Development Bonds, Multi-Family and Single Family Housing Bonds are not included in this schedule of overlapping debt as they are not secured by the full faith and credit of Lexington-Fayette Urban County Government.

(2) Determined by ratio of assessed valuation of property subject to taxation in overlapping unit to valuation of property subject to taxation in LFUCG or by ratio of total revenue of overlapping unit to total revenue of LFUCG.

Source: Department of Finance, Lexington-Fayette Urban County Government

TABLE 16

LEXINGTON-FAYETTE URBAN COUNTY GOVERNMENT
LEGAL DEBT MARGIN INFORMATION
LAST TEN FISCAL YEARS
(In Thousands)

	Fiscal Year									
	2005	2006	2007	2008	2009	2010	2011	2012	2013	2014
Assessed Value	$24,588,044	$26,883,680	$24,309,339	$25,759,025	$27,462,511	$27,143,337	$27,278,231	$27,501,680	$27,991,475	$28,353,568
Debt limit (10% of Assessed Value)	2,458,804	2,688,368	2,430,934	2,575,902	2,746,251	2,714,334	2,727,823	2,750,168	2,799,148	2,835,357
Total net debt applicable to limit	181,675	176,110	171,270	166,455	195,775	171,510	108,710	203,817	194,414	200,820
Legal debt margin	$2,277,129	$2,512,258	$2,259,664	$2,409,447	$2,550,476	$2,542,824	$2,619,113	$2,546,351	$2,604,734	$2,634,537
Total net debt applicable to the limit as a percentage of debt limit	7.39%	6.55%	7.05%	6.46%	7.13%	6.32%	3.99%	7.41%	6.95%	7.08%

Source: Department of Finance, Lexington-Fayette Urban County Government

TABLE 17

LEXINGTON-FAYETTE URBAN COUNTY GOVERNMENT
REVENUE BOND COVERAGE
LAST TEN FISCAL YEARS
(In Thousands)

	Sanitary Sewer System						Public Facilities Corporation					
		Less:	Net					Less:	Net			
Fiscal	Gross	Operating	Available	Debt Service			Gross	Operating	Available	Debt Service		
Year	Revenue	Expenses	Revenue	Principal	Interest	Coverage	Revenue	Expenses	Revenue	Principal	Interest	Coverage
2005	$28,701	$15,576	$13,125	$3,480	$2,414	2.23	$6,943	$2,479	$4,464	$1,365	$3,473	0.92
2006	28,472	16,826	11,646	3,515	2,076	2.08	7,251	2,600	4,651	1,485	3,348	0.96
2007	26,199	18,282	7,917	3,685	1,906	1.42	5,439	2,095	3,344		3,495	0.96
2008	28,994	28,659	335	3,855	1,726	0.06	6,238	2,853	3,385	1,005	3,721	0.72
2009	37,049	27,201	9,848	3,855	1,706	1.77	6,841	2,681	4,160	1,005	2,716	1.12
2010	47,446	31,774	15,672	4,040	1,849	2.66	6,431	2,670	3,761	2,643	2,661	0.71
2011	49,383	32,198	17,185	4,510	2,608	2.41	7,159	2,789	4,370	1,900	2,570	0.98
2012	48,023	30,140	17,883	11,117	3,181	1.25	7,157	2,697	4,460	1,970	2,495	1.00
2013	52,769	28,839	23,930	3,413	2,400	4.12	5,830	2,305	3,525	2,050	2,416	0.79
2014	$51,542	$33,170	$18,372	$3,505	$2,348	3.14	$6,376	$2,111	$4,265	$2,130	$2,334	0.96

	Public Parking Corporation						Special Assessment Bonds			
		Less:	Net				Special			
Fiscal	Gross	Operating	Available	Debt Service			Assessment	Debt Service		
Year	Revenue	Expenses	Revenue	Principal	Interest	Coverage	Collections	Principal	Interest	Coverage
2005	$1,451	$343	$1,108	$895	$190	1.02	$34	$45	$12	0.60
2006	1,304	387	917	655	129	1.17	29	50	9	0.49
2007	594	149	445	690	100	0.56	26	50	7	0.46
2008	1,193	0	1,193	720	70	1.51	35	55	4	0.59
2009	1,383	580	803	720	70	1.02		50	1	0.00
2010	1,203	539	664	750	36	0.84				
2011	861	600	261							
2012	978	540	438							
2013	5	4	1							
2014	$0	$0	$0							

Note: Details regarding LFUCG outstanding debt can be found in the notes to the financial statements. Operating expenses do not include interest, depreciation, or amortization expenses.

Source: Department of Finance, Lexington-Fayette Urban County Government

TABLE 18

LEXINGTON-FAYETTE URBAN COUNTY GOVERNMENT
DEMOGRAPHIC AND ECONOMIC STATISTICS
LAST TEN FISCAL YEARS

Fiscal Year	Population	Personal Income (Thousands)	Per Capita Personal Income	Civilian Labor Force		
				Employed	Unemployed	Unemployment Rate
2005	275,540	$9,960,143 *	$36,148 *	139,182	6,679	4.6%
2006	279,971	10,732,777 *	38,335 *	142,077	6,582	4.4%
2007	283,291	11,181,681 *	39,471 *	144,393	6,056	4.0%
2008	287,683	11,524,761 *	40,061 *	144,068	7,311	4.8%
2009	292,514	11,266,697 *	38,517 *	141,049	13,087	8.5%
2010	296,715 *	11,616,985 *	39,152 *	142,196	12,029	7.8%
2011	301,429 *	12,276,279 *	40,727 *	147,052	12,146	7.6%
2012	305,489	12,816,786	41,955	146,775	10,192	6.5%
2013	308,428	na	na	152,866	11,657	7.1%
2014	na	na	na	148,833	9,938	6.3%

* Updated in 2014

Note:
Personal Income and Per Capita Personal Income data for 2013 and 2014 not available at time of publication.
Population data for 2014 not available at time of publication.

Source: The Bureau of Economic Analysis
Source: U.S. Census Bureau
Source: The Bureau of Labor Statistics

TABLE 19

LEXINGTON-FAYETTE URBAN COUNTY GOVERNMENT
PRINCIPAL EMPLOYERS, FAYETTE COUNTY
CURRENT YEAR AND NINE YEARS AGO

	2014			2005		
Name	Employees	Rank	Percentage of Total City Employment	Employees	Rank	Percentage of Total City Employment
University of Kentucky	12,430	1	8.35%	n/a	n/a	n/a
Fayette County Public Schools	5,427	2	3.65%	n/a	n/a	n/a
KentuckyOne Health	3,000	3	2.02%	n/a	n/a	n/a
Xerox	3,000	4	2.02%			
Lexington-Fayette Urban County Government	2,821	5	1.90%	n/a	n/a	n/a
Lexmark International	2,154	6	1.45%	n/a	n/a	n/a
Wal-Mart	2,027	7	1.36%	n/a	n/a	n/a
Baptist Healthcare	1,924	8	1.29%	n/a	n/a	n/a
Lockheed Martin	1,470	9	0.99%	n/a	n/a	n/a
Amazon	1,100	10	0.74%	n/a	n/a	n/a
	35,353		23.75%			

Note:
First year of presentation for Employees and Percentage of Total City Employment was FY2010. This data is not available for FY2004.

Source: Lexington Chamber of Commerce

TABLE 20

LEXINGTON-FAYETTE URBAN COUNTY GOVERNMENT
EMPLOYMENT BY INDUSTRY, FAYETTE COUNTY
Based on 1987 Standard Industrial Classification

Year	Farm	Agricultural Service	Mining	Construction	Manufacturing	Transportation & Public Utilities	Wholesale Trade	Retail Trade	Finance, Insurance and Real Estate	Services	Government and Government Enterprises	Total Employment by Place of Work
1997	1,984	3,759	396	11,547	18,894	8,839	9,184	36,281	12,404	62,323	32,240	197,851
1998	1,793	3,949	392	11,900	19,301	9,211	9,331	36,650	12,455	63,440	32,605	201,027
1999	1,831	4,327	312	12,687	19,417	9,235	9,215	37,534	12,481	65,535	33,326	205,900
2000	1,805	4,506	308	13,076	19,142	9,225	9,177	38,238	12,768	66,775	35,434	210,454

LEXINGTON-FAYETTE URBAN COUNTY GOVERNMENT
EMPLOYMENT BY INDUSTRY, FAYETTE COUNTY
Based on 2002 North American Industry Standard

Year	Farm	Forestry, Fishing and Related Activities	Mining	Construction	Manufacturing	Wholesale Trade, Transportation and Utilities	Information	Retail Trade	Finance, Insurance and Real Estate	Services	Government and Government Enterprises	Total Employment by Place of Work
2001	1,852	3,107	335	12,727	16,252	13,314	5,315	24,222	13,180	79,852	35,156	205,312
2002	1,821	2,924	339	11,478	14,993	12,860	5,075	23,878	13,259	81,320	34,208	202,155
2003	2,067	2,644	438	11,432	14,347	13,024	4,883	23,897	13,330	82,154	35,099	203,315
2004	2,000	2,484	452	11,524	14,174	12,621	4,367	23,831	13,978	85,688	34,607	205,726
2005	1,717	2,499	494	11,875	14,864	13,225	4,456	24,022	14,277	87,802	34,910	210,141
2006	1,708	2,882	589	11,980	15,034	13,083	4,445	24,091	15,129	89,795	36,138	214,874
2007	1,667	3,060	646	11,716	15,601	13,565	4,323	24,207	15,340	89,812	38,641	218,578

Source: The Bureau of Economic Analysis

LEXINGTON-FAYETTE URBAN COUNTY GOVERNMENT
EMPLOYMENT BY INDUSTRY, FAYETTE COUNTY
Reflects Current Industry Standards

Year	Construction	Education and Health Services	Financial Activities	Information	Leisure and Hospitality	Manufacturing	Natural Resources and Mining	Other Services	Professional and Business Services	Trade, Transportation, and Utilities	Others	Total Employment by Place of Work
2008	7,723	21,035	8,583	5,086	19,427	14,929	2,260	4,941	23,700	34,320	110,466	252,470
2009	7,109	21,603	7,921	4,403	19,455	13,194	2,043	5,138	23,745	32,697	104,602	241,910
2010	6,937	21,477	8,046	4,628	20,176	12,882	2,170	5,383	22,186	30,782	104,273	238,940
2011	7,078	23,186	8,167	5,144	20,123	12,241	2,245	5,514	22,646	31,404	101,592	239,340
2012	6,733	24,230	7,994	5,393	20,313	12,325	2,059	5,348	27,491	35,039	147,031	293,956
2013	7,097	23,796	7,851	5,030	21,128	12,210	1,919	5,317	32,405	35,614	152,599	304,966

Source: Bureau of Labor Statistics

TABLE 21

LEXINGTON-FAYETTE URBAN COUNTY GOVERNMENT
U.S. CENSUS BUREAU STATISTICS

	1990 Census		2000 Census		2010 Census	
	Value	%	Value	%	Value	%
Population and Number of Households						
Population						
Under 18 years	50,416	22.4%	55,533	21.3%	62,633	21.2%
18 - 64 years	152,638	67.7%	178,805	68.6%	202,032	68.3%
65 years and over	22,312	9.9%	26,174	10.0%	31,138	10.5%
Total	225,366	100.0%	260,512	100.0%	295,803	100.0%
Number of Households	89,529		108,288		123,043	
Economic and Education						
Family Income						
Less than $10,000	5,979	10.5%	3,587	5.6%	4,407	6.3%
$10,000 - $24,999	12,365	21.7%	8,947	14.1%	8,791	12.7%
$25,000 - $49,999	20,889	36.7%	17,124	26.9%	15,164	21.8%
$50,000 - $74,999	10,790	19.0%	14,759	23.2%	12,913	18.6%
$75,000 or more	6,850	12.0%	19,231	30.2%	28,149	40.5%
Total Families	56,873	100.0%	63,648	100.0%	69,424	100.0%
Median Family Income	$35,936		$53,264		$63,086	
Mean Family Income	$44,467		$52,261		$76,373	
Per Capita Income	$20,355		$23,109		$25,561	
School Enrollment						
Elementary/Secondary	32,858		36,938		43,918	
College	28,339		31,508		41,238	
Education for Individuals 25+ years of age						
Less than 9th grade	11,760	8.3%	8,539	5.1%	8,813	4.6%
High School, No Diploma	16,365	11.5%	15,213	9.1%	13,986	7.3%
High School Graduate	33,238	23.4%	37,448	22.4%	43,875	22.9%
College 1 - 3 years	37,299	26.2%	46,420	27.8%	54,796	28.6%
College 4 or more years	43,454	30.6%	59,615	35.6%	70,123	36.6%
Total	142,116	100.0%	167,235	100.0%	191,594	100.0%
Unemployment Rate	3.7%		1.8%		7.0%	

Source: U.S. Census Bureau

TABLE 22

LEXINGTON-FAYETTE URBAN COUNTY GOVERNMENT
LFUCG EMPLOYEES BY FUNCTION/PROGRAM
LAST TEN FISCAL YEARS
(Excluding Temporary, Seasonal, and Part-Time Employees)

Function/Program	2005	2006	2007	2008	2009	2010	2011	2012	2013	2014
Administrative Services	139	143	145	77	89	91	86	129	94	47
General Government	64	70	74	77	48	73	70	66	66	67
Chief Information Officer										44
Finance & Administration	90	98	94	104	108	103	94	68	65	69
General Services										
Parks and Recreation	180	187	183	180	145	138	132	140	139	138
Other	124	129	132	123	132	134	130	97	93	98
Planning, Preservation & Development									39	128
Law	18	19	21	34	31	26	26	37	40	39
Public Safety										
Fire and Emergency Services										
Firefighters and Officers	498	504	530	512	504	522	520	500	520	566
Civilians	39	37	23	20	18	15	18	17	16	16
Police										
Officers	472	527	534	538	557	542	511	504	524	542
Civilians	184	177	151	117	77	102	93	127	126	122
Community Corrections	383	357	376	359	341	294	284	321	312	330
Other	73	78	78	99	101	75	79	81	80	68
Public Works & Development				221	218	244				
Solid Waste	217	221	211							
Sanitary Sewers	125	130	135							
Other	154	162	162				240			
Environmental Quality & Public Works								508	484	451
Waste Management				208	199	206	196			
Water & Air Quality				135	145	149	151			
Other				18	10	15	16			
Social Services	160	174	169	137	128	113	99	94	96	96
	2,920	3,013	3,018	2,959	2,851	2,842	2,745	2,689	2,694	2,821

The following Departmental reorganization took place in FY2008:
Human Resources and Community Development moved from Administrative Services to Finance & Administration; Risk Management moved from Administrative Services to Law; Historic Preservation, Planning and Purchase of Development Rights moved from Administrative Services to Public Works & Development; Computer Services moved from Finance & Administration to Admininstrative Services; Building Inspection moved from Public Safety to Public Works & Development; Solid Waste (Waste Management) and Sanitary Sewers (Water & Air Quality) moved from Public Works and Development to Environmental Quality.

The following Departmental reorganization took place in FY2012:
Communications, Enterprise Solutions, Information Technology and PeopleSoft moved from Chief Information Officer to Administrative Services; Historic Preservation, Planning and Purchase of Development Rights moved from Public Works to Administrative Services; Risk Management moved from Law to Administrative Services; Budgeting moved from Administrative Services to Finance; Chief Development Administration was created under Chief Development Officer; Office of Economic Development moved from General Government to Chief Development Officer; Community Development changed to Grants and Special Projects and moved from Finance to Administrative Services; Human Resources moved from Finance to Law; Environmental Quality and Public Works were merged to form Environmental Quality & Public Works; Police and Fire Pension moved from Public Safety to Finance; Building Inspection moved from Public Works to Public Safety; Community Corrections, Police and Fire and Emergency Services moved to Public Safety.

Planning, Preservation, & Development was added in FY2013 and was previously included with Administrative Services.

The following Departmental reorganization took place in FY2014:
Division of Engineering moved from Environmental Quality & Public Works to Planning, Preservation & Development; Division of Code Enforcement and Division of Building Inspection moved from Public Safety to Planning, Preservation & Development; Computer Services & Division of Enterprise Solutions moved from Administrative Services to Chief Information Officer.

Source: Department of Finance, Lexington-Fayette Urban County Government

TABLE 23

LEXINGTON-FAYETTE URBAN COUNTY GOVERNMENT
OPERATING INDICATORS BY FUNCTION/PROGRAM
LAST TEN FISCAL YEARS

Function/Program	2005	2006	2007	2008	2009	2010	2011	2012	2013	2014
Fire and Emergency Services										
Emergency Medical Calls	28,698	28,772	30,087	31,336	31,490	32,199	34,197	37,000	36,619	37,971
False Calls	2,606	2,560	2,667	2,804	2,715	2,653	2,870	2,673	2,585	2,983
Fire Incidents	1,194	1,315	1,402	1,322	1,301	1,129	1,337	1,564	1,293	1,226
Good Intent Calls	na	na	1,112	1,090	1,245	1,265	1,271	1,153	1,107	1,108
Hazardous Materials Calls	1,155	1,090	1,087	1,252	1,295	1,192	1,118	1,248	1,451	1,686
Other	na	na	129	109	134	62	79	60	44	54
Rescues	na	na	517	387	366	451	460	421	449	443
Rupture - Gas, Water, etc.	na	na	52	32	51	45	47	36	34	31
Service Calls	1,022	1,128	1,161	1,313	1,330	1,227	1,529	1,707	1,598	2,209
Police										
Physical Arrests	22,295	23,411	24,677	19,460	18,155	17,126	15,248	20,214	14,592	13,773
Parking Violations	20,874	21,668	17,665	8,945	49,471	46,949	42,675	41,849	47,201	46,709
Traffic Violations	66,954	67,487	75,014	76,529	73,945	64,954	63,546	52,086	40,478	48,193
Parks and Recreation										
Rounds of Golf	154,124	152,659	139,353	141,776	122,153	107,565	89,291	95,382	96,607	90,410
Pool Visits	180,619	199,496	198,181	202,093	217,917	188,389	185,421	205,353	169,820	142,062
Building Inspection										
Permits Issued	20,514	20,719	16,620	14,173	13,660	13,646	13,090	13,623	13,860	16,141
Inspections	38,669	39,773	29,991	27,650	29,404	28,915	24,563	23,957	24,518	23,262
Sanitary Sewers										
Tap-on Inspections	2,131	2,108	1,681	1,057	879	946	625	644	861	897
Average daily sewage treatment (mgd)	51	38	42	38	40	36	41	39	39	42
Solid Waste										
Annual Tons of Refuse Collected	156,347	152,969	154,637	165,087	155,645	141,831	138,331	134,788	135,595	137,728
Annual Tons of Recyclables Collected	11,668	15,188	18,740	18,355	20,190	18,831	20,402	21,834	22,446	22,583
Annual Tons of Yard Waste Collected						18,199	18,049	21,801	20,492	19,984
Other Public Works										
Street Resurfacing (miles)	23	16	40	38	35	30	15	28	22	27

Source: Department of Finance, Lexington-Fayette Urban County Government

TABLE 24

LEXINGTON-FAYETTE URBAN COUNTY GOVERNMENT
CAPITAL ASSET STATISTICS BY FUNCTION/PROGRAM
LAST TEN FISCAL YEARS

Function/Program	2005	2006	2007	2008	2009	2010	2011	2012	2013	2014
Fire and Emergency Services										
Number of Fire Stations	21	22	23	23	23	23	23	23	23	23
Number of Engines	21	22	24	24	24	23	23	22	22	22
Number of Aerials	8	8	8	8	8	7	7	7	7	7
Number of EC Units	9	9	9	9	10	10	10	10	10	10
Number of Haz-Mat Units	3	3	3	3	3	2	2	2	2	2
Police										
Stations	3	3	3	3	3	3	3	3	3	3
Patrol Units	463	467	467	481	438	444	440	429	424	424
Parks and Recreation										
Acres of Parks	4,261	4,261	4,261	4,565	4,565	4,917	4,917	4,282	4,282	4,282
Number of Golf Courses	6	6	6	6	6	6	6	5	5	5
Number of Swimming Pools	10	10	10	9	9	9	9	7	7	7
Sanitary Sewers										
Treatment Capacity (mgd)	64	64	64	64	64	64	64	64	64	64
Solid Waste										
Collection Trucks	117	118	126	116	115	119	113	119	119	116
Other Public Works										
Streets (miles)	1,544	1,563	1,542	1,589	1,599	1,628	1,634	1,636	1,638	1,641
Acres in County	182,762	182,762	182,762	182,762	182,762	182,762	182,762	182,762	182,762	182,762
Acres in Urban Services Area	54,618	54,618	54,618	54,618	54,618	54,618	54,618	54,618	54,618	54,618
Traffic Signals	349	353	357	363	367	376	380	382	376	378

Source: Department of Finance, Lexington-Fayette Urban County Government

APPENDIX C
LEXINGTON-FAYETTE URBAN COUNTY GOVERNMENT
STATEMENT OF INDEBTEDNESS
KY CONST. §§157 AND 158
KRS §66.041

The undersigned Commissioner of Finance of the Lexington-Fayette-Urban County Government (the "LFUCG"), Commonwealth of Kentucky, does hereby certify that the following statements concerning the financial condition of LFUCG are true and correct as they appear from records of LFUCG:

1. The assessed valuation of all the taxable property in the County as estimated on the last certified assessment is $28,353,568

2. The current population of the LFUCG is 308,428

3. The total of *all* bonds, notes and other obligations currently issued and outstanding, including the present issue of $27,145,000 is $533,345,003

4. Bonds, notes and other obligations excluded from the calculation of net indebtedness are as follows:

   (a) Obligations issued in anticipation of the levy or collection of special assessments which are payable solely from those assessments or are otherwise self-supporting obligations $0

   (b) Obligations issued in anticipation of the collection of current taxes or revenues for the fiscal year which are payable within that fiscal year $0

   (c) Obligations, which are not self-supporting obligations, issued after July 15, 1996 by any instrumentality of the LFUCG created for the purpose of financing public projects for which there has been no pledge to the payment of debt charges of any tax of the LFUCG or for which there is no covenant by the LFUCG to collect or levy *a* tax to pay debt charges $0

   (d) Self-supporting obligations and other obligations for which there has been no pledge to the payment of debt charges of any tax of the LFUCG or for which there is no covenant by the LFUCG to collect or levy a tax to pay debt charges $0

   (e) Obligations issued to pay costs of public projects to the extent they are issued in anticipation of the receipt of, and are payable as to principal from, federal or state grants within that fiscal year $0

(f) Leases entered into under KRS 65.940 to 65.956 after July 15, 1996 which are not tax-supported leases..... $150,845,124

(g) Bonds issued in the case of an emergency, when the public health or safety should so require $0

(h) Bonds issued to fund a floating indebtedness $0

Total Exempt Obligations $150,845,124

5. The total of bonds, notes and other obligations subject to the debt limitation set forth in KRS 66.041 (3 minus 4) is $382,499,379

6. The total of bonds, notes and other obligations subject to the debt limitation set forth in KRS 66.041 as computed in 5 above, does not exceed 10%* of the assessed valuation of all the taxable property in the LFUCG or $2,835,357,000

7. The current tax rate of the LFUCG, for other than school purposes, upon the value of the taxable property therein is $0.2535 (which includes 0.1735 which is dedicated for specific purposes) per $100 for real and personal property which does not exceed the maximum permissible tax rate for the LFUCG as set forth in Section 157 of the Kentucky Constitution.

8. The issuance of the bonds, notes or other obligations set forth in 3 hereof will not cause the tax rate set forth in 7 hereof to increase in an amount which would exceed the maximum permissible tax rate for the LFUCG as set forth in Section 157 of the Kentucky Constitution.

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* 10% for cities having a population of fifteen thousand or more; 5% for cities having a population of less than fifteen thousand but not less than three thousand; and 3% for cities having a population of less than three thousand.

IN WITNESS WHEREOF, I have hereunto set my hand this 4th day of December, 2014.

/s/ William O'Mara
Commissioner of Finance
Lexington-Fayette Urban County Government

APPENDIX D-1
FORM OF LEGAL APPROVING OPINION OF BOND COUNSEL
(SERIES 2014B BONDS)

The form of the legal approving opinion of Peck, Shaffer & Williams, a division of Dinsmore & Shohl LLP, Bond Counsel, is set forth as follows. The actual opinion will be delivered on the date of delivery of the Series 2014B Bonds referred to therein and may vary from the form set forth to reflect circumstances both factual and legal at the time of such delivery. Recirculation of the Final Official Statement shall create no implication that Peck, Shaffer & Williams, a division of Dinsmore & Shohl LLP has reviewed any of the matters set forth in such opinion subsequent to the date of such opinion.

[Closing Date]

Ladies and Gentlemen:

We have examined the transcript of proceedings relative to the issuance by the Lexington-Fayette Urban County Government (the "Issuer") of its $24,245,000 Various Purpose General Obligation Bonds, Series 2014B (the "Series 2014B Bonds"), dated December 16, 2014. The Series 2014B Bonds are issued in definitive form as registered bonds in the denomination of $5,000 or any integral multiple thereof, numbered from 1 upward. The Series 2014B Bonds mature, bear interest, and are subject to mandatory and optional redemption upon the terms set forth therein. We have also examined a specimen of the Series 2014B Bond.

Based upon the foregoing, it is our opinion that, as of the date hereof:

1. The Series 2014B Bonds constitute valid obligations of the Issuer in accordance with their terms, which unless paid from other sources, are payable from taxes to be levied by the Issuer without limitation as to rate.

2. Under the laws, regulations, rulings and judicial decisions in effect as of the date hereof, interest on the Series 2014B Bonds is excludible from gross income for Federal income tax purposes, pursuant to the Internal Revenue Code of 1986, as amended (the "Code"). Furthermore, interest on the Series 2014B Bonds will not be treated as a specific item of tax preference, under Section 57(a)(5) of the Code, in computing the alternative minimum tax for individuals and corporations. In rendering the opinions in this paragraph, we have assumed continuing compliance with certain covenants designed to meet the requirements of Section 103 of the Code.

3. The interest on the Series 2014B Bonds is exempt from income taxation by the Commonwealth of Kentucky and the Series 2014B Bonds are exempt from ad valorem taxation by the Commonwealth of Kentucky and any of its political subdivisions.

We express no other opinion as to the federal or state tax consequences of purchasing, holding or disposing of the Series 2014B Bonds.

The Issuer has not designated the Series 2014B Bonds as "qualified tax-exempt obligations" with respect to investments by certain financial institutions under Section 265 of the Code.

In giving this opinion, we have relied upon covenants and certifications of facts, estimates and expectations made by officials of the Issuer and others contained in the transcript which we have not independently verified. It is to be understood that the enforceability of the Series 2014B Bonds may be subject to bankruptcy, insolvency, reorganization, moratorium and other laws in effect from time to time affecting creditors' rights, and to the exercise of judicial discretion.

Very truly yours,

APPENDIX D-2
FORM OF LEGAL APPROVING OPINION OF BOND COUNSEL
(SERIES 2014C BONDS)

The form of the legal approving opinion of Peck, Shaffer & Williams, a division of Dinsmore & Shohl LLP, Bond Counsel, is set forth as follows. The actual opinion will be delivered on the date of delivery of the Series 2014C Bonds referred to therein and may vary from the form set forth to reflect circumstances both factual and legal at the time of such delivery. Recirculation of the Final Official Statement shall create no implication that Peck, Shaffer & Williams, a division of Dinsmore & Shohl LLP has reviewed any of the matters set forth in such opinion subsequent to the date of such opinion.

[Closing Date]

Ladies and Gentlemen:

We have examined the transcript of proceedings relative to the issuance by the Lexington-Fayette Urban County Government (the "Issuer") of its $2,900,000 Energy Conservation General Obligation Bonds, Series 2014C (Federally Taxable - Qualified Energy Conservation Bond – Direct Payment to the Issuer), (the "Series 2014C Bonds") dated December 16, 2014. The Series 2014C Bonds are issued in definitive form as registered bonds in the denomination of $5,000 or any integral multiple thereof, numbered from 1 upward. The Series 2014C Bonds mature, bear interest, and are subject to mandatory and optional redemption upon the terms set forth therein. We have also examined a specimen of the Series 2014C Bond.

Based upon the foregoing, it is our opinion that, as of the date hereof:

1. The Series 2014C Bonds constitute valid obligations of the Issuer in accordance with their terms, which unless paid from other sources, are payable from taxes to be levied by the Issuer without limitation as to rate.

2. Under the laws, regulations, rulings and judicial decisions in effect as of the date hereof, interest on the Series 2014C Bonds is <u>not</u> excludible from gross income for Federal income tax purposes, pursuant to the Internal Revenue Code of 1986, as amended (the "Code").

3. The interest on the Series 2014C Bonds is exempt from income taxation by the Commonwealth of Kentucky and the Series 2014C Bonds are exempt from ad valorem taxation by the Commonwealth of Kentucky and any of its political subdivisions.

We express no other opinion as to the federal or state tax consequences of purchasing, holding or disposing of the Series 2014C Bonds

In giving this opinion, we have relied upon covenants and certifications of facts, estimates and expectations made by officials of the Issuer and others contained in the transcript which we have not independently verified. It is to be understood that the enforceability of the Series 2014C Bonds may be subject to bankruptcy, insolvency, reorganization, moratorium and other laws in effect from time to time affecting creditors' rights, and to the exercise of judicial discretion.

Very truly yours,

APPENDIX E
FORM OF CONTINUING DISCLOSURE CERTIFICATE

[SEE ATTACHED]

CONTINUING DISCLOSURE CERTIFICATE

THIS CONTINUING DISCLOSURE CERTIFICATE (the "Certificate") is executed and delivered the 16th day of December, 2014 by the Lexington-Fayette Urban County Government (the "Issuer") in connection with the issuance of its (i) $24,245,000 Various Purpose General Obligation Bonds, Series 2014B (the "Series 2014B Bonds") and (ii) $2,900,000 Energy Conservation General Obligation Bonds, Series 2014C (Federally Taxable - Qualified Energy Conservation Bond – Direct Payment to the Issuer) (the "Series 2014C Bonds" and together with the Series 2014B Bonds, the "Bonds"). The Bonds are being issued pursuant to (i) Ordinance No. 140-2014 with respect to the Series 2014B Bonds and (ii) Ordinance No. 140-2014 with respect to the Series 2014C Bonds, each adopted by the Lexington-Fayette Urban County Council of the Issuer on November 20, 2014 (together, the "Authorizing Legislation"). The Issuer certifies, covenants and agrees as follows:

Section 1. Purpose of the Certificate.

This Certificate is being executed and delivered by the Issuer to provide for the disclosure of certain information concerning the Bonds on an on-going basis as set forth herein for the benefit of Bondholders (as hereinafter defined) in accordance with the provisions of Securities and Exchange Commission Rule 15c2-12, as amended from time to time (the "Rule");

Section 2. Definitions; Scope of this Certificate.

All terms capitalized but not otherwise defined herein shall have the meanings assigned to those terms in the Authorizing Legislation and the Bonds. Notwithstanding the foregoing, the term "Disclosure Agent" shall mean the Issuer, or any disclosure agent appointed or engaged by the Issuer; any successor disclosure agent shall automatically succeed to the rights and duties of the Disclosure Agent hereunder, without any amendment hereto. The following capitalized terms shall have the following meanings:

"Annual Financial Information" shall mean a copy of the annual audited financial information prepared for the Issuer which shall include, if prepared, a balance sheet, a statement of revenue and expenditure and a statement of changes in fund balances. All such financial information shall be prepared using Governmental Accounting Standards Board (GASB), provided, however, that the Issuer may change the accounting principles used for preparation of such financial information so long as the Issuer includes as information provided to the public a statement to the effect that different accounting principles are being used, stating the reason for such change and how to compare the financial information provided by the differing financial accounting principles Any or all of the items listed above may be set forth in other documents, including Offering Documents of debt issues of the Issuer or related public entities, which have been transmitted to the MSRB, or may be included by specific reference to documents available to the public on the MSRB's Internet Website or filed with the SEC.

"*Beneficial Owner*" shall mean any person which has the power, directly or indirectly, to vote or consent with respect to, or to dispose of ownership of, any Bonds (including personal holding Bonds through nominees, depositories or other intermediaries).

"*Bondholders*" shall mean any holder of the Bonds and any Beneficial Owner thereof.

"Event" shall mean any of the following events with respect to the Bonds:

(i) Principal and interest payment delinquencies;

(ii) Non-payment related defaults, if material;

(iii) Unscheduled draws on debt service reserves reflecting financial difficulties;

(iv) Unscheduled draws on credit enhancements reflecting financial difficulties;

(v) Substitution of credit or liquidity providers, or their failure to perform;

(vi) Adverse tax opinions, the issuance by the Internal Revenue Service of proposed or final determinations of taxability, Notices of Proposed Issue (IRS Form 5701-TEB) or other material notices or determinations with respect to the tax status of the security, or other material events affecting the tax-exempt status of the security;

(vii) Modifications to rights of security holders, if material;

(viii) Bond calls, if material, and tender offers (except for mandatory scheduled redemptions not otherwise contingent upon the occurrence of an event);

(ix) Defeasances;

(x) Release, substitution or sale of property securing repayment of the securities, if material;

(xi) Rating changes;

(xii) Bankruptcy, insolvency, receivership or similar event of the obligated person (Note: For the purposes of this event, the event is considered to occur when any of the following occur: The appointment of a receiver, fiscal agent or similar officer for an obligated person in a proceeding under the U.S. Bankruptcy Code or in any other proceeding under state or federal law in which a court or governmental authority has assumed jurisdiction over substantially all of the assets or business of the obligated person, or if such jurisdiction has been assumed by leaving the existing governing body and officials or officers in possession but subject to the supervision and orders of a court or governmental authority, or the entry of an order confirming a plan of reorganization, arrangement or liquidation by a court or governmental authority having supervision or

jurisdiction over substantially all of the assets or business of the obligated person);

(xiii) The consummation of a merger, consolidation, or acquisition involving an obligated person or the sale of all or substantially all of the assets of the obligated person, other than in the ordinary course of business, the entry into a definitive agreement to undertake such an action or the termination of a definitive agreement relating to any such actions, other than pursuant to its terms, if material; and

(xiv) Appointment of a successor or additional trustee or the change of name of a trustee, if material.

The SEC requires the listing of (i) through (xiv) although some of such events may not be applicable to the Bonds.

For purposes of this transaction with respect to Events as set forth in the Rule:

(a) there are no debt service reserve funds applicable to the Bonds;

(b) there are no credit enhancements applicable to the Bonds;

(c) there are no liquidity providers applicable to the Bonds; and

(d) there is no property securing the repayment of the Bonds.

"MSRB" shall mean the Municipal Securities Rulemaking Board.

"Offering Document" shall mean the Official Statement dated December 4, 2014.

"Operating Data" shall mean an update of the Operating Data contained in the Offering Document as provided in Appendix B thereto.

"Participating Underwriter" shall mean any of the original underwriters of the Bonds required to comply with the Rule in connection with the offering of the Bonds.

"SEC" shall mean the Securities and Exchange Commission.

"State" shall mean the Commonwealth of Kentucky.

Section 3. Disclosure of Information.

(A) Information Provided to the Public. Except to the extent this Certificate is modified or otherwise altered in accordance with Section 4 hereof, the Issuer shall make, or shall cause the Disclosure Agent to make, public the information set forth in subsections (1), (2) and (3) below:

(1) Annual Financial Information and Operating Data. Annual Financial Information and Operating Data at least annually not later than nine months following the

end of the Issuer's fiscal year beginning with the fiscal year ending June 30, 2014 and continuing with each fiscal year thereafter. If the Disclosure Agent is an entity or person other than the Issuer, then the Issuer shall provide the Annual Financial Information to the Disclosure Agent not later than fifteen (15) Business Days prior to the disclosure date referenced above. The Annual Financial Information may be submitted as a single document or as separate documents comprising a package, and may cross-reference other information; provided that the audited financial statements of the Issuer may be submitted separately from the balance of the Annual Financial Information and later than the date required above for the filing of the Annual Financial Information if they are not available by that date.

(2) Events Notices. Notice of the occurrence of an Event, in a timely manner, not in excess of ten (10) business days after the occurrence of the Event.

(3) Failure to Provide Annual Financial Information or Operating Data. Notice of the failure of Issuer to provide the Annual Financial Information or Operating Data by the date required herein.

(4) Other. Notice of any material change in the accounting principles applied in the preparation of its annual financial statements, any change in its fiscal year, or any failure to appropriate funds necessary to perform this Continuing Disclosure Certificate.

(B) Information Provided to Public.

Annual Financial Information and, subject to the timing requirement set forth in subsection (A)(2) of this Section 3, notice of all Event occurrences shall be made public on the same day as notice thereof is given to the Bondholders of outstanding Bonds, if required pursuant to the Authorizing Legislation or the Bonds, and shall not be made public before the date of such notice.

(C) Means of Making Information Public.

(1) Information shall be deemed to be made public by the Issuer or the Disclosure Agent under this Certificate if it is transmitted as provided in subsection (C)(2) of this Section 3 by the following means:

(a) to the Bondholders of outstanding Bonds, by first class mail, postage prepaid;

(b) to the MSRB, in an electronic format as prescribed by the MSRB, accompanied by identifying information as prescribed by the MSRB (a description of such format and information as presently prescribed by the MSRB is included in Exhibit A hereto); and/or

(c) to the SEC, by (i) electronic facsimile transmissions confirmed by first class mail, postage prepaid, or (ii) first class mail, postage prepaid; provided that the Issuer or the Disclosure Agent is authorized to transmit information to the SEC by whatever means are mutually acceptable to the Disclosure Agent or the Issuer, as applicable, and the SEC.

(2) Information shall be transmitted to the following:

(a) all information to be provided to the public in accordance with subsection (A) of this Section 3 shall be transmitted to the MSRB;

(b) all information described in clause (a) shall be made available to any Bondholder upon request, but need not be transmitted to the Bondholders who do not so request.

(c) to the extent the Issuer is obligated to file any Annual Financial Information or Operating Data with the MSRB pursuant to this Agreement, such Annual Financial Information or Operating Data may be set forth in the document or set of documents transmitted to the MSRB, or may be included by specific reference to documents available to the public on the MSRB's Internet Website or filed with the SEC.

With respect to requests for periodic or occurrence information from Bondholders, the Issuer or Disclosure Agent may require payment by requesting holders of a reasonable charge for duplication and transmission of the information and for the Issuer's or Disclosure Agent's administrative expenses incurred in providing the information.

Section 4. Amendment or Modification.

Notwithstanding any other provision of this Certificate, the Issuer may amend this Certificate and any provision of this Certificate may be waived, if such amendment or waiver is supported by an opinion of nationally recognized bond counsel expert in federal securities laws to the effect that such amendment or waiver would not, in and of itself, cause the undertakings herein to violate the Rule if such amendment or waiver had been effective on the date hereof but taking into account any subsequent change in or official interpretation of the Rule as well as any change in circumstance.

Section 5. Miscellaneous.

(A) Termination. The Issuer's obligations under this Certificate shall terminate when all of the Bonds are or are deemed to be no longer outstanding by reason of redemption or legal defeasance or at maturity.

(B) Additional Information. Nothing in this Certificate shall be deemed to prevent the Issuer from disseminating any other information, using the means of dissemination set forth in this Certificate or any other means of communication, or including any other information in any Annual Financial Statement or notice of occurrence of an Event, in addition to that which is required by this Certificate. If the Issuer chooses to include any information in any Annual Financial Statement or notice of occurrence of an Event in addition to that which is specifically required by this Certificate, the Issuer shall have no obligation under this Certificate to update such information or include it in any future Annual Financial Statement or notice of occurrence of an Event.

(C) Defaults: Remedies. In the event of a failure of the Issuer or the Disclosure Agent to comply with any provision of this Certificate any Bondholder may take such action as may be necessary and appropriate, including seeking an action in mandamus or specific performance to cause the Issuer or the Disclosure Agent to comply with its obligations under this Certificate. A default under this Certificate shall not constitute a default on the Bonds and the sole remedy available in any proceeding to enforce this Certificate shall be an action to compel specific performance.

(D) Beneficiaries. This Certificate shall inure solely to the benefit of the Issuer, the Disclosure Agent, the Participating Underwriter and Bondholders, or beneficial owners thereof, and shall create no rights in any other person or entity.

Section 6. Additional Disclosure Obligations.

The Issuer acknowledges and understands that other state and federal laws, including but not limited to the Securities Act of 1933, the Securities Exchange Act of 1934 and Rule 10b-5 promulgated thereunder, may apply to the Issuer, and that under some circumstances compliance with this Agreement, without additional disclosures or other action, may not fully discharge all duties and obligations of the Issuer under such laws.

Section 7. Notices.

Any notices or communications to the Issuer may be given as follows:

To the Issuer: Lexington-Fayette Urban County Government
200 East Main Street
Lexington, KY 40507
Attention: Commissioner of Finance
Phone: (859) 258-3300
Fax: (859) 258-3385

[Remainder of page intentionally left blank]

[Signature page to the Continuing Disclosure Certificate]

IN WITNESS WHEREOF, the Issuer has caused its duly authorized officer to execute this Certificate as of the day and year first above written.

LEXINGTON-FAYETTE URBAN COUNTY GOVERNMENT, Issuer

By: _____

William O'Mara
Commissioner of Finance

7351288 PSW DS JCM/cab

EXHIBIT A

MSRB PROCEDURES FOR SUBMISSION OF CONTINUING DISCLOSURE DOCUMENTS AND RELATED INFORMATION

Securities and Exchange Commission Release No. 34-59061 (the "Release") approves an MSRB rule change establishing a continuing disclosure service of the MSRB's Electronic Municipal Market Access system ("EMMA"). The rule change establishes, as a component of EMMA, the continuing disclosure service for the receipt of, and for making available to the public, continuing disclosure documents and related information to be submitted by issuers, obligated persons and their agents pursuant to continuing disclosure undertakings entered into consistent with Rule 15c2-12 ("Rule 15c2-12") under the Securities Exchange Act of 1934. The following discussion summarizes procedures for filing continuing disclosure documents and related information with the MSRB as described in the Release.

All continuing disclosure documents and related information is to be submitted to the MSRB, free of charge, through an Internet-based electronic submitter interface or electronic computer-to-computer data connection, at the election of the submitter. The submitter is to provide, at the time of submission, information necessary to accurately identify: (i) the category of information being provided; (ii) the period covered by any annual financial information, financial statements or other financial information or operating data; (iii) the issues or specific securities to which such document is related or otherwise material (including CUSIP number, issuer name, state, issue description/securities name, dated date, maturity date, and/or coupon rate); (iv) the name of any obligated person other than the issuer; (v) the name and date of the document; and (vi) contact information for the submitter.

Submissions to the MSRB are to be made as portable document format (PDF) files configured to permit documents to be saved, viewed, printed and retransmitted by electronic means. If the submitted file is a reproduction of the original document, the submitted file must maintain the graphical and textual integrity of the original document. In addition, such PDF files must be word-searchable (that is, allowing the user to search for specific terms used within the document through a search or find function), provided that diagrams, images and other non-textual elements will not be required to be word-searchable.

All submissions to the MSRB's continuing disclosure service are to be made through password protected accounts on EMMA by (i) issuers, which may submit any documents with respect to their municipal securities; (ii) obligated persons, which may submit any documents with respect to any municipal securities for which they are obligated; and (iii) agents, designated by issuers and obligated persons to submit documents and information on their behalf. Such designated agents are required to register to obtain password-protected accounts on EMMA in order to make submissions on behalf of the designating issuers or obligating persons. Any party identified in a continuing disclosure undertaking as a dissemination agent or other party responsible for disseminating continuing disclosure documents on behalf of an issuer or obligated person will be permitted to act as a designated agent for such issuer or obligated person, without a designation being made by the issuer or obligated person as described above, if such party certifies through the EMMA on-line account management utility that it is authorized

to disseminate continuing disclosure documents on behalf of the issuer or obligated person under the continuing disclosure undertaking. The issuer or obligated person, through the EMMA on-line account management utility, is able to revoke the authority of such party to act as a designated agent.

The MSRB's Internet-based electronic submitter interface (EMMA Dataport) is at www.emma.msrb.org.